

Kirloskar Oil Eng Ltd. (KIRLOSENG)

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"Kirloskar Oil Engines Limited
Q1 FY2023 Earnings Conference Call "
August 11 , 2022

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Page 2 of 16 Moderator : Ladies and gentlemen, good day and welcome to Kirloskar Oil Engines Limi ted Earnings Conference Call hosted by Antique Stock Broking Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistanc e during the conference call, please signal the operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Dhirendra Tiwari from Antique Stock Broking . Thank you and over to you Sir !

Dhirendra Tiwari : Thank you. Good evening ladies and gentlemen, welcome to Q1 FY202 3post results conference call of Kirloskar Oil Engines Limited. We are glad to have with us M s. Gauri Kirloskar - Managing Director and Mr. Pawan Kumar Agar wal – CFO , and the management team with us . Let us begin the call with an introduction about the results, a quarter by the management and thereafter we will take the floor to the question -and-answers. Now, I will request M s. Gauri Kirloskar to start the co nversation and then we will move on to the Q&A . Welcome Ms. Gauri , thank you.

Gauri Kirloskar: Thank you. Good afternoon to all of you. I would like to thank you for joining the call today. Present with me on the call are Mr. Pawan Agarwal , the Chief Financial Officer of the company and our C ompany Secretary Ms. Smita Raichurkar , also present are our business unit heads including the team from ARKA Fincap . A new attendee for our earnings call this time is Mr. Aseem Srivastav a. Aseem is an industry veteran w ith significant domain expertise from the pumps business . He has joined as a CEO for B2C business with water management solutions and the farm mechanization business reporting into him. I will first start with an overall business update and then Pawan will update you about the financial performance but before that a customary disclaimer .

We wish to start by qualifying that during the call we may make some forward looking statements. These statements are considering the business environment we see as of to day and therefore there could be risk and uncertainties that could cause actual results to vary materially from what we are discussing on this call and we would not always be able to update on the forward -looking statements.

On last quarter's call I spok e of three major factors that are working favorably for us from a macro -economic stand point. First, I spoke of the government focus on infrastructure

development and the focus on "Make in India". Second, I spoke of the China plus one strategy that many organizations and countries are forced to adopt as a sourcing strategy and third, I spoke of the geopolitical situation and its implications. I spoke of the supply chain constraints that are arriving because of it. I will start by giving an update on these points for Q1, the government starts on infrastructure spending continues and we are seeing strong demand coming from these sectors. The China plus one strategy is giving more focus to as we

see a sudden interest from

many global organizations to come into India as an alternate sourcing strategy. However, the

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Page 3 of 16 geopolitical situation put constraints on the existing supply chain. The situation still remains challenging but we do see an improvement on commodity is softening from the last time we spoke. However, the same geopolitical situation is also having another different impact on us with the sudden power crisis in Europe and the US there is a sudden surge in demand for coal internationally. This has led to a situation in India where we see a power deficit of greater than 1% from the pre-pandemic levels of 0.3% on average. This has in turn created a sudden demand for power backup which has had a positive impact on our numbers. Overall, the macro-economic situation has created a strong demand for us in Q1.

Let us start with the overall financial performance first. As a company we delivered better results on all fronts when compared to Q1 of last year as you can see from the presentation that was uploaded on our website yesterday. Even if we compare against Q4 fiscal year 2022, the topline and EBITDA are almost at par. If one looks at the trend of our industry over the years, one can

find a certain level of seasonality. Q4 is normally the strongest quarter as it is summer and the need for power goes up. Q1 is traditionally weaker than Q4 but still strong and then we see tapering of demand in Q2 and Q3 due to monsoons picking up in Q4. However, this time we are seeing a Q1 i.e. as strong as Q4 of 2022 and that is the good sign for us. At the standalone level sales at Rs.944 Crores was up by 48% year-on-year with EBITDA at Rs.103 Crores. This represents around an 11% margin as compared to approximately 8% in Q1 last year and 10% in Q4 FY2022. Net profit for the quarter was at approximately Rs.65 Crores that is a 164% growth year-on-year. Please note that the year-on-year performance is based on the pandemic hit Q1 of last year. On the consolidated side, revenue was at Rs.1 191 Crores, 45% year-on-year and net profit at Rs.82 Crores, 154% up year-on-year. Overall demand was buoyant particularly for prime power solutions business, i.e. the power gen industrial engines and related customer support. Power generation business demand in Q1 2023 saw strong tailwinds fueled by power cut situations that I referenced earlier. We saw good demand for our products in the low horse power and medium horse power segment and in terms of sectors real estate and service sectors especially have been showing an uptake in demand. Along with these sectors we remain focused on hospitality and the data center market too, our product range goes up to 1500 KVA and we will move up further in the range whether we do it ourselves or through partnership. For industrial there is strong demand for tractors, self-loading mixers and fire-fighting pump set engines. As I said in the beginning demand is strong and is boiled down to our ability to get the demand catered to. Supply chain challenges did continue this quarter and I feel that our teams did a great job in securing supply in time. Our long-standing relationship with our supplier partners helped and our manufacturing and production teams complimented by delivering the products on time. We were also more agile managing the commodity market inflation and pricing environment. This quarter we also extended our new iGreen series iGreen 2.0 to key markets. These engines are powered with the new R550 series of engines that offer compact design, fuel efficiency and higher power quality. The iGreen 2.0 version has 30% volumetric reduction in terms of its smaller footprint and provides renewed commitment to its customers as a reliable and efficient product.

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Page 4 of 16 As a strategy as spoken last quarter, we have re-aligned our

focus on export markets. The fire-

fighting segment has witnessed good traction in our Middle East market since we have increased wallet share with major OEMs. Power generation segment also has shown impressive growth.

Overall, we have achieved a year-on-year growth of 64% in the international markets. South Africa industrial and UAE firefighting are our focus market segments, we have achieved a leadership position in both markets. Market and product strategies have been developed for both businesses to consolidate our leadership position. To boost our exports further we have undertaken the development of new engine platforms and this is planned to start rolling out in Q4.

On the large engine side, the fisheries segment is showing good demand. We crossed the

milestone of 1000 engines in the fisheries segment in this quarter and some of our engines have clocked over 10,000 hours in the field which is the significant milestone that shows the endurance of our product.

Now, coming to new product launches: Electric motors which we launched last quarter are also showing positive traction though there is a long way to go. Another new product is the organic waste composter and at this stage it is more like concept selling and we will see the traction it generates in the market as there is a drive to move into greener buildings and technology. We are at the final stages of getting our alternate fuel engine portfolio launched and you will hear about it soon in the near future.

I will now move on to our B2C businesses which includes the water management solutions i.e LGM KOEL water management solutions as well as the Farm Mechanization business units. Let me first give you an update on the water management side. In the last couple of quarters the margins were immensely under pressure. The main reason was commodity price inflation not being passed on to our customers. The business needs a far more number and flexible approach when it comes to responding to input cost variation. That is our learning and we have made corrective actions. The results are showing and we have managed the inflation very well in this first quarter. LGM had one of the best quarters in the recent past with good topline routes and positive EBITDA. More details are shared in the segmental updates in the earnings presentation. During Q1 KOEL electric continued its strong growth over last year's Q1 with 25%; it strengthened its position in the traditional states of UP, Bihar, Kerala and Maharashtra while showing strong improvement in Karnataka and Odisha. The Farm Mechanization business is also showing strong growth with new product launches, more channel partners, customer pull and export orders. On the raw material side, the overall commodity market is quite unsteady and we need to watch the price fluctuations very closely. As this industry is marked by aggressive and dynamic pricing we will take prudent steps at the right point to keep our focus on gaining market share. Going forward we are focusing on exports sales specifically from LGM, the other focus areas include

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Page 5 of 16 deepening and widening of footprints, cash generations, cost consciousness and marketing activities. These initiatives will help us increase market share while maintaining margins.

Now, for an out turn financial services, during Q1 the global economy has been facing a challenge of increasing inflation. Apart from that our Central Bank has also been grappling with rupee depreciation, at least to shift the focus of Central Bank from growth to control inflation. Global Central Bank has an increasing rates and RBI has also increased rates by 140 basis points including a 50 basis points hike in August 2022 during this fiscal. Excess liquidity from eco - system has been falling sharply mainly due to three reasons which are the cash, reserve ratio hike, forex seal by R

BI and limited credit offtake. However, our NBFC ARKA FinCap Limited has delivered satisfactory results for Q1 of fiscal year 2023. There has been modest growth in assets under management of the company without any challenge on asset quality. As of 30th June 2022 ARKAs AUM stood at Rs.2514 Crores with liquidity in excess of Rs.300 Crores. ARKAs profit for the quarter was Rs. 15.3 Crores. Overall, the balance sheet of ARKA was at Rs.2837 Crores mainly comprising of Rs.951 Crores of Networth, Rs.1815 Crores of borrowings and Rs.71 Crores of other liabilities. The portfolio yield of the company is at 12.4% with the focused approach towards control over opex and contribution from fees income and the company has registered return on average equity of 6.9% for Q1 fiscal year 2023. In conclusion going ahead we will keep a close watch on the global economic environment such as slowdown possibilities and the war situation but are cautiously optimistic about the domestic demand scenario. While tailwinds like capex programs, PLI schemes, infrastructure spending, power situation and opening up of services sectors all go well for us, inflation could post some challenges in the near term. All our new product development programs on alternate fuel and preparation for emission transition for next year is progressing well and is on track. We will continue all necessary investments in resources and product developments and continue to focus on geographical expansion and market penetration. In the presentation and results circulated we have added segment specific key comments to give you more insights into the individual business units.

Thank you very much. I will now hand over to Pawan for more detailed financials.

Pawan Agarwal : Thanks Gauri. Good afternoon, ladies and gentleman. Our Q1 results reflect a very healthy start to financial year 2023. This was achieved despite ongoing disruption in the business environment due to covid-19 and geopolitical scenario. Despite these external challenges and inflationary environment we are pleased with our performance during the quarter especially when one considers the challenges, one had to operate in. Though the inflation had been a concern until last quarter we saw some green shoots in terms of inflation easing out on certain commodities towards the end of this first quarter. If the similar trend continues it may give some respite in the coming quarters, more specifically we expect to see some part of its favorable impact in Q3. Our first quarter standalone sales at Rs.944 Crores was 48% higher compared to sales of Rs.639

Crores for the same period in previous financial year. All business divisions has delivered significant growth on a year -on-year basis. Revenue from operations stood at Rs.953 Crores in Q1 compared to Rs.647 Crores in Q1 last year. Our export sales at Rs.95 Crores registered a year-on-year growth of 64% in the quarter compared to Rs.58 Crores in Q1 of last financial year
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Page 6 of 16 and its put share in the total sales includes from 9.1% last year to 10.1% this year. Good growth was visible in the power generation and industrial segments in the international market, GCC and Africa region demonstrated good growth in sales. Power generation and agriculture business divisions delivered 64% and 25% sales growth respectively in Q1 year -on-year basis. Within power generation business division high horse power segment i.e 200 KVA and above grew by 86.5% year -on-year. Satisfactory growth was seen in the low to medium horse power segment which is less than 200 KVA rating as well. Industrial business division grew by 45% in terms of value and over 12% in volume terms on year-on-year basis in Q1. Within industrial view tractor segment grew by 13% in terms of value, whereas other than tractor segment which includes construction equipment, earth moving fire pumps etc delivered a

value growth of 62% year -on-year basis. In fact construction equipments sub-segment grew by nearly 113%. Agriculture business which includes diesel and electric pumps and related spares, farm mechanization which is power tillers, weeders etc and tractor part in all delivered a growth of 25% year -on-year. Electric pump business registered a growth of 24% in Q1 whereas tillers and weeders business clocked 27% growth. In anticipation of strong Q2 we have built up little extra inventories in Q1 to ensure minimal business disruptions. Due to supply related issues on some of the raw materials significant sales during the quarter were back ended and hence you can see increase receivables which are expected to get normalized in Q3. This has led to an additional investment in working capital during the quarter. The investment in net working capital stood at 14 days as at the end of Q1 this year vis-a-vis 8 days at the end of last financial year. But this is only a temporary phenomenon and going forward we do not expect major issues on the working capital side. Cash generation from operating activities in the first three month of the current financial year was approximately Rs.27 Crores, whereas nearly Rs.92 Crores of cash was used towards operating activities in Q1 of last financial year. During the quarter company has further invested Rs.99.6 Crores towards capital in its 100% subsidiary ARKA Financial Holdings Private Limited. The total investment in financial services business of KOEL stands at Rs.936.6 Crores as on 30th June

2022. At a consolidated level revenue from operations has improved by 45% from Rs.821 Crores in Q1 of financial year 2022 to almost Rs.1191 Crores in Q1 FY2023. PAT for the quarter for the group was a little over Rs.22 Crores compared to approximately Rs.32 Crores in Q1 of previous financial year registering a growth of 154%. At the segment levels during Q1 all the segments delivered growth in revenue on year -on-year basis. The electric pump segment grew by more than 21%, financial services segment grew by 106%, other segment which includes farm mechanizations, tractor spare parts, oil and new businesses grew by 32% and the engines segment saw more than 49% growth on a year -on-year basis. As indicated in the previous earning call we are happy to report that electric segment is back in profit in Q1 and we are working towards improving the profitability of this segment as we go along. Financial service segment continues to deliver superior result and it has reported close to 140% jump in this segment profit year-on-year basis. As far as outlook for the rest of the year is concerned we expect power generation, industrial and institutional project solution business to continue to do well in coming quarters. We are pleased to inform you that we have a healthy order book in hand, we have good visibility of new order inflows from the international markets as well as in the institutional and project solution business divisions. We expect to accelerate our quarterly revenue growth during
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Page 7 of 16 the coming quarters in the year. We are keen to improve our EBITDA margins from the current levels but it will largely be a function of how the external environment plays out. Macro concerns like geopolitical tensions, elevated raw material costs, power and fuel prices continue to remain short-term challenges. But as a company we will continue to focus internally to further improve our operation efficiencies and continue to deliver superior financial performance. With this summary we may now commence question -and-answer session. Thank you.

Moderator : Thank you. Ladies and gentlemen we will now begin with the question -and-answer session. We will wait for a moment while the question queue assembles. We have the first question from the line of Munjal Shah from IDA Wealth LLP. Please go ahead.
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Munjal Shah: Good evening. I have three questions, one is considering whatever is happening macro in terms of infrastructure etc plus the companies own efforts in developing new products, new geographies. What type of CAGR revenue growth can we expect for next three – five years excluding financial services like could we be doing 10 – 15% CAGR revenue growth? Second, is what is you have been talking about exports, do we have certain targets in next three – five years what will be the overall export as a percentage of sales and third is on the financials, considering the current interest rate hike what you mentioned also, how much provision have we made in Q1 in terms of NPAs? Thanks a lot.

Gauri Kirloskar: Thank you for your question. On the first question on growth for the next three to five years, I would say that the growth percentage that we are expecting is in the low double digits. Exports is a bit higher at 15 to 18% and for your third question which is on the NBFC, I will request Amit Gupta to answer.

Amit Gupta : Munjal just answering to your third question regarding the interest rate hike and the provision on the book. I would like to highlight the fact that the provision in the book has been made on the entire book, the entire book is current as of now. Considering the interest rate hike we have not been making any extra provision because the provision which has been made is in line with the RBI guidelines and it is being to the satisfaction of our statutory auditors who have already limited give you the financial for quarter ended considering the fact that interest rates are hiking these interest rates are being passed on ultimately to the customers, so we do not foresee any need for extra provision in terms of asset quality.

Munjal Shah: Thanks a lot. Just to summarize, you mentioned revenue CAGR should be in low double digit, so would it be fair to assume somewhere around 12- 15%?

Pawan Agarwal : It is difficult to give a specific number but as Gauri mentioned , low double digit is what we are comfortable with at least in the next two to three years is what visibility we have but it will be difficult to give a specific guidance in this regard as a specific number

Munjal Shah: Thanks a lot. Secondly, I missed on the export part, I think you mentioned somewhere around 17-18% as a percentage of revenues?

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Page 8 of 16 Pawan Agarwal : Right now we are trending at 9 to 10% of the total revenue as export revenue; our ambition and aspiration is to get the high teens number as a share of total revenue and we are working towards that.

Munjal Shah: Okay, and last question is on what is the capacity utilization in Kagal and in Khadki and how much capex would we need over next three -four years excluding financial services?

Pawan Agarwal : In Kagal plant we have about 55 to 60% depending upon what is the order book position; that is the level of capacity utilization right now and in Khadki we are making very limited products over here, largely it is R&D center . So capacity would not be quite a relevant thing to talk about as far as Khadki is concerned.

Munjal Shah: Okay , and capex over next three years actually ex -financial services investment?

Pawan Agarwal : There are two parts to this question, one is about Kirloskar Oil Engine Limited, where we spend roughly about Rs.70 – Rs.80 Crores annually basically to meet the emission requirement and few other sustenance related areas and new product development related capex. Whereas if you look at the LGM there we do not see any major capex requirement however, since we will be moving to a new manufacturing facility that capex probably , over next 18 to 24 months , would be somewhere close to Rs.100 Crores and in Opti qua where we make wires, cable, pipes and ESVA which is our joint venture, there are no major capex plans at least in the near term

in i.e. next one or two years.

Munjal Shah: So, Rs.70 – Rs.80 Crores is annual capex for Kirloskar Oil, Rs.100 Crores is for LGM total, right?

Pawan Agarwal : Yes.

Munjal Shah: For next three years or annually?

Pawan Agarwal : Two years, you can say next two -year visibility we have.

Munjal Shah: Thanks a lot. I will join the queue. Appreciate, thank you.

Moderator : Thank you. The next question is from the line of Sandeep Tulsian from JM Financial . Please go ahead.

Sandeep Tulsian: Good evening. My first question is pertaining to the margins that shown in both electric pumps as well as farm equipment, if you could give a little bit more color on this, electric pumps of course, this business was profitable and was under some temporary headwinds there was some one time brand promotion expenses we had incurred last year but the farm equipment piece was loss making for a very long time, so the profitability that we see in the current quarter, if you could give a little bit more explanation as to what kind of steps have you taken other than price

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Page 9 of 16 increases and how much of this profitability is sustainable what is the sustainable margins that we are expecting in both of these segments?

Pawan Agarwal : Hi! Sandeep, this is Pawan Agarwal. Thanks for your question. In farm mechanization business there is lot of work which is happening . However, still we are not out of the woods, the green shoots that you see in terms margin within the current year is a journey. Right now I do not think we can claim that we have come out of this difficult situation which we have been seeing for the past many quarters. But I am quite hopeful with As eem at the helms of affair and he is looking at all the areas very, very objectively and there is lot of work happening in this area. The margins are likely to trend upwards, it may take some time, it may not happen immediately. But over the next three – four quarters the farm mechanization business should deliver reasonable margins if not a double -digit margin but at least 5 -6% margin we are aiming at .

Sandeep Tulsian: On the electric pump side, is it similar?

Pawan Agarwal : Electric pump, as you rightly mentioned earlier this business was delivering reasonable margins ; there was a rough patch of couple of quarters and now we are back in profit especially on LGM side where we had a difficult Q4 last year; Q1 again we are back to the old EBIT DA margin range 6 -7% and we are working towards improvement in margins. So, both at KOEL Electric and VARUNA Electric pump we do not see any reason why we cannot hit double digit margin in coming quarters, in next few quarters.

Sandeep Tulsian: Understood. Second question is on the growth, you mentioned that the growth in high KVA was more than 80% and of course it was not as high in these low horse power and medium horse power. If you could also give us a backdrop of how the base industry grew in the same period and what would be our market share in this sprint HP category, please?

Arvind Chhabra : Hi! Good afternoon Sandeep. Let me first speak about the market, from the market perspective did M s. Gauri also mentioned about that the market grew approximately 50% over the last year though the last year might not be the right benchmark because it was partially Covid impacted but at the same time Q1 also saw a growth over the previous Q4. This final numbers of the final market report is yet to come in but from the prospective of low and medium horse power market is expected to be almost flat wherein the maximum growth would be led by the medium and the high horse power, when I say medium and high horse power maybe 62.5 KVA and above range and more the higher horse power would be higher the growth and that is what we also followed. In fact just to repeat as we saw that in the Q! We again took the leadership position

on which we

have been talking about in the past since the commodity was not we took the leadership position and from the very first day of the quarter we increased our prices in the market. This lead was not helped us in terms of managing the commodity inflation which is getting reflected in the financial but at the same time the industry also followed and it helped in elevating the overall price acceptance in the market. In this initial phase for few days or for let us say two weeks or so we actually went to the extent of regretting most of the opportunity in the market, so that might have Kirloskar Oil Engines Limited

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Page 10 of 16 some bit of impact on the market share but that was more temporarily in terms of achieving the balance between the price and margins. But finally the good part is the exit as Pawan mentioned that exit to the quarter is with a very strong enquiry board on the order board which means the price has got established in the market and we have come back to our level in terms of the overall market opportunity participation and our win rate. Now, this is actually further getting positive with the new launch in the lower horse power the R550, iGreen 2.0 which Gauri mentioned, this product we have just exposed to very limited market though we expanded it in the Q1 to South and West markets and it is getting a very encouraging response because of its very unique proposition of best footprint, best technical superiority, reliable performance and the overall lower cost of ownership over the life of the product and this will definitely play a major role in terms of moving the market share numbers and this particular technology or a platform will also get extended during this quarter to the other KVA notes also.

Sandeep Tulsian: Okay, can you give the market share numbers that you have from an overall perspective as well as in specific KVA, please?

Arvind Chhabra : That detail is yet to come. In all possibility we would be holding or let us say we would have definitely witnessed a growth in the high horse power range wherein in the lower range probably we might have compromised some basis point on the market share. As I said that to establish the price in the market we compromised on few of the opportunities during the first 10 to 15 days of the quarter, but numbers are yet to come in.

Sandeep Tulsian: Got it. Also, in high HP range your 200 KVA and plus range if you could give us more sectoral color as to which are the end markets which are driving the growth between the major markets as we operate in the metro rail or essentially into the hospitality and other segments that where we cater to?

Arvind Chhabra : From the high horse power range as we have been talking in the past also, our DV story is going very well and if I may request Pawan probably we would have again clocked an average of 100

plus numbers month-on-month, that continues and if I have to speak about a very specific sector, this was again led by the infrastructure as well as the real estate. In fact mobility also played a major role this time and we are very recently secured a bulk order of 9-10 KVA which is the higher end of the higher end from a very large project which will be supplied in the running quarter and the subsequent quarter. Also, from further high end prospective the K4300 acceptance from the market is very, very good the initial response in terms of the enquiry participation is very, very encouraging and the supplies will be very soon starting from this quarter and the subsequent quarter.

Pawan Agarwal : You are right, just to give numbers to what Arvind said, DV series in Q1 we have sold 373 units whereas the similar number for Q1 last year was 257 units, so you are right.

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Page 11 of 16 Sandeep Tulsian: And in rupees core what is this number and if also you could share DVCs number for

whole of

FY2022 please?

Pawan Agarwal : FY2022 full year value was Rs.271 Crores .

Sandeep Tulsian: Okay, in terms of number of units for full year 2022 is how much?

Pawan Agarwal : Full year was 1472 units.

Sandeep Tulsian: All right. Sir, other question is on the exports, what is the business model exactly we are following over here you did mention some geographies UAE and other geographies where we are leading the market in the opening commentary. But if you could highlight within each segments what kind of business model have we doubled, is it more direct customer sales or a dealer - distributor kind of a model and any color if you could give in terms of new product introduction what has that contributed to this 60% plus that we have seen.

Gauri Kirloskar: Sure, we follow a distributor model in our export market and in terms of new product introductions that I addressed also is mainly for the US market where we are introducing engines that are certified for TFO final they have very stringent emission requirements in the US and it takes a long time get certified for that to be ready with some products there that we will be introducing towards the end of this year.

Pawan Agarwal : To answer your second question, within export which segments are doing well which is leading to a 64% year-on-year growth. In power generation year-on-year we have delivered 93%, industrial segment has given 79% , customer support which has a smaller share there we have grown by 49% and Agri business has grown by 11% . So, in total 64% year-on-year growth in export business.

Sandeep Tulsian: Got it. Sir, I have a couple of more questions if I may. One is on the LGM side, any thoughts on acquiring the balance 24% stake because the call option is now due. What are your thoughts on the same?

Pawan Agarwal : The acquisition of remaining 24% stake in LGM is governed by our shareholder agreement and as per the shareholder agreement timelines , this stake will be acquired by the company.

Sandeep Tulsian: Okay, any indications that, what valuation and what price will we think again?

Pawan Agarwal : The pricing is already pre-defined in the 2017 shareholder agreement ; however I can tell you that this 24% acquisition is likely to get completed within this quarter, which is on or before 30

September 2022 , but on valuation we would not be able to reveal anything at this point of time.

Sandeep Tulsian: Okay, understood. The last question is another booking one. Within the power gen sales that we did in last year Rs.1430 Crores and also in the current quarter is Rs.430 Crores unless what we

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Page 12 of 16 have been. How much is the traded portion the alternative battery is control panel that we do, if you could break that upon, please?

Pawan Agarwal : Last year, full year was Rs.272 Crores and in Q1 current year the equivalent number is Rs.85 Crores and Q1 last year was Rs.50 Crores the traded items.

Sandeep Tulsian: Got it. All right thank you so much for taking my questions .

Moderator : Thank you. The next question is from the line of Renjith Sivaram from Mahindra Mutual fund.

Please go ahead.

Renjith Sivaram : Just wanted to understand strategically, is it fair to assume that at some point in time we will think of moving out our NBFC business because that doesn't constitute our co-run probably then we will focus on our manufacturing and probably can we expect strategically what is your thought process that some time on the near future we move it out from our core manufacturing, if you can throw some strategic light on that?

Pawan Agarwal : That is a great question . I think this question has been coming up on calls time and again but we have been maintaining that we have started our journey of non-banking financial services business very recently it is three-four years old baby and we have long way to go. We have

been

seeing very good response from the market and which is visible in our numbers also at an appropriate time the board of directors will take a call on this matter and accordingly we will inform this to Street. But at the moment we are doing very well, we are expanding, and we will continue to deliver growth in this business in coming quarters.

Renjith Sivaram: How much have we till date put in equity in that and how much further you are planning to put in that NBFC?

Pawan Agarwal: As we had mentioned in earlier calls also, the board of KOEL has given a comfort up to Rs.1000 Crores in terms of equity infusion in the non-banking financial services business; out of that Rs.937 Crores we have already infused. That is the position we have as on 30th June 2022.

Renjith Sivaram: Will there be any future enhancement of that or it will be like kind of the shifts where our accounting will be comfortable?

Pawan Agarwal: No, at this point of time again it will be a speculative answer, because we have adopted calibrated approach in terms of putting in capital in non-banking financial services business and that has helped the financial services subsidiary really well. They have been able to leverage in a meaningful manner and the growth is coming in. At this point of time KOEL board has not looked at the issue of further capitalization of non-banking financial services subsidiaries because still some room is left out of Rs.1000 Crores commitment which has been given by the parent company.

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Page 13 of 16 Gauri Kirloskar: The idea was to give the financial services business firm for taking and the commitment from KOEL was Rs.1000 Crores and it will remain at that. From ARKAs balance sheet point of view they are still under levered, so they still have enough room to grow from an NBFC point of view in terms of leverage and then they will also follow the normal process of raising tier-2 capital like any other NBFC will do for its growth.

Renjith Sivaram: Okay, thank you. This new emission norms are coming, how prepared are we in terms of, are our new emission norm engines tested in all nodes and what is the level preparedness there and with whom we have this technology collaboration to get into this newer norms. If you can throw some light there?

Arvind Chhabra: Hi! Good evening Mr. Renjith. From the CPCB4 cut off prospective since if you all remember this actually was supposed to be cut in from 2022 but because of the pandemic and all it was deferred by near, if you ask from our profession perspective we are well prepared even if the original base could have been there. As far as the technology part is concerned, I will have to reserve my comment because till the time product does not go out what technology tie-up we have in terms of back end we will not be able to disclose but from a readiness prospective most of the products are already on the trial bet.

Renjith Sivaram: Even the testing is done for the most the notes?

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Arvind Chhabra: That is what I said whether you have achieved the compliance or not there will be an outcome of the test results, so most of the notes are already on this test bet and they have to go through of cycle of testing of hours, that work is already in progress.

Renjith Sivaram: We have got likely price increase?

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Arvind Chhabra: Price increase we can say it will be in the range of 30 to 35% that is what has been the case in terms of the BSIV journey also and since the emission norms that is for the off highway and this is for the power generation, the estimated increase is in the range of 30 to 35%.

Renjith Sivaram: Okay, this will probably happen July 2023, right?

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Arvind Chhabra: That is cut off as of now which is the condition.

Renjith Sivaram: So, we can see probably pre-buying before that period because of the price increase?

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Arvind Chhabra: That is quite possible because the symbol was the situation when the same from CPC we want the CPC to happen but pre-buying impact of CPCB4 would more depend upon the other final activity if you would have noticed is happening in terms of the retro control to the existing device because that will define the final delta between the two products and the key driver for the pre-buying would be the cost difference on the customer pocket. So, it will be too early to say anything till the time more clarity come in terms of the retro emission control now.

Renjith Sivaram: Okay and we are prepared for even the HHP and higher horse power which we have launched to comply with that norms?

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Arvind Chhabra: Whatever range would come in CPCB4 plus review we are ready with that. As of now it is

anything less than 1000 KVA covered under the CPCB4 norms. We are all set for that note.

Renjith Sivaram : Okay sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Amit Shah from Antique Stock Broking . Please go ahead.

Amit Shah: Thanks for giving me the opportunity and congratulations for a very strong set of numbers. My first question on the price rise, you mentioned that we have taken some price hike during this particular quarter. What is the quantum of that particular price hike?

Arvind Chhabra : Q1 price increase to the market at an average level for the power generation was in the range of 6 to 7%, it varies from note to note but average realization was in the frame.

Amit Shah: Okay, sir we have been witnessing very strong demand and even we suggested that the enquiry pipeline seems to be very strong. Would you like to give any guidance for FY2023 given that the enquiry levels are very strong, near -term visibility is very strong incrementally even the CPCB4 norms are supposed to get implemented which can lead to a pre -buying. If you can give us some indication as to what is the kind of growth that we are targeting for FY2023, that would be really helpful?

Gauri Kirloskar: Thanks Amit, it will be very difficult for us to give you any guidance on the revenue growth at this point of time but all I can tell you is that Q2 is looking very, very buoyant and Q3 also we have encouraging situation as of now is all I can tell you.

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Page 15 of 16 Amit Shah: That is sure sir, also one more thing; on the supply side you mentioned that we are facing some challenges on the supply side. If you can highlight what are the challenges and whether going ahead do we see any retailing of those challenges and if those challenges are resolved what is the kind of growth that we can witness during the quarter?

Gauri Kirloskar: The supply chain challenges are very much the universal challenges that everyone else is facing whether it is commodity inflation or the shortage of few components, I can tell you that our supply chain just 4% of the components are imported and we are working on keeping it local and also having plan -B or plan -C where necessary to build a more resilient supply chain. On the growth demand today is not a problem. As Pawan said we are seeing a buoyant demand for Q2 and going into Q3, so if the supply chain situation improves we can only be more optimistic than that.

Amit Shah: One more question from my side, is it anything few new business centers to enter into one was on the bio-waste management system and second was on the industrial move side and thirdly on the transformer's business that we were planning to enter in FY2023. Any update on all these three businesses what is the status and whether we are going that previous plan of entering all these businesses, if you can just highlight that?

Rahul : I will answer about electric part. So, electric motors we have launched in the first quarter and going by the

response that we got we seem to be going smoothly in terms of both the order booking as well as in terms of the sales. But also in terms of building our future range, we have gone to the market with limited range to start with but we are working very hard to complete our entire range is going up to higher range of up to 355 frames and also going into higher efficiency motors from I2, I3 that range completion is currently under way. The building up of channel partners in the whole of India is going on very well. The organization chart in terms of having our zonal teams etc is all in place. All-in-all I would say we are as per plans in the electric motor space. As far as the transformer business goes we have updated last time also that we are taking stock of the overall situation in the railways space as far as the tender flow is concerned and therefore we had put it on hold that time and the status continues as it is.

Arvind Chhabra : Just to answer on the bio-gas side, bio -gas is not of an open consumer market product it is a very specific project to make a product and we are doing very good there because this addresses a very specific way because of the input fused it addresses a very specific segment of STP and the poetry plant and our power generation production is actually a part of the entire set up where we have very good tie ups and as and when the new opportunities are coming in we are the preferred supplier there. In fact I would also like to add there is one more product or the segment where we have entered in the recent past that was the end of Q2 and early Q3 of FY2022 which was the Kirloskar Fire Fighting Pumps for the domestic market. Earlier we definitely was one of the preferred market players in terms of the engine suppliers to the overall solution but in last year quarter we entered as full product supplier in the market and that product has been doing very well we have been growing continuously quarter -on-quarter and the good part is in the last

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Page 16 of 16 quarter which is Q1 2023 we have even extended the range to the complete solution which is engine driven pump set, motor driven pump set and jockey pump set as a solution. Definitely

would help us to address a broader market and boost further in terms of our customer acquisition journey for that particular opportunity .

Amit Shah: Sure sir, this is helpful. On these three businesses put together, the electric motors, bio-gas management systems all these put together what is the kind of contribution or revenue that these businesses can generate in the near to medium term if you can highlight what is kind of opportunity available to us?

Pawan Agarwal : Again a great question, the size of the market, size of the opportunity is quite attractive and that is why we decided to enter this space. But like any new concept or new business it takes time to evolve, right now we are checking the acceptance of our offering in the market on all the areas except transformer which is government tender business there it is difficult to comment. But electric motor or KFP/Kirloskar Fire Pumps or organic waste composter, the products have been received really, really, well; the early signs are very encouraging. Just to give you a sense on Kirloskar Fire Pumps we are clocking Rs.20 to Rs.25 Crores per quarter and this is growing. Electric motor we have just scratched the surface, the way Rahul explained we have great plans to expand the range and the size of the market is huge and the area of play is big for us and once the range is available and the distribution reach is there, because both the factors are equally important, we will have a decent journey going ahead in electric motor business.

Amit Shah: Sure sir, this is really helpful. That is it from my side. Thanks a lot for answering all the questions.

Moderator : Thank you. Ladies and gentlemen

Now, that was the last question. I now hand the conference over to Mr. Dharendra Tiwari for their closing comments.

Dhirendra Tiwari : Thank you very much. I take this opportunity to thank the management of Kirloskar Oil for giving us the opportunity . Before we close the call may I request Ms. Gauri to give a final word and then we will close. Thank you.

Gauri Kirloskar: In conclusion, we would like to mention that we continue to be focused on sales and profitability growth and making our businesses more competitive. We look forward to a great year ahead from the sales point of view coupled with maintaining and protecting low double digits, EBITDA margins as mentioned earlier. Thank you for your participation in this earnings call. We appreciate your time and interest in us. Thank you.

Moderator : Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference . Thank you for joining us. You may now disconnect your lines.

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Conference Call"

November 14, 2022

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MR. ANURAG BHAGANIA – CHIEF FINANCIAL
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MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Kirloskar Oil Engines Limited Q2 FY23 earnings conference call hosted by Antique Stock Broking. As a reminder, all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal for an operator by pressing "*" and then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you, and over to you, sir.

Amit Shah: Good afternoon everyone. On behalf of Antique Stock Broking, we welcome you all to 2Q FY23 post results conference call of Kirloskar Oil Engines Limited. I am glad to have with us today, Ms. Gauri Kirloskar, Managing Director of the company; and Mr. Anurag Bhagania, CFO of the company.

I'll now hand over the call to Ms. Gauri Kirloskar for her opening remarks and post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Good afternoon everyone. This is Gauri Kirloskar – Managing Director of Kirloskar Oil Engines. Thank you for joining the call today. Present with me on the call are Anurag Bhagania – Chief Financial Officer; Smita Raichurkar – Company Secretary; Rahul Sahai – CEO of our B2B business; Aseem Srivastav – CEO of our B2C business; and Amit Gupta – CFO of Arka Fincap.

As you are aware, we have had new colleagues joining us in the senior management team. Since they will be interacting with you for the first time on the call today, I will do a quick round of introduction. Anurag, our CFO, is a finance veteran with over 25 years of experience across finance and accounting functions, along with compliance and legal functions. He has been on the team for a couple of months, and I can say that the transition has been smooth. One more new colleague on the business side is Rahul Sahai. Rahul has joined us as CEO of the B2B business. Rahul comes with significant domain expertise in our industry. He is an expert in the power generation, industrial and aftermarket space, very well versed with technology, both current as well as the transition happening in our industry. He has also experience in channel strategy, supply chain, business turnaround, and technology & analytics deployment.

I will now start with an overall business update, and then Anurag will update you about the financial performance. A couple of months ago, we announced our 2X-3Y strategy, which is to double our top line in 3 years. And I mentioned then that there are strong macroeconomic tailwinds that we clearly see working in our favor. I had also said that a favorable environment

will not automatically translate into business results. There is focused work that has to be done strategically for us to be able to reach the aggressive plans that we have set out for ourselves. I said we will focus on 5 growth pillars, namely core growth, channel, technology, operations

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excellence, and people. I strongly believe that if we keep our focus on these pillars and drive our strategies around them, results will follow.

On the macro side, the strong tailwinds continue. The focus from the government on infrastructure development and the upcoming changes in emission norms pose a great opportunity for us. Both of these favorable macro trends fall right into our core competencies. Strong in-house R&D is our strength, and we have the ability to develop fit-for-market products in-house. Our manufacturing acumen is strong, and we have a service network that is unmatched. All of this becomes a competitive advantage for us as the products become more complex. With the new emission norms, export markets become naturally accessible to us as our products will

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automatically be at par with global emission norms. However, there is a lot of work to be done for us on the exports side, getting the product certified, building the network and brand, and ensuring we have strong service support in place. But I feel that we have the right teams who can make it happen for us. This, along with the China-plus-1 strategy that many OEMs are employing puts a big focus on exports. On the pump side, as you all know, we have completed the acquisition of LGM, and it is now a 100% subsidiary of KOEL. We see this business growing significantly in the coming years, and we are making the right investments in this business for us to move into high-margin manufactured products. This, along with the strategy of deepening and widening the channel, should see this business growing significantly.

For our financial services business, Arka Fincap, the investment as of Q2 now stands at around Rs. 987 crores. Please note this includes the profit on the change of shareholding of approximately Rs. 53 crores. So, with our total commitment of Rs. 1,000 crores at the net level, we have about Rs. 66 crores left out of our commitment.

As I said in my earlier interactions, our plans are aggressive. As announced in the 2X-3Y strategy, we are aiming for a top line CAGR of 26%. The strategy is there, the leadership team is in place, and work is ongoing around the 5 pillars, and step by step, we will make progress towards our ambition.

Now coming to the quarter performance. Q2 has been an encouraging quarter with 22% year-on-year growth in the top line for the quarter and 33% topline growth for the year-to-date performance. At the stand-alone level, we are at about Rs. 998 crores for the quarter and Rs. 1,942 crores for the first half. We have been able to clock a double-digit margin for the quarter as well as the first half. This essentially is a reflection of the steady price rises we had taken as compared to last year's same period to pass on the commodity price increases. At the net profit level, we were at about Rs. 73 crores for the quarter, which is 87% increase year on year and about Rs. 137 crores for the first half, clocking a 117% increase year on year.

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While there are strong macro tailwinds, this performance is also a reflection on our ability to execute. As you are all aware of the constraints around the supply chain, we are not insulated from them, but a lot of the efforts put in over the years in building a resilient supply chain translated into these results.

On a consolidated level, the revenue from operations was at Rs. 1,228 crores for the quarter, a 23% growth year on year and about Rs. 2,420 crores for the first half making a 33% increase year on year. Anurag will delve upon this in detail in the financial performance update. Over to you, Anurag.

Anurag Bhagania: Good afternoon everybody. With all the business updates that we have talked about, I will take some time to go through the financial performance for this quarter. The positive macro trends, along with all the efforts in the lines of the 5 pillars of strategic growth that we have talked about in the past, I would say this quarter reflects the strong execution capability of our team. This has been an absolutely great quarter for us. If you have noticed, this is the second quarter in the span of a calendar year, and this is for the first time that we have hit the highest quarterly numbers for the second time in one particular calendar year. It is also for the first time that we have hit close to Rs. 1,000 crores in overall revenue from operations, delivering almost 87% growth in terms of net profit.

On the sales side, if you look at the businesses independently, all the businesses have delivered strong year-on-year growth. Power generation with a 24% growth, keeping the quarterly sales levels at almost Rs. 456 crores, Industrial business

ss unit grew almost 40%, keeping revenues

upwards of Rs. 225 crores for the quarter. We saw traction across our institutional projects with a year-on-year growth of 54%.

If we look at our half yearly numbers, overall, sales growth is close to about 33% and a total revenue of Rs. 1,942 crores. Power generation, industrial, and IPS witnessed over 40% sales growth. This quarter, however, the water management business was almost flat year on year due to unpredictable extended rains across the country, which you all know about. I would also like to highlight our export performance which has been absolutely outstanding. For the quarter, the exports grew 88% year on year, taking the overall number to about Rs. 141 crores for the quarter.

And on a half year basis, the growth is around 78% to a level of Rs. 237 crores. Good growth and demand is visible across power generation, industrial, and agricultural segments in the international markets.

Now, overall, looking at the stand-alone performance for the quarter. Net sales Rs. 998 crores for Q2, 22% increase year on year, 6% quarter on quarter. EBITDA at Rs. 115 crores for the quarter, a 73% increase year on year, 12% quarter on quarter. This reflects what Gauri also talked about our price increase efforts and passing on all the raw material inflation. If we look at where we are coming from the last year, I would say, 70% to 80% of the price rises have already been

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passed on to the customers. EBITDA margins at 11.4% for the quarter versus 10.9% and 8.1% in the prior year, we are focused on our efforts to maintain double-digit profit margins and the levels of profitability that we aspire to get to.

Net profit is at Rs. 73 crores for the quarter, 87% increase year on year and 12% quarter on quarter. We are maintaining a good cash position as well. The net cash and cash equivalents at Rs. 193 crores despite the fact that we have invested more than Rs. 100 crores for LGM and Rs. 50 crores in the financial services business, well within our Rs. 1,000 crores commitment and also invested in the working capital during the quarter. We are 21 days of net working capital cycle. We expect to maintain the same levels for at least the next couple of quarters, I would say, owing to the multiple operating challenges that we see – challenges, which are, in a sense, also opportunities for us. There is technology development that is happening on the likes of CPCB-IV and new product development. And at the same time, we are seeing a significant uptick in the demand. For all of that, you will need working capital to support.

Let us now have a look at our segment performance. The electric pump business grew only by about 5%. Other segments which include farm mechanization and tractors, spare parts and oil business declined by about 4%, and the engine segment saw more than 25% growth on a year-on-year basis. Increase in GST from 12% to 18% did impact demand for the electric pump segment along with the rains that we earlier talked about.

As you know, during this quarter, we acquired the remaining 24% stake in the LGM subsidiary, which was already 76% earlier, making it a 100% wholly owned subsidiary. You may also refer to the holding structure that we have laid out in the presentation for the investors and analyst community available on our investor website. The financial services business' segment registered Rs. 83 crores in revenue with the asset under management as of September at Rs. 2,829 crores.

Summing it up, the consolidated performance revenues at Rs. 1,213 crores for the quarter versus Rs. 990 crores in the prior year, 23% increase year on year and 3% quarter on quarter. And net profit of Rs. 82.5 crores versus Rs. 41.7 crores same quarter last year, 98% increase year on year and a 1% increase quarter on quarter. I would say, to sum it up, I would like to link our performance back to the

2X-3Y vision that we have spoken about earlier. This quarter's performance with a 23% growth on the top line and a strong healthy EBITDA margin reiterates our aspiration to the 2X-3Y vision.

With this, I would like to hand it back to the operator so that we can take the questions.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Ronak Chheda from Awriga Capital. Please go ahead.

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Ronak Chheda: My question was on the CPCB norms. How difficult it would be for the smaller companies to transition to the new norms? And would this in a medium to long term differentiate the large companies with the smaller ones in the sector?

Rahul Sahai: Ronak, this is Rahul Sahai, I am the CEO for the B2B businesses. Power gen, industrial, and aftermarket are the key areas I work on. Your question was essentially CPCB-IV plus which kicks in from 1st July factory out, and essentially after December end, there is no liquidation of CPCB-II inventory that can happen. That was the question. And you asked around how easy or

difficult is it for smaller companies to prepare or ensure their readiness for the compliance. At this point, Ronak, I am not sure if I can necessarily answer for the others. But what I can certainly say is for Kirloskar Oil Engines, CPCB-IV plus is something that is very clearly on our radar, and we are geared pretty well for it. We have always relied on an in-house R&D. And that's actually the good news for us because we have focused on internal development and intimately know the products extremely well. So, when it comes to emission compliances, we have managed them efficiently in the past, and we will continue to do so even for CPCB-IV plus.

Ronak Chheda: My question was more from the tech gives the companies like us an edge over the smaller players?

Rahul Sahai: What I would say is that clearly, organizations like Kirloskar Oil Engines, where the R&D is in-house and they are not reliant on other engineering vendors or support, I think there is a clear competitive advantage and which is why this augurs really well for us.

Ronak Chheda: My second question is on the pre-buying which usually happens when transitions come in place for the industry. What is your sense on the pre-buy demand? Will it come? And is the supply chain equipped for the kind of demand which pre-buy can happen?

Rahul Sahai: We are clearly expecting a pre-buy to take place. Given the cost of aftertreatment, the prices to the end customers are going to go up. So, a pre-buy is evident. We are expecting a quarter's worth of pre-buy or 3 to 4 months' worth of pre-buy to take place. And over the next few months, there might be some demand normalization in this happening. But, at this point, we are calibrating all the numbers and we should be geared well for it.

Ronak Chheda: Our current capacity would be enough to cater to this demand? That is what you are indicating, sir?

Rahul Sahai: That is correct. Because what we have seen is that at a fairly granular level that we have looked at it, things seem to be on track. And our current supplier capacities are good enough to help us sail through the pre-buy season.

Moderator: The next question is from the line of Falguni Dutta from Jet Age Securities. Please go ahead.

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Falguni Dutta: Sir, I have 2 questions. One is on what was the volume growth in engines YoY?

Anurag Bhagania: When you talk about volume growth, you should remember that there is a lot of subsegment level information that we are talking about. And you have to measure it really at each product category level. Right now, at a very superficial level at an organizational level, if you really ask me, 6% to 7% is really the volume growth

growth that we are seeing at this moment. There is a significant amount of inflation that is also driving it in terms of the overall sales growth. But 7%

would be right to say in terms of the current mix that we have.

Falguni Dutta: And sir, what would be the absolute number of engines sold during the quarter?

Anurag Bhagania: Sorry, we don't go to that level of detail, and I would like to restrict my response on that one. If you prefer to still have this information, we can probably discuss it offline but absolutely not in the public domain.

Falguni Dutta: Or sir, if you can give us the capacity utilization?

Anurag Bhagania: Unfortunately, these are not numbers that we disclose in the public domain. I would like to refrain from sharing that on a wide call, but very empirically speaking, you look at the financial performance. Where we were in the last quarter versus where we are today. There is obvious relationship that we can establish. Clearly, there is improvement in the capacity utilization. We have not built any further capacities. That definitely is the trend that we are seeing.

Moderator: The next question is from the line of Asha Rawal from Subhkam Ventures. Please go ahead.

Asha Rawal: Ma'am, again, my question is on the CPCB. It's regarding, what is your strategy for the diesel engines going forward after looking at the CPCB norms and other pollution kind of things?

Rahul Sahai: What I would say is that at a very high level, each of these norms are essentially an opportunity for companies that have prepared well to ring-fence our businesses. Strategically, this bodes well for us. Having said that, beyond that, from a strategy standpoint, I may not be able to comment at this stage.

Asha Rawal: And my second question is on the farm mechanization side. Will you be able to tell me what is the EBITDA margin for the current quarter for this?

Aseem Srivastav: I am Aseem Srivastav, CEO of B2C business. Farm mechanization is a new baby that we have had for the last few years, and we are working on various initiatives to increase sales like what Gauri said about deepening and widening. We are also going into the export market. Right now, we will not be able to tell you much about the EBITDA margin on this.

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Asha Rawal: Right now, you are not able to tell me the margin. Can we expect in the near term, any time

frame can you give us? At what time frame we can see a sustainable margin from this segment?

Any time line if you are able to provide me?

Aseem Srivastav: I think next year, you will see improvement in this on the margin side.

Asha Rawal: And then the second thing is, as you mentioned, the unseasonal rains and all these impacted farm mechanism and kind of things like tractors and other sales and pumps also, right? What is the demand right now as we can see the Rabi crop is already done?

Aseem Srivastav: This year was a little unusual because the rain was rampant and very heavy in some pockets also it got extended till October. So, across the regions, both in farm mechanization and WMS or water management or the pumps side, we have less demand. But we are seeing that demand picking up in November, and we are confident that going forward in the next few months, a normal demand will come back.

Moderator: The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund.

Please go ahead.

Renjith Sivaram: When I look at your export, as you have shown in the PPT, it has shown a growth from Rs. 75 crores to Rs. 141 crores. Out of this, how much is due to the rupee-dollar depreciation? Because that would have played a major part in terms of the value growth. And also, if you can throw some more light on the last analyst meet, you were explaining certain geographies where you are targeting. Which all are the new geographies or new touch points which we were able to add and how that will enable

us in the 2X-3Y strategy? Because that is largely going to be driven by exports.

Anurag Bhagania: Renjith, you can straight away correlate it to the currency fluctuations. I think in the range of 10% to 12%, depending upon different geographies, is what is the currency impact on the overall export numbers. And I would also like to invite Rahul here. Maybe he can talk a little bit about where we are growing in the geographies that we are looking at.

Rahul Sahai: Renjith, if you look at our export business, we are focused pretty heavily on the Middle East.

There is a lot of interest from North America and Northern Africa and South Africa as well.

Those are the key markets for us and we are fairly focused on that as we move along. Strategically speaking, I won't be able to comment on this call. But I can assure that there are thought processes at play and we are figuring our growth strategy for international markets as well.

Renjith Sivaram: Is it that we supply these engines and there are OEMs in these geographies who fit these alternators and sell it as a genset or we have some arrangement with a third party where we fit the whole canopy and everything and sell it as a power genset? How does this work? Because in Kirloskar Oil Engines Limited

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India, it's OEM way. In these geographies, how does the transaction happen? Because for Cummins, they sell the whole genset as an export for LHP. Is that strategy we follow or we follow the OEM strategy? Just to get some idea, how are you going to create these touch points for future growth?

Gauri Kirloskar: That's a great question and is actually very relevant to the strategy that we decide and it changes country by country. For example, if you look at our South Africa market, we supply engines for a very particular application in the mining space and that is where we are the market leaders. In the Middle East, we are focused on, at the moment, firefighting pump sets. We supply engines for firefighting pump sets. In South Africa, we work straight with the customers through a distributor; in the Middle East, we work with OEMs; in the US, we are selling engines for gensets and for G-Drive engines, it's a different strategy. So, it depends on which market we are in, what is the potential that we see in the market, and whether it is in the power gen space or whether it is in the industrial space. There will be a difference in how we approach the market. There is no sort of blanket strategy that would apply to every market.

Renjith Sivaram: Do we sell them as KOEL brand only? There is no white labeling in any of these?

Rahul Sahai: As KOEL brand.

Moderator: The next question is from the line of Sandeep Tulsian from JM Financial. Please go ahead.

Sandeep Tulsian: My first question is pertaining to this 2X-3Y strategy that we have put up. I just wanted to understand how do you foresee the revenue mix changing over the next 3 years from where it is currently?

Rahul Sahai: I'll talk about 3 things. 1) The first thing is CP CB-IV plus where there is a lot of content addition happening apart from the genset. There is the entire aftertreatment system that is coming in. And that's a big chunk of the power gen business that we do today. 2) All the growth opportunities on the international side. We continue to stay focused, and we are evaluating all models of growth and how do we establish a larger footprint globally. 3) If you look at our aftermarket business, the way we see where we are versus the entitlement, there is a significant opportunity for growth on the aftermarket side, which will drive the profitability. So, if you were to ask me what are the top 3 levers, those will be the top 3 areas that I talked about.

Aseem Srivastav: On the B2C side also, currently, our export for pumps is almost negligible from KOEL side, and that is one focus area. The same market that Gauri mentioned for engines is al

so available for pumps. Similarly, what we have found on farm mechanization in the export market in Africa is available where we have already supplied some and that will be our main driver. In domestic, currently, with deepening and widening, we are confident that we will be able to increase our market share. These are the 2 levers that we will use in B2C to go to our vision of 2X-3Y.

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Sandeep Tulsian: Second question is pertaining to the agri segment, both electric pumps and the farm mechanization what we report separately for consolidated entity. We have seen the margins which were in the negative zone for 2-3 quarters and they had kind of flipped over to positive territory in the last quarter. But this quarter, again, we have seen a loss. So, exactly what is the concern here? If you could explain why have we gone back into losses? How do we see the margins improving going forward in these segments?

Anurag Bhagania: Sandeep, this is such a small segment. I think it should really be seen as we are incubating our business. I think we should realize the fact that as we are growing....

Aseem Srivastav: If you see the farm mechanization side, that is our new business. There, definitely what you are saying is correct. If you come to the pump business, we have made good margins in the last quarter also and this quarter also. And this quarter, despite so less demand and where many companies are struggling, we have made money. And I believe this will continue on the pump side for the next 2 quarters also.

Sandeep Tulsian: For the consol entity as far as the numbers that I have, pumps has a negative Rs. 3 crore EBIT. That is where the question was actually focused on.

Aseem Srivastav: On the consol side if you see, LGM is also included. LGM is a different story. There, we have a lot of fixed costs, and we are now working on deepening and widening. And this quarter and next quarter, we will be back to where we were in Q1.

Sandeep Tulsian: So, by next quarter, your margins should go back to Q1 level is what you are saying in LGM?

Aseem Srivastav: Yes.

Sandeep Tulsian: Next question was pertaining to the margins that we have done in the engines segment. I appreciate there is some operating leverage benefit also we would have seen, but is there any particular mix benefit or the sudden demand jump that we are seeing is causing some shortages of gensets because of the semiconductor issue is giving some favorable benefits to manufacturers, which you think can get rolled back in coming quarters? Or do you think this 10% plus margin is more or less a sustainable margin going forward in engines?

Rahul Sahai: I would say this is fairly sustainable. And I spoke a little bit about our focus on the aftermarket as well. So, I think we will continue to see some improvements as well.

Sandeep Tulsian: And lastly, on the new businesses that we have spoken about in a lot of previous calls; in pipes, cables, motors, and the waste management businesses that we get into. Any update in terms of revenue ramp-up that we have done in the past quarter? How do we foresee these businesses becoming a part of the total revenue? Do they start reporting any material number by FY24 if you could give some color on that as well?

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Rahul Sahai: Many of these businesses are still in incubation stage. For example, if I look at electric motors, that is something where we are actively developing the product portfolio and trying to expand our presence, but I would still call it an incubation product. When it comes to products like organic waste composter, that is more a part of our ESG strategy rather than actively growing big numbers there. That is what I would say.

Sandeep Tulsian: And for the pipes and cables part?

Aseem Srivastav: Pipes and cables also actually is a new business

that we are into. And what we have done now

is we are using our existing channel of LGM and also WMS to sell pipes and cables. We are confident this business is more of a backward integration for us. Going forward, each of our

pumps will go with our pipes and cables. By next year, this business will be far stable than what it is today.

Sandeep Tulsian: But if I were to look at, say 2 years down the line or 3 years down the line, for motors as well as

for these pipes and cables, by when can it move out of this incubation stage and actually start delivering some external sales?

Rahul Sahai: From electric motors, what we are trying to look at right now is just building a portfolio. A

couple of years down the line, we would expect it to become material.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go

ahead.

Bharat Sheth: On the CPCB norms IV, we said that we have a large opportunity in the export market and where we have to work a lot on the strategy as well as the product and distribution. How big is the opportunity, particularly in the developed market like the USA which we referred to during the Analyst Day? And what are we really doing there to grow this business in the US market?

Gauri Kirloskar: Coming back to what you said about the norms, there is something that has changed for us and

I just want to articulate that. Emission norms have happened in the past in India, but the emission norms that happened were never on par with the countries across the world, which had more advanced emission norms. And as a company that had primarily domestic sales, we never invested in developing a product for global markets if we could not sell it in India. What has changed today is with CPCB-IV coming up or even BS-V coming up 2 years from today, our product which is made for the Indian market actually becomes something that we can sell in all international markets because it is on par with the most stringent diesel norms across the world. That's why I am saying that today we are at a position or a time where we have this unique opportunity in front of us. And in line with that, we will start and we have already started looking at these advanced emission norm markets, whether it is Europe or the US, and in building our sales and service strategy there.

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Bharat Sheth: What stage are we at? Of course, the product will be launched sometime in July 2023. On the scale of say 10, where do we stand today?

Rahul Sahai: I don't think I will be able to comment on a scale of 10. What I can say is that our plan is on track.

Bharat Sheth: Mr. Sahai, you talk about growing the aftermarket. And I believe we have a huge ambition of growing at a much faster pace than the rest of the business. Can you give a little more color what are we doing for aftermarket growth?

Rahul Sahai: If you were to look at historically, our business has been growing, roughly give or take if you look at the asset base growing at about 10%. And if you look at the aftermarket revenues, they have been lagging behind. The growth rate has been much lower. So, what we are clearly looking at is how do we enhance our Service Solutions business, how do we create more customer lock-ins and really engage with our customers beyond the warranty period and thereby enhancing our aftermarket business as well. There is a much larger focus on the aftermarket. Given where we are, I am pretty confident that going forward, we will be able to grow this substantially.

Bharat Sheth: And last question, Gauri, on.... we were talking of creating a partnership for technology tie-up for 1,500 plus kind of KVA business. Where do we stand and how do we want to enter into that market?

Gauri Kirloskar: As I detailed in my strategy for addressing the high horsepower space, which is a space which is growing, we will follow a buy, build,

or borrow strategy. Whether we do it in-house or whether we talk to people outside and go into a collaboration, these are the kinds of things that we are

looking at. At this stage, it is far too premature and preliminary for me to comment on which relationships are being built with whom, but we will certainly keep you updated when there is something definite to tell you.

Moderator: The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: I have 2-3 questions; first, on CPCB-IV. While you have discussed quite a bit in terms of some of the implications and focus on aftertreatment, et c., since there is a significant cost implication to the consumer, in your view, what could be the impact in terms of consolidation of the nodes in the given segments in which they will be launched? And what is KOEL's preparedness to introduce alternate fuel products here?

Rahul Sahai: At this point, what I would say is, and it varies by node, but roughly, if you had to look at the numbers, the addition of aftertreatment raises the cost by roughly from 25% to 40-odd percent. That is the range that I would talk about. And what was the other question that you had asked?

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Renu Baid: Given that there is a significant cost implication, in your view, which nodes or which particular segment or HP range you think there could be consolidation of the end market? The ratings of the gensets.

Rahul Sahai: You mean consolidation in terms of ratings consolidated?

Renu Baid: Yes, certain ratings which you think may not become viable anymore. Customers may switch to higher size gensets because of the cost implications or there would probably be a merger of ratings of the gensets based on the applications?

Rahul Sahai: At the moment, we don't really see that. There might be specific engine models where there are minor changes. It is quite possible that like-to-like engine platforms may not be there. So, there might be some changes that happen there. But beyond that, we are not expecting major changes in the ratings. Because from a customer standpoint, the power requirements remain consistent. So we don't see too much of a change there.

Renu Baid: Also, related to this, do you think because of this kind of cost implication, some of the alternate fuel products which earlier were not very attractive to the end customer, now, because not just

the capital cost but the operating costs will also increase for consumers, the market for some of the alternate fuel products will open up? And if so, what is KOEL's preparedness to introduce such products in the market?

Rahul Sahai: If I look at alternate fuels, let me just segregate one point that we are an internal combustion company for the large part. And if it means alternate fuels, then alternate fuels also require a way to extract the energy off it. If you have been tracking our product launches, you would have noticed that we have been launching a whole bunch of gas gensets and we have commissioned an ethanol-based genset recently. We have a wide variety of fuels that we are working with. In

fact, we launched the dual-fuel kit where we are creating retrofit options for customers, where you can look at anywhere between, say, 30% to 50% substitution of gas and run existing DG sets. If you were to see what kind of fuels and alternate technologies we are dealing with, as Kirloskar Oil Engines, we actually have a large gamut of it. We do believe that internal combustion is here to stay.

Gauri Kirloskar: And the only one point I would add to that is, it's not only the cost but also the fuel availability that will determine which way the customer goes. We can keep that in mind as well.

Renu Baid: And if you look at the LHP segment of the market, there has been a concern that that segment would be extremely susceptible and will eventually pick up a battery or some o

f the alternate

options and probably will move away from a diesel-based backup. And KOEL has a significant exposure to 125 kV and below segment of the market. So, how should we look at the possible implications on this segment and potential disruption in the market?

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Rahul Sahai: What I can say is that we aren't seeing too much of that today. In fact, a large chunk of our growth is coming from 15 to 30 kVA. There is a lot of growth in those markets. Strategically, over the longer term, we are constantly evaluating this, but we are not seeing battery or energy storage devices replacing the smaller gensets; we are not seeing that.

Renu Baid: One last question related to CPCB-IV which you did mention that aftermarket is a great opportunity. What kind of investments we are targeting to ensure that we get a better pull-through from the electronic based engine platform under CPCB-IV? Also, the distribution related revenue stream from the maintenance of the SPR, etc., would be significant. Any investments or CapEx that you have planned to maximize these opportunities?

Rahul Sahai: I can't give out the specific details here, but what I can say is that clearly, there is an opportunity for service getting more "proprietary" with the electronic fuel injection systems and the after treatment systems coming into play. And we are looking at the infrastructure necessary to service

these products, whether it includes repair systems or whether it requires us to look at electronic fuel injection calibration stands at the channel partners. Those are the things that we are looking at, but I won't be in a position to give out further details at this point.

Renu Baid: One last question. Broadly, apart from the diesel genset and CPCB-IV related market, can you share how has the business outlook been for the construction equipment space? Especially after the implementation of CVB BS-IV. Has the volume uptick now back in the market? And the broader outlook of the company for the industrial segment as such?

Rahul Sahai: On the industrial side, we have actually seen a fairly strong uptick from our OEMs, especially if you look at, after the implementation of BS-IV, a lot of our 110 HP products have seen a lot of demand growth. We continue to see a lot of traction on the industrial side of the business and we are hoping for that to continue. So that's the expectation.

Moderator: The next question is from the line of Kunal from B&K Securities. Please go ahead.

Kunal: My question is pertaining to CPCB-IV. Sir, could you give us some sense of what kind of cost increase would you entail in the product because of the new CPCB-IV?

Rahul Sahai: What we are looking at.... and this varies by node, but we are looking at roughly about a 25% to 40% cost increase.

Kunal: Sir, my second question is for clarification. CPCB-IV, the dealers will be allowed to sell till what time? October, November, December? Basically, the manufacturing cannot be done post July is what I understand. Right?

Rahul Sahai: Yes. 1st July, shipments from the manufacturing unit kind of stop. So, CPCB-IV compliant engines and gensets need to be shipped from 1st July. And until December, we are allowed to

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have inventory in the channel. So, essentially, post December is where CPCB-IV plus compliant gensets can be shipped out from the channel.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Gauri Kirloskar: Thank you very much for your interest in joining the call. We look forward to seeing you next time. Thank you.

Moderator: Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference call.

Thank you for joining us, and you may now disconnect your lines.

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his document, particularly those which relate to management's views and analysis, describing the Company's objectives, projections, estimates and expectations may constitute "forward looking statements" within the meaning of applicable laws and regulations. Actual results may differ materially from those anticipated in the forward-looking statements. The company assumes no obligation to update forward-looking statements to reflect actual results, changed assumptions or other factors.

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. Q3 FY '23 Earnings Conference Call"
February 10, 2023

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR –
KIRLOSKAR OIL ENGINES LIMITED
MR. ANURAG BHAGANIA – CHIEF FINANCIAL OFFICER
- KIRLOSKAR OIL ENGINES LIMITED
MR. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER –
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MR. ASEEM SRIVASTAV – CHIEF EXECUTIVE OFFICER
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MS. SMITA RAICHURKAR – COMPANY SECRETARY -
KIRLOSKAR OIL ENGINES LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER -
ARKA FINCAP - KIRLOSKAR OIL ENGINES LIMITED

MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day and welcome to the Kirloskar Oil Engines Limited Q3 FY '23 Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah. Thank you and over to you.

Amit Shah: Thank you, Mike. Good afternoon, everyone. I welcome you all to Q3 FY '23 Earnings Call of Kirloskar Oil Engines Limited. To discuss the result, from the management we have today; Ms. Gauri Kirloskar, Managing Director of the company; and Mr. Anurag Bhagania, CFO of the company.

I will hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which, we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Thank you, Amit. Good evening. This is Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining the call today. Present with me on this call is; Anurag Bhagania, CFO of KOEL; Rahul Sahai, CEO of B2B; Aseem Srivastava, CEO of B2C; Smita Raichurkar, Company Secretary; and Amit Gupta, CFO of Arka Fincap.

I will start with an overall business update and Anurag will update you about the financial performance. Q3 has been a strong quarter for Kirloskar Oil Engines with a 20% increase in revenue for the quarter wherein year-to-date revenue increased by 28%. When it comes to the strong results of the quarter that went by, I cannot discount the strong demand that we saw in the market, but our teams did a stellar effort in converting the demand to numbers. It is always challenging to do so and I would not say that the supply chain constraints are fully resolved, but we managed our execution well, despite the constraints.

At a stand-alone level, we delivered a top line of INR 1,000 crores for the quarter, which is a 20% growth year-on-year and on a year-to-date level, we grew around 28% from INR 2,310 crores to INR 2,964 crores. Our focus on profitability continues. Our EBITDA rose to INR 108.9 crores from INR 50.7 crores that is an increase of 115%.

I am satisfied to see the reflection of our efforts on profitability showing in the numbers. It is a combination of our efforts around active management of raw material price fluctuations, product mix management and volume leverages.

At a consolidated level, at year-to-date our revenues from operations saw a 28% increase from INR 2,840 crores to INR 3,640 crores. For the same period, our year-on-year net profit grew from INR 103 crores to INR

252.7 crores that is a growth of 145%. Exports is an area that is a focus for the organization and I had called it out as a growth driver in our 2X-3Y strategy.
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Exports grew around 35% year-on-year. This is encouraging for us and we will continue our focus here. Anurag will cover the financials in much more detail later. We have recently completed the acquisition of LGM and it is now a 100% subsidiary of Kirloskar Oil Engines. We are now focused on bringing in our leadership and management practices into this organization and I'm very excited about LGM.

We have a lot of work to do there. We are working on plant consolidation and creating a world-class manufacturing facility that has the capability to build world-class products both for domestic and global markets.

Aseem and his team have a clear strategy in place and I'm sure that our efforts both on the front end with deepening and widening and on the back end will yield results in the near future. Our LGM business recorded INR 128 crores of revenue for the quarter and INR

427 crores on a year-

to-date basis. On a year-to-date basis, the revenue is up 4% year-on-year.

Continued efforts on pricing and better product mix management has resulted in significant improvements in margins and our EBITDA has turned positive 5% compared to a marginal loss in the same quarter of the prior year. In my conversations over the last couple of quarters, I have been talking of some of the work that we have been doing internally within the organization around our strategy, the new structures and leadership.

We have been continuing in this journey of transformation and the team is continuing to deliver strong results through this. One of the very first things that we did as part of this company-wide transformation effort is to look at our organization to see whether we are adequately structured to deliver the growth ambitions that we have. We have actively worked on this and have made some changes to our business structures and some of it has translated into changes in our segmental reporting.

Broadly speaking, Kirloskar Oil Engines has 3 main business verticals, the B2B businesses, which focus on internal combustion engines and related businesses, our B2C businesses, which focus on water management solutions and agri-related businesses and the financial services segment is the third.

We acknowledge the fundamental differences in these segments and felt that it is important to structure the organization accordingly and bring in leadership who are experts in these segments. With this thought, Rahul is leading the B2B segment, Aseem the B2C segment and the Arka team financial services is under Vimal Bhandari. Each one of these leaders are from their respective industries and they bring on to the table expertise and leadership for these segments.

With these internal changes, it is important that we report our business as per these segments.

Looking at the performance of these segments. The B2B segment clocked a revenue of INR 873 crores marking 23% growth year-on-year. The B2C segment revenue was INR 251 crores marking almost the same level year-on-year. Financial services booked revenue of INR 97 crores, which is 80% up year-on-year. As far as the immediate future is concerned, CPCB4+

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emission standards are kicking in from July of this year and that is where the whole organization is focused.

For us, this is a change that will touch our entire ecosystem both internally and externally from the product to manufacturing to selling to aftermarket, which calls for significant changes. We are fully geared up for this and our entire organization is fully focused on this and we are excited to be part of this change as we believe that it will play a significant role in the nation's efforts around solution and clean technology.

For the long term, we will continue with our journey of business transformation on the 2X-3Y strategy. We know our growth pillars and the key projects that we have to focus on. We are clear on the what, who and how and we will execute as per the plans that we have.

We do anticipate slowdown in export markets due to the muted growth signals in many international markets, but we know our focus areas in exports and we are confident of continued growth in exports. I am very bullish about the domestic market, I'm confident of the India growth story and we are proud to be part of that growth story by being a provider of energy solutions for customers across sectors. Recently we launched a campaign that encapsulates who we are, which goes by the tagline, may the power always be with you. And I truly believe that it was, is and will be the way that Kirloskar Oil Engines plays familiar with our customers.

I would like to hand over the call to Anurag to take you through the financial performance in detail.

Anurag Bhagania: Good afternoon, everyone. Thank you, Gauri. With all the business up

dates done, I will now

quickly run through the financial performance for this quarter. I would first like to reiterate that this quarter performance reflects our sustained execution capabilities to deliver on the market

demand and maintain a positive momentum towards double-digit EBITDA.

This has been a good quarter for us. This is the second quarter in a row that we've delivered over

INR 1,000 crores in top line for the operations. Now coming to the stand-alone sales

performance. If you really go through the presentation that we've uploaded on our website, you

will notice that we've now aligned our sales performance reporting in line with the B2B, B2C

segment reporting that Gauri just explained. So now coming to the B2B segment. We witnessed 21% growth in terms of year-on-year sales. All the product lines inside B2B witnessed with

double-digit growth year-on-year.

Our international business grew almost 35% year-on-year and power generation grew 23% year-

on-year. Those were largely the major contributors in our B2B side. The B2C segment on a stand-alone basis registered 9%

growth year-on-year. The water management system business

was relatively flat for the quarter compared to last year, but our FMS business actually grew

50% year-on-year.

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So that's the high level stand-alone revenue performance. Now looking at the performance

details for our stand-alone results. Revenue from operations INR 1,000.1 crores for Q3 FY '23

versus INR 836.9 crores for Q3 FY '22, which is a 20% increase year-on-year. EBITDA stood at INR 108.9 crores for Q3 FY

'23 versus INR 50.7 crores for Q3 FY '22, which is 115% increase

year-on-year. EBITDA margins are double digit at 10.9% for Q3 FY '23 versus 6.1% for the same quarter prior year, which is approximately a 500 bps improvement.

Net profit stood at INR 68.2 crores versus INR 25.3 crores for the same quarter last year, which

is 170% increase year-on-year. On a YTD basis, revenue from operations was INR 2,963.5

crores for the financial year '23 versus INR 2,309 crores for the financial year '22, which is a 28% increase year-on-year.

EBITDA stood at INR 327.8 crores YTD versus INR 166.2 crores YTD prior year, which is a

97% increase year-on-year. EBITDA margin was a healthy 11.1% for FY '23 YTD versus 7.2% in the prior period. This again

a 400 bps improvement on a YTD basis. Net profit stood at INR

205 crores, for the current financial YTD basis versus INR 88.4 crores reflecting a jump of 132% year-on-year on a YTD

basis. We continue to remain very healthy on net working capital. Our

working capital cycles are about 19 days and our net cash position, which is our strength, is well over INR 200 crores.

Now coming to the consolidated performance for the quarter. Revenue from operations stood at

INR 1,220.4 crores versus INR 1,017.8 crores, which is again a 20% increase year-on-year. Net

profit at INR 88.2 crores versus INR 29.1 crores for the same quarter last year reflects a 203%

increase year-on-year.

On a YTD basis, again revenue grew 28% consolidated level and profit grew 145% at a

consolidated level. Let us now have a look at our segment performance and also reflecting that what Gauri earlier described.

Our B2B segment with INR 873 crores revenue for the quarter

grew at 23% with a segment margin of around 11%.

The B2C segment revenue for the quarter stood at INR 251 crores, which is almost the same

level as last year, but with margin turning positive with about INR 4 crores contribution. The

financial services business at INR 97 crores is almost 80% growth over last year. So to sum it

up, I would like to reinforce our focus on the 2x-3Y strategy that we've been talking about. With

this quarter's performance of 20% top line and about 11% EBITDA performance, I believe we are working to deliver to our strategic growth plan.

With this, I conclude on the financial updates. We will

now open it up for the Q&As.

Moderator: We have the first question from the line of Mohit Kumar from DAM Capital.

Mohit Kumar: Sir, my first question is on the EBITDA performance in the quarter. Of course there's slightly softness in QoQ and I understand that...

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Moderator: Sorry to interrupt you, Mr. Mohit Kumar. Your voice is not very clear. Request you to go off your speaker phone.

Mohit Kumar: And congratulations on a very good quarter. My first question on the EBITDA. EBITDA margins has some softness QoQ. I understand that the commodity prices have been declining.

So what could explain the softness quarter-on-quarter? Is it the product mix or...?

Anurag Bhagania: Yes. So largely the EBITDA is slightly softer compared to previous quarter. We see about 20 bps to 30 bps versus the last quarter and this is because of primarily 2 reasons. One of course is the mix impact, the mix leading to some kind of raw material sales price marginally increasing. But it is also because of the increase in our employee salaries and welfare related cost, which you can see in the financials. We are building the organization for the 2X-3Y that we keep talking about and you will continue to see that cost increase as we go forward.

Rahul Sahai: This is Rahul. I just want to add to that on the mix that Anurag was talking about. If you look at our 3 levers that improve our profitability, the 3 levers are international growth, HHP and aftermarket. And if you look at the last quarter, there has been a substantial growth in each of these businesses and as a result, the positive mix that Anurag was talking about has had a big role to play here.

Mohit Kumar: Understood, sir. Secondly, how much of our revenue broadly has exposure to CPCB4 now and where are we in journey of developing that product? And what could be possible in price hike we need to take to protect our margins?

Rahul Sahai: So this is Rahul. Approximately 38% of our business has exposure to CPCB4+ and we are at the moment doing everything to ensure that we are in compliance with the norms as per the stated timelines and running the due diligence as far as our DVP&R cycles are concerned. Can you just repeat the second part of your question?

Mohit Kumar: Sir, my second question was how much do you think the hike needs to be taken on the product side to protect our margins?

Rahul Sahai: So at this moment I won't get into a specific number, but a general range of 25% to 40%-odd is something that can be expected. But we are looking at that and the multiple calculations that we are doing in the back end right now so I can't give a specific number at this moment.

Moderator: We have the next question from the line of Renjith Sivaram from Mahindra Mutual Fund.

Renjith Sivaram: Congrats on good set of numbers. So couple of things. When I look at it, the EBITDA margin has kind of softened compared to last quarter. So is there anything in terms of price reduction or is it largely to do with your overall mix?

Anurag Bhagania: So thank you for that question. I think I just answered that same question earlier. There's a marginal EBITDA reduction versus the previous quarter. There is no price reduction at all. It's

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just largely the small mix changes that you see quarter-on-quarter coupled with certain investments that we are making on people.

Renjith Sivaram: And sir, from one of your competitors, they have also mentioned that data center is seeing a huge demand. So do we also supply gensets for data center market or do we have any strategy to explore that? Just to get some because that's one of the largest growing market in your segment in the high horsepower.

Rahul Sahai: This is Rahul. So if you look at the datacenter segment, most of it is the demand is coming from 500 KVA upwards. Now wherever we

have our products in those segments, we are seeing an uptake there and we do have thought processes on how to look at that segment, but it is something that I can't share at this moment. There is a lot of activity in the works. But rest assured, we're not ignoring that segment.

Renjith Sivaram: And sir, lastly the CPCB4+ norms are coming so have we tested and made our product ready to market in all our nodes or is there some percentage pending in terms of...

Moderator: Mr. Sivaram, your audio is not very clear.

Renjith Sivaram: Yes. So just regarding the CPCB4+, are we ready with the products which have been tested and ready to go to market in that or is some testing still pending?

Rahul Sahai: So what I can say is that we will be ready by the defined timelines and see, emission compliance are not new for our business. We have been doing it for a while.

Renjith Sivaram: Okay. And we hear from the competition that there can be a 30% north of price increases post that. Is that right?

Rahul Sahai: So what we anticipate is anything upwards of 25% to 40%-odd. But at this point I can't give a clear number, but there will certainly be an increase because of the scope change.

Moderator: We have the next question from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: B2C business has remained flat on quarter-on-quarter basis and on a Y-o-Y basis so why this flatness?

Aseem Srivastava: This is Aseem here. So if you see, Q3 we're normally be very different for pump business and this time there was extended rain and also the GST change was there. Because of that, the pump business in Q3 has suffered. But in our case if you see, we are flat. Some of the other companies have actually gone down.

Mahesh Bendre: Okay. And sir, for B2C business, what is the mix of this? Is the entire thing is pump or there are some other products as well?
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Aseem Srivastava: So as Gauri said, pump and then farm mechanization. So pump and allied products and farm mechanization. That is the mix we have.

Mahesh Bendre: So how much will be pump approximately?

Aseem Srivastava: So the specific details I can't give right now.

Mahesh Bendre: Sure. And sir, in terms of profitability, we have shown a profit at EBIT level. So do you think this momentum will continue going forward?

Aseem Srivastava: Yes. So all the initiatives that Gauri mentioned, we have taken those initiatives and that has resulted in this and the momentum will continue.

Moderator: We have the next question from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: Sir, my question was regarding how do we see our FY '24 and '25 planning? Like we have been on a very good growth journey. So our strategy of 2x in 3 years in terms of revenue so we're targeting -- sorry, I'm a bit new to the company so I got a basic question. So the 2X-3Y strategy is that you want to double our revenue in 3 years and what sort of margins would we expect at that point of time?

Anurag Bhargava: So our strategy is very clearly laid out and has been repeated on multiple previous calls. Gauri talks about 2X-3Y strategy and doubling our double-digit EBITDA over the 3-year period, which is built upon driving significant improvement on customer delight and becoming an employer of choice.

That is the large vision that we've laid out and it is pretty clearly communicated over calls. If you see, our expectation is really that we will continue to outgrow the market and that is really what we can talk about right now. As you hear from us quarter-on-quarter, you will have to make those assessments based on the performance that we are delivering. Forward-looking statements is not something that we'd like to give.

Darshil Jhaveri: So another question regarding our B2C profitability. So what we are aimed for the -- because that is dragging down our profitability. So anything what

at we are targeting for B2C revenues?

Aseem Srivastava: So this is Aseem here again. If you see the performance of B2C in Q3 is better and from negative we have come positive and that momentum will continue like that.

Moderator: We have the next question from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: Sir, my first question is on our engine side business. So currently we are operating at what level and what kind of room still we have?

Gauri Kirloskar: Can you explain your question better? Are you speaking about capacities or something else?

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Bharat Sheth: Capacity, ma'am.

Rahul Sahai: So this is Rahul. See some capacity standpoint, we have a fairly elaborate manufacturing footprint at Kargil and we also have a plant at Nashik where we are looking to expand our capacities further. So at the moment, we don't see any capacity constraints as we go ahead into the next year.

Bharat Sheth: Sir, my question is what level we are operating? Because in say last year it was around, say, 55%. So currently we are operating at what level?

Rahul Sahai: See, we operate at about 60%-odd of our capacities. But I mean what I would say is that at a larger level, we don't see any capacity constraints as such.

Bharat Sheth: I'm not asking your capacity constraint. Still if we are operating at 60% and you are saying that we are further expanding so what reading can we get from that and what kind of operating leverage do we have in this engine business?

Rahul Sahai: To which I answered.

Bharat Sheth: No. You said 60% but we are expanding. So if still we are expanding at 60% to 65%, why we are expanding? My question is that.

Rahul Sahai: See, we are not expanding our capacity or manufacturing...

Bharat Sheth: Sorry. Okay. My mistake. I heard that we are expanding.

Gauri Kirloskar: So we are not expanding our manufacturing capacity. Perhaps you thought that when I said 2X-3Y. What we mean by that is that we will grow our top line. We don't need to...

Bharat Sheth: So Gauri, then second question is that what kind of operating leverage say if we...

Moderator: Sorry to interrupt. The line for the management has dropped. Please stay connected as we reconnect the management. Over to you, ma'am.

Gauri Kirloskar: So just in response to the last question, I just want to make clear that we are not expanding our

manufacturing capacity. When we say 2X-3Y, it means that we are taking on the ambition of doubling our top line in 3 years and to achieve this, we do not see any significant capacity enhancements required. Bharat Sheth: Gauri, great. So my question is related to that only. Since we are operating at still around 60%, 65% so once I mean growing top line and further utilization, what kind of operating leverage do we have? Operating leverage in the sense that what kind of civil or other expenses will remain at almost a little static level vis-a-vis the growth in sales will be much more than other expenses growth?

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Anurag Bhagania: You're absolutely right, Bharat. I think because we are not going to be making any significant capacity enhancements, you can expect that there will be better return and better operating leverage. The growth will result into higher margin and that will flow in to the bottom line. That will only marginally get impacted by additional investments that we will make on expanding our operations through our 2X-3Y strategy.

Bharat Sheth: Sir, is it possible to give some colour on the quantification? Is it possible?

Anurag Bhagania: I think it is early and it will not be possible to quantify that through the numbers. The focus right now is on driving top line growth as we talked about the 2X-3Y and improving our margins to double digits. That is the ambition that we are all driving towards.

Bharat Sheth: Okay

. Now coming back to the CPCB4+ norms so where we understand that earlier when CPCB4 norm changed, it was more of a mechanization rather than electronics. But this CPCB4 norms require lot of electronics component. So how in this challenging situation where the electronic component availability is bit problematic so how do we plan to have a proper supply chain management so in case of demand, we should be able to meet the demand fully?

Rahul Sahai: This is Rahul. So from a supply chain standpoint, we don't foresee any major challenges because bulk of our supply chain is localized in India. So unlike a lot of our competition, our supply chain and our suppliers are largely based out of India and most of the volumes are actually tied down. So we don't foresee any major supply chain disruptions there.

Bharat Sheth: And last, we were taking lot of initiative to penetrate in U.S. market. So what stage we are and how we expect that US market growth -- not US, but developed markets, sorry, Europe and USA?

Rahul Sahai: So the U.S. market actually behaves very differently and the certifications and compliances are different from that of India. Having said that, we have got EPA certification for some of our products and we are on that path. So beyond that, I won't be able to comment here.

Bharat Sheth: And now coming back to the B2C business where we have some kind of ambition of reaching high single-digit margin. So in that trajectory, where we are currently and when do we see that slowly we will be able to reach that high single-digit EBIT margin?

Aseem Srivastava: So this is Aseem here again. So as I said earlier that from negative, we have come to positive and we are working on the levers like international business deepening, widening and also on the cost side. So I'm confident in next quarters we will see this momentum going up. Exact number I will not be able to give you right now.

Bharat Sheth: I'm asking you some kind of a timeline for high single-digit EBIT margin.

Aseem Srivastava: I will not be able to give you any timeline, but I can assure you that the momentum is good and you will see that in quarters to come.

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Moderator: We have the next question from the line of Sagar Parekh from One-Up Financial.

Sagar Parekh: So my first question is on this NBFC subsidiary Arka. So I believe now we have completely fully invested I think INR 1,000 crores that we were supposed to put in, right, or is there any money pending to be put in?

Anurag Bhagania: Amit, do you want to respond to that or should I?

Gauri Kirloskar: We have INR 36 crores pending out of the INR 1,000 crores commitment.

Sagar Parekh: Okay. So this INR 36 crores will be put up in this quarter 4?

Gauri Kirloskar: I cannot comment on that right now.

Sagar Parekh: Okay. No problem. So post this INR 1,000 crores so we were looking at some kind of monetization of this for Kirloskar Oil Engines shareholders. So is there like any timeline for when can we see some kind of monetization of this asset or do you think it's still some time away?

Gauri Kirloskar: So I can't commit to a timeline, but I will say that the commitment from KOEL stands firm at INR 1,000 crores. And beyond that to grow, Arka Fincap will follow the normal path that an NBFC would to raise capital.

Sagar Parekh: Right. But are we looking at any kind of demerger or something like that on the cards or there

is no thought process at the moment for that?

Anurag Bhagania: Mr. Parekh, I think you know very well these are things that nobody will be able to explain on the call, right? I mean there is so much work to do before we say anything about it.

Sagar Parekh: Okay. Got it. My second question is on the export side. So on the export front on the quarter-on-quarter basis, we are seeing some cool-off on the exports. So if you can give some colour on which are the markets or which are the

product segments which are seeing some bit of demand?

You mentioned in your initial remarks also that you are seeing some kind of pressure in terms of some products so if you can give some colour on that and how should we think of exports?

So when we are talking about doubling in 3 years. we were anticipating a strong sort of traction in the exports where we are talking about INR 1,500 crores to INR 2,000 crores kind of level for exports. So I just wanted to get your sense on are we on track for that and if this global situation does not permit, then what is our strategy in exports?

Gauri Kirloskar: Okay. So I just want to clarify that what I meant in my opening statement is that we generally see a cool-down that is happening in global markets and that is what I mean by that is the likely recession that continues outside of India may go empty.

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Having said that, for Kirloskar Oil Engines even though we have seen marginal softening in exports over the last quarter, we remain bullish and the reason we do is because our export revenue today as a percentage of our total revenues is still quite low and we see many white spaces where we will be able to play as our products become ready for advanced emission norm countries. So as you know the emission norm CPCB4, which is hitting us in India, also helps our products gear up and be ready for international markets. Of course there are certification

processes that we will have to go through, but we remain bullish on exports. Sagar Parekh: So once the CPCB4+ norms kick in in India, then can we assume like the take-off in exports to be significant from India to other countries or that certification time will still -- I mean the process still takes a lot of time and it's like a gradual process or how should we think about it?

Gauri Kirloskar: So I'm just going to allow Rahul to speak a little bit more on some of the strategy that we're looking at in the export markets.

Rahul Sahai: This is Rahul. So if you look at the international business, what we've been seeing is we're registering a strong double-digit growth over last year. That's number one. And quarter-on-quarter at times there are minor execution issues, but beyond that, we don't see any softening on the demand side. Now if you look at the way we are approaching exports, if you look at markets say in Middle East or Africa, all of those markets are largely un-emissionized.

So all of those markets are open and when Gauri was talking about white spaces, there are significant white spaces even there. Now if you look at some of the advanced markets like Europe and if you look at say the US, each of these markets has their own certification processes, many of which we are actively participating in and in due course we expect to get there as well.

I can't give firm timelines, but what I can let you know is all of that is on our radar. We're extremely familiar with the volume in each of the markets.

Sagar Parekh: Sure. And my last question is on the cash. So we would be throwing a lot of cash going forward as well. And as you mentioned that we are not looking at any further capacity expansion so can we assume that now -- and since we do not have to put in any further incremental money in Arka except for that INR 36 crores, can we assume that the cash flows will be given out to the shareholders or how do we think of the free cash flows going forward?

Anurag Bhagania: I think we will not be able to give you too much forward-looking statements, in fact none of the forward-looking statements. But I think we expect cash to continue to increase like you have seen in the past and we will make continuous investments when it comes to technology. That is our focus.

Moderator: We have the next question from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Sir, this is a follow-up question. Export has contributed

roughly 13% of our sales now so

obviously we are scaling up the business. So are we making any -- I mean the margins are very similar to domestic or it has to reach some level from where we will make money?

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Rahul Sahai: So this is Rahul. So if you look at our 2X-3Y, the exports is a big part of the entire top line and bottom line growth and over a period of time over the 2X-3Y, our ambition is to get to close about 30%-odd of contribution of exports and which is what is going to deliver higher profitability for KOEL as well.

Mahesh Bendre: Okay. Sure. And sir, what kind of capital expenditure plans we have for next 2 years?

Anurag Bhagania: So we've been generally spending in the range of INR 60 crores to INR 80 crores every year. In the next year we anticipate this number to be stable, in fact go a little higher because next year the cycle will slightly move towards a significant technology shift. But we will talk about the future capital investments in the future calls not at this moment.

Mahesh Bendre: So this capital expenditure will be only as a maintenance capex, right?

Anurag Bhagania: Will be largely on sustenance capex.

Moderator: We have the next question from the line of Renjith Sivaram from Mahindra Mutual Fund.

Renjith Sivaram: Just wanted to understand this export strategy because we were previously not there in various geography apart from Middle East and some places in Africa. So how do we like -- there will be some time lag between a distributor selecting our product, doing the trial runs and then getting us empaneled or there will be some process in that. So if you can explain like where are we in terms of these processes and apart from this Middle East and Africa, which are all the major countries that we are targeting in terms of this export from 13% to 30% which we had mentioned?

Rahul Sahai: See, if you look at our exports, historically we have focused on segments like fire pumps and on the industry engines. Now going forward with the emission compliances kicking in, what we're also looking at is taking our largest segment which is powgen, the entire portfolio of those products outside India as well.

So if you look at say the Middle East or Africa, we will continue to cater to those markets through un-emissionized products. And if you look at the advanced countries, we will have our products which for example CPCB4+ would roughly be equivalent to TR4 final and Euro Stage 3. So we will have a full range of products, our gensets available for those markets as well. And as we speak, we are undergoing some execution and approvals, etcetera. So if you look at some of the key markets that I outlined Europe, US, Africa, Middle East and Australia continues to be our focus areas.

Renjith Sivaram: So it will be like we will be supplying the engines and the dealer or the distributor over there will be actually assembling the alternator and packaging it as a genset or we will be supplying the genset as such? Because here in this market we only supply the engine. The other attributes of the diesel genset in terms of alternator can be taken care by the distributor. So how does it work in those countries?

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Rahul Sahai: So what we will be doing is we will be taking each market and looking at efficient commercial transactions so that could range from G drives to supplying full-fledged gensets along with the canopy and bases. It depends on the markets we are targeting and what is the best commercial transaction we can execute.

Renjith Sivaram: Okay. And sir, for the CPCB4+ for the emission control, with which company do we have the technical understanding because Cummins has their own in-house emission control technologies? So for us, who are the technical partner in that emission control?

Rahul Sahai: So we have been

not -- so we actually have an in-house R&D and we have gone through every emission change with the support of our in-house R&D. So we continue to focus on that and we're pretty confident that we will be ready as per the timelines stated.

Renjith Sivaram: Because it's a complete shift to an electronic drive and you need that additional emission control catalytic converter. So that's the reason I'm again reiterating because there the supply chain shouldn't be impacted as the demand comes?

Rahul Sahai: I would like to assure you that there are similar transactions that are taken and Kirloskar Oil Engines has gone through on the off-highway side as well, which is the transition to BS IV and even in BS IV, there was the after treatment system and electronics that were there. So this is not new for us.

Moderator: We have the next question from the line of Naitik Mohata from Sequel Investments.

Naitik Mohata: And congratulations on good set of numbers. I have just a brief question. If you could throw some light on the order book that we have and some of the segments that we have these orders from being agri and power as well as in domestic and international?

Rahul Sahai: So this is Rahul. So on the B2B side I can't get into specifics, but we continue to have a pretty strong order board and demand from key segments like construction. And if you look at some of the other segments like health care, hospitals they continue to be pretty strong. So beyond that, I won't be able to get into specific numbers.

Moderator: We have the next question from the line of Rohan from Healing Touch. We have the next question from the line of Khadija Mantri from Sharekhan.

Khadija Mantri: Sir, I would like to know if there was a prebuying in this quarter and if you expect prebuying in Q4 also before implementation of CPCB4+ norms from July onwards?

Rahul Sahai: This is Rahul. We do expect prebuy to take place.

Khadija Mantri: So did you witness any prebuying in this quarter as well?

Rahul Sahai: Sorry, can you repeat the question?

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Khadija Mantri: Did you have any prebuying in Q3 as well?

Rahul Sahai: So we are seeing increase in demand, I wouldn't completely attribute that to prebuys as yet.

Khadija Mantri: Okay, sir. And also what part of our product portfolio would be impacted by changes in the CPCB norms?

Rahul Sahai: So all the domestic power gen that we do below 800 kilowatts would be impacted by CPCB4+, that is close to about 35% to 40% of our business.

Moderator: That was the last question. I would now like to hand it over to the management for closing comments.

Gauri Kirloskar: This is Gauri. Thank you very much for your interest in Kirloskar Oil Engines and for joining the call today.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Safe Harbor Statement- Statements in this document, particularly those which relate to management's views and analysis, describing the Company's objectives, projections, estimates and expectations may constitute "forward looking statements" within the meaning of applicable laws and regulations. Actual results may differ materially from those anticipated in the forward-looking statements. The company assumes no obligation to update forward-looking statements to reflect actual results, changed assumptions or other factors.

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Q4 FY'23 Earnings Conference Call"
May 19, 2023

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR –
KIRLOSKAR OIL ENGINES LIMITED
M R. ANURAG BHAGANIA – CHIEF FINANCIAL OFFICER
– KIRLOSKAR OIL ENGINES LIMITED
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M S. SMITA RAICHURKAR – COMPANY SECRETARY –
KIRLOSKAR OIL ENGINES LIMITED
M R. AMIT GUPTA – CHIEF FINANCIAL OFFICER –
ARKA FINCAP LIMITED

MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY '23 Earnings Conference Call of Kirloskar Oil Engines Limited hosted by Antique Stock Broking. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you, and over to you.

Amit Shah: Thank you, Yashashri. Good afternoon, everyone. I welcome you all to Q4 FY '23 Post Earnings Call of Kirloskar Oil Engines Limited. To discuss the results today, we have with us now from the management of Kirloskar Oil Engines Limited, Ms. Gauri Kirloskar, Managing Director; Mr. Anurag Bhagania, CFO; and other senior dignitaries from the top management. I'll hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can start the Q&A session. Over to you, ma'am.

Gauri Kirloskar: Thank you very much. Good evening to all of you. This is Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. I would like to thank you all for joining the call today. I have with me Anurag Bhagania, CFO; Rahul Sahai, our B2B CEO; Aseem Srivastava, our B2C CEO; Smita Raichurkar, Company Secretary; and Mr. Amit Gupta, CFO at Arka.

I will start with an overall business update, and Anurag will update you about the financial performance. A little less than a year ago, we started a journey of 2X-3Y. We said that core as an organization will grow 2x in 3 years. With that strategy in place, we started working on a major business transformation effort. The transition is still a work in progress. And for an organization of our size, it is a 3- to 4-year process. As is the case with any major business transformation effort, it is complex, it touches every part of our organization and many a times, we have to learn on the go.

For an organization that has been in existence as long as KOEL, the change is even more complex than honestly challenging at times. And while we are doing all of this, the leadership team is fully cognizant that we have an existing organization to run immediate numbers to be delivered and stakeholder expectations of today to be met while getting ourselves organized for the future. It is a delicate balance that we are trying to strike. And so far, we have been pretty successful.

The Q4 numbers and the FY 2023 numbers are indicative of both the beginnings of our transformation and also our ability to execute today's business opportunities while keeping a firm eye on the future. I am very pleased to present the Q4 and FY 2023 numbers. We continued our strong performance in

Q4. For the quarter, the top line growth stand-alone was 16% and the full year revenue grew at 25% year-on-year. Across the board, both in the B2B and the B2C businesses, we saw strong growth. Demand in the B2B segment, especially in Power Gen and industrial engines continue to remain robust. On the B2C side, our channel expansion strategy played out well.

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I would not attribute our performance only to the work that we are doing on strategy and execution, but also about a mindset of looking at challenges as opportunities and making full use of the opportunities when presented. Right through the year, we have had challenges around supply chain, but we were able to leverage the domestic supply chain nurtured and built over years to mitigate global supply shocks. We had the opportunity in terms of a stronger-than-expected order board, but our teams executed well to this challenge. This gives me immense confidence on our 2X-3Y strategy and our progress.

Now let

looking at the P&L performance, stand-alone EBITDA for the quarter was at INR99 crores, which is down by INR3 crores year-on-year. This is due to a onetime provision that we have taken as any good corporate citizen would. We have made a provision of INR28.1 crores in line with our company policy of providing for aged overdue receivables. We are in active discussions with the customer for recovery of this amount and are reasonably confident we will collect this money. In the case that we are not successful, we have worked out a plan B to recover this money. Despite this onetime impact for the full year, EBITDA is INR427 crores at 10.4% margin and is 59% up year-on-year. This performance is a mix of our efforts on pricing strategy and product cost improvements, product mix as well as volume gain due to strong demand. On overall yearly performance, exports grew around 50% year-on-year. I consider this good progress, and we are hopeful of maintaining our export growth volumes year-on-year.

On the B2B side, we are fully geared up now for the CPCB 4+ transition that is effective 1st of July. In fact, I'm happy to share that we are the first in the country to receive CPCB 4+ certification from ARAI on one of our product platforms. On the product side, manufacturing

side and on the channel and aftermarket side, we are progressing as planned, and I'm confident that we will be ready with the right products at the right cost, at the right quality and all at the right time.

At a consolidated level, revenue from operations for the quarter is INR1,384 crores, which is 17% growth year-on-year. The full year revenue from operations is INR5,024 crores, a 25% growth year-on-year. At the net profit level, Q4 was at INR79 crores, 16% growth year-on-year. Net profit for the full year stood at INR332 crores, registering 94% growth on year-on-year. This reflects our efforts to improve profitability across all of our business segments.

This year, we completed the acquisition of LGM, and it is now a 100% subsidiary of Kirloskar Oil Engines. Our LGM business recorded INR122 crores of revenues for the quarter and INR546 crores for the full year. Our current focus is centered on implementing our leadership and management practices within this organization. And I'm very enthusiastic about the potential for LGM. Aseem and his team have a clear strategy, and they are already making steady progress on this front. We have acquired land to consolidate the LGM factories into one optimized unit, and our plan is to move into this factory before the end of fiscal year '25. We do expect to see further operational efficiencies with this factory consolidation.

Now coming to segmental performance, I wish to draw attention to the increase in profitability in all 3 segments. The B2B segment saw a margin improvement of over 200 basis points. The

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B2C segment turned its margins from negative approximately 1% last year to a positive 3%. And the Financial Services segment also experienced an improvement of approximately 200 basis points in margin.

With all the business updates done, I would like to also give an update on our ESG efforts and plan. Last year, we voluntarily presented the BR SR along with our annual accounts. Throughout the year, significant progress has been made in establishing a robust governance structure and implementing a comprehensive policy framework for our ESG initiatives. This demonstrates our commitment to creating value for all our stakeholders.

Furthermore, I am pleased to share that our Nashik plant was honored with the first prize for National Energy Conservation Award 2022, organized by the Bureau of Energy Efficiency under the Ministry of Power, Government of India. The award was presented by the Honorable President of India. This recognition signifies our continuous efforts to optimize energy consumption and reduce our environmental impact.

act . We remain committed to our mission to prioritize ESG considerations and contribute to a more sustainable future for our company and society as a whole.

To sum it up, I feel very proud of what we have achieved in the last 1 year, and it gives me immense confidence as we go into the next year. As part of the 2X-3Y strategy, we said that we will work on 5 core pillars, which are our core growth, technology, channel, operations excellence and people. Work is happening on each of these areas. Some are already showing results and some will over time. Reflecting on the progress we have made on the 5 pillars this year, I feel more assured of our capabilities. Having said that, there is still a lot more to be done, and my team and I are invested in our strategy and in executing our strategy.

With that note, I would like to stop here and hand the call to Anurag for his update on the financials.

Anurag Bhagania: Thanks, Gauri. Good evening, everyone. You've heard the business update. I will run quickly through the financial performance for the quarter and the year. As you see from the numbers, Q4 was another good quarter, I would say. I am happy to report that this is the third quarter in a row where we actually hit INR1,000 crores or plus in terms of revenue from operations, and I'm confident we are building a very strong foundation for our journey ahead.

Coming to the financial performance, I will start with a stand-alone performance first and review the Q4 financial year '23 performance on a stand-alone basis. Revenue from operations stood at INR1,152.6 crores for the quarter 4 financial year '23 versus INR990 crores for the same quarter last year, which is a 16% increase year-on-year. EBITDA stood at INR99.2 crores for the quarter

4 '23 versus INR102.6 crores for the same quarter last year, which is a 3% decline. EBITDA dropped first time below double digits due to onetime impact, which Gauri also mentioned in her opening remarks.

Profitability and expenses, as you know, includes a onetime cost of INR28.1 crores on account of provision for doubtful debts for aged overdue receivables.

We are in active discussions with the customers. But as per our consistent policy of good accounting standards, we are providing for this amount. On recovery, this provision will be

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reversed. EBITDA margins stood at 8.6% for the quarter, and this was 10.4% in the prior year same quarter. Net profit stood at INR64.9 crores for the quarter versus INR119.6 crores for the same quarter last year. Please note that last year, there was also a onetime gain coming out of sale of Arka, our subsidiary shares to the tune of INR52.6 crores. Cash and cash equivalents was higher than INR200 crores, actually, INR210 crores.

Now looking at the full year '23 financial performance at a standalone level. Revenue was INR4,116 crores versus INR3,300 crores for the prior year, which is a 25% increase year-on-year. EBITDA at INR426.9 crores in financial year '23 versus INR268.8 crores for the financial year 2022, which is 59% increase year-on-year. EBITDA margins at 10.4% versus 8.1% last year, and net profit at INR270.3 crores versus INR208 crores in the last year, which is a 30% year-on-year increase.

Here, if we remove the onetime impact of Arka shares, the net profit actually grew 74% year-on-year. Our working capital, which was trending at worse in the first half of the year have started to show early signs of softening. The increase in demand, the higher volume had led to significant increase in working capital, almost INR162 crores in the first half of the year FY '23. In the second half, we've actually seen a INR60 crores plus decline from that working capital level.

Now looking at the consolidated performance for the quarter. Revenue from operations was INR1,383 crores for Q4 FY '23 was INR1,182 crores for the same quarter last year, which is a 17% increase year-on-year.

Net profit at INR78.9 crores for the quarter versus INR67.8 crores for the same quarter last year, which is a 16% increase year-over-year. And on a full year basis, revenue from operations stood at INR5,023.8 crores versus INR4,022 crores the prior year, which is a 25% increase. It's important to note at a consolidated level, we crossed the INR5,000 crores mark.

Net profit at INR331.7 crores for the financial year '23 versus INR170.9 crores in the prior year, which is a 94% increase year-on-year. As you know from previous quarters, we've adopted new reporting segments for our businesses, B2B, B2C and the financial services. Accordingly, I will share the financial summary in line with the new reporting segment at a consolidated level. Please also note that the prior year numbers have been adjusted to align to the new reporting changes that we've made.

Let us now look at the consolidated segment performance. For our B2B segment, the revenue for the quarter was INR1,000 crores, which is a 16% growth year-over-year. The segment PBIT stood at INR75.4 crores. For the full year, the revenue was INR3,582 crores, a 27% increase year-on-year with a PBIT of INR336.5 crores, which is a 65% growth year-on-year. As I mentioned earlier, these numbers reflect a onetime cost impact of INR28.1 crores in our B2B

segment. So you will see the effect in the segment margins. Without this onetime impact, the full year segment PBIT has actually grown 79%.

B2C segment revenue for the quarter was INR271 crores, which is a 5% growth year-on-year.

The segment profit PBIT was INR11.6 crores and for the full year, the revenue stood at INR1,071 crores with a profit of INR29.1 crores. For our B2C business, the highlight for the

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year is the business turning profitable. We expect to keep the momentum, and we'll continue to look for operational efficiencies to drive further from here. Our Financial Services segment revenue for the quarter stood at INR112.9 crores, reflecting a 76% year-on-year growth. The segment profit stood at INR16.6 crores, at 13.7% PBIT margin.

The Board of Directors in the meeting held today, 19, May 2023 have recommended a final dividend of INR2.5, which is 125% per equity share of INR2 each for the financial year '22-'23, subject to the shareholders' approval. This takes the full year dividend to INR5, 250% per share.

This reflects 27% dividend payout ratio as a percentage of our net profit, which is in line with the payout ratio that we've had in the last year. As you know well, we are intentionally building cash reserves to allocate towards our strategic priorities in our 2X-3Y journey. Overall, as we have moved one year ahead in our 2X-3Y strategy, I am happy with the growth and the overall financial performance.

On that positive note, I would open it up for questions.

Moderator: Thank you very much. We have our first question from the line of Ashwani Sharma from ICICI Securities. Please go ahead.

Ashwani Sharma: So a couple of questions related to the CPCB norms. The first one is, was there any prebuy sales included in the Q4 numbers? If yes, how much it was? And if not, what is the current status?

That is my first question.

Rahul Sahai: Hi, Ashwani, this is Rahul. While we are seeing an overall increase in demand, we are not seeing much of prebuy volumes kicking in this yet. Some of that may come in, in this quarter. So that's to answer your first question. What was the second part that you asked?

Ashwani Sharma: So I was asking what is the current status. I think you have answered both the questions on that. Secondly, just for understanding, so once it is implemented, what is the kind of cost impact that you would see in the final product? And how do you see your Power Gen margin shaping up post implementation?

Rahul Sahai: So if you look at our costs, and I mentioned this in the earlier calls, the

cost impact will vary by

node anywhere between 25% to 40%. And as far as our margins are concerned, I can't give a clear picture in this forum. But what I can say is that our margins will likely be somewhat similar.

Ashwani Sharma: Similar margin. And finally, on CPCB, this technology, overall, how much capex we would have spent so far?

Anurag Bhagania: So we are, over a period of time, investing in building capacity. Specifically for CPCB, I think it's anywhere in the range of INR100 crores to INR140 crores. We'll give you the exact number while we are on the call.

Ashwani Sharma: Okay. Those are my few questions.

Moderator: Thank you. We have our next question from the line of Sidharth Srikumar from I Thought. Please go ahead.

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Anurag Bhagania: Ashwani, I'm ready with the answer. It's between INR100 crores to INR120 crores. That's the overall number on the CPCB 4+ investment so far.

Moderator: Mr. Sidharth Srikumar, we have unmuted your line. Please go ahead with your question.

Sidharth Srikumar: So I would like to ask you what is your revenue and margin outlook for the next three years.

Gauri Kirloskar: Hi, Sidharth. So we've actually communicated in our 2X-3Y strategy that our revenue target at the end of FY '25 is INR6,250 crores at a double-digit EBITDA margin.

Sidharth Srikumar: Okay. Double digit means, can you give me a ballpark number.

Gauri Kirloskar: So I can assure you that it will be better than what it is now, but I can't really give you an exact number here. We are focused. And if you look at the strategy that we have articulated, we are focused on increasing the revenue share from the areas where we see higher profitability, which is specifically exports and aftermarket revenue, and this is how we hope to increase our margins.

Sidharth Srikumar: Okay. So another general question, like in your experience, what is the demand scenario in rural India and in urban India, if you can give that bifurcation. Compared to, say, three years ago, four years ago, how is the demand scenario right now?

Aseem Srivastava: Yes. So this is Aseem here, Srikumar from B2C. If you see on the rural side, last year was one of the most challenging year because of rains al so and also because of a lot of initiatives from the government side on the water and stringent compliances. So we feel this is the direction and rural demand for the next few years will remain challenging.

In urban, if you see, because of infrastructure development, we believe that demand will be better and it will be increasing.

Sidharth Srikumar: So one more last question is that like will the di esel or petrol-driven power generators, will they replace eventually by renewables or natural gas-related generators, is there a set of disruption?

Rahul Sahai: This is Rahul. So what I can say is that there is a fuel transition taking pl ace, and it will happen slowly. It will depend on the application on what kind of energy source it goes into. But what we will see is over the next maybe five, eight years, natural gas will become a transition fuel. And then there will be other fuel sources that will come into the mix. There are certain segments where electrification will come into the picture, such as railways. But a lot of these things will happen over a period of time. So what we are confident about is internal combustion will remain and Kirloskar Oil Engines is going to continue to focus on internal combustion.

Moderator: Thank you. We have a next question from the line of Jeetu Panjabi from EM Capital Advisors. Please go ahead.

Jeetu Panjabi: Gauri, great numbers. I think that INR28 crores write-off to put the numbers in perspective. Two questions. One, can you talk to us a little bit about what's happening on the export side, what are the conversations, what are the trends you see over the next 12 months to 18 months in the context especially of the wea

kness you're seeing in Europe?

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And the second question is on the raw material side, we've been seeing softness. So does that mean it translates into expanding margins for the next quarter or two at least before the transition plays out?

Gauri Kirloskar: Great questions. I will let Rahul and Aseem comment on the exports that we are seeing specifically in the B2B and the B2C businesses. And we will answer the question on raw materials.

Rahul Sahai: Hi, Jeetu, this is Rahul. So what we are seeing on the export side as well, there is significant demand. In fact, there is a significant pending order board that we are trying to execute. Especially if you look at market or markets such as Middle East, Africa, Southeast Asia, which

are some of the markets where we have larger strength. If you look at the European and the American markets, there is a lot more compliance and certification requirements. So our presence there is limited as of now. So on the B2B side, that is my response on exports.

On the raw material side, while we have seen cer tain commodities softening, a large content also is of proprietary parts. So we haven't seen a significant change or reduction in our costing levels. And whatever we are seeing softening of in cases, we are passing on the benefits to our customers. If there are opportun ities to do value engineering, then we are expanding our margins with that. With that, I'll hand over to Aseem.

Aseem Srivastava: So on B2C side, if you see this year, both on farm mechanization and pump business, we have done much better than last year with a better margin. And this has happened because of a very simple strategy of deepening and widening where we are going into new countries. Same thing

will continue this year also, and we feel that B2C export business contribution of overall sales will further increase this sale.

On the commodity side, I think we now have a very good system in B2C, where we have passed on the inflation to the customer. We'll continue with that. The softening will have very little effect overall to the market. We have other ways by which we are increasing margins.

Moderator: Thank you. We have a next question from the line of Charanjit Singh from DSP. Please go ahead.

Charanjit Singh: Congratulations on good set of numbers. So first question is on the high kVA gensets. In terms of how we are doing on the high kVA nodes and in the specific markets like data centers and all, how we are scaling up. That's what my first question is.

Rahul Sahai: This is Rahul. So what we have begun to do is we have begun to execute orders with data centers, and we have completed a few projects with them because as you are aware, our range today expands right up to 1,500 kVA. In parallel, there are some programs that we are undertaking to expand this, but we are already seeing opportunities for data centers, and we are focusing on the execution there.

Charanjit Singh: Okay. And sir, if we look at from the overall exports perspective, there is a strong opportunity, which is emerging, which has been discussed by other players also. So is there a kind of a targeted number what we want to have as a percentage of sales exports? And also the margin profile for exports, how is that versus the domestic business?

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Rahul Sahai: So on the B2B side, our target is to get exports for the international business to about 30% contribution to revenue. And the margin profile will be significantly healthier than what our current domestic margins are at.

Aseem Srivastava: Yes. So on B2C, also, we have the same target of 30%. And then B2C also our margins are much better than the domestic.

Charanjit Singh: Okay. And sir, if you look at how this CPCB transition, there's definitely going to be a price hike. So what's the kind of quantum of price hike, which you are looking at in terms of the

manufacturing of the old rating products, for that does happen and by how is that demand looking like in terms of the prebuy. So if you can just touch upon from a quarterly perspective, how you're looking at the transition from the old rating to new rating price hike other aspects.

Rahul Sahai: Yes, sure. So if you look at the price increase, what we have already passed on about a 3% price increase last month. And we will be watching this very closely because each player will come up with their own pricing strategy for this. I have given an indication of the cost impact we are likely to see. We are currently formulating our pricing strategy, and we're going to be watching this one very closely. So I may not be able to talk about our pricing strategy going forward for this year.

Charanjit Singh: Okay. Sir, if I may just squeeze in one more question. So we have this large in this business where Nuclear used to be a larger part of the overall and lumpy orders. And Nuclear is kind of making a comeback now in the Indian market. That's what government sources are talking about. So any thoughts like how this large engine business can grow for us any outlook you can give for the new hurdles?

Rahul Sahai: So if you look at now what we call that business is industry business, but what you're referring to as large engines, we are seeing demand from Nuclear Power Corporation and the likes of these kind of customers. So the demand is certainly there. What we have is with the K4300 platform and the development we are doing, we will have our large engine platforms that are being manufactured out of our Nashik plant. So we are quite bullish about that.

Moderator: Thank you. We have a next question from the line of Sandeep Tulsiyan from JM Financial. Please go ahead.

Sandeep Tulsiyan: Yes. My first question is pertaining to the Power Gen segment. As a year, we've seen 20% growth in value terms. So two parts. One is, if you could broadly share what was the volume growth and a factor of price increase plus product mix improvement over here?

And secondly, also, if you contrast this 20% growth number with the industry growth, how that has been? And how our market shares have moved across different modes in Power Gen, if you'll give some perspective on that?

Rahul Sahai: Sure. See, if you look at the overall industry, the overall industry has roughly grown and I'm removing the telecom volumes for now, at roughly around 9.8%. And if you look at our volume growth, our volume growth is at about quarter-on-quarter, about 12.4%. So we are actually gaining market share from some of our key competitors. So from a volume standpoint, that is Kirloskar Oil Engines Limited
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significant. And if you look at the mix, we are seeing significant traction in our range between 250 kVA to 750 kVA. So there's a lot of growth happening there. In fact, if you look at the recent Frost & Sullivan Report, you'll see that there is a lot of traction on the 750 kVA node from Kirloskar Oil Engines. So what we were talking earlier about getting into high horsepower, we are actually there.

Sandeep Tulsiyan: Okay. And so this is -- quarter-on-quarter, essentially, you have shared the numbers for fourth quarter. If you could also give us a perspective from the year as a whole? And also market shares, if you could share across some of the key nodes that will give us some perspective into it.

Rahul Sahai: Yes. So if you look at our volume growth in Power Gen, it's 10% year-on-year. And if I look at the overall market, we have definitely grown faster than the market.

Sandeep Tulsiyan: What would have been the industry growth in volume terms for last financial year?

Rahul Sahai: For the last financial year?

Sandeep Tulsiyan: Yes, 10% is volume growth for oil, so what will this number be for the industry?

Rahul Sahai: I don't have that number off the -- I can check and let you know.

Sandeep Tulsiyan: And in terms of market share, if you could give us some perspective where our total market share is and how that is spread across the nodes?

Rahul Sahai: So our market share overall by volume would be about 30%. So by volume, we're the largest player in the genset market. And we dominate specifically in the range of 320 and 250 below. So that is where bulk of our volumes are from. Over a period of time, we've been gaining traction

on nodes beyond say 20 KVA as well.

Sandeep Tulsiyan: Got it. Another question is on market share.

Anurag Bhagania: On your earlier question, while we don't have the exact market share numbers for the financial year. But what I want you to consider as an alternate is compare the competitive performance of our peer group companies, 2 out of the 3 published quarters of the last year, we've actually grown faster than the rest.

Sandeep Tulsiyan: Understood. The credit sales I just wanted to get a perspective of essentially the big share other than the other largest industry players, what is essentially happening on the French company side? Are we marginalizing the smaller guys? Or how is entire comparable scenario shaping that what I want to do in this time?

Rahul Sahai: See, what we are noticing is that with stricter emission norms coming in technology becomes a big play. And only the serious competitors or serious companies who are interested to remain in the genset market will likely remain because the CPCB 4+ emission norm is actually a very aggressive emission norm. It's very close to EuroStage V.

So what we envisage is over a period of time, the players that are not as serious or were essentially buying engines from somewhere assembling and playing the role of an assembler

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rather than focusing on the search. They may have complexities in dealing with some of these emission changes.

Sandeep Tulsiyan: Understood. Another question is on the new product initiatives that we have put in place in the last few years in areas of models as well as some of the expansion of farm mechanization product range. If you could just provide a perspective on that, where are we in terms of this new product development? And can you just talk about this clear strategy, how much are you building at least in the next 2 years to come from this? And how much are we looking at it from a longer-term perspective where the size of these businesses could be?

Rahul Sahai: So see, some of these businesses are incubation businesses. So for example, in motors, we are first focusing on stabilizing that business. But if you look at the last 2 quarters, all our focus has been on product development to deal with emissions and the fuel transition. So we are focusing very heavily on our core products at this moment.

Sandeep Tulsiyan: Understood. And yes, on one point, which the earlier participant asked on the data center front. You said the existing product ranges up to 1,500 kVA. But in the past, we have mentioned comments that the demand is, of course, in a much higher range. And since we don't want to miss out on this, we will be partnering with some of the buys to provide this solution in the interim while we develop those solutions enhance. So there are being that driven if you could just update on that as well.

Rahul Sahai: So if you look at the platform that we have K4300, we can further develop that platform to get into even higher ranges than 1,500 kVA. So the architecture is modulus. Power cylinder designs have been the same.

Sandeep Tulsiyan: So up to what range can we provide the outlook about 1,500 kVA, is it -- is it multiples of 1,500 kVA, is it?

Rahul Sahai: So the way to look at it is the K4300 currently is a 12-cylinder engine that can be intended up to 20 cylinders. And so the 16 and 20, and you can go up to 3,000.

Sandeep Tulsiyan: Okay. Understood. That's it on my side.

Gauri Kirlo

skar: Sandeep, I just wanted to add something because you mentioned the partnering. We generally are following the strategy of build, buy or borrow where we evaluate the time, cost and effort to take to develop it ourselves or buy the technology or partner with someone. And we will continuously do that. And if we have a relevant update in that regard, we will disclose it when there is a development. So that's what I wanted to say on your question.

Moderator: We have a next question from the line of Sanjaya Satapathy from Ampersand Capital Investment Advisors LLP. Please go ahead.

Sanjaya Satapathy: My first question is that, can you please tell us what percentage of your revenue will be impacted by this CPCB launching?

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Rahul Sahai: So if you look at our product range, close to about 46% of our business is our power generation business. Now most of that comes under the CPCB 4+. Our range is currently 800 kilowatts and below. I'm saying most because we have the K4300 platforms as well. So only they will be excluded, but that is a very small portion of the revenue today.

So that's close to about 45%, 46%. And if you look at industrial applications like power car and certain defense genset, those may be impacted as well over a period of time. So what I would say is eventually roughly around 55-odd percent of our business will be impacted by CPCB 4+ emissions change.

Sanjaya Satapathy: Understood. And sir, considering such a huge price increase that is likely to happen and the emission change is just about a month or away from now. Why is it that the prebuying isn't happening as much as it would have happened in the previous circumstances?

Rahul Sahai: See, if you look at it from an end customer standpoint, CPCB has given relaxation that the customer can buy a CPCB-2 product until 31st December. The mandate to manufacturers is that we can't ship out beyond end of June. So on 1st July, we have to start manufacturing CPCB 4+ compliant product. So the customer can buy from our GOEMs. So there is that started, which you need to consider. Having said that, in this quarter, we are seeing in this coming quarter, I mean, right now, we are seeing some signs.

Sanjaya Satapathy: Understood. And is it that your parts shortage or something which is retaining to meet that observes in demand for CPCB long and how big the inventory buildup is happening at your own at that level?

Rahul Sahai: I may not be able to answer a lot of these questions because they're leading. All I can say is that we are pretty geared up for it.

Sanjaya Satapathy: Understood. Sir, basic purpose of asking this question is that how big the disruption will be post implementation of the norm for your sales and profitability and your plan for fiscal '25, this anything change because in the past, we have seen that it has been fairly disruptive.

Rahul Sahai: So for sure, some of these emission changes are fairly aggressive. But when you're talking about disruption, what specifically are you referring to?

Sanjaya Satapathy: I mean your numbers probably will go down when -- after the prebuy gets over and to meet the new norm, typically it takes time. And also the price being so high, the customers may not really come forward to buy for a very long time. So those kind of aspects. I'm just trying to understand how will that play out this time around?

Rahul Sahai: I think some of these standard demand cycles will play out. So I mean, if you look at the automotive or commercial vehicle industry, some of these things are fairly standard.

Moderator: We have a next question from the line of Amit Shah from Antique Stock Broking. Please go ahead.

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Amit Shah: Congrats on a good set of numbers. I just wanted to ask firstly on the B2B side of the business. Our Industrial segment for entire FY '23 has registered a

very strong growth of 22-odd percent.

But when I look at the fourth quarter number, the growth has been sort of a mid-single digit. So what is leading to this particular slowdown? Is it more of a 1-quarter phenomena? Or may we see some sort of slowdown in this particular segment? If you can highlight some insight on this particular thing?

Rahul Sahai: So actually, what has happened is last year, Q4 was abnormally high for us. What we have seen is significant growth in our industrial segment even this year. So it's not that this quarter was perfectly poor. Last time we had high execution in billing in Q4, same time last year. So on the industrial side, actually, we see a very positive outlook going forward.

Amit Shah: And sir, which are the areas, do we see a similar sort of growth continuing into FY '24 that we have witnessed in FY '23? And which areas can contribute to such a strong growth, if you can just highlight on this particular.

Rahul Sahai: So if I look at on the industrial side, there are a lot of places where today, we have products that could be used for those applications, but are not being used. And so we see a lot of white spaces there. So that's the first opportunity that we have. The other opportunity is with the emissions change, there is significant traction because the product becomes more complex and proprietary.

So we are expecting to see higher growth in the aftermarket as well.

And lastly, if I look at international markets opening up as a result of this emissions change, Kirloskar Oil Engines has largely developed products for the Indian market. So with this CPCB 4+ coming in, we are now very close to EuroStage V. So there will be new markets that open up for us, which we can aggressively go after. Of course, in many cases, it will require certifications.

Amit Shah: Okay. And sir, export has been at this point of time, contributing 12% of the overall revenue, and we have been targeting 30-odd percent. So which countries do we believe can contribute such a significant growth, which are the countries that we are targeting? And which segments can contribute such significant growth for us, if you can just highlight?

And as you rightly pointed out that a few of the product categories will be requiring certification. So how long does the certification take? And when can the product portfolio be available to the new countries that we are having?

Rahul Sahai: Right. So I will first talk about portfolio expansion because right now, the full scope of our portfolio and our plans on product expansion are not going into international markets. So as we

stabilize some of these products, the larger scope of our product portfolio will start going into our traditional stronghold of Africa, the Middle East and Southeast Asia. So one is proliferation of the of products, which we may be filling in India, but we haven't opened them up to international markets. So that's number one.

Number two is we are looking at our channel structure globally as well. So we are going to be looking at very closely what kind of partners would help us win in which kind of markets. And we are seeing demand coming in from Middle East as well. Of course, the Chinese partners we will need to engage with them and transact in a tax-efficient manner because there are local

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duties and laws that we will need to work with. So that's number two. So number one was our full product range. Number two was looking at our channel structure.

And number three is entering markets where we've traditionally not entered in. So if you look at our presence in U.S., if you look at our presence in Europe or Australia, it's been very limited. So that's the number three that we'll be focusing on figuring out what is the appropriate entry strategy there.

If you look at U.S., for example, it requires EPA and car certifications and each of those certifications

can take up to 1.5, 2 years. So some of our products are actually EPA-certified and we are shipping some products to the U.S. right now. But over a period of time, we want to expand that presences as well. I hope that answers the question.

Amit Shah: Sure, sir. One more thing on the export opportunity side, do you also consider white labeling for the dominant brands which are present in the countries? Or will like to address the opportunity individually or independently. So what is our thought process over there? If you can just -- that is...

Rahul Sahai: So traditionally, if you look at white labeling, it 's not a very profitable business strategy. So why we are open to evaluating all auctions, but white labeling is something that we haven't been looking at to be seriously at least over the last 6 months.

Amit Shah: And on the Power Gen side, sir, even in this particular quarter, a very strong growth. So which are the segments that end markets, basically, which is witnessing or gaining such strong traction to us. And whether there is any market share gain in the Power Gen segment, if you can say at that. So that will be my last question.

Rahul Sahai: Yes. If you look at the last quarter, there is a lot of demand coming in from segments like telecom, infrastructure, health care. So those will be the big ones.

Amit Shah: Any market share gains, sir, in this particular segment?

Rahul Sahai: Overall, we've gained about 1.5% market share last quarter. I can't necessarily speak about some of these segments within that.

Moderator: We have our next question from the line of Chandramouli Jagannathan from Patterson Securities. Please go ahead.

Chandramouli J.: Sir, when I look at the Arka Fincap segment-wise profit previously, it's got beaten up like anything compared to the last quarter and overall. How is it shaping up overall? And what is the future layer of Arka?

Gauri Atul Kirloskar: Hello, sir. You're on the line?

Chandramouli J.: Yes, ma'am, I'm there on the line.

Gauri Atul Kirloskar: Okay. Please take the question.

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Amit Gupta: Sure. Sir, just to answer your question, you're comparing the Q4 along with the Q3 number. The Q4 number have been basically a little bit down because the disbursement that happened mainly on the fag end of the quarter. You would appreciate that even in the Q4, the March being the busiest quarter. So the AUM growth has come in the fag end of the quarter.

That is why the income part is also little bit lower as compared to the Q3 on an overall basis. And further there, we have created certain provisions there also on a standard asset basis. That is why the profit is coming down. But if you see the overall profitability of the financial year, it is much ahead as compared to the previous year itself.

Chandramouli J.: And what would the future guidance, can you give me something for that '24? Future guidance, how is it shaping up?

Amit Gupta: Sir, as a company per se it is shaping up very well. What we have been committed towards it, building it across the three different business segments, our commitment and focus is totally towards it. We have been opening new branches as well. Currently, as on 31st March, we were

operating from a 14, 15 branches. This quarter, we are opening up new branches itself. The retail plus MSME AUM, if you see as on 31st March 2023, has grown up to 29%, which have been the growth journey in the near future as well. So we are adequately capitalized. There have been a decent borrowing. There have been a decent liquidity into the company year-on-year, the profitability of the company is strong, and we don't see any held up in the portfolio quality as well.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Gauri Kirloskar: Thank you very much,

everyone, for your interest in the company and for your participation on this call. Thank you.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Kirloskar Oil Engines Limited Q1 FY24 Earnings
Conference Call "

August 11, 2023

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR ,
KIRLOSKAR OIL ENGINES LIMITED
MR. ANURAG BHAGANIA - CFO, KIRLOSKAR OIL
ENGINES LIMITED
MR. RAHUL SAHAI – B2B CEO , KIRLOSKAR OIL
ENGINES LIMITED
MR. ASEEM SRIVASTAVA – B2C CEO , KIRLOSKAR
OIL ENGINES LIMITED
MR. SMITA RAICHURKAR – COMPANY SECRETARY ,
KIRLOSKAR OIL ENGINES LIMITED
MR. AMIT GUPTA – CFO, ARKA FINCAP LIMITED
MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Kirloskar Oil Engines Limited hosted by Antique Stock Broking .

As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Dharendra Tiwari from Antique Stock Broking. Thank you and over to you , sir.

Dhirendra Tiwari : Thank you very much. Good evening, ladies and gentlemen. On behalf of Antique Stock Broking, I welcome you to 1Q FY24 Post Results Conference Call of Kirloskar Oil Engines Limited.

We are pleased to have with us today Ms. Gauri Kirloskar - Managing Director ; Mr. Anurag Bhagania - CFO and the Senior Management team of KOEL . We congratulate management team of KOEL for yet another strong performance during this quarter.

Now , I invite Ms. Gauri Kirloskar for initial remarks following which we will open the floor for Q&A session. Thank you and over to you , Ms. Gauri .

Gauri Kirloskar : Thank you very much. Good evening to all of you. This is Gauri Kirloskar - Managing Director of Kirloskar Oil Engines. Thank you for joining the call today. I have with me Anurag Bhagania – CFO , Rahul Sa hai - B2B CEO , Aseem Srivastava - B2C CEO, Smita Rai churkar - Company Secretary and Amit Gupta - CFO at Arka.

I will start with an overall business update and then Anurag will update you about the financial performance.

We have had a strong quarter. Revenue from operations for the quarter is at Rs. 1,265 crores, sustaining a 10% sequential and 33% year-on-year expansion on the topline. This quarter has marked a milestone with the highest sales ever recorded for both B2B and B2C segments achieving the best Q1 performance for international as well as distribution and aftermarket. EBITDA at Rs. 153 crores was up by 54 % quarter -on-quarter and 48% year-on-year. EBITDA margin at 12.1% improved 350 basis points quarter -on-quarter and 125 basis points year-on-year. This performance is supported by robust prebuying activity within the power generation sector. When we exclude the impact of prebuy volumes for comparison, the revenue exhibited a 20% annual increase and nearly reached the levels observed in Q4 FY22. I am confident that this figure remains commendable given the historical trend of Q1 traditionally being lower than

the preceding Q4 of each year.
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Our industrial business also incurred robust demand. The order book for our industrial division stands strong at the end of this fiscal primarily driven by substantial orders from the Indian Railways and Defense. The operational and business development aspects have seen significant activity during this quarter as well. I will give you an update on some of the key events.

First, the update on CPCB. There was a delay in the CPCB transition timeline two weeks before the earlier announced due date. This led to a lot of industry wide scrambling at the end of the quarter to first understand and then respond to the situation. We are confident that we are in a strong position as we are able to deal with the complexity of running both CPCB II and CPCB IV manufacturing line and managing the supply chain as well. We are also the first company in India to get our full range of 23 platforms of engines certified by ARAI for the CPCB IV emission standard.

At KOEL, we imagine a future in which internal combustion engines maintain their significance in providing power for various uses. The journey towards reducing carbon emissions and creating environmentally friendly

engines will entail internal combustion engines utilizing cleaner and more ecofriendly fuels compared to conventional diesel engines or moving towards stricter emission norms within diesel.

With our in-house R&D efforts, we are designing our engines to be fuel agnostic. These platforms are not limited to single fuel source, but can operate efficiently and effectively on a diverse range of fuels. Here is a roundup of the recent developments and alternate fuel engines and our efforts to expand our product range this quarter. We now have a robust gas genset range as well as nodes that can run on ethanol as well as methanol. We also introduced Retrofit emission control devices for diesel generators ranging from 125 kVA to 1000 kVA.

Our R ECD device stands out as an innovative technology capable of significantly reducing exhaust emissions that achieves an impressive 70% to 90% reduction in diesel particulate matter emissions and a minimum of a 70% reduction in other harmful pollutants like hydrocarbons and carbon monoxide. As state regulations become stricter, these R ECD devices will be required to be installed on our already installed base of CPCB II gensets. We have also introduced Dual Fuel kits that we are distributing through our aftermarket channel.

From the product range point of view, I am very pleased to announce the OptiPrime series. This product is a twin engine power pack within the same canopy. The Opti Prime range will address applications that have variable power needs. It helps to reduce fuel consumption and carbon emission by almost 40%. This platform is available across our entire Power Gen range with both twin pack and hybrid options. We are excited with this launch as it also helps us mark our entry in the higher horsepower range with options up to 2000 kVA.

I will now talk about the standalone revenue breakup. The B2B segment with the topline of Rs. 1,095 crores booked 11% growth quarter-on-quarter and 36% year-on-year. Of the total B2B

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revenue, Power Gen revenue was Rs. 603 crores, industrial was Rs. 232 crores, distribution and aftermarket was Rs. 175 crores and international business was Rs. 86 crores. Our international business marked a growth of 29% year-on-year. The B2C segment with the topline of Rs. 160 crores registered 5% quarter-on-quarter and 15% year-on-year growth. Within B2C, the KOEL Water Management Solutions business recorded revenue of Rs. 134 crores and Farm Mechanization recorded revenue of Rs. 26 crores. Coming to the consolidated performance, the revenue for this quarter was Rs. 1,543 crores, registering 30% growth year-on-year. We booked profit before tax of Rs. 170 crores which was 54% higher year-on-year.

Regarding Arka, we are progressing as per the plan. The loan book for the quarter was at Rs. 3,656 crores. The net profit for the quarter was Rs. 16 crores, registering 4% growth year-on-year. In summary, it is a great start to the year for KOEL with a strong Q1 performance. We believe we are progressing well on our strategic growth path.

I will now take a stop and hand it over to Anurag.

Anurag Bhagania: Good evening, everyone. Thank you, Gauri for the updates on the business side:

I will now run you through the "Financial Performance" for standalone and consolidated businesses:

As you will see from the numbers, Q1 was a very strong quarter for KOEL, though these numbers were on the back of strong onetime prebuy volumes of CPCB. As I would like to reiterate that even without this prebuy, the topline was 20% higher year-on-year. This is now 4 quarters in a row that we have crossed Rs. 1,000 crores in revenue. During the quarter, we were

also able to take price actions due to increased demand resulting in improved margin rate for the quarter .

Coming to the financial performance, I will start with the standalone p

erformance first :

Review of Q1 FY23 "Financial Performance " standalone revenue from operations was Rs. 1,264.7 crores in the current quarter as against Rs. 953 crores for the same quarter last year, which is a 33% increase . EBITDA at Rs. 153 crores in the current quarter versus Rs. 103 crores for the same quarter last year, which is a 48% increase year-over-year. EBITDA margin stood at 12.1% for the current quarter versus 10.8% for the same quarter last year . Net profit was at Rs. 103.2 crores in the current quarter versus Rs. 64.6 crores for the same quarter last year registering a 60% increase on net profit.

We ended with a strong cash position as well. Net cash and cash equivalents at the end of the quarter stood at Rs. 300.4 crores versus Rs. 210.4 crores in the end of the previous quarter. Our working capital, which was trending adverse for the last few quarters, has started to show signs of softening .

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In this quarter , we were able to reduce our net working capital to about Rs. 99 crores versus Rs. 133 crores at the end of the previous quarter.

Let me now look at the consolidated financials, the performance for the quarter . Revenue from operations was Rs. 1,543.4 crores for the current quarter versus Rs. 1,191.4 crores for the same quarter last year, registering a 30% increase year-on-year. Net profit at Rs. 125.5 crores versus Rs. 82.1 crores for the same quarter last year generating a 53% increase year-on-year. Looking at the consolidated segment performance now , please note that the last year's numbers have been restated to align with the changes in the segment reporting.

The B2B segment revenue for the quarter was at Rs. 1,105 crores at a consolidated level, which is 35% growth year-on-year. The segment PBIT stood at Rs. 132.4 crores, reflecting approximately 75% increase year-on-year. Please note that the B2B performance has an effect of a prebuy for CPCB IV+ transition. If we take that effect out, the topline was Rs. 982.9 crores, which is still a 20% increase year-over-year. B2C segment revenue for the quarter was at Rs. 309.5 crore, which is a 4% growth year-on-year, but the highlight is the segment PBIT was at Rs. 17.4 crores up almost 15% year-on-year. Financial Services segment revenue for the quarter stood at Rs. 128.2 crores, reflecting a 65% increase year-over-year and segment PBIT at Rs. 21.5 crores , there is a 4% increase year-over-year.

We have provided additional details of our segment and business wise performance to the investor presentation that we uploaded on our website. If you read through them, the standalone sales has business unit breakdown and it is in line with the way we have structured internally.

Exports are mostly managed in the International business group within the B2B segment.

However, please note that exports also happen directly in other business units and are recorded in the respective business units. Therefore, when you look at the total standalone sales, we have also broken down the sales into domestic and exports to provide additional clarity. Similarly, our segment wise consolidated performance slides also show domestic and export breakup at each segment level.

To conclude, I would say this quarter we continue to deliver a very strong performance. Our outlook for the quarter is cautious as well as optimistic as the strong prebuy demand is not expected to continue. However, we remain positive about the growth outlook due to our ability to expand our product portfolio and offerings to serve the customer needs across new geographies. These elements are pivotal to our 2X -3Y strategy and as a team, we are continuously working towards realizing these market opportunities.

With that, I hand it back to you , Amit.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the

line of Renu Baid from IIFL Securities. Please go ahead .

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Renu Baid : My first question, a set of questions related to the core margin business , can you highlight what has been the order book built up in the railway segment for Vande Bharat train set and what is the pipeline for telecom orders which we should be expecting for the old CPCB II range of engines in the current fiscal year?

Rahul Sahai : This is Rahul. We won't give out those specific details in this call.

Renu Baid : No issues. Secondly, if you see in the last quarter, while the CPCB IV has also been postponed or extended for a year, many states have been served with so-called notices for CPCB II engines

to Retrofit them, so can you share inputs in terms of how has been the demand for the RE CD kit for the customer , are you seeing the transition or migration to CPCB IV engines from the existing installed base or they going in for the Retrofit kits , so how will the demand panning out on the installed base for this segment of the market?

Rahul Sahai : Renu, we are definitely seeing demand uptake for the emission control kits and especially when the gensets are relatively newer, we are seeing that demand kicking in. Otherwise based on the territory in India, for example, if you look at Delhi NCR , the notification that had come out, we are talking about pretty much closure of CP CB II gensets September onwards, unless and until they are already fitted with emission control devices and Dual Fuel kits. So, those specific territories will see demand uptake of CPCB IV+ much faster than others, but overall at a pan India level what we are expecting is a slow ramp down of CP CB II and a ramp up of CP CB IV+.

Renu Baid : If you look on the export segment within the domestic B2B , last 3 quarters, we have seen sequential decline picking as in right from 2Q of Rs. 133 crores to now some Rs. 100 crores , so how has been the demand in the export market been for our portfolio and are we seeing any headwinds from global slowdown and to what extent can this be offset by the new product introductions that we are targeting in the region?

Rahul Sahai : Renu, a lot of it is because we have been on allocation because we were trying to manage the prebuy and things like that , but it no way indicates the demand that was out there. So, we have an all -time high order board both in the international business as well as the industrial side as Gauri had mentioned.

Renu Baid : And last question if I can , for CPCB IV, it will still take about 12 more months , what is the road map to introduce hybrid solutions in the LHP segment because when we look at peers whether it is Cummins, Perkins and other related companies, there are many hybrid solutions, battery backup solutions being introduced for the LHP segment of the market , so what is our road map to begin Diesel solutions in this sector ?

Rahul Sahai : So, Renu, I can't give something which is extremely forward -looking, but what I can definitely tell you is that Gauri has spoken about OptiPrime as well as OptiPrime hybrid series. These are both combination of different fuel types as well as different technologies including plug in Kirloskar Oil Engines Limited

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hybrid along with gensets. So, I mean those products are already there, the prototypes are being built. We are also looking at commercializing it in the next 12 months and just so that you are aware, we also hold the patents for hybridization and gensets and battery and solar in India.

Moderator : Thank you. The next question is from the line of Khadija Mantri from Sharekhan. You may proceed.

Khadija Mantri: So, my question was regarding introduction of this OptiPrime range in HHP, so have we partnered with any company for the technological capabilities or we have done it on our own?

Rahul Sahai : This is Rahul. So, if you look at development of our gas portfolio , development of CPCB IV+ or it is coming out with new products or fuel agnostic platforms , we have done it all in -house. We have an extremely competent R&D department that works on each of these products and we are quite proud of that.

Gauri Kirloskar : And specifically, for the Opti Prime range that you mentioned, it has been developed in-house as well.

Khadija Mantri : Sir, now we do not have any gaps in our HHP range ?

Rahul Sahai : So, the way I would look at it is we have new products coming in and because when we talk about H HP high horse power can actually go into really like much higher kVA nodes including 5000 and 6000 , but what we are focusing on is to plug in the gaps up to 3000 kVA which is what we are fairly confident about that we should be able to do.

Khadija Mantri : And what would be your capacity utilization at this point of time?

Rahul Sahai : So, if you look at the last quarter, our plant capacity utilization and I am comparing this with basically the machining capacity, it is at about 73%.

Khadija Mantri : So, we are fully booked for the next one year as far as the prebuying is concerned for CP CB II? It has been extended by 6 months, I understand ?

Rahul Sahai : So, that is correct. So, we have our CP CB II order board already with us.

Khadija Mantri : In the commentary you mentioned that the prebuying may not be as good as in Q1, so what you meant by that is it would taper off in the coming quarters ?

Rahul Sahai : So, what we will see is that there will be some transition in this current quarter , but if you look at CP CB II, the demand will taper out eventually and especially as we move into the April to June quarter of next year, that is where the CPCB II product demand will clearly decline and what we are expecting is that September onwards the demand for CPCB IV+ products will start , will get on the rise. So, we are already seeing there is enough demand for CPCB IV+ even now .

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We have an order board in place, but we are expecting the demand to start increasing after September.

Moderator : Thank you. The next question is from the line of Rushabh Shah from O3 Securities. Please go ahead.

Rushabh Shah : As we have seen your power generation business has done very well as compared to the previous quarter last year , so how do you see the future of gensets growing in the coming years and any steps you are taking to gain more market share in that segment?

Rahul Sahai : So, Rushabh, the way we look at it is the power generation business will continue to grow for us. There are different technologies that we are working with and there are different ranges of products that we are entering now. So, actually power generation is one of the businesses that we are extremely bullish upon . We have the appropriate technology in place. We also have the right kind of structure from an organization point of view in place. So, we are fairly bullish about the Power Gen business .

Rushabh Shah : And the next question is on the aftermarket side , is there a big opportunity opening across and what are we doing there?

Rahul Sahai : So, Rushabh, I would say that aftermarket and our distribution business basically has a significant opportunity for us, especially as you look at the complexity of product increasing, the kind of service solutions contracts that we can now penetrate with and offer value to our customers is significantly more than what it has ever been before. So, the increased electronics and the complexity obviously which creates value both from an environment standpoint as well as for the customer is a welcome change and we should see an uptake in the aftermarket business.

Rushabh Shah : And sir, could you tell me about the alternative fuel shifting to CMG , how

will that impact our business ?

Rahul Sahai : We have actually already developed our gas portfolio which will be largely very similar in terms of platform to what we have on the diesel side and we are gearing up for the CMG or the natural gas fuel as the infrastructure becomes available. So, we are quite bullish on that, especially when it comes to our power generation business, because that is where the biggest opportunity will be . Taking a step back, we are very clear that we are in the internal combustion and energy business. We will follow the fuel that becomes available . So, right now, natural gas is a great transition fuel and we have developed products for it which are CPCB IV+ compliant by the way and we will continue to do in line with the fuel type that becomes available.

Moderator : Thank you. The next question is from the line of Nikhil Oswal from Pinterest Capital. Please go ahead.

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Nikhil Oswal : My only question is on number front , in the previous presentation, we have mentioned about clocking 2 times revenue of our previous year , so are we early on those lines , any guidance on that because the current numbers are depicting something that we might be early on that ?

Gauri Kirloskar : So, Nikhil, just to clarify, I think you are talking about the strategy that we announced last year around August, which is 2X -3Y, so that commitment is to double our topline in 3 years.

Nikhil Oswal : Right, are we early on that?

Rahul Sahai : So, the way I would look at it Nikhil is that we are fully committed to that strategy and I wouldn't say early on the 2 X, but what I would definitely say is we are phasing out our execution in line with the 2X-3Y.

Moderator : Thank you. The next question is from the line of Charanjit from DSP Mutual Fund. Please go ahead.

Charanjit : My first question is pertaining to the domestic Power Gen business , so in that segment, in terms of our market share currently, what level it is at and with multiple ranges which you are bringing in and with all these changes coming in, do we expect the significant change in the market share for us?

Rahul Sahai : By volume, we are the largest player and we typically have about 30 % to 32% of the Power Gen market. Having said that, there are fluctuations that happen depending on specific orders that at times we intentionally don't want to take given there are profitability or there are other challenges . So, there are minor fluctuations, but we don't see too much of the change as far as market shares are concerned . We hover between 30 % to 32% of the diesel genset market.

Charanjit : And from overall realization perspective, how has been the movement in the pricing in the market for CPCB IV compliant engines?

Rahul Sahai : So, because of the new notification that came out, especially if you look at the notification that came out on the 14th of June, there has been a slight delay in especially as far as the demand uptake is concerned , but if there are customers that want cleaner products and they are clearly seems to be a base of customers that want to adopt to CPC B IV+ , we are seeing demand there

and customers are willing to offer the appropriate realization for CPCB IV+ as well in line with the scope enhancement that we are offering.

Charanjit : So, there is a good bit of demand even for CPCB IV compliant engines ?

Rahul Sahai : Yes, because what actually happening is there are every state slowly is coming out with their own, I would call from an economic standpoint, externalities where there are notifications coming out, for example, in Delhi NCR, we spoke a little earlier that they don't want to run CPCB II gensets without Retrofit emission control devices and Dual Fuel kits and September
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onwards, there is a clear cu

t mandate to either switch over to cleaner products or move to these emission control devices, so every state is coming out with these notifications. So, when customers evaluate, they see that CPCB IV+ is a cleaner product and it is a product that they will be able to run hassle free.

Charanjit : Sir, the other question is on the exports market , you talked about that we have a very high order book , so one is on the ground level in terms of the distribution reach , in terms of the service center reach , all those aspects , can you touch upon like what are the initiatives which you are doing because exports is also very critical part of this strategy of doubling our topline in 3 years ?

Rahul Sahai : So, exports if you look at being able to sell gensets or even industrial products, industrial engines in export markets, you require an adequate service infrastructure for it. Now , there is a certain amount of business we can do without detailing all of that out to the end level, but now we are at a point where we are looking at each of these aspects and we are looking to develop not just our export sales channels , but also service operations in those regions. So, there are a few regions of particular interest . We are starting out with the GCC countries and the Middle East. So, that is the first region that we are looking to expand in at the moment and we are restructuring our approach accordingly as well. So, there are changes we are making and we will talk more about that in times to come.

Charanjit : Sir, just coming from a little longer perspective for domestic Power Gen itself, when we look at the power data, there is also increasing talk about a peak power deficit occurring in the market , so when that kind of a phenomenon kicks in, does it mean significantly higher growth than the normal growth what we would have seen in the past couple of years and deficits were low for the domestic Power Gen market?

Rahul Sahai : I would agree with that because peak power deficit is one indicator. What is equally important are the transmission and distribution losses that are occurring because combined is what they would generate, demand for genset because ultimately people buy gensets more like an insurance policy. They want uninterrupted power. So, when you look at some of these metrics along with the GDP growth, it gives you a good sense of where the market is headed .

Charanjit : Sir, if I can just one last question , in terms of the industrial business, you have also talked about that we have booked some strong orders from large orders in the Railways and the Defense segment , so one is if you can give brief understanding about the industrial business , how it is shaping up and how we expect it to shape up in the future and Railways and Defense, how large these opportunities could be for us going forward?

Rahul Sahai : We created the industrial business to focus on deep account management that is required and application understanding that is required to be able to successfully execute programs on the industrial side because very different from a Power Gen business . So, one of the segments that we created was Railways , so similarly apart from Railways there is construction , there is agri,
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there is mining, oil and gas , so there are defense and marine. So, there are whole bunch of different segments that have been created . Now in this specific case , when you look at Railways largely right now, the focus is on power cars , but having said that, we are also looking at different applications going forward. So, there is a product road map for that as well , but the order right now in conversation is for power cars. Similarly, we are experiencing encouraging signs as far as Defense and Marine segment is concerned. I think the way we have gone about setting up the structure an

d developing application competence within the segment structures is working for us.

Charanjit : But is there an opportunity size or a pipeline what we could highlight?

Rahul Sahai : If you look at it combined, it would be very difficult to answer that question because a lot of times the opportunities are very unique and different , but a good proxy to understand some of this is the kind of budget allocations that are happening by the government, especially in the

applications we are talking about. So, for instance, if you look at railways, what kind of budget allocations or demand is Indian Railway is looking at in areas which require engines. So, I think that those would be good proxies.

Charanjit : And sir, on the pumps market, specifically from the La-Gajjar and the engine based pump sets which we classify in the B2C segment, how is that part of the market operating and what is the kind of growth outlook which you can have for the pumps as a segment ?

Aseem Srivastava : Aseem here. So, if you see on the pump side, which includes KOEL electric and also LGM, last year we were working on basically increasing the profitability or bringing it to profits, so part of that is done last year and the same story continues. We have a very small market share in agriculture and domestic and we are confident with the strategy of deepening and widening. We will continue to grow in a very healthy way. Just to give you an example, KOEL electric and diesel in this quarter has grown by around 30%.

Moderator : Thank you. The next question is from the line of Manish Goyal from Thingwise Wealth Managers. Please go ahead.

Manish Goyal : Three questions are related to on export, I believe that on the strategy to double revenues, we were ideally aiming that export should contribute 25% to 30% of the revenue, we did see a strong momentum last year in the early part of the year, but seems to be like stagnating now, so just want to know from our existing portfolio like Gensets, fire-fighting and other segments, what is the outlook going forward ? And number 2, on like with delay in CPCB IV+ launch in domestic market, do we see challenge like we probably that was one of the strategy to enter into global markets where the emission levels are probably at par and now with delay in domestic launch, would it be challenging in terms of cost competitiveness to launch in the international market ? And the third thing is that in last call we did mention that we probably will not do white labeling, Kirloskar Oil Engines Limited

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so are we probably looking to sell directly with our own distribution network or maybe if you can just provide some insights on these three aspects?

Rahul Sahai : This is Rahul. So, first of all, I just want to kind of clear out there that we didn't say that we would do like white labeling and we are pretty clear that something that we won't be looking at, so just wanted to make sure that I clarify that. The other thing is that if you look even the last quarter that has gone by, it is our highest ever quarter 1 for our international business.

Sequentially there are a lot of things that play out, but if you look at same time last year, there is significant growth on the international side. The other part of this is that every geography is very unique and with its own product requirements, emission requirements as well as service requirements. So, we are looking at all of that and what I can assure you is we executed our highest ever quarter 1 for exports and the focus on exports will be significantly higher going forward. What we have seen in the last quarter is because of the immense demand that we have seen from our domestic power generation business, we have been working on allocations. So, the revenues are in no way representative of the kind of demand that exists on the international side and we are

actively working on it.

Manish Goyal : So, just to clarify, you said we will not do white labeling right?

Rahul Sahai : We will not do white labeling.

Manish Goyal : Across the product range like from lower HP to even HHP segment, right?

Rahul Sahai : Yes, we won't be doing white labeling.

Manish Goyal : And maybe if you can give insight on the CPCB IV launches in the international market because that was one growth area which we were looking for in the export market and maybe now with the delay in domestic, do you think that you will have enough cost leverage here or you will not have enough cost leverage because the production days will be much lower than what would you have anticipated earlier?

Rahul Sahai : So, if you look at the product which I was talking about different market, we cannot sell CPCB IV+ products directly in international markets and tweaks that need to be made and I will give an example of that. If you look at the US market, the US market is a 60 Hertz market and there are different kinds of emission, including Tier-3, Tier-4 final largely based on the EPA regulation. Now, what we do have is the capability to develop those products because CPCB IV+ is by and large equivalent to the EPA Tier-4 final norms in the US, but there are tweaks that need to be made. So, there aren't direct leverages there, but having said that, that is a critical part of our strategy. Similarly, if you look at the Middle East, Middle East is largely an unemissions market. So, what I can tell you is from a technology standpoint, we are at par with among the best in the world. We are looking at product strategies for each of the markets because the requirements are fairly unique.

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Manish Goyal : And last one question on the financial services like sequentially we are seeing a decline in the AUM and even the debt level , so maybe it is something to do with seasonality or just maybe if you can clarify that?

Amit Gupta : I will take this. ma'am. So, Manish, you have rightly pointed out that during the quarter that is Q1 FY 2024 , the loan book has marginally gone down, which is roughly around 10% approximately. It is mainly because of a certain repayments what we have encountered in our corporate lending division only . Otherwise on the other business segments, which is power develop or financing and the retail segment which includes the MSME and all , the loan book has been increasing. So, as you only suggested that it is one of the seasonality kind of thing, we are generally in Q1 being in the financial services business, the loan book may be shrink , but we are expecting that to come back to its normal level and as per our business plan in the coming quarters as well.

Manish Goyal : So, what kind of growth for the entire year we are looking on disbursement or the AUM book side?

Anurag Bhagania : I am not sure whether I will be able to answer this question because it is like a forward -looking because on a year-on-year basis we are expecting a recent growth which will be aligning with in terms with the economy.

Moderator : Thank you. The next question is from the line of Chetan Truva from Chetan Investors . Please go ahead.

Chetan Dhruva : I just had one question with respect to the margin outlook , so this quarter we already done 17% is this EBITDA, I am talking about EBITDA margins at the consolidated level, is this sustainable for this year and do we expect to see any improvement the rest of the quarters and next year ?

Gauri Kirloskar : So, first I want to clarify that it is 12.1% not 17% .

Chetan Dhruva : Consolidated level, I think you have done Rs. 264 crores ?

Rahul Sahai : Are you looking at adding the segment PBI Ts and that is the number you are looking at ?

Chetan Dhruva : The EBITDA, not the EBIT at consolidated level.

Rahul Sahai : It may not be a

appropriate to look at it that way because there is financial service business without interest, which is also there , we take out the interest portion of the financial services business. So, the best way to look at it is a few separate financial services out of the equation and look at the nonfinancial services business independently and I think a good measure right now to look at is about 12.1% is what is our EBITDA today .

Chetan Dhruva : And is it sustainable, sir ?

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Gauri Kirloskar : So, what our target is that over the 3 years that we do move into better double digit margins, we have made an improvement in the last year and we hope to sustain and improve that.

Chetan Dhruva : I was asking whether the financial services part of the business will also grow proportionately to the rest of the core business , to the main business actually because you would be probably funding the purchases right to the financial services .

Gauri Kirloskar : No, that is not how our financial services subsidiary works. So, they are pretty different businesses, the core business and the growth rate of the core business , B2B, B2C and financial services segments would be very different.

Chetan Dhruva : So, you are saying that there will be probably a specific subset of customers who will opt for the financial services aspect of your business ?

Gauri Kirloskar : Yes, there are completely different set of customers in the financial services business that we lend to. We are in 3 segments in the financial services business, specifically corporate lending, real estate lending and SME and MSME lending and any business that has happened with any of our group companies or group company channels, distributors or dealers is less than 10%.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Amit Shah from Antique Stock Broking for closing comments.

Amit Shah : I would like to thank all the participants for taking time out and joining us on the call and would also like to thank the management for giving us the opportunity to post the call. I will hand over the call to the management for the closing remarks post which we can conclude the call. Over to you, ma'am.

Gauri Kirloskar : Thank you very much for your participation and time on a Friday evening. Thank you for your support and have a good weekend.

Moderator : Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Kirloskar Oil Engines Limited Q2 FY24 Earnings
Conference Call"

November 3, 2023

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR
MR. RAHUL SAHAI – CEO (B2B)
MR. ASEEM SRIVASTAV – CEO (B2C)
MS. SMITA RAICHURKAR – COMPANY SECRETARY
MR. AMIT GUPTA – CFO (ARKA)
MR. ANKUR GUPTA – CFO (B2B)
MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED
MR. DHIRENDRA TIWARI , ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Kirloskar Oil Engines Limited hosted by Antique Stock Broking.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharendra Tiwari from Antique Stock Broking. Over to you, sir.

Dhirendra Tiwari: Good evening, ladies and gentlemen. On behalf of Antique Stock Broking, I welcome you to the 2Q FY24 post results conference call of Kirloskar Oil Engines Limited. I am glad to have with us today Ms. Gauri Kirloskar – Managing Director of KOEL, along with the senior management team of the Company.

Firstly, we will have introductory remarks on the results by Gauri Kirloskar following which we will open the floor for Q&A. Over to you, Ms. Gauri.

Gauri Kirloskar: Good evening to all of you. This is Gauri Kirloskar – Managing Director of Kirloskar Oil Engines. Thank you all for joining the call today.

I have with me Rahul Sahai, our B2B CEO; As eem Srivastav, our B2C CEO; Smita Raichurkar, Company Secretary; and Amit Gupta, CFO of Arka. We also have on the call today Mr. Ankur Gupta. He is the CFO for our B2B business.

I'll start with the business update. KOEL has had a stable quarter. The revenue for this quarter reached Rs. 1,047 crores, indicating a 5% year-on-year growth. It's worth noting that the first quarter figures saw a spike due to pre-buying in anticipation of emission norm changes. So, this quarter's numbers show a sequential decline against that backdrop. However, when considering the performance for the first half, the revenue amounted to Rs. 2,303 crores, marking a substantial 19% year-on-year growth.

For the B2B business, this was a quarter of transition for us. After the CPCB IV+ norms kicked in. We have a strong order board that encompasses different emission norms. On the power generation side, we continue to work through the complexity of managing multiple product lines catering to multiple emission norms. While this gives rise to supply chain and operations challenges, we are managing these challenges by closely watching our supply chain and optimizing our production capabilities to meet delivery timelines and our customer commitments. On the industrial side, we continue to see strong demand from our OEMs. We have the upcoming BS-V emission change in the construction segment, and we are working closely with our OEMs to enable their success.

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On the international side, we have appointed an exclusive GOEM in the GCC region this quarter.

We also further strengthened our presence in the firefighting segment by acquiring new customers. We believe these initiatives will help us tap into new opportunities and will lay the foundation of our growth plans on the international side. Sustainability and environment are a key focus area for us. We have several new products launches this quarter. We expanded our gas genset range and now have the most comprehensive gas genset range in the country.

We also unveiled completely new products such as our OptiPrime and OptiPrime Hybrid range of gensets. The OptiPrime range of gensets combine innovation with product efficiency. As a result, customers get a lower product footprint, more power, and maximum savings. This patented technology marks our entry into the high-horsepower range above 1,500 kVA and up

to 3,000 kVA. These products are designed to cater to diverse power requirements across the various sectors ensuring businesses and communities have access to reliable, cleaner

, and better

power. Our fuel-agnostic platforms are engineered to operate efficiently on multiple fuel options including diesel, natural gas, biogas, and hydrogen blends providing unmatched flexibility to consumers. The orders for OptiPrime series have started coming in and the early signs are encouraging.

On the B2C side, our focus on stabilizing the business with RACE, i.e., reach, agility, cost, and engagement is working well. Pumps and the small engines business, which is more than 90% of KOEL's standalone B2C, has shown more than 20% year-on-year growth in the quarter. Our margins here have been on track. It has been 1 year now since we took full control of La-Gajjar Machineries. We have handled the transition well and our new plant construction is as per schedule. Our margins in LGM have improved since when we completed the full acquisition. Our export focus in LGM has shown good results with sales of Rs. 85 crores in H1, which is about 30% of LGM sales. The margin in the LGM export business has also improved significantly.

I will now briefly update on the financial performance on a quarterly and half yearly basis. These are the standalone numbers. The revenue from operations is at Rs. 1,059 crores for Q2 FY24 versus Rs. 1,010 crores for Q2 FY23, a 5% increase year on year. H1 revenue is at Rs. 2,324 crores, an 18% increase year on year. EBITDA is at Rs. 99 crores for Q2 FY24 versus Rs. 115

crores for Q2 FY23, down by 15% year on year. For H1, EBITDA is at Rs. 253 crores, a 16% increase year on year. As mentioned in the notes to the results, this quarter we have made a

provision for overdue receivables of Rs. 10.5 crores for a customer to whom sale was made in the previous year. If you remove that effect, EBITDA is at Rs. 109 crores with a margin of 10.3%

for the quarter. Similarly for H1, excluding the provision made, EBITDA is at Rs. 271 crores, reflecting a margin of 11.7%. Net profit is at Rs. 59 crores for Q2 FY24 versus Rs. 73 crores for Q2 FY23, a 19% decrease year on year. For H1, the net profit is at Rs. 162 crores, an 18% increase year on year. Net cash and cash equivalents at the end of the quarter Q2 FY24 was Rs. 112 crores versus Rs. 300 crores at the end of the previous quarter. This quarter, we had CAPEX

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that was spent on CPCB IV+ etc., and investment in inventory due to the coexisting CPCB II and CPCB IV products.

I will now give an update on working capital. This quarter started with challenges on the supply front due to the continuation of CPCB II for another 1 year, while CPCB IV+ was also introduced since the beginning of this quarter. As a result, this quarter has seen demands for both product lines, which has resulted in a complex supply chain and manufacturing situation. To meet demand and customer requirements and delivery timelines, we have made investments in stocking material that has resulted in higher inventories, which we expect to normalize over the next year as we go through this period of transition.

Now, I will take you through the business-wise standalone revenue breakup for the quarter. The B2B segment with a top line of Rs. 904 crores registered a 3% growth year on year. Of the total B2B revenue, Power Gen revenue is Rs. 360 crores, down by 8% year on year; Industrial is Rs. 235 crores, up by 5% year on year; Distribution and Aftermarket is Rs. 184 crores, up by 23%

year on year; and International business is Rs. 125 crores. Our International business marked a growth of 45% versus the previous quarter and 12% year on year, while the B2C segment with a top line of Rs. 143 crores were up 19% year on year. Within B2C, the KOEL Water

Management Solutions business recorded a revenue of Rs. 116 crores, up by 21% and Farm Mechanization recorded a revenue of Rs. 27 crores, up by 12% year on year. In LGM, revenue is flat at Rs. 132 crores. However, the EBITDA margin improved from a

Almost nil in the previous

year to good single digits due to better cost management, better product mix, and higher exports.

The net working capital has also improved in LGM.

Now, when we look at the consolidated performance for the quarter and the first half, revenue from operations is at Rs. 1,305 crores for Q2 FY24 versus Rs. 1,228 crores for Q2 FY23, a 6% increase year on year. And for the half year, revenue from the operations is at Rs. 2,848 crores, an 18% increase year on year. Net profit is at Rs. 78 crores for Q2 FY24 versus Rs. 83 crores for Q2 FY23, a 6% decrease year on year. H1 net profit was at Rs. 204 crores, i.e., a 24% increase year on year. At Arka, the loan book for the quarter is at Rs. 4,128 crores. The revenue for the quarter is at Rs. 127 crores, registering a 52% growth year on year and segment profit is at Rs. 25 crores.

In summary, with a strong half-year performance, we are very much on track for our goal of 2X-3Y advancing satisfactorily on the 5 growth pillars. We have registered a 25.5% CAGR in the last 2 years on a base revenue at the half year of FY22 of Rs. 1,473 crores.

With that update, we will now take questions from the audience.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

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We'll take the first question from the line of Ashish Shah from JM financial. Please go ahead.

Ashish Shah: The first question is that obviously this quarter is a difficult quarter to judge because of the pre-buying in the previous quarter. But based on the order book and inquiry levels, would you expect, let's say, the first half kind of growth momentum to sustain in the second half as well? Or you think that's something which is still evolving, and one cannot be sure of that?

Rahul Sahai: As of now, we have a pretty strong order book; and from a platform and product standpoint, we are absolutely ready. So, we would expect the strong performance to continue in the second half.

Ashish Shah: In the first quarter, you did say that except for the impact of pre-buying, you still had a healthy, which would be +20% kind of a growth. Is that something that you saw? Because, for the quarter as such, you had seen a decline in the Power Gen segment.

Rahul Sahai: I think this is what Gauri mentioned earlier. This was a quarter of transition for us. What actually happens is that there were a lot of changes and adaptations we had to make because of the last-minute notification that came out from the government regarding the emission timelines. For

example, the CPCB IV+ there was a soft postponement of that until June next year. So, I wouldn't worry necessarily too much about the order book or our execution. This quarter was more of a transition for us.

Ashish Shah: A little bit on the gross margin and the raw material cost. This quarter, at least from a sequential perspective, we have seen a fair amount of reduction in the raw material cost. Is this an outcome of the price increases or the raw material prices going down? And this level of raw material cost can be expected in the quarters to come?

Rahul Sahai: We are keeping a close eye on our margins along with the material cost. We are taking full measures to ensure that our margin is maintained. While there is a 130 basis points improvement in this quarter, I would say we are keeping a close eye on it. I can't comment on how the margin fluctuations happen in future.

Ashish Shah: Just one last thing from my side. On the exports front, are we seeing any improved traction?

Because, if I look at the YoY growth, it's a little subdued. First quarter was also about 2.5%.

This quarter is flattish. Do I think this year we are going to see some sizable growth in exports?

Or maybe there is not so much certainty in the markets to be thinking of that?

Rahul Sahai: If you

look at the results, we have actually grown substantially in this quarter versus last year in exports. But what is more important is that we have appointed an exclusive channel partner in the GCC countries; and this is happening for the first time. There is a thought process regarding go-to-market with respect to international markets, and we are committed to executing that.

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Moderator: We'll take the next question from the line of Amit Shah from Antique Stock Broking. Please go ahead.

Amit Shah: My first question is, will it be possible to share the mix between the CPCB IV compliant product sales and how much is the sales of CPCB II compliant products in this particular quarter?

Rahul Sahai: I may not be in a position to give out specific numbers, but what I can tell you is that we are seeing demand from specific regions in India for CPCB IV+ owing to the local regulations. For example, if you look at NCR, there is a lot more traction that we are seeing from that area versus some of the other areas. We continue to sell our CPCB II products at a significant scale.

Amit Shah: In broad percentage terms, would it be possible to share as to what proportion of our Power Gen

sales has been from the CPCB IV compliant product portfolio? Just to get a color on how the traction is moving in this particular segment.

Rahul Sahai: I don't think I can share the numbers, but what I can tell you is that this is the first quarter of CPCB IV+ and we have all the products ready. There aren't too many companies who have all the products ready and certified. So, we are seeing traction, and that traction will continue sequentially every quarter as we move into June of next year.

Amit Shah: Secondly, on the 2H outlook. In the second quarter, we saw a subdued performance given that the first quarter had witnessed a very strong pre-buying. But moving ahead, how do you see the traction in terms of sales? Do we believe that from the second half onwards, sales should revert back to the normal growth trajectory of 10% to 15% that we were witnessing earlier? Or do you believe that the overhang of the first quarter pre-buying should continue in the 3Q? And 4th quarter onwards, we might see normalcy getting back in action?

Rahul Sahai: I just wanted to make it clear that this quarter was a transition for us. It's not because we see an impact on the demand. The transition is more from getting our manufacturing lines ready along with our supply chain ready to ensure that we are able to cater to both CPCB IV+ as well as CPCB II products. It's not an indicator of the demand. Going forward, because we have gone through the entire transition in this quarter, we would expect that normalcy to come back.

Amit Shah: One more thing I wanted to understand; in this particular quarter, our employee cost has jumped up significantly. We have seen Rs. 75 crores to Rs. 76 crores kind of an employee cost in this particular quarter. If you can just share what is the reason for that and what would be the quarterly run rate going ahead, given that it's a very sharp jump on YoY basis as well as on a QoQ basis?

Rahul Sahai: We actually had increments kicking in, in this quarter. But as we move ahead and the revenue normalizes, we don't expect too much of an impact. This quarter, because there was a transition, we had increments as well as owing to the transition, we had a lower volume leverage. As a

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result, our conversion costs increased in this quarter, which is why you're seeing the impact. Otherwise, we expect that to normalize from the quarters going forward.

Amit Shah: This Rs. 75 crores is the quarterly run rate we should assume going ahead? Or do we believe that Rs. 65 crores to Rs. 66 crores are the right quarterly run rate on the employee cost?

Rahul Sahai: I would say the run rate would

be somewhere about Rs. 70 crores.

Amit Shah: Sir, if you can share some details on the CAPEX as to the nature of the CAPEX, although in the initial opening remarks, we have highlighted that this CAPEX is related to the CPCB IV related product portfolio, but what exactly is the nature of CAPEX if you can just highlight? Because, it's a very large number; Rs. 160 crores odd. If you can just highlight as to what is this regarding and whether we have added incremental capacity lines for the manufacturing of CPCB IV? What is the nature of this CAPEX?

Rahul Sahai: All the CAPEX is actually moving into technology and engineering. If you look at it, we are in the midst of emission norm changes. So, we have CAPEX going into CPCB IV+ as well as CEV BS-V on the off-highway side as well as what you will see is there are new product launches happening. The MD spoke about the OptiPrime series that was launched. There is focus on hybridization and sustainability as well as there are new fuel types that we are working on. We have the largest range of natural gas gensets now. So, there is CAPEX going into all of these areas.

Amit Shah: Lastly, on the export; we mentioned that we have appointed a global OEM for the GCC region. How do we see this playing out? What is the kind of trajectory we can expect on the export sales going ahead? We have been highlighting on our 2X-3Y strategy that export would be almost like 25% to 30% of our revenue over the next 3 years. If you can just highlight as to this particular arrangement, how significantly it can change the trajectory of export numbers for the next couple of years?

Rahul Sahai: If you look at our product portfolio, we have a very significant portfolio on the power generation side. When we looked at international markets, one of the first few steps was how do we ensure our product portfolio on power generation is available in some of these key markets. For example, Middle East is a key market for us. What we did was, we looked at the product portfolio that we are selling in the GCC countries. We realized a lot of the focus that has historically been has been on the Industrial and firefighting side. The reason why we have appointed a genset OEM in that region is to represent the full portfolio of power generation that we have, and the GCC countries are a fairly large market for power generation. What we expect going forward is deploying a market-based specific, I would say, strategy where we are looking for able partners who can work with us to win in those markets. For example, GCC is the first step in our channel strategy. We have other markets also in mind, and we are looking for capable partners who fit into our value system. That's the way we are going about it. So, the first step is done.

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Moderator: We'll take the next question from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: In continuation with the previous question on the demand side, now that we are in the second half of this fiscal – basically October has gone – where do you see the demand coming more from? Whether it is coming more from CPCB II or CPCB IV+ related products? Because you mentioned that CPCB IV+ had some demand from the NCR regions and all, but there also the implementation timelines have seen a shift. So, is the market demand more dominated by CPCB II during this quarter itself or again it is going to be a mix of both?

Rahul Sahai: If you look at how the market is behaving from the beginning of this quarter until, say, June, what we are expecting to happen is that initially the demand for CPCB II will be higher. As CPCB IV+ ramps up at some point of time, maybe in the middle, there will be an equal balance.

And then, CPCB IV+ sales will increase and CPCB II demand will go down. That's what we are expecting. And in line with that expectation, our CPCB II

sales have been higher than CPCB IV sales in the last quarter.

Teena Virmani: Is there any impact on the pricing to pass on any kind of raw material correction to the end users, particularly on CPCB II?

Rahul Sahai: No, I don't think so. We have not seen any issue of passing on the raw material impacts or cost changes to the end consumers.

Teena Virmani: And my second question is related to a more mature state of market when it will be mostly CPCB IV lead demand, maybe let's say by June-July onwards, where would you see the scope of margin improvement for the Company and even for the industry per se, particularly for the Power Gen segment? I understand there would be price increases; there are already price increases for CPCB IV+ related products, but would gross margins have any sort of improvement even beyond the current levels?

Rahul Sahai: What we are focusing on are 3 main levers for margin enhancement. The first one is getting into white spaces such as high horsepower. Historically, we have not been present in greater than 1,500 kVA segment. And now with the launch of our OptiPrime, we have expanded that range to up to 3,000 kVA. Number #2 is growing our Service and Aftermarket business because as more electronics come in, it gives us a chance to increase our service penetration and as a result, enhance our margins because then you can get into specific kind of service levels-based contracts. And the third one is looking strategically at our international business and seeing what are the success factors in specific regions and then going to market with those specific factors. Those are the 3 areas that we are working on to increase our margins.

Teena Virmani: So, particularly for Power Gen, will there be any scope for further indigenization or further localization once we reach a matured set of markets?

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Rahul Sahai: Unlike a lot of other organizations, in our case, close to about 90% of the supply chain is already localized and indigenized in India.

Teena Virmani: And remaining 10%, there is a limited scope?

Rahul Sahai: The remaining 10%, I would say, eventually we may have indigenization plans, but not in the immediate future.

Moderator: The next question is from the line of Abhijit Sinha from Pi Square Investments. Please go ahead.

Abhijit Sinha: Just wanted to understand the opportunity in this HHP segment that we are getting in. Obviously, our product portfolio increases substantially, but what kind of opportunity can we see by entering into this segment?

Rahul Sahai: The high horsepower segment is a fairly large segment with a limited number of players. I would say if you looked at the high horsepower segment, that itself would be close to about a 2000-crore annualized opportunity. With our presence there, we feel confident that we will be able to extract some of that.

Abhijit Sinha: What would be the margin differences between this HHP segment versus the segments that were already in?

Rahul Sahai: I don't think I can comment on specific margin changes, but what I can say is it would be higher than the lower KVA which is slightly the more commoditized end of the market.

Abhijit Sinha: Amongst the 3 points that you were making regarding.... One was entry into the HHP segment, one was you mentioned growing the aftermarket services. Where do we stand now? What kind of opportunity do we see over there? And same for the international business, if we could just throw some highlights regarding them.

Rahul Sahai: If you look at it, currently a lot of our customers go out of fold after the warranty period. I can't give out specific numbers on this call, but what we are trying to do is enhance our post-warranty engagement with our customers by looking at the overall service value proposition. We are

looking at different response times, commitments to our customers, and also enhancing our service

capabilities. There's a lot of work that's currently going on. I may not be in a position to give out specific details on this call.

Abhijit Sinha: Specifically, where do we see our exports being as a part of our revenues? Are we looking at about 20% to 30% going forward?

Rahul Sahai: Yes. On the exports side, our ambition is to get to about 30% of our revenues.

Abhijit Sinha: And that's primarily the power generation space, right?

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Rahul Sahai: I would say that's a mix of both B2B and B2C. Power generation would definitely be a large part of it.

Abhijit Sinha: Sir, what's the current breakup between B2B and B2C at the moment? Is it like 80:20?

Ankur Gupta: At a consolidated level if you talk about, it's about 75% to 25% as of now.

Abhijit Sinha: Sir, talking about LGM, we mentioned that the margins have substantially improved.

Rahul Sahai: Yes, it has.

Abhijit Sinha: What's the current turnover right now, sir, in LGM segment itself? You mentioned right now it's only 30% of their total annual revenue.

Rahul Sahai: For the half year, it is around Rs. 250 crores. And for the last quarter, it is Rs. 132 crores.

Abhijit Sinha: Lastly, I just wanted to talk on the OptiPrime segment. That is going to be purely the HHP segment that we spoke about, right?

Rahul Sahai: If you look at OptiPrime and the OptiPrime Hybrid, we have launched these products across the range. But our focus is definitely on high horsepower with that.

Abhijit Sinha: And how would this new genset series be different from the ones existing?

Rahul Sahai: If you look at the product, we have engineered the product to basically provide a better cost of ownership, increase the flexibility to the customers, and also in terms of the footprint, it's a smaller footprint. So, it's a better product for the end-user application.

Abhijit Sinha: So, eventually people would start moving towards this because this is a more optimum genset, right?

Rahul Sahai: Yes, and hence the name.

Abhijit Sinha: The change in the norms from CPCB II to IV, it doesn't mean that in CPCB IV, we get higher margins also over here in these new....?

Rahul Sahai: I would say the electronic content increases substantially. So, it may not be a direct margin accretion as a result of product sales, but we will have opportunities through our services to increase our margin.

Abhijit Sinha: And all our peers have also dealt with it the same way as we have by pre-booking it in the last 2 quarters?

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Rahul Sahai: All the pre-buy has happened for CPCB II.

Moderator: We'll take the next question from the line of Prolin Nandu from Goldfish Capital. Please go ahead.

Prolin Nandu: A few questions from my side. The first is that because of this delay of norms from here to June, how is the competition reacting? Because, we would have typically thought that when the norm change happens, some of the larger players like you would gain market share. Now that that thing is delayed till about June of 2024, is it fair to assume that some of the smaller players might come back with a vengeance? I am just trying to figure out how the competition or rest of the market is reacting to this delay of norms.

Rahul Sahai: I can just give you my opinion of what I have seen. Each Company has their own strategy that is at play, and we are just focused on our main track which is to support our customers. We have all our products ready and certified, and we are providing solutions across CPCB II and CPCB

IV+. But different companies are following different strategies. I may not be able to comment on that specifically, but the assurance we would like to give to our customers is that we are there to support them.

Prolin Nandu: Let me put it another way. From here to June, do you expect market share gains in the overall market, or do

you see some market share losses? Or do you see the market share staying where it is for us?

Rahul Sahai: I would hope for some games for sure.

Prolin Nandu: The second question would be on your Industrial segment within B2B. The last part of pre-buying, if I am not wrong, would have affected the power generation side of it. I am looking at H1 numbers; the Industrial segment has just grown by around 11% and that's lower than the

overall sales of the B2B division. Do you want to call out specifically any reasons for this lower growth number?

Rahul Sahai: If you look at the Industrial business, from our expectations, the way we have looked at the mix, we are pretty much on track. Having said that, there are certain segments within the Industrial side where the demand has been lower than what we thought it would be. For example, agri being one such segment. But apart from that, we don't see the Industrial segment underperforming. It's going as per plan.

Prolin Nandu: One more question on this whole delay of norms. From here to June, as you said that maybe the inventory will normalize and working capital will also normalize, but are there any other costs related to having 2 products with us of two different norms, which can have some kind of drag over the margins? Are there any other costs related to this?

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Rahul Sahai: The working capital increase that you are seeing is largely because of this being a transition quarter. And there are long lead time items that we have had to procure. But all of this will normalize going forward. I don't see any other reason.

Prolin Nandu: On your export business, you said that you are looking at the right partners and taking a different market based on the merits and based on the partnership that you find there. I just wanted to touch up on the developed market side – US and Europe. Are there similar sorts of discussions which are going on there? And is this the only route that you would like to take in the export market? Where I am coming from is that when we met a year or so back in the analysts meet, you mentioned this whole white labeling thing and then we had probably taken it off and we were no longer going to pursue that opportunity. I just wanted to understand that is this the only route of probably looking at the market, finding the right partners, appointing OEM or distributor there, or are there other routes also in export which you are exploring? And if you can just touch upon which other routes you are exploring and specifically related to opportunity in the developed market – US and Europe particularly.

Rahul Sahai: There are multiple modes of entry that we are evaluating by the market center. We have some market centers in mind. There are large power generation and engine market centers across the world. We are extremely clear about that. There are multiple modes of entry. So, what I would say is that the route that we have followed for the GCC countries may not be the only route, but what we will do is as and when we are closer to maturity in some of those conversations, we will keep coming back and updating in these calls.

Prolin Nandu: Is white labeling still on the table or is that off the table right now?

Rahul Sahai: White labeling may not be an ideal option for us. We will update in this call in case any such arrangement happens, but I would say it's definitely the least preferred option.

Prolin Nandu: Just one last suggestion. If you can give slightly more granular details on your financial services just like most of the NBFCs would be giving in terms of NIMs and NPA numbers and all, that would help to understand where that NBFC is going. This disclosure is slightly inadequate. If you can just add those kinds of details just like any other NBFC, that will help. That's it from my side.

Moderator: We'll take the next question from the line of Ashish Shah from

JM Financial. Please go ahead.

Ashish Shah: Sir, within the Power Gen segment, could you highlight the key sectors which are driving the demand at this point of time where you are seeing the maximum pickup? If you can throw some light on that.

Rahul Sahai: We are seeing a lot of demand up-tick happening from infrastructure. There is a lot of interest from data centers as well. I would say those are the 2 big segments for us. Of course, there is

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growth that we are seeing from smaller segments as well. But I would say those would be the 2 big segments.

Ashish Shah: Data centers would typically need gensets above 1,500 kVA. Am I right in saying that?

Rahul Sahai: A lot of times, yes. But we have executed orders right from 500 kVA upwards.

Ashish Shah: So, you would say that these are the 2 areas which are driving the bulk of the demand at this point of time. Secondly, on the industrial side, you did allude to some emission norms change which is in the construction segment. Any more color on that in terms of the timeline and how significant is this business as a proportion of, let's say, our Industrial segment? And what is the preparedness to meet the new equipment which will be needed?

Rahul Sahai: The emission norm that we are talking about is CEV BS-V. What we are hearing through ICEMA and some of the other bodies is that there could be a potential change or delay in the norms. But what we are currently focused on is to ensure that our OEMs win in the market, and we are working very closely

with them. There were timelines around proto builds that we had commitments on with our OEMs, and we are focused on executing that. So, there is a possibility that we may see pre-buy kicking in for the CEV BS-IV products in the last quarter of this financial year unless something changes in the notification. We are keeping our eyes and ears open to just keep an eye out on that.

Gauri Kirloskar: But as of now, the deadline is April of FY24.

Rahul Sahai: How significant part of our segment gets impacted by this particular transition? Just to get some sense of proportion.

Rahul Sahai: What I would say is that if you look at our construction segment, we do roughly around Rs. 400 crores to Rs. 450 odd crores. And this change will impact a large chunk of it.

Rahul Sahai: Sir, my last question is actually on the lines of what the previous participant asked. If we could share at this point in the call any breakup of the loan book in terms of the segments or the end sectors where the exposure is and also any numbers on the gross or net NPAs that we could share here?

Gauri Kirloskar: Out of the total loan book which is Rs. 4,033 crores, we have about Rs. 1,300 crores that is going to wholesale lending, about Rs. 1,200 crores that's going towards real estate lending & urban infra, and about Rs. 1,500 crores to SME & MSME.

Amit Gupta: Just to reconfirm the numbers that Gauri ma'am has suggested, only 1 sub-bifurcation. Rs. 1,200 crores is not totally to RE & urban infra. Out of that, Rs. 932 crores only towards the real estate developer and the balance is towards the warehousing, logistics, and other parts of the

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infrastructure industry. All put together, Rs. 4,033 crores the total loan book as on 30th September 2023.

In terms of GNPA, we are only at 0.19% of GNPA in the entire loan book. At NNPA, we are at 0.05%.

Rahul Sahai: Just one small additional piece of detail. When we say Rs. 1,500 crores is to SME and MSME, which would be these sectors primarily? Or is it too diversified to call out?

Amit Gupta: It is diversified in terms of a variety of industries and in terms of a product also, it is highly diversified into 2 to 3 different segments.

Rahul Sahai: Can you just highlight these segments, please?

Amit Gupta: Basically, it includes the

manufacturers or the traders who are the SMEs. They own these Udyam registration certificates, they have their own premises, they have been running the business. The entire money goes out for the business purpose only. We have been also doing a little bit of digital lending where we have already got tied up with 3 or 4 channel partners and the entire STP process is being set wherein they are sourcing cases for us, and basis our credit parameters and credit norms, we have been disbursing those cases. This is the one segment where we have been disbursing to the individuals for their personal consumption, maybe for education purpose, maybe for consumer durables or any other purpose. And another very small book comprises also of a supply chain, which is at almost in a single digit number kind of a thing in crores.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Amit Shah from Antique Stock Broking for his closing remarks. Over to you, Mr. Shah.

Amit Shah: I would like to thank all the participants for joining the call. I would also like to thank the management for giving us the opportunity to host the call. I would request the management to provide us with the closing remarks post which we can conclude the call. Over to you, ma'am.

Gauri Kirloskar: I just wanted to say thank you very much for your interest in the Company.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. We thank you for joining us. And you may now disconnect your lines.

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"Kirloskar Oil Engines Limited Q3 FY-24 Earnings
Conference Call"

February 13, 2024

M
MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR .
MR. RAHUL SAHAI – CEO (B2B)
MR. ASEEM SRIVASTAV – CEO (B2C).
MS. SMITA RAICHURKAR – COMPANY SECRETARY
AND HEAD LEGAL
MR. AMIT GUPTA – CFO (ARKA).
MR. ANKUR GUPTA – CFO (B2B).
MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Kirloskar Oil Engines Limited Q3 FY24 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharendra Tiwari from Antique Stock Broking. Thank you and over to you sir.

Dhirendra Tiwari: Thank you. Good evening, ladies and gentlemen. On behalf of Antique Stock Broking Limited, I welcome you to 3Q FY24 Post Results Conference Call of Kirloskar Oil Engines Limited.

We are pleased to have with us today Ms. Gauri Kirloskar – Managing Director, Mr. Rahul Sahai – CEO, B2B Business, Mr. Aseem Srivastav - CEO, our B2C Business. I welcome all the management of KOEL on the call.

Now, I invite Ms. Gauri Kirloskar to discuss the Results following which we will take Q&A.

Over to you, Gauri Kirloskar. Thank you.

Gauri Kirloskar: Thank you very much. Good evening, everyone. This is Gauri Kirloskar, Managing Director of Kirloskar Oil Engines.

Thank you all for joining the call today. I have with me Rahul Sahai – our CEO, B2B; Aseem Srivastav – CEO, B2C; Ankur Gupta – CFO, B2B, Smita Raichurkar – Company Secretary and Amit Gupta – CFO of Arka.

I will first start with the "Business Update":

KOEL had a successful quarter achieving its highest ever Q3 sales, contributing to the highest year-to-date sales as well. The gross revenue to the third quarter reached Rs.1125 crores reflecting a 14% year-on-year increase. The year-to-date growth revenue totaled Rs.3428 crore, marking a 17% growth compared to the previous year. Overall demand was strong during the quarter based on the continued focus on infra spend in the Indian market. We continue to see mixed demand from CPCB II and CPCB IV+ Engines. As you all know the CPCB II engines are allowed to be sold till June of this year that is 2024, and we expect the mix demand to continue till then. Even though BS5 has been postponed from April 2024 to Jan 2025, we are ready with the BS5 engine platform as well.

This quarter also marks the most significant milestone for us. We have won the NPCIL order for supply of gensets for nuclear power plant. The order value is 768 crores for an order execution over 68 months for the Kudankulam project of NPCIL. This is the largest ever single order for

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KOEL. Another development on international business is the Wildcat acquisition. Kirloskar America Corporation acquired a 51% stake of engines LPG LLC doing business as Wildcat Power Gen an Ohio Limited liability company and an approximate consideration of \$357,000.

Engines LPG LLC is engaged in the business of designing, manufacturing, selling and servicing generators powered by gas, diesel and other environmental, fuel and power solutions under the brand name of Wildcat Power Gen for all types of applications. This acquisition is a step towards business expansion and to enable market development at Power Gen applications for the North American market. We have also appointed a GOEM called My Span to serve and grow our business in the Middle East. Now coming to B2B business updates:

In the power generation segment as I mentioned at the beginning, currently we are experiencing strong demand for our CPCB II gensets. So, we are fulfilling the orders which are a mix of CPCB II and CPCB IV+ genset. Additionally, there has been noteworthy expansion in the sales of gas gensets indicating a substantial surge in the adoption of power generation solutions fueled by gas. As of the year-to-date assessment, t

he sales figures have surpassed the 150-unit mark, forming a significant and positive trajectory in the sector's performance. In the industrial segment, we have observed a strong demand emanating from the construction and railway sector. This serves as a confirmation of the ongoing narrative surrounding India's infrastructure development and the government's dedicated emphasis on capital investment in these specific sectors. In this quarter another endeavor involves a new product line consisting of remanufactured items that delivers performance comparable to new ones, but with a considerably reduced environmental impact. This not only results in financial savings for our customers but also contributes to a lower carbon footprint. Such efforts solidify our dedication to the circular economy emphasizing a cradle-to-cradle approach.

On the B2C side, we continue our stabilization efforts with the race strategy that is reach, agility, cost and engagement. The diesel and electric pumps have witnessed more than 25% growth during the quarter over last year. Our distributor base grew 22% over last year Q3. As a part of our widening efforts, we added 26 new channel partners during the quarter. The B2C segment has witnessed notable profitability enhancement as the segment profit for the year-to-date period reached 36 crores up 105% compared to 17.5 crores in the previous year.

I will now briefly update on the "Financial Performance" on a quarterly and a year-to-date basis: These are the standalone numbers for Q3FY24 financial performance. Net sales at Rs.1125 crores for Q3 FY24 versus Rs.990 crores for Q3 FY23 a 14% increase year-on-year. EBITDA at Rs.133 crores for Q3 FY24 versus Rs.109 crores for Q3 FY23, which is a 21% increase year-on-year, EBITDA margin is at 11.7% for Q3 FY24 versus 10.9% for Q3 FY23. Net profit is at Rs.82 crores for Q3 FY24 versus 68 crores for Q3 FY23 a 21% increase year-on-year. On the year-to-date numbers net sales is at Rs.3428 crores for year-to-date of 24 versus Rs.2932 crores
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for year-to-date 23 a 17% increase year-on-year. EBITDA is at Rs.386 crores for year-to-date 24 versus Rs.328 crores for year-to-date 23 which is an 18% increase year-on-year. EBITDA margin is at 11.2% for year-to-date 24 versus 11.1% for year-to-date 23 and net profit is at

Rs.244 crores for year-to-date Fiscal Year '24 versus Rs.205 crore for year-to-date 23 a 19% increase year-on-year.

I will now give an update on working capital. As we updated last time, the last quarter started with challenges on the supply front due to the continuation of CPCB II for another one year while CPCB IV+ was also introduced. As a result, we continue to see demand for both product lines which has resulted in a complex supply chain and manufacturing situation. To meet demand and customer requirements on delivery timeline we have made investments in stocking materials that has resulted in higher inventories which we expect to normalize over the next year as we go through this period of transition. Further, we have also seen an initial recovery of approximately 5 crores from the amount provided for against a customer receivables, we reaffirm that the full balance of the receivable amount was already provided for.

Now, I will take you through the business wise standalone revenue break up for the quarter and year-to-date performance:

The B2B business reported sales of 973 crores for the quarter which indicated growth of 13% year-on-year. The year-to-date sales were at 2972 crores which is a 17% growth year-on-year. Within B2B power generation reported sales of 426 crores for the quarter which is 5% year-on-year growth and 1388 crores for the year-to-date which is a 17% year-on-year growth. The industrial segment reported sales of 232 crores for the quarter, which is a 23% year-on-year growth and 699 crores for the year-to-date which is a 15% year

-on-year growth. Distribution and aftermarket reported sales of 180 crores for the quarter, which is a 17% year-on-year growth and 539 crores for year-to-date which is 19% year-on-year growth.

National Business reported sales of 125 crores for the quarter, which is 21% year-on-year growth and 346 crores for year-to-date which is 19% year-on-year growth. B2C, a standalone business has reported sales of 152 crores for the quarter, which indicates growth of 16% year-on-year.

The year-to-date sales were 456 crores for the quarter, which is 17% growth year-on-year. Within B2C, KOEL Water Management Solutions recorded a revenue of 133 crores for the quarter which is up by 32%. The farm mechanization business recorded a revenue of 19 crores for the quarter down by 37% for the quarter and 9% for the year due to seasonality leading to delay in subsidies from the states in which we operate.

Now, I will update you on a consolidated business:

LGM sales were flat but with significant improvement in year-to-date PBT from 11 crores to 25 crores. The new plant construction is going as per scheduled. LGM exports grew at 10%. Now, I will update you on the consolidated business. During the quarter Arka FinCap raised 300 crores through the public issue of secured rated listed redeemable non-convertible debentures with face

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value Rs.1000 each. The AUM excluding balance sheet items as on December 31st, 2023 was at Rs.4475 crores. The company is planning to expand their branch offices and also plans to expand the employee base for the growing business requirements. Overall, if you look at the

consolidated results, revenue from operations is at Rs.1390 crores for Q3 FY24 versus 1220 crores for Q3 FY23, 14% increase year-on-year. Net profit is at 120 crores for Q3 FY24 versus 88 crores for Q3 FY23 a 36% increase year-on-year. For year-to-date, FY24 revenue is at 4238 crores for year-to-date FY23 versus 3640 crores for year-to-date FY23 which is 16% increase year-on-year and a net profit is at 324 crores for year-to-date Fiscal Year '24 versus 253 for year-to-date fiscal 23 a 28% increase year-on-year. Please note that this quarters numbers and an exceptional item of Rs.31 crore due to a provision made for investment in Arka fortunate investment fund due to regulatory changes announced in December 2023.

In summary, with a strong performance we are on our path for the 2x 3y journey, backed by strong demand in the domestic market. While we are gearing up for the upcoming technology changes in this industry we feel we stand strong together as a KOEL team. Our R&D team at KOEL is tirelessly working to establish a competitive edge in the alternate fuels, landscape for internal combustion engines and we will continue this path for a brighter future for all of our stakeholders. Thank you very much for listening and now we can take your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. And first question is from the line of Ankit Babel from Subhkam Ventures. Please go ahead.

Ankit Babel: My first question is on your guidance of doubling our revenue in three years which you mentioned last year. So, FY23, you had shown a growth of 25%. This year so far, we are running short of that 25% growth rate which is required. But you still see that, you will meet your guidance in next say five quarters. So, first of all, can you just throw some light that what is giving you that confidence that you still meet the guidance in spite of a slightly lower performance so far?

Gauri Kirloskar: Thanks very much for your question. So, it's a great question and what I would like to say on it is that yes, you have seen that dip in the growth rate. But if you look at what has happened in the industry in the B2B industry versus, when we set out our target there was a delay in CPCB IV notification that has come about. So, we

have seen, specific transition that has happened over the last two quarters, which will play out, and we still manage to achieve a certain growth rate, in spite of not having the kick-in of all the price uptake that we would expect on CPCB IV. So, the way I would answer your question is, I still see our performance is very strong, when we compare it to our ambition, and we still very much aspire to the ambition that we set out to achieve by next fiscal year.

Ankit Babel: So, the asking rate next year would be very high, maybe at 30, 35 whatever that percentage number is. So, just to reconfirm that, that kind of growth is possible next year, considering the volume and price increases to considering that?

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Rahul Sahai: Hi, this is Rahul. So, what is happening is that, when you are in a transition year, it is not the product that you are trying to straddle, it's also the back end, and the readiness that you need to create. So, a lot of that work is actually done now. And as a result, we had budgeted for a few leaner months, relatively speaking, and those have happened in this financial year. So, we continue to aspire for the vision that we had set for ourselves the target, and we will continue to focus on that for next year.

Ankit Babel: Okay. And second is that though you have improved on your operating margin, but if we still

see your margins compared to the industry leader, there is hell lot of difference. So, any ballpark idea, where do you see your margins may not be this year, next year but over the medium term

say in the next two, three years, operating lever on the standalone business?

Rahul Sahai: So, if you look at margins, margins are also a function of the product profile. And if you have been noticing, we have been making some inroads on the high horsepower side as well, so we are executing some large inserts contracts and things like that. And all of those things help with the margins, along with enhancing our services business. So, those are all areas that we are focusing on. So, as we mature, we should gravitate pretty close to more mature players in this industry, I wouldn't think of it very differently.

Ankit Babel: No, so sorry to harp on this question again. But since the difference is too huge. So, just wanted to know, what could be the range, can you be in the 15% range or what?

Rahul Sahai: No, so I can't really answer that on this call. But we can definitely aspire for, like a stronger margin profile for sure.

Ankit Babel: Okay. And any views and is your Arka business now self-sustainable in nature. Since you have already said that, you won't invest more than 1000 crores in that business. So, is it now self-sufficient?

Gauri Kirloskar: Yes, that's right, we are not going to invest more than 1000 crores and business is now on its way to raising external capital as well, and we feel that it is strongly positioned for that.

Ankit Babel: So, can we now think of demerging this business?

Gauri Kirloskar: No, that's not how quickly we would make our decision. And it's something that will play out over time, there's are many factors at play for us to make that kind of decision.

Ankit Babel: Any one particular reason which is preventing you to demerge, just wanted to understand since it is self-sufficient, there won't be any infusion from Kirloskar Oil. Then what is the reason of running it in this company, just wanted to understand that.

Gauri Kirloskar: So, I am not going to be able to answer your question, basically the way that we look at feeding businesses and growing businesses is inefficient and in a way that is right for the business. So,

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we will go forward and take the appropriate steps in well thought out way it's what you are suggesting is jumping many steps ahead.

Moderator: Thank you. The next question is from the

line of Aditya Agrawal from Ambit Global Private Capital. Please go ahead.

Aditya Agrawal: So, couple of questions from my end. So, the first one is, during the quarter what was the contribution from CPCB genset?

Rahul Sahai: So, contributions in terms of volume, I would say roughly about say 15% to 20% were CPCB IV and the rest of it was CPCB II. We expect the CPCB IV volumes to continue to increase as we move closer towards the June of this year.

Aditya Agrawal: Okay. And just to understand sir, what is the margin profile if you compare CPCB II versus CPCB IV+. So, how much is the difference in terms of the absolute margin?

Rahul Sahai: So, it will be somewhat similar. But there are variations from node-to-node, I don't think I can give that to you on this call.

Aditya Agrawal: Okay, that's fair. Second is regarding the OptiPrime which we introduced recently, so has been the order book shaping up?

Rahul Sahai: So, we have received a fairly positive response to that, we have a relatively strong order board, when it comes to OptiPrime, there has been distraction from a lot of our customers, especially if you look at infrastructure and real estate, the customers have been pretty positive. So, we are hoping to carry that forward in the next financial year. We are executing OptiPrime orders across the range in the financial year. So, we are already doing that.

Aditya Agrawal: Okay. And just a last question, our exports in the quarter was roughly about 13%. So, where do you see this number shaping up let say in two years, three years down the line?

Rahul Sahai: So, our ambition is to have exports be about 30% so far businesses. So, we will make strategic moves in line with that, as you saw our MD talking, so we made investment in the US, along with appointment of GOEM in the Middle East in this quarter. So, we are evaluating all options, and we want to grow the international business. However, we do it strategically and purposefully.

Moderator: Thank you. The next question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: My question is related to power gen segment of the company during the current quarter. The growth was a little weaker than you would have seen in let's say, the industrial distribution and

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even exports. So, is it more to do with the demand or is there anything specific that would have impacted the sales of power gen segment during the quarter?

Rahul Sahai: So, we continue to see a strong demand. Right now, we are straddling between CPCB II and CPCB IV. So, it's a lot of rigor around execution that we are focusing on. I don't see the demand softening or any issue on that end. We have a pretty strong pending order board, which we will carry forward in this coming quarter.

Teena Virmani: Okay. So, this quarter ideally the demand would have, like you mentioned that this would have been more dominated by CPCB II?

Rahul Sahai: Yes, that's correct.

Teena Virmani: Okay. So, in the coming quarters again it will be more or less demand coming in from CPCB II so, can we expect a little better growth in the power gen segment, or it may be because that challenge will continue to remain in quarter four also between CPCB II and CPCB IV. So, how do you see this traction in the power gen segment particularly when the demand drivers are much stronger in the industry?

Rahul Sahai: Yes, so what has happened is, as we approach the deadline, the contribution of CPCB IV is going to increase. So, what was 50% in the last quarter will, this will keep increasing, because even our GOEM would want to mitigate risk of stocking CPCB II gensets with them, because the guideline says that there is, the deadline for both GOEMs and the Indian manufacturers are co-terminating. The deadline is co-terminating in June. So, it will be four is going to slowly come

in the forefront in any case, in quarter four, we may still see a lot of CPCB II, but a higher

contribution of CPCB IV+ than what we did in the last quarter.

Teena Virmani: Okay, got it. And my second question is related to the gross margin of the company during current quarter, we have seen an improvement on a year-on-year basis for KOEL for 3Q. So, what led to this increase, is it more driven by CPCB IV+, or is it more driven by HHP contribution into your product mix or maybe export or distribution?

Rahul Sahai: So, if you look at what's been happening, we have been executing more orders in the medium and high-power range, that's number one. Number two, if you look at our distribution and aftermarket business, we are seeing a higher penetration there. Also, if you look historically, our contribution from international business is higher in the last quarter than it has been same time last year or in the previous quarter. So, these are the three main profitability drivers.

Teena Virmani: Okay. And on your B2C division, if I can ask just the last question on your B2C division, is the B2C division at similar profitability and B2B division or like what kind of sales would be required for this division to see a better absorption of cost?

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Rahul Sahai: So, if you see in the results, B2C margins are already there. On the console if you see it is already there.

Moderator: Thank you. The next question is from the line of Rahul Jain from JM Financial. Please go ahead.

Rahul Jain: I have two questions. So, my first one will be on the B2C business wherein we saw a 4.8% EBIT margin during the quarter. So, how sustainable is the profitability for this B2C business, and can you help me with the trajectory in which the improvement can come in the next one and a half, two years?

Aseem Srivastav: Hi, this is Aseem here. So, if you see last year we came up with a strategy of raise where we were focusing on margin improvement in LGM and also growth in WMS. Now, these two things we have achieved where the WMS business is growing by around 25% to 30%. And LGM is now very stable with margins of around 5% to 6%. So, whatever strategy we adopted, this is sustainable, and there will be some improvement in margins going forward and in LGM, also, around 10% to 15% growth is possible going forward.

Rahul Jain: So, sir in the medium to long run can we expect that 8% to 10% margin levels in this business, which will contribute to your 2x 2y strategy, if you can just give?

Aseem Srivastav: So, if you see our pump and small engine business already there at 8% to 9% margins.

Rahul Jain: So, farm mechanization is where we are getting pinched?

Aseem Srivastav: Yes, that's right.

Rahul Jain: Okay. My second question will be on Arka. So, Arka saw fantastic growth in AUM quarter-on-quarter as well as the revenue was up significantly on a year-on-year basis. However, the profits were significantly down so just needed to know the reason for the lower profitability during this quarter.

Gauri Kirloskar: Yes, that's due to the exceptional item, let Amit are you there, you explain it please.

Amit Gupta: So, Rahul you got the right point. If you remember there is a RBI circular which has come in the month of November, which has given a mandate for any NBFC to provide for the investment they have made in any AIF and if both the entity have a common downstream investments So,

Arka has made an investment to the extent of a 30.8 crore in Arka Credit Fund 1, in that sub sponsor kind of a category, because they have a one common investments. That is why because of the regulatory provision, we have to make a provision of 30.8 crore in Q3 itself in December

2023. Had this provision not been there, our tax for the quarter would have been approximately 24 crore. Currently, I am sure the reported numb

er which is coming in the media is roughly around four crore or at Arka independent level, had this provision not been there it would have been at 24 crore.

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Rahul Jain: 24 crore in total right?

Amit Gupta: For the quarter itself.

Rahul Jain: So, the profitability can come back in Q4 onwards, there is a....

Amit Gupta: For the quarter definitely, it will come back.

Gauri Kirloskar: It's an exceptional one-time item.

Amit Gupta: Yes, one-time item as the fund life will get over the amount will be coming back. The provision will get reversed.

Moderator: Thank you. The next question is from the line of Sagar Parekh from One Up Financial. Please go ahead.

Sagar Parekh: So, first question is on this price difference between CPCB II and CPCB IV+, what would be the price difference on average, I understand from different nodes it will be different, but broadly can you give us a range?

Rahul Sahai: 40%.

Sagar Parekh: So, when you mentioned that this 15% of our volumes were at a higher price. Still our Power Gen overall growth was only 5%. So, I'm not just able to reconcile that revenue number then so, maybe if you can throw some light on that?

Rahul Sahai: You are asking for the quarter?

Sagar Parekh: Yes, for the quarter. So, the Power Gen revenue growth is 5% for the quarter, and you are saying 15% of the volumes would have been at a higher price 40%?

Rahul Sahai: Yes. So, actually, if you look at the last year same quarter, we had an unusually high and we were executing some one-time orders on Power Gen, which is why actually same time last year was higher than our normal, which is why the growth looks muted. But if you look at on a year-to-date basis, you will see that the Power Gen performance is much stronger.

Sagar Parekh: Got it. And for quarter four, do we expect any kind of pre buy for CPCB II or are you already seeing pre buy already doing in the market?

Rahul Sahai: Yes, so we are expecting some amount of pre buy, although people are going to be slightly careful. So, it won't be to the same extent as what we saw earlier. But we are expecting some pre buy to kick in here.

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Sagar Parekh: If I remember correctly, last year this year, current year, the pre buy was about 100 crores if I'm not wrong, so for this quarter the amount will be slightly lower than that?

Rahul Sahai: Yes, it should be lower than that, yes.

Sagar Parekh: Okay. And if I heard you correctly, you are still sticking to your guidance of 6500 crores top line for FY25 from standalone business?

Rahul Sahai: Yes, so we still continue to drive that as a target.

Moderator: Thank you. The next question is from the line of Prolin an Individual Investor. Please go ahead.

Prolin: I just want to understand that for the nine months FY24 have we lost any market share in Power Gen segment. And how do you define market share is it in the product segment where we are present or do we seen the entire market share and where I am coming from this is, the market leader for nine months has grown at a much more faster pace than what we have done in some time. And, when we had defined with this 2x 3y strategy, we wanted to gain market share in the high horsepower kind of segment as well, where our market share was low. So, from that point of view, and assuming that there is a 40% price hike in CPCB IV genset, in terms of volume have we lost some market share, because that's what our whatever publically data that is available, that's what it points to. So, is that a correct assessment and if not, why is this number a bit on the lower side versus the market leader?

Rahul Sahai: So, if you look at our market share on power generation side excluding Telecom, because one of the things that we have consciously taken a call if something is not profitable, we are not going

to get into it beyond a point. So, we want to enhance the value for the organization. But if you look at our market share, excluding Telecom, our market share have remained somewhat similar. Of course, if you look at node-wise market shares, we have gained some market share at the higher end a little few percentage points. And at the lowest end, we have lost a little bit of

market share because of our own, it was like an intentional call. But if you look at without Telecom, the market shares are somewhat similar they are not very different.

Prolin: Okay. So, x of telecom, in lower notes you are saying market share is similar, is that a fair assessment?

Rahul Sahai: The market shares haven't changed too much, by in telecom market and that's a different kind of market.

Prolin: Sure. And in our higher nodes, where was our market share, let's say a year back before we embarked on this 2x, 3y journey. And can you tell us a little bit about your aspirational market share that you want to be in three to five years' time, and what are some of the white spaces where we have not exactly white spaces, but what are some of the right to win segments use case that we are targeting, where we think that we can gain over some of the existing players?

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Rahul Sahai: Sure. So, if you look at the power generation market, overall, what you will see is that, the market is broadly categorized. So, you look at the 750 kVA upwards 250 to 750 kVA and below to 250 kVA. Now, if I look at 750, kVA upwards, our market share was single digit at say 750 and 1010

kVA, we have grown that to double digits, we had practically no presence beyond that. Now, we have a few single digit percentage points in, now especially when you compare that to the revenue and the margins, there is a significant gain there as a result of, node by node, focus and entry into the higher nodes. So, just to give you a sense of how the market is, on the lowest end, like I said if there are segments that are not making money or are not profitable, then we at times have taken conscious calls. And as a result, we may have seen some intentional drop in market share there. Overall, however, we had a very similar market share, there is not much change.

Prolin: Sure. So, Rahul just to, double click a little bit on that if you can talk about certain segments that you are targeting, certain use case that you are targeting to gain this market share. And if you can probably help us understand what can be that aspirational market share in higher nodes in three to five years time that will be helpful.

Rahul Sahai: So, one of the segments is infrastructure. And we are seeing a lot of growth in that segment. We aspire for 20% market share in most of the segments that we operate in at least 20% and we see a significant opportunity there. So, since you asked for a segment, infra segment is fast growing, it contributes to a large chunk of our portfolio, and we would aspire for 20% market share across the node.

Prolin: Okay, and anything on data centers, when you said that in higher kVA we have fought some single digit market share. So, if I talk about this data centers, is it fair that there also we have fought some certain single digit market share?

Rahul Sahai: Correct. So, data centers are also some of our customers that we are executing our orders with.

Most of our orders are in the 500 to 1010 kVA range. Slowly, we are also getting inquiries and leads and we are in advance stages talking about the 2000 kVA and upward so those conversations are also happening.

Prolin: Sure. And from this press release of this JV with Man Energy France SAS, is it any way related to the NPCIL order that we won, and if not, what is this regarding if you can share a little bit more texture on this JV?

Rahul Sahai: Sure, so it's not a joint venture. It's a transfer of technology for specific purposes, b

ut at this

point, I won't be able to comment on whether it's related to NPCIL or not.

Prolin: Okay. But in future, do you think that this technology transfer will help us target a larger market in the domestic side of it or export side of it, and how did we decide on build versus buy or technology agreement that also if you can help us?

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Rahul Sahai: What I can say is that it's not a strategic larger population. So, it's for a very specialized purpose and in case there is a larger population we are evaluating or that we sign off, we will update you.

Prolin: Fair point. And Gauri my one question to you would be that, as we have already, you have reiterated that we are online for our 2x 3y strategy, but when we look at the margins, we have already reached double digits. So, that is something which we have already achieved, maybe six quarters before what we had targeted for. So, is there a need to probably set some higher targets when it comes to margin in terms of mid-teens, low-teens right, anything on that?

Gauri Kirloskar: We will aspire to improve from where we are, thanks for acknowledging that we have made that improvement, as Rahul also mentioned in response to an earlier question, and Aseem as well, there is still scope for us to improve. So, we hope to show you that improvement in the coming quarters.

Prolin: That's great Gauri, thanks a lot. Thanks a lot, what I was wanting to think was, in putting that out on the presentation, so that everybody on the firm is also aligned. That was my objective.

Gauri Kirloskar: We have already felt double digit. So, what exactly are you looking for?

Prolin: No, we have already reached that double digit. So, I was just thinking whether in terms of further maybe mid-teens to low teens kind of number that you want to put it?

Gauri Kirloskar: So, you know where the competition is at, and where strategically we are looking at making improvements, whether we talked about the high horsepower space, or service penetration, or the export side. So, we do see that, there is scope for us to improve margins but, I'm not going to talk about a very specific number, because we will know where that ends up.

Prolin: Thanks a lot for that. Lastly, on this 5 crores that we recovered, if you can just remind us as to what was that total that we had already provided for and what are the kind of mechanism that we are using to recovery the remaining, I understand that we have provided for that. But what was the total amount that was provided for then, do we expect recovery to continue happening down the line as well or this was 5 crore was the debt that came from that account.

Gauri Kirloskar: Sure, happy to answer that. So, if you remember over the course of last year, the last maybe three quarters, we have fully provided for this amount which was a total of approximately 47 crores. So, with this 5 crores recovery, we now stand at an outstanding of 41 and the team is continuing to make full efforts to recover the outstanding amount.

Moderator: Thank you. The next question is from the line of Amit Shah from Antique Stock Broking. Please go ahead.

Amit Shah: My question is more on the export side of the business. So, on exports, that is one of the key pillars to achieve our 2x 3y guidance. We have already raised 150 crores kind of a quarterly run

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rate on the export side of the business. I just wanted to know that, when we listen to your from competitors commentary, the guidance for a very muted kind of export market and the demand has been slowing down globally. So, in that background, what is our thought process with regards to exports because we were targeting somewhere around about 30% kind of a contribution coming up from exports. So, we have already established our GOEM in the Middle East and US. But how do you

look at exports growing in the current challenging environment, if you can, please help us understand that?

Rahul Sahai: Thanks for asking that question, this is Rahul. So, I understand that a lot of the industry players are seeing muted International Business volumes. However, if you look at from our business lens, the opportunity to grow is still very much there, because our base is a relatively smaller. So, once the basic strategy moves are in place, and we are geared for growth, which is what we are currently trying to establish. So, one example is the GOEMs that we have set up both in the US as well as in the Middle East now. So, once we have the structure for manufacturing and the distribution setup, I do see that over a period of time we should be able to get to a much higher level of contribution. And yes, we aspire for 30% export contribution at a mature stage.

Amit Shah: Secondly, on the FMS side of the business, so that business is witnessing a sharp sort of decline in a quarter when you look at the nine months number, the numbers look pretty muted. So, what is the outlook there slightly from a longer-term point of view, both on the WMS and FMS side, what is the kind of contribution that we are expecting from that particular business and what kind of margins do we anticipate this particular business to contribute if you can just help us understand?

Gauri Kirloskar: Sure, a good question. I will answer first on FMS, your question on FMS and then I will let Aseem answer on the WMS side. So, as a leadership team, we are re-looking at our overall business strategy in the farm mechanization business. The performance of this last quarter and overall has not been in line with our expectations and I feel there is a need to relook at the strategy that we have there. The agriculture segment is of strategic importance to us. And we want to ensure that we reach our customers with the right products, and at the right price in all of the marketplaces where the customer wants us to be. We also know that this market is evolving it's highly fragmented, and there is many organized as well as unorganized players. The market dynamics are different state-to-state depending on crops, depending on seasonality and also different subsidies. So, we haven't actually been very successful in managing it well. So, there is a need to reevaluate our strategy here. The good news is it's a small business for us when we compare it to our overall portfolio. So, changing costs will be relatively easy for us and Aseem and his team will be working on this and I hope to see that improvement in the coming months, I will let him respond on the WMS question.

Aseem Srivastav: Thanks Gauri. So, WMS actually has two components, one is the pump business and second is the small engine business. So, if you see, this year both these businesses have a very strong growth of 25% and 30%. So, we have definitely captured market share, and there is a significant

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improvement in margin also, both small engine pump business have a margin EBITDA of around

8% to 9%. Now, we are confident that this year we will be able to maintain this growth and margin for the WMS business, which is 90% of the B2C business.

Amit Shah: And if you can just highlight which are the end markets which is driving the growth, both for the pumps and is it more on the residential side, agri side of the business and even on the engine side.

Aseem Srivastav: So, if you see on the pump side we focus into the domestic pumps and the agri pumps. And both these side we had 25% to 30% growth. On small engine, the construction sector is one and the OEM market is the second where we are seeing significant growth, but see the market is not growing at that rate, market is growing at 4% to 5%. We are growing at this rate because of our strategy.

Amit Shah: And any market share data points that you would

like to share, what is our current market share

at this point of time and incrementally what we aspire to?

Aseem Srivastav: So, see this is very, very fragmented segment and no one player has more than 10% to 12% market share. Our current market share is around 5% in pump, in small AUM our market share is 30%.

Amit Shah: My last question would be on Arka. We have done a provision of 31 odd crore in this particular quarter because of the change in the RBI regulations. I just wanted to reconfirm that, have we done the 100% provisions, or can we expect some more provision to materialize even in Q4?

Gauri Kirloskar: No, it's 100% provision.

Moderator: Thank you. That was the last question, I would now like to hand the conference over to Mr. Amit Shah from Antique Stock Broking for closing comments.

Amit Shah: So, thank you everyone for joining us on the call. I would also like to thank the management for giving us the opportunity to host the call. I will request Ms. Gauri Kirloskar, to make the closing remarks. Post which we can close the call. Over to you ma'am.

Gauri Kirloskar: Thank you. Thank you very much Amit to you and your team for hosting the call and thank you very much for all of the investors who have joined and showed interest in the company. Thank you.

Moderator: Thank you ma'am. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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"Kirloskar Oil Engines Limited Q4 Earnings
Conference Call"

May 9, 2024

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR.
MR. RAHUL SAHAI – CEO (B2B)
MR. ASEEM SRIVASTAV – CEO (B2C)
MR. SACHIN KEJRIWAL – CFO
MS. SMITA RAICHURKAR – COMPANY SECRETARY
MR. AMIT GUPTA – CFO (ARKA).
MR. ANKUR GUPTA – CFO (B2B).
MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q4 FY '24 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharendra Tiwari from Antique Stock Broking. Thank you, and over to you, sir.

Dhirendra Tiwari : Thank you very much. Good evening, ladies and gentlemen. We, at Antique Stock Broking, welcome you on this call to discuss 4Q FY '24 results of Kirloskar Oil Engines Limited.

We are glad to have with us Ms. Gauri Kirloskar – Managing Director; Mr. Rahul Sahai – CEO, (B2B Business); and Mr. Aseem Srivastav, CEO B2C business, along with the rest of the management team. I first congratulate the entire team of KOEL for delivering yet another strong performance. And now I invite Ms. Gauri to start with opening remarks, following which we will open the floor for Q&A. Over to you, Ms. Gauri. Thank you very much.

Gauri Kirloskar : Thank you very much for that kind introduction. Good evening to all of you. This Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining the call today. I have with me Rahul Sahai – our B2B CEO; Aseem Srivastav – our B2C CEO; Ankur Gupta – CFO (B2B Business); Mr. Smita Raichurkar – Company Secretary; and Amit Gupta – CFO of Arka. We also have on call with us Mr. Sachin Kejriwal.

As you all must have gone through the Stock Exchange notice that we gave yesterday, Sachin has joined us as CFO with effect from today.

As usual practice, I will start with the business update first, followed by a quick overview of financial performance and then we will go on to the question-and-answer session.

As evident from the figures, this quarter has been remarkably prosperous for Kirloskar Oil Engines. We've achieved the highest quarterly sales in KOEL's history. Moreover, when considering the entire year's performance, it also marks the highest annual sales ever. I extend my heartfelt congratulations to the entire KOEL team and express gratitude for their unwavering support. This success is undoubtedly a collective effort with every member of the team contributing to their utmost. I firmly believe that this milestone signifies just the beginning of our journey ahead.

At KOEL B2B, we are transitioning from a diesel engine manufacturing company to a technological leader in power and energy systems. We are doing this by focusing on our internal

R&D, making progress on our technology tracks and encouraging innovation within our team.
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Coming to business updates. Overall demand has stayed strong this quarter too. If we look at the macroeconomic indicators, India's economy outperformed the expectations in Q3 '23, '24 with 8.4% GDP and was at a 6-quarter high. This trend continued. It was evident in the Q4 demand across sectors with high demand coming, especially from construction, infrastructure and railways in particular.

In power generation, Q4 demand, in particular, was a mix of CPCB-II and CPCB-IV+. As we approach the deadline of June 2024, we expect the CPCB-IV+ demand to start gathering momentum. On the industrial side, we saw strong demand from our construction OEMs and government sectors such as Railways and Defense. Another noteworthy update is on the international business side. This year, we crossed the Rs. 500 crore international sales mark for the first time, taking the overall share of exports to approximately 12% of total sales. As the CPCB-IV+ norms have opened up a lot of new avenues

for our products internationally, I believe

this is a beginning of the exciting journey ahead for us in the international markets. If we look at the business unit-wise breakups for the quarter as well as the full year, most of the businesses have grown double digit year-on-year.

On the B2B side, I will talk about also the new and alternate fuel products first. The Optiprime series is gaining good traction. We shipped 17 Optiprime products, including 4 2,000 KVA gensets during the quarter. Gas genset sales have also been encouraging, and we expect the demand for natural gas gensets to increase going forward. We sold 229 gas gensets during last year. Remanufacturing is now part of our offerings through the launch of the New Life brand. Last year, we offered 110 New Life products to our customers. This quarter, the International business unit clocked a 70% growth over last year's Q4, making the full year performance at Rs. 520 crores, a 32% growth year-on-year. Please note that these are standalone numbers.

Now coming to the B2C business:

Overall, the B2C growth was 7% quarter-on-quarter, mainly backed by a strong growth of Water Management Solutions. The farm mechanization business continues to decline for the quarter and also for the full year. We continue to increase market share in WMS due to our deepening and widening strategy, 83 deepening channels contribute to Rs. 22 crores and 91 new channels through the widening effort contributing to Rs. 26 crores. As you know, our focus has been on the profitability of the segment. We have been taking a series of steps to improve margins. The PBIT margin has improved 25% for the quarter and 73% for the full year.

I will now briefly update on the Financial Performance on a quarterly and year-to-date basis:

These are standalone numbers. So, first, a review of the Q4 FY '24 Financial Performance on a standalone level:

Net sales is at Rs. 1,378 crores for Q4 FY '24 versus Rs. 1,141 crores for Q4 FY '23, a 21% increase year-on-year. EBITDA is at Rs. 178 crores for Q4 FY '24 versus Rs. 129 crores for Q4

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FY '23, a 38% increase year-on-year. EBITDA margin is at 12.8% for Q4 FY '24 versus 11.2% for Q4 FY '23. Net profit is at Rs. 118 crores for Q4 FY '24 versus Rs. 93 crores for Q4 FY '23, a 26% increase year-on-year.

The year-to-date or the whole year performance on a standalone basis:

Net sales is at Rs. 4,806 crores for FY '24 versus Rs. 4,073 crores for FY '23, an 18% increase year-on-year. EBITDA is at Rs. 578 crores for this year versus Rs. 457 crores for last year, 26% increase year-on-year. EBITDA margin is at 11.9% for fiscal year '24 versus 11.1% for fiscal year '23. Net profit is at Rs. 375 crores for FY '24 versus Rs. 298 crores for FY '23, a 26% increase year-on-year.

Just as a note, the above EBITDA and net profit numbers are after adjustment of overdue receivables towards a customer and the detail is in the notes to the financial results. Looking at the working capital. With diligent efforts and regular monitoring, we've achieved a reduction of working capital by Rs. 140 crores in the quarter with inventory days down to 48 days from 60 in the last quarter. The cash position now stands at Rs. 269 crores at the end of the quarter. Please note that this cash is net of debt and includes treasury investments and excludes unclaimed dividends.

Now I will take you through the business-wise standalone revenue breakup for the quarter and year-to-date performance:

The B2B business reported sales of Rs. 1,210 crores for the quarter, which indicates a growth of 22% year-on-year. The full year sales were at Rs. 4,182 crores for the quarter, which is 18%

growth year-on-year. Within B2B, the power generation reported sales of Rs. 518 crores for the quarter, which is 11% year-on-year growth and Rs. 1,905 crores for the full year, which is 15% year-on-year growth.

Industrial reported sale

s of Rs. 309 crores for the quarter, 28% year-on-year growth and Rs.

1,008 crores for the full year and 18% year-on-year growth. Distribution and aftermarket reported sales of Rs. 210 crores for the quarter, that's 19% year-on-year growth and Rs. 749 crores for the full year that's 19% year-on-year growth. International business reported sales of Rs. 173 crores for the quarter, which is a 70% year-on-year growth and Rs. 520 crores for the year, which is 32% year-on-year growth.

B2C standalone business reported sales of Rs. 168 crores for the quarter, which indicated growth of 10% year-on-year. The full year sales were at Rs. 624 crores for the quarter, which is 15% growth year-on-year. Within B2C, KOEL Water Management Solutions business recorded a revenue of Rs. 153 crores for the quarter, up by 22% and Rs. 537 crores for the full year, that is 23% year-on-year growth. Farm Mechanization recorded a revenue of Rs. 15 crores for the quarter, down by 45% year-on-year and Rs. 87 crores for the full year, down by 18% year-on-year due to seasonality leading to delay and subsidies from the states in where we operate.

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Now, I will update you on the consolidated business:

LGM sales were flat, but with significant improvement in year-to-date PBT from Rs. 8 crores to Rs. 34 crores. The new plant construction is going as per schedule. LGM export grew at 15% and now contribute more than 30% of the revenue of LGM.

Now, I will update you on the consolidated business:

For the full year, Arka clocked revenue of Rs. 565 crores, which is a 52% growth year-on-year. The loan book as on 31st March 2024 was at Rs. 5,210 crores, including off balance sheet. Last last quarter, Arka had an exceptional item of Rs. 31 crores towards the provision made for investment in Arka's alternate investment fund due to the regulatory changes announced in December 2023. However, during this quarter, Rs. 15.6 crores have been reversed from that exceptional provision towards investment in Arka Credit Fund I post clarification from RBI.

Overall, if you look at the consolidated results, for the quarter, the revenue from operations is at Rs. 1,660 crores for Q4 FY '24 versus Rs. 1,384 crores for Q4 FY '23, a 20% increase year-on-year. Net profit is at Rs. 131 crores for Q4 FY '24 versus Rs. 107 crores for Q4 FY '23, a 23% increase year-on-year. At a yearly basis, on a consolidated level, revenue from operations at Rs. 5,898 crores for FY '24 versus Rs. 5,024 crores for FY '23, 17% increase year-on-year.

Net profit, Rs. 468 crores for FY '24 versus Rs. 360 crores for FY '23, a 30% increase year-on-year. Please note that the EBITDA net profit numbers are excluding the exceptional items and provisions and reversals or overdue receivables made for a customer towards sales made in the previous year. And for details, please refer to the notes in the financial results.

In Summary:

With 2 years down, the journey of our 2X-3Y strategic path, I am very satisfied with the progress we have achieved. This is despite the last-minute unforeseen changes in the CPCB-IV+ deadline. The deadline change has not just affected us on the top line target, but of course, we had to make a lot of changes on the production line and keep our supply chain agile to manage the transition. I would like to reiterate that this was achieved because of the support we received within the organization as also from our supply chain partners. Amidst managing these challenges, we remain steadfast in our pursuit of new business development and progress in research and development. This underscores the dedicated endeavors of our team in crafting cutting-edge products for the modern era.

Our aim is to excel in internal combustion engine technology, spanning alternate fuel, hydrogen blends and hybrid engines. These innovations are tailored to support our customers in their decarbonization journey. In summary, wi

th a strong FY '24 performance, we are very much on

track for our 2X-3Y target, advancing satisfactorily on the 5 growth pillars. We have registered a 21% CAGR in the last 2 years on the base of FY '22 revenue of Rs. 3,250 crores. We have

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reached double-digit EBITDA margins, too, reflecting a healthy above 40% CAGR on the EBITDA numbers. As we move towards the last leg of the 2X-3Y journey, we have our eye setup on the longer path that's ahead of us. We are committed to the strategic roadmap and our technology tracks. You will hear more about these in the coming calls, stay tuned until then.

With that short update, I would like to open the floor now for the questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amish from JM Financial Services PMS. Please go ahead.

Amish Kanani : My question is, is it possible on the B2B business to get some kind of flavor in terms of the volume growth versus value growth because we've seen quite a bit of value growth there and we have the CPCB-IV transition. Is it possible to understand how much was this due to price increases of the new products versus the volume growth and whether there was a volume growth in underlying business? That will be very helpful.

Gauri Kirloskar : Thanks for your question. Just give us a moment.

Rahul Sahai : This is Rahul. So, what's actually been happening is at an overall level, we are seeing not just value, but also significant volume growth. And if I compare versus the base of FY '22, which is where we started the 2X-3Y journey, the volume growth versus that year is about 25%.

Amish Kanani : And this is as a basket for the whole B2B or does this mostly have no mistake?

Rahul Sahai : For B2B helpful.

Amish Kanani : So, will it include international business growth as well? Or it will be largely the domestic growth, or B2B.

Rahul Sahai : This was B2B business.

Amish Kanani : And sir, is it possible or any chance to get the number for this year? Because there was the sense because of the price increase, the volume may not have come. So, the consumers are probably buying the higher value-added non-polluting products, but maybe volume wouldn't have come.

But given the strength in the underlying businesses that we cater to, I mean, real estate and infrastructure, I was wondering whether the demand in volume terms also remains strong?

Rahul Sahai : So, our CPCB-IV shipments continue to be at about 20% and lower levels. So, the price increase that we were initially envisaging as per the regulations, didn't really come through in the last financial year because of the change in the norm, the soft postponement that ended up happening.

So, which is why it is still fairly apples-to-apples at this point. In this coming financial year is when we are likely to see full impact of the price increase after June, which is where the CPCB-IV+ norms will kick in with full effect.

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Amish Kanani : So, can I say in the context that no major price increase has resulted in a good volume growth? And in that context, is it possible to give us some sense what happens after the June thing?

Rahul Sahai : So, if I look at versus last year, we had at an overall level or, I will say, 10% volume increase.

And the price increase after June would, I mean, while it will vary by node, it would be at a weighted average level of about 35% to 40%, which is due to the enhanced scope of the after-treatment systems and the electronics that are going into the engine for power generation.

Moderator : The next question is from the line of Ashutosh Garud from Ambit GPC PMS. Please go ahead. Please go ahead.

Ashutosh Garud : I just wanted an outlook on the margins going ahead given that we have clocked 17% to 18% kind of EBITDA margins in the last 3 to 4 quarters? Tha

t is one. And second, I wanted some

color on the debt on the balance sheet? How do you think the debt will look like, let's say, 1 year down the line? And what kind of interest costs are you building in going ahead?

Gauri Kirloskar : So, I will answer your second question first, and then I will just hand it over to Rahul and Aseem to comment on the margins going forward in their businesses. So, on the debt side, we expect to maintain just the same because we have a strong cash position currently. So, we don't envisage that the debt levels would go up. Go ahead, Rahul.

Rahul Sahai : So, on the B2B side, our current EBITDA levels appear at about 14%. And we will look for opportunities to enhance that, but I wouldn't give any guidance at this point.

Ashutosh Garud : No, I didn't get your answer for the debt level, ma'am, if you can just repeat it.

Management : So, currently, we are having a debt of around Rs. 200 crores in the books. And we expect to maintain the same debt level. We do not expect to increase it as we have sufficient cash in the balance sheet.

Aseem Srivastav : Yes. On the B2C side, our EBITDA level is now around 6.6%. And going forward, this will slightly go up.

Moderator : The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre : Ma'am, you just mentioned about the natural gas gensets, and we already sold quite some volume in this quarter. So, I mean, how is the product compared to a traditional diesel engine in terms of performance and pricing?

Rahul Sahai : So, if you look at our natural gas portfolio, we are actually getting our entire portfolio certified for the latest emission norm that is CPCB-IV+. In fact, most of it is already certified. Now if I compare it versus diesel, these natural gas-based gensets can only go where the natural gas availability is there.

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If I look at advantages versus diesel, while the emission norm compliance is the same, it will comply with CPCB-IV. But natural gas is a cleaner and a more sustainable fuel source. Also, what ends up happening is the aftertreatment systems required to clean the emissions, they are simpler. So, there is some amount of derating that happens at a platform level when we move towards natural gas. But at a product level, if you compare the pricing of diesel and natural gas, there would be, for equivalent appear 30% to 40% price variation where natural gas is more expensive. But if you look at overall cost of ownerships, then natural gas gensets tend to be the better alternative.

Mahesh Bendre : And sir, a lot of investments are going in data centers now. So, have we introduced a product in that category? And what is the prospects in that segment?

Rahul Sahai : So, absolutely, data center is one of the key segments that we are focused on. In fact, we have refined some of our platforms, such as the K4300 and we have got the BCCC rating for some of our platforms also and so we are also, in particular, executing some orders with data centers.

Mahesh Bendre : And last question, what is the CAPEX plan for the current year and next year?

Gauri Kirloskar : Just give us a moment. So, if you look at our CAPEX plans for the current year, it's at about 1.5 to 2x what we did last year.

Mahesh Bendre : And so, what could be that absolute number, ma'am?

Gauri Kirloskar : It's approximately Rs. 400 crores.

Mahesh Bendre : And this is the for expansion of the facilities?

Gauri Kirloskar : For some capacity enhancement and also investing along the lines of the technology tracks that we have defined on the R&D side.

Moderator : The next question is from the line of Teena Virmani from Motilal Oswal Financial Services.

Please go ahead.

Teena Virmani : Just wanted to get some sense on the demand scenario in the current quarter, quarter 1 of FY '25 as to how is the inventory status of CPCB-II now? And how is the tracti

on coming in along for

CPCB-IV, even prior to the implementation from the month of July? So, how do you see quarter 1 of this fiscal panning out in terms of power genset demand?

Rahul Sahai : So, Teena, this is Rahul. What we see at the moment is demand for CPCB-II continues to be fairly strong. We continue to fulfill our obligations to our customers as far as executing orders are concerned. What we expect is through this quarter CPCB-IV+ will pick up slowly, but I think it's really when this quarter ends is where the switch over to CPCB-IV will happen.

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Teena Virmani : So, how is the inventory status of CPCB-II? Is there enough inventory of CPCB-II to last till June in the system? Numbers for KOEL, but generally for the industry.

Rahul Sahai : Yes. So, I mean, you are right by asking that question because the parts in many cases are quite different. But from our standpoint, we planned the inventory ahead. There's no problem.

Teena Virmani : So, you expect the demand for CPCB-II to remain till June and there is sufficient inventory to cater to that demand?

Rahul Sahai : Correct.

Teena Virmani : And then if you start shifting towards CPCB-IV?

Rahul Sahai : Yes, then there is a switchover.

Teena Virmani : My second question is related to the other expenses, which are down in the current quarter. So, is it more to do with the performance of the B2C division where we are seeing some kind of improvement in the margin for B2C and that's the reason other expenses are down, or any specific reason is there for lower other expenses?

Gauri Kirloskar : Teena, can you just be a little bit more specific, what number are you referring to coming down?

Teena Virmani : Yes. So, in quarter 4 of FY '24 for standalone business, when we see overall other expenses as a percentage of sales, it is down to around 14.7%. And when we compare the same number for 4Q of FY '23, this number is 16.4%. So, even though the absolute amount would have increased, but as a percentage of sales?

Gauri Kirloskar : So, Teena, that's just fixed cost leverage that you're seeing because of the increase in volumes and sales.

Teena Virmani : So, what is a sustainable number going forward with this level of nearly 14.7% or so, is it looks to be the sustainable number going forward as volumes improve?

Gauri Kirloskar : Yes, it should be.

Teena Virmani : If I may ask 1 last question, then I will join the queue again. My another question is related to exports. You've seen a very good traction in export numbers in the current quarter and even for the full year. So, what's the strategy to increase exports from the current levels. Because as per your strategy plan, your target is still higher on the export front. But how do you plan to grow

export numbers further from the current levels in terms of geographies, in terms of nodes? Or is it something that you're targeting something inorganic to meet the current targets which are given in the strategy plan?

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Rahul Sahai : Teena, this is Rahul. See, on the international side, we are looking at developing the market. So, it's not just exports. It's actually international business for us because we have to generate the leads and orders and things like that. So, we are evaluating each of the geographies very carefully. You may have seen in some of the messages we've given out, the Middle East and the U.S. are key markets that we're focused on. So, on the power generation side, we have GOEMs appointed in both these markets, which is something that we have not traditionally done, and we are operating via GOEM model now. And along with that, we are also taking a hard look at what is the structure required for those respective geographies to build for us. So, if you were to ask me what are the focus areas? The focus areas at this moment are Middle East and the U.S. We're bein

g extremely purposeful. So, which is why I won't give anything away. It's proprietary at this point, but international business is important, and you are seeing the focus translate to numbers in the last quarter.

Teena Virmani : So, would there be any kind of elongated growth also would you be targeting to meet the targets given in strategy?

Rahul Sahai : So, we are evaluating all options, whether it's organic or looking at inorganic growth opportunities, either for market access or for certain technologies, we are evaluating all options.

Moderator : The next question is from the line of Ashwani from Emkay Global Financial Services Limited. Please go ahead.

Ashwani: My first question is on the Industrial business. If you see the performance has been very strong during the quarter. Was there any one-off large order during the quarter in the Industrial business? That's what I wanted to check. And what is the outlook that you gave going ahead?

Rahul Sahai : Yes. So, while I wouldn't give any guidance on the Industrial side, but what I can say is the Industrial business wasn't one large order. In fact, if you track the performance quarter-on-quarter, the Industrial business has grown fairly consistently. Of course, Q4 was relatively large for us, but the industrial business has grown pretty consistently. So, we engage very closely with our OEMs. We want to make our OEM successful, and we intend to grow with them.

Ashwani: Secondly, any feedback you would like to share with us on the Optiprime series of gensets, which you launched some time back?

Rahul Sahai : So, in general, we've got good feedback from our customers. Optiprime is a novel product in the market. And there is a clear positioning for it. I think there are clear advantages for our customers. And so the customers are also acknowledging that, which is why we've been able to sell 4, 2,000 KVAs in the last quarter. I mean at that range of genset, customers won't take a chance unless and until they are completely convinced. So, I think the Optiprime is a new product in the market. We're quite excited about it, and we're hoping that we can build further on the product in the months to come.

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Ashwani: So, just to clarify, this is lost only in domestic market or we're looking for export market also for this?

Rahul Sahai : So, one of the orders that we fulfilled in the last quarter was for international markets.

Moderator : The next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi : My first question is on your thoughts on 3 things. First is volume growth once CPCB-IV kicks in? Second is, how do you see realization is different for CPCB-IV versus CPCB-II? And third is given the experience of CPCBI versus II 10 years ago, we saw realizations dropping significantly when this transition happened, or I mean when this realization kicks in? So, how do you see this realization decline from 4 to 2 over the next 2 years?

Rahul Sahai : Thanks for that question. So, this is Rahul. So, if you look at volume growth, when I look at the industry, as we transition to CPCB-IV full time, we expect the volumes to be at a somewhat similar level, the kind of volume growth overall that's happening in the industry. I think in the short term, those volumes may remain flat for this year, and that's what we anticipate. But what will also happen is that there are a few companies that have their portfolios completely certified at this point. So, those respective companies may see market share gains. So, it's a situation that we'll have to play out for us to actually see what specific impact is there. But from our business standpoint, we are pretty geared up. I mean we have our portfolio certified, so we are pretty geared for that.

Now coming to your next question. If I look at the realization difference between CPCB-II and

CPCB-IV, at this point, we e

xpect the realization to be somewhat similar. We're not expecting a drastically different realization. But I'd be in a better position to comment once I have been through 1 or 2 cycles because the market forces will pan out, and we will have to watch for it. So, it's difficult to comment on that at this point.

Now you spoke about 2014, when the transition from CPCBI to CPCB-II had happened. Now that was a slightly different transition because each company had followed a different strategy and a lot of companies continued with mechanical platforms, even in CPCB-II. But what is happening in this transition is there is a convergence of technology where most companies are following the same technology path, which is that of whether it's a diesel engine or a fuel-agnostic engine, along with the selective catalytic reduction and a diesel oxidation catalyst. So, engine, it's DOC and an SCR. So, most companies are following the similar technology track.

Moderator : The next question is from the line of Jeetu Panjabi from EM Capital Advisors. Please go ahead.

Jeetu Panjabi : You have great numbers, very satisfying to see this. So, 2 questions. Can you talk a little bit through the export side, what are the trends you're seeing? What's driving the growth? I know it was part of the plan? And do you kind of think that from here, there will be an acceleration over the next 12 to 18 months. What's the broad thinking there? The second question I had was on Kirloskar Oil Engines Limited

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Arka. So, we've crossed the Rs. 5,000 crore book size. And just love to hear what's the thinking there? And how do you see things from here going there?

Gauri Kirloskar : Rahul, will give you an update on the exports question.

Rahul Sahai : So, on the export side, we want to accelerate. We're being purposeful. But I mean, we definitely want to accelerate this business a lot more than what it is today. I can't give out a number at this point, but just in terms of our business contribution we wouldn't want the international business to go from the current numbers to be closer to about 15% to 20% sooner than later. So, that's something that we are focused on.

Jeetu Panjabi : So, just on that, you're seeing the growth trends there are promising at the order book and the discussions are all very positive. Is that fair to assume?

Rahul Sahai : Yes. I mean in the same side, we are exploring multiple avenues, frankly. And while the discussions are positive, but there's still a lot that needs to go in execution to make the sale and the billing, et cetera, happen. I mean, the opportunity for us is that we have very low market shares outside the country. So, even small market share like, for example, a 1% or 1.5% or 2% market share in a large market, for example, like the U.S. or some of these larger international markets, they are extremely meaningful from our business standpoint. So, we're not looking to change the industry at this point internationally, even small steps will go a long way for our business.

Gauri Kirloskar : And on the Arka side, Jeetu, thanks for your question. So, yes, we crossed Rs. 5,000 crore AUM size. And as stated on prior calls as well, I think the path that the business will follow now is looking towards the external market as well to raise capital and they'll be on that path.

Moderator : The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth : Gauri, we had a plan to enter in the U.S. market to grow that. So, can you give some color on our journey to enter in U.S. market? And how do we see that market in the next 5 years?

Rahul Sahai : Yes, sure. So, if you look at what's happening globally, the global power generation market is increasing at about a 4% CAGR. There are 3 key markets: the U.S. China and India. These will be the large players, and I am talking about 5 years out, the next 4 to 5 years, this is what is likel

y

to happen. So, U.S. is amongst the biggest power generation markets in the world today. The U.S. and China make up a large chunk of the genset market. When we evaluated multiple modes of entry, we realize that having a local partner who is vetted with us makes more sense. And if we can use a local brand that makes more sense versus going with our own brand, which is why we invested in a company called Engines LPG LLC that has the brand name of Wildcat.

Now Wildcat is a local American-made genset company, and the brand positioning is that it's made in the U.S. And we want to leverage that positioning and we're working very closely with Kirloskar Oil Engines Limited

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Wildcat to make Wildcat successful. So, our mode of entry for the U.S. market is alongside Wildcat, and we're working towards that. The U.S. market poses tremendous opportunities. I mean if you look at the overall market size, it's about, I mean, I would say, roughly \$3 billion to \$4 billion. And right now, the Wildcat business is very small, but I am pretty confident that we can make our strategic moves and even small market share gains will be very meaningful for us.

Bharat Sheth : And Gauri, now second thing, you said that we are making huge investment next year also particularly to develop a new product in R&D. So, can you give some color to what are the white spaces as on today and where this kind of investment is required? And how that will take our company over the next few years?

Gauri Kirloskar : So, if you look at some of the communication that we've done in the past calls, we have talked about the changing landscape in the energy transition that's taking place, and we have designed 4 technology tracks that we will be focusing on going forward. So, I will just ask Rahul now to articulate those 4 technology tracks because this is the path along which we are making these investments so that over the next, say, medium term, we're ready with the kind of products that we expect our customers would want in their decarbonization journey.

Rahul Sahai : Thanks, Gauri. So, Bharat, if you look at the 4 technology tracks that we have defined for ourselves, the first track is fuel-agnostic internal combustion technologies. Now our focus there is to build whatever products that our customers want as per the fuel that becomes available. So, if natural gas is a fuel that's becoming available, we will build a portfolio of products that work on natural gas. So, that's number one.

And similarly, for example, if you look at hydrogen or there are different fuel types, and we're working on all of those things. And it's all internally developed. If you look at our second track, we are looking at energy solutions, which include the likes of microgrids. So, setting up microgrids, which include synchronization across different energy sources. If you look at solar and genset, battery energy solar systems. So, we believe that there is a significant play that we can make there. And so that's our second technology track.

The third track is around electrification. We have been making our moves there as well. So, we have different kind of motors available now, mostly on the single phase and partly on the three-phase side. Also, we want to expand that portfolio and get into specialty motors. And our fourth track is around electrolyzers and fuel cells. So, that's an area of development as well. I can't give out too much right now, that's proprietary but these are the 4 tracks that we are working on. And most of the capital allocation is happening along these 4 tracks, either to create capacities or in core R&D.

Bharat Sheth : I mean, can I ask one more question?

Gauri Kirloskar : Yes, sir. Please go ahead.

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Bharat Sheth : If you can give also now color our user industry, how if you can give a number or tracking order, which are growing much faster

and how much our product is there? And do we have any white space in that industry?

Gauri Kirloskar : Sorry, in which industry are you talking about?

Bharat Sheth : Our user industry, like the data center, tower, right from an online industrial and then marine side also?

Gauri Kirloskar : Okay. So, specific white spaces that we see within these is what you're asking.

Bharat Sheth : Which is growing much faster.

Rahul Sahai : So, I will give a few examples, and then you can feel free to ask me further questions. So, I will give an example of Railway segment. So, we did our highest-ever business in the Railway segment this last year and Railway is growing. Now within Railways, we are dominant in the power car application. But there are white spaces in, for example, track machine, OHE car, Tower Wagons. So, there are other applications where we are not present today in a meaningful way where we have opportunities. So, the white spaces very much exist.

Now if I look at, say, on the construction side, we are engaged with a lot of industrial OEMs.

But we are still not present in certain applications like the 20-ton excavator. Similarly, if you look at mining, we are present in mining to the low hold stump trucks in some markets outside India. But on the mining side, we are not present in India. So, I would say each of these are growing segments.

And similarly, if you look at the data centers or look at on, I will say, fishery, the marine, these are all opportunities. We have to focus our product development on the opportunities that we see coming to fruition quickly and are also meaningful. So, white spaces definitely exist.

Moderator : The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai : No, I was a little curious to understand, you mentioned that 20% of your genset sales are in the CPCB-IV+ category. So, what kind of customers who are today buying CPCB-IV when there is no pressing need for them to do so?

Rahul Sahai : Yes. So, see, if you look at the regulation that has come in, the end customers or their suppliers whoever had given us orders by June of last year, end of June of last year, are the orders that we are executing right now. So, in a sense, this is all our already existing order board. The ones who had not, we are fulfilling CPCB-IV orders.

Salil Desai : I see. All right. So, more recent orders are likely to be CPCB-IV?
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Rahul Sahai : Yes, correct. So, the more recent orders are likely to be CPCB-IV. The regulation was designed. So, the postponement or the soft postponement, the way it happened, if you read the verbatim, what it says is that we had to ensure that we have end customer orders or orders of their suppliers in our books by the end of June, and that has been submitted to the ministry. Now orders that have come in after that, we are fulfilling CPCB-IV orders.

Salil Desai : And given the typical production life cycle, should it be over by now? I mean, I am not sure why we have to wait till June for selling only CPCB-IV because you wouldn't take really 9, 10, or 12 months to deliver a product, right? So, in that sense, all new sales from, say, 1st of April onwards should ideally be all CPCB-IV. Am I missing something? Or is there a nuance on this, too?

Rahul Sahai : Well, the nuance is that till that time, so I mean, end customer orders or orders of their suppliers. So, till the time, there is a way that customers can get access to CPCB-II genset, they will try for that, which is why a lot of CPCB-II demand continues to exist. But from, I mean, strategically, the way we are planning our operations, we are planning to wind down our CPCB-II supplies through this quarter because we also need to ramp up on the CPCB-IV side.

Salil Desai : Understood, right. And just one more clarification. You mentioned that next year, you may see volumes bein

g flat, but because you are in a position that the product is certified, there could be market share gains. Did I hear that right, understand it right?

Rahul Sahai : Yes.

Moderator : The next question is from the line of Mayank Chaturvedi from HSBC Mutual Fund. Please go ahead.

Mayank Chaturvedi : Just one clarification from my end. Somewhere I heard that you expect the realization of CPCB-IV+ to be similar to CPCB-II. So, can you elaborate? Because I think earlier, you were expecting a 35%, 40% price hike between, I mean, depending on the various notes. So, if you can elaborate on that?

Gauri Kirloskar : Yes. So, the price realization you're right, is 35% to 40% on average, depending on the node. When we were talking about it being the same, we meant on the margin side.

Moderator : The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi : Yes, I am sorry, I dropped off during my last question. So, I didn't hear your thoughts on realization drop once the competition kicks in after the CPCB-IV launch. So, if you can throw some light there?

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Gauri Kirloskar : So, Sagar, just in the interest of time, we did answer the question. Unfortunately, you had dropped off. So, may I please request that you read the call transcript. And if you have any further questions, you're free to e-mail us.

Sagar Gandhi : So, I had one more further question and that is related to Kirloskar end usage contention that we've been hearing and contention on the similar businesses within group companies, especially related to the Farm business. Can you give clarification for these 2 points?

Gauri Kirloskar : Yes. So, unfortunately, I won't be able to comment on those issues because they're all subjudice in the call.

Sagar Gandhi : And my last question is on import content on CPCB-IV versus CPCB-II?

Rahul Sahai : Yes. So, our import content on CPCB-IV is roughly around 9% to 10% versus if you look at CPCB-II, our import content was around 3%.

Sagar Gandhi : 3%. CPCB-II was 3%?

Rahul Sahai : That's correct.

Moderator : Our next question is from the line of Mohit Pandey from Macquarie Capital. Please go ahead.

Mohit Pandey : My first question is just a follow-up. So, when you're down the line, is there scope for this import content to go down further? And in that sense, is there scope for margin expansion? That's the first question.

Rahul Sahai : The way I would request that we think about this is, we would look for the most reliable and cost-effective suppliers irrespective, honestly, where they are in the world. Now in case the expertise lies in India, we will digitize the supply. But in case the expertise lies elsewhere, we want to make sure that we're working with the best suppliers that we can work with.

Mohit Pandey : Very clear. And secondly, on the data center offerings, just wanted to understand if you are planning to invest in further new products for that market or do you think current offerings are sufficient to gain market share in that particular segment?

Rahul Sahai : We will continue to invest in a product roadmap that caters specifically to data center.

Mohit Pandey : . And just last question. So, in the initial remarks, I think you mentioned that with the CPCB-IV products gaining traction, that opens up for avenue on the export side. So, just wanted to understand, so without a regulatory push similar to what is there in India, do you think there will be absorption of the higher prices in the exports market or the high priced CPCB-IV+?
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Rahul Sahai : So, each region has their own version of CPCB. So, there are certain norms that exist in many regions. So, for example, if you look at CPCB-IV+ in India, that's very similar to U.S. EPA Tier 4 Final, pretty close to euro Stage 5. So, there is some version of regulations

around emissions

that exist in many regions. The comment that we had made earlier around with these emission changes happening in India, opportunities open up for us was primarily around getting our product certified in India, but also getting the technology to ensure that we can introduce products outside of India because genset outside India, especially more mature markets, will operate with an after-treatment system for instance. Today, we have after-treatment systems, and we have the dexterity to plan our products with after-treatment systems. So, the opportunity is definitely larger today than what it used to be.

Moderator : Ladies and gentlemen, we'll take this as the last question. I would now like to hand the conference over to Mr. Dharendra Tiwari for closing comments.

Dhirendra Tiwari : Yes. Thank you very much. Thank you, Gauri, Rahul and Aseem for giving us this opportunity to host the call and looking forward to continuing hosting you. All the best for the future. Thank you very much, and we will conclude this call now.

Gauri Kirloskar : Thank you very much to Chorus Call and Antique Stock Broking for hosting us and thank you for the interest in the company from all of the participants and your continued support. See you next time.

Dhirendra Tiwari : Thank you.

Moderator : On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q1 FY '25 Earnings Conference Call "
August 08, 2024

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR
– KIRLOSKAR OIL ENGINES LIMITED
MR. RAHUL SAHAI – B2B CHIEF EXECUTIVE
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
MR. ASEEM SRIVASTAV – B2C CHIEF
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MR. SACHIN KEJRIWAL – CHIEF FINANCIAL
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MS. SMITA RAICHURKAR – COMPANY
SECRETARY – KIRLOSKAR OIL ENGINES
LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER
– ARKA FINCAP LIMITED

MODERATOR : MR. AMIT SHAH – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q1 FY '25 Earnings Conference Call hosted by Antique stockbroking. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you, and over to you, sir.

Amit Shah: Thank you, Aditya. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to the post earnings call of Kirloskar Oil Engines Limited. To discuss the results, we have with us the senior management team of the company, represented by Ms. Gauri Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of B2B business. Mr. Aseem Srivastav, CEO of B2C Business; Mr. Sachin Kejriwal, CFO of the company.

I'll hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for question and answer. Over to you, Ma'am.

Gauri Kirloskar: Thank you very much. Good evening to all of you. This is Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining the call today. Besides the people already mentioned, we also have on the call Smita Raichurkar, Company Secretary; and Amit Gupta, who is the CFO of Arka. I will start with the business update first, followed by a financial overview by Sachin and then we can open the floor for a Q&A session.

I am happy to report that we continued to surpass records in this quarter. We recorded the highest ever quarter 1 sales for KOEL at INR1,334 crores. This is 6% higher than the Q1 of last year.

Please note that the first quarter of last year witnessed prebuy in the view of emission norm changes. So the 6% growth over that number is, I believe, a commendable achievement. I would like to congratulate our whole team on these results.

If we take back the effect of the prebuy from last year, then the Q1 revenue growth is 18%. All of the business units except for mechanization, have grown double digits compared to last year, excluding the prebuy effect of the first quarter of last year.

On margins, EBITDA was at INR198 crores, which reflects a 14.7% margin. It is 250 basis

points higher than the quarter 1 last year. Please note that we have recovered the provisions we have made last year and this number, which is 14.7% is reflective of that. So overall, if you look at the net profit, KOEL stand-alone was at INR135 crores, which is 30% higher than the Q1 of the previous year.

Now coming to business updates. The demand continues to stay strong. On the B2B segment, we are concentrating on our technology track to solidify our position as a leader in power and energy systems.

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From a business perspective, at a stand-alone level, we achieved sales of INR1,152 crores, representing a 5% year-on-year growth despite an exceptionally strong first quarter last year that experienced significant prebuy demand.

On the Power Gen side, we have successfully transitioned to the new emission regime by ramping up our CPCB 4+ engine production capacity. We now boast one of the largest CPCB 4+ certified portfolios in the industry. Additionally, we have received certification for natural gas genset nodes, advancing our flexible fuel strategy. We are expanding our Optiprime range of gensets as we continue to introduce new power solution products for our customers.

The Industrial segment experienced substantial growth of approximately 38% year-on-year, driven by strong demand from our construction OEM

s. We are also making good progress with the upcoming CEV BS V emission changes, conducting field trials in collaboration with our OEM partners. The distribution and aftermarket business recorded a 14% year-on-year growth as we focus on enhancing service penetration and improving the service capabilities of our channel partners.

Lastly, the drive to increase our presence internationally have started yielding results with our International business growing by 23% year-on-year. We are working with our international partners to increase reach and deepen our service presence to drive growth.

Coming to the B2C business at a stand-alone level, we recorded sales of INR182 crore, which is a 14% growth year-on-year. WMS or water management solutions sales grew at 20% year-on-year, while Farm Mechanization sales underwent degrowth. Exports in the B2C stand-alone were at INR10 crores, which have almost doubled from the last -- Q1 of the last year.

I will now talk about the consolidated business updates. Revenue from operations was at INR1,636 crores, which is a 6% growth year-on-year. For the B2C segment, one of the key events this year is shifting of the manufacturing facilities to Sanand. We are moving ahead as planned, and we expect to complete this in the second quarter. KOEL WMS has grown by 20% year-on-year. The export sales growth numbers at 11% over Q1 of last year. Both KOEL WMS and LGM reported double-digit EBITDA.

Our Financial Services business Arka revenue was at INR163 crores, which is a 27% growth year-on-year. The assets under management as on June 30, 2024, stood at INR5,768 crores. With the key business updates completed, I would now like to touch upon the strategic growth path of 2X -3Y. As we enter the final year of this journey, we at KOEL are fully committed to the growth path we set for ourselves.

Despite some changes in our year-on-year journey due to last minute changes in the CPCB 4+ deadline, we have managed these changes well and maintained our focus on overall growth. This growth encompasses not only the top line but also advancements in technology, more R&D efforts, and accelerated introduction of new products.

This shift is not just reflected in our financial performance, but also an internal transformation of our operations. As you know, over the past 2 years, we have restructured our business,

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reinforced our group value and cultivated a strong company culture. This transformation has prepared us not only for the 2X -3Y journey, but for the longer part that lies ahead.

As I spoke in my last call as well, at KOEL, our aim is to transform from an engine manufacturing company to a technological leader in power and energy systems. So on this call in the beginning of the year, I would like to give you an update on what we want to aim for as a company in the next 5 years.

If you look at the last slide in our investor presentation online, you will see that our ambition is to 2B2B, which readouts our ambition to be USD 2 billion by fiscal year '30. If you look at the levers that we will leverage to achieve our 2B2B strategy, our core manufacturing strategy is something that we will focus on. This includes make versus buy decision, what to solve, what

the machine and what capacity levels we want to have.

On the B2C side, we have a new plant that will get commissioned this quarter. And with that, we will have enough capacity to take us on this journey. In the 2X -3Y strategy, we have come out with 4 technology tracks, and we had shown a road map as far as these technology tracks are concerned.

I keep saying that at the heart of it, we are an engineering company, which also manufactures and sells, and our focus on R&D will stay, and we will continue to invest in R&D. We are excited to be part of this transition that our industry has seen, and we believe

that this is a once-in-a-

lifetime opportunity to make a difference to the world and the communities that we serve.

We will also look for inorganic growth opportunities as we go along, but we are clear on what fits our strategy and what will not. And we will grow only in areas where we have core competence and where it makes sense to enter. As you know, we have a healthy balance sheet, and we will make sure that we invest with prudence.

Our international strategy will continue. We have made significant progress. And it is our aspiration that our international portfolio is at 30% of the overall pie. We have made good progress in the last 2 years. We have made some strategic moves, and we will continue this focus. We will also focus on completing the product portfolio in the B2C business, and we will make sure that this business grows as well.

Now I will hand over the call to Sachin for a quick financial overview. Thank you.

Sachin Kejriwal: Good evening, everyone. Thanks, Gauri, for the update. I will now run through the financial performance for stand-alone and consolidated business. As you see from the numbers, Q1 top line registered growth year-on-year despite of the prebuy reflected in numbers for Q1 of last year. This is now 8 quarters in a row that we have crossed INR1,000 crores in revenues from operations.

Coming to the financial performance, I will start with the stand-alone performance first. Revenue from operations at INR1,343 crores for Q1 FY '25 versus INR1,265 crores for Q1 financial year '24, which is 6% increase year-on-year. If we remove the effect of prebuy sales from Q1 last year, then Q1 FY '25 performance reflects 18% growth year-on-year.

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EBITDA at INR198 crores for Q1 FY '25 versus INR155 crores for Q1 FY '24, which is 28% increase year-on-year. EBITDA margin at 14.7% for Q1 FY '25 versus 12.2% for Q1 FY '24. Net profit at INR135 crores for Q1 FY '25 versus INR103 crores for Q1 FY '24, which is a 30% increase year-on-year. Our net cash and cash equivalents at the end of Q1 FY '25 was INR410 crores versus INR269 crores at the end of the previous quarter. The working capital as of quarter-end 30th June has seen an increase of INR135 crores as we are gearing up for production ramp-up in CPCB 4+ regime. However, we continue to grow our net cash position, which stood at an excess of INR400 crores.

Now there is a further breakdown of the stand-alone sales. The B2B sales were at INR1,152 crores, that is 5% growth year-on-year. Within B2B Power Gen was at INR528 crores, which was 13% decline year-on-year. Excluding prebuy in previous years, it is 10% increase year-on-year. Industrial stands at INR320 crores, that is 38% growth year-on-year. Distribution and Aftermarket was at INR198 crores, 14% growth year-on-year and IBG that is International business of B2B was at INR106 crores and with 23% growth year-on-year.

The B2C sales were at INR182 crores, registering 14% growth year-on-year. And within B2C, WMS was at INR155 crores, that is 20% growth year-on-year. International business of B2C was at INR10 crores, that is 100% growth year-on-year. And FMS business at INR17 crores witnessed a 34% degrowth year-on-year.

Now looking at the consolidated performance for the quarter. The revenue from operations at INR1,636 crores for Q1 FY '25 versus INR1,543 crores for Q1 FY '24, with a 6% increase year-on-year. Net profit at INR157 crores for Q1 FY '25 versus INR126 crores for Q1 FY '24, which is 25% increase year-on-year.

Let us have a look at consolidated segment performance now. B2B segment revenue for the quarter was at INR1,156 crores, which is 5% growth year-on-year. The segment PBIT was at INR157 crores, reflecting approximately 19% increase year-on-year. B2C segment revenue for the quarter was at INR317 crores, which is 2% growth

year-on-year. The segment PBIT was at INR27 crores, up by 53% year-on-year.

Financial Service segment revenue for the quarter is at INR163 crores, reflecting 27% year-on-year growth. The segment PBIT was at INR19 crores, that is 11% decrease year-on-year.

In conclusion, we are quite pleased with our performance this quarter. Looking ahead, our outlook for the upcoming quarter is

cautiously optimistic as we navigate the market with the introduction of fully transitioned CPCB 4+ market for Power Gen. Overall, as we continue on our long-term journey, the entire KOEL team was enthusiastic about the past period. We are also pleased to inform you that our long-term debt credit rating has been upgraded to AA+ by CRISIL, and our short-term credit rating continues to be higher at A1+. Now we will open the forum for Q&A session.

Moderator: Our first question is from the line of Rishabh from Sacheti Family Office. Please go ahead.

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Rishabh : Sir, for the segmental revenue you shared, data center -related revenue comes in power generation, right? So I wanted to understand how much portion of power generation revenue is linked to data centers?

Rahul Sahai: Rishabh, so this is Rahul. I wouldn't be in a position to give out a specific number. But from a business standpoint, we are focused on the data center segment. Today, it is not extremely significant for us. Going forward, given the product ranges that we've entered into, it will be far more significant.

Rishabh : Sir, for 1 megawatt data center, capex let's say, INR40 crores, how much expense is attributable to what we sell for a data center, right, that is a genset? So how much for that ? And what is the life of such a genset? And once installed, do you have any kind of revenues we are able to make in terms of operations or maintenance?

Rahul Sahai: Yes. So if you look at an overall capex of data center and -- I mean, I'll just broadly respond because I may not be in a position to give out specific numbers here. But the data center buys a variety of different power backup solutions and gensets are part of those. Gensets are critical for data centers for their uptime certifications or data center certifications.

Having said that, like I said earlier, we are developing a range that will allow us to be far more aggressive in the segment. And over a lifetime, once you have sold the genset, you can accompany that with different kind of maintenance contracts, which will also allow for the annuity business.

Rishabh : No, that's fine. But let's say, a data center -- 1 megawatt data center, how -- like what would be a typical expense which a data center would be incurring on a genset? Like that is not confidential, right? That you can tell? Any broad number, sir.

Rahul Sahai: Yes. No. So is this information that I may not have handy like this, but I'm sure it's available when you check it online. So it may not be as directly relevant to this conversation.

Rishabh : All right. Got it. Also, I wanted to understand, have we explored -- exporting gensets for data center usage abroad? And like what are the main players who are in the export business internationally for that? And any cost difference or quality difference we have versus competitors abroad?

Rahul Sahai: So thanks for asking that question. Like I was saying that we are focusing on products that go into data centers. We are aware of the competition. So you have all the large engine manufacturers focusing on data centers. We are very aware that it's a growing market. If we go into the market depending on what market it is, we will be able to have varying value proposition. Cost leadership could be one of the value proposition, but product differentiation is also something that we are focusing on.

Rishabh : Just one question. What is the life of these gensets, like, how many years?

Rahul Sahai: So I could take a thumb rule of about 15 years.

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Rishabh : 15 years. And what kind -- do we -- like what kind of operation and maintenance kind of business is related to these gensets, if you can tell a bit about that?

Rahul Sahai: What kind of operation and maintenance, you're asking?

Rishabh : Like service revenue. Yes, service revenue once it is installed, what kind of service revenues do you see from it, let's say, in a data center which has taken your genset? Yes.

Rahul Sahai: So are you expecting an answer in terms of percentage of capex ?

Rishabh : Yes. Percentage of capex or some qualitative insights on that, some numbers if possible.

Rahul Sahai: So there are varying levels of annuity -based contracts that we can sign with the customer. So it's slightly complicated. But in terms of being able to answer that directly, but the scope of the contract would define that and the level of uptime that we signed would also define that. So the scope could vary from just ensuring that the parts are supplied on time, and there is a person showing up at the maintenance intervals that we've committed to. And from there, it could vary to placing people on site to ensure that the 24/7 uptime is insured. So it varies a lot.

Moderator: Our next question is from the line of Charanjit Singh from DSP. Please go ahead.

Charanjit Singh: So my first question is in terms of when we look at the end market right now, how is the demand environment you are seeing as this transition is happening to CPCB 4? So maybe if you can just give some color from the various end markets perspective, the demand or the inquiry pipeline? And the second question is in terms of the inventory at the OEM level as we would have exhausted all the inventory and the refilling will start happening for CPCB 4 related gensets. How that inventory refilling will happen? And based on all these things, how can we see the market growth rate for the domestic power genset market? That's the question.

Rahul Sahai: It's Rahul. So -- if I look at -- and I'll answer the CPCB 4 ramp up with our GOEMs first. Just in this last quarter, we ramped up to very close to our normal CPCB 2 numbers with CPCB 4. Now the inference from that is that since the primary billing is happening, the demand continues to be strong because we operate on the replenishment model, theory of constraints. From a lead standpoint, and these are end customer leads, we are not seeing any major changes in terms of demand signals. So the demand continues to be strong. Gensets continue to be leveled to back up for critical infrastructure projects. And we are not seeing any softening happening. We are keeping a close eye on market developments. But at this point, we see that market continues to be strong.

Charanjit Singh: And from the market growth perspective, is there a number for the full year in terms of what's the kind of market growth? What we can expect?

Rahul Sahai: So from an overall business, we remain pretty committed to the 2X -3Y. So that's a proxy that you can take.

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Charanjit Singh: Got it. And on the spare parts business, if you can touch upon that with the CPCB 4 compliance increasing and the entire provision happening. How do we see the spares business growing over the next 2 to 3 years? What could be the growth trajectory in the spares business as more and more now gensets come to the OEMs are more -- get serviced by our own service partners rather than going outside. So how does that positively impact the service business?

Rahul Sahai: Right. So you're right, it will definitely positively impact the service business. Now that is a function of 2 things. One is the technology becoming more complicated. So that's from the market side. And the second thing that we're do

ing is we are also ramping up on our service channel capabilities. So there is some restructuring work that we're doing there as well. To ensure that, we're able to respond to our customers in time. Now if you look at the last quarter's performance of our Aftermarket business, it is substantial double-digit growth. And that is primarily because of these 2 key initiatives.

Moderator: Our next question is from the line of Ankit from Subhkam Ventures. Please go ahead.

Ankit: Yes. A couple of questions. As you mentioned that we are committed on this 2X -3Y strategy, just wanted to confirm. So this year, our guidance was to achieve a revenue of INR6,500 crores at the standalone level. So given the Q1 performance and the ask rate which is required in the next 9 months, are you still confident of achieving this guidance of INR6,500 crores as the new standalone business?

Rahul Sahai: So to 2X -3Y is an ambition and all our actions are towards achieving that ambition. And I think that is where I would leave it. We will try and ensure that we get to that number or we get as close to that number as possible.

Ankit: Okay. Okay. That's helpful. Second question is, sir, you mentioned your 2030 mission. So if you can just break up this USD 2 billion revenue target between the product side and the Arka side, what would be the difference and importantly the revenue of these 2 businesses? And also, you mentioned that there could be some inorganic activities also. So excluding the inorganic part also, what kind of revenue you are looking at from the product business?

Gauri Kirloskar: Yes. Thanks for your question. First, I just want to state that again, the 5-year target is an ambition. So that's number one. And if you look at the slide that we put up on line, we have talked about some of the strategic levers that we will focus on to get to that kind of growth. So we are very clear as a team where we need to focus. I'm not going to, at this point, be able to give you a business-wise breakup. So what I can say is that most of the growth achieved will be on the B2B side. And if you look at the growth rates that we've achieved historically over the last 2 years, that's the sort of trajectory that we would expect.

So I'm going to leave it at that. The detail that we want to provide has been provided in this slide, and it's really going to be impossible for me to dwell further than that because even if you look at 2X -3Y, when we had announced it 2 years ago, we had actually specified certain, say, buckets of revenue as a bridge. If you look back, the way it's panned out is quite different. So -- so yes, that's part of the detail that I can give you right now.

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Ankit: Actually, both the businesses are totally different. One is the financial services and one is a product company. So just a broad breakup between these 2 segments will be okay.

Gauri Kirloskar: I'd say 80-20.

Ankit: 80-20. Okay. And finally, on the margin side, I mean on the standalone business, margins are at around 13% level on EBITDA. So going forward, what is your outlook on that? With this CPCB

4 products now coming in, the price increases which you guys have taken, so where do you see the margins in this business?

Rahul Sahai: Yes. So, I mean, there is no specific margin guidance that we can give at this point. We are closely evaluating the market dynamics play out. It's too early. The second thing is that our focus areas for margin expansion remain the same that is focusing on high-horsepower products, focusing on our international business and focusing on aftermarket.

Moderator: Our next question is from the line Jeetu Panjabi from EM Capital Advisors . Please go ahead.

Jeetu Panjabi: Gauri, Rahul and team, great numbers, great going. Two questions. One, the international side numbers have been pretty good, 23% growth. I'd love to hear

a little more color on what's working within that? What's not working within that? And do you think that this growth rate can sustain over the next 12 months?

Rahul Sahai: Jeetu, this is Rahul. So thank you for your compliment. We are very focused on the international side. And what we are doing is we are taking a very close look on the kind of competition we have, the kind of products that we need to create to win those markets. And most importantly,

what is the channel and distribution structure that we need to have. So if you, for a moment, look at the investment that we made in Engines -LPG LLC, that is Wildcat , the brand. That is an outcome of one such analysis, and it is part of our Americas strategy. So there are different strategic moves we are making in different markets. They're seeing a positive payback of those initiatives and which is reflecting in some of the growth that we are seeing.

And we remain pretty committed to that thought process. Because unlike India and -- while we club it as International business, but each of these countries are fairly unique with their own dynamics. And a thorough evaluation is needed. So that's basically where we are. So we're being very, very deliberate about that process.

Jeetu Panjabi: Okay. The second question is Arka will add a INR5, 700 crore balance sheet there, AUM there.

What is the plan going forward? And would -- do you think there'll be some kind of -- I don't know how to say, spinoff or whatever activity over there that we had talked about earlier?

Gauri Kirloskar: Yes. Thanks, Jeetu, for the question. Amit, do you want to answer and I can supplement if required?

Amit Gupta: Sure, ma'am. I'll take that particular question. So Jeetu sir, thanks for the question. As on 30 June 2024, the AUM of Arka stands at INR5,768. Currently, the capital adequacy and the capital Kirloskar Oil Engines Limited
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requirement for the company is quite adequate enough to consider it for future years of operations.

My view, you are highlighting more towards recapitalization or further capitalization for which currently considering the debt of the company, we are still under levered as far as the 30 June position is considered. So currently on an immediate basis, we don't see further any requirement from that point of view.

Jeetu Panjabi: Okay. No, I was more alluding to saying that this company can stand on its own feet after it touches INR5,000 crores.

Amit Gupta: Yes.

Jeetu Panjabi: And more alluding to that point. Yes.

Amit Gupta: So more toward, we are working on that direction only. Ma'am, here, if you can pitch in a little bit.

Gauri Kirloskar: Jeetu, the way I would see it here is that these are conversations that happen and will keep happening. But it's a timing issue. It's depending on external circumstances and what we feel is best for the company at a certain stage. So what I say is, it's not off the table, but when there is the adequate update, it's only then that I can give it to you.

Moderator: Next question is from the line of Anupam Goswami from SUD Life . Please go ahead.

Gauri Kirloskar: Sorry, we can't hear you. Aditya, we can't hear you.

Moderator: Anupam Goswami.

Anupam Goswami: So ma'am, congratulations on a good set of numbers. My first question is on the -- how much of -- you mentioned about focusing -- or improving margin improvement by focusing on high

horsepower products. How much are we doing in terms of revenue in that segment? And what's our target in that? That is number one question. And second would be, we now have seen our CPCB 4 proper transition. And from now onwards, what are the kind of market share are we currently having? And what sort of gains are we looking at? And how do we place ourselves in a leading position over the rest? If you can just touch upon that?

Rahul Sahai: Yes. So what I will say is

that -- to answer the first part of the question, if I look at high horsepower, I will classify high horsepower as above 750 kVA in the power generation market. And in that market, we have very minimal market share. So that's almost like a blue ocean for us. If I look at 750 to 10-10, that market share would roughly be around 15-odd percent. So as we build out our portfolios, that's a clear opportunity for us.

Overall, if I look at Power Generation, our market share is currently between 29% to 30%, so about 1/3 of the market. And in CPCB 4, we have an entirely certified built-out portfolio that spans across diesel and natural gas, CPCB 4 certified. So we are hoping to gain market share with the rate that we have.

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Anupam Goswami: Do we see any consolidation happening in this market share as in -- do you gain market share from the smaller players? Or are we more advantageous in this to, let's say, from only the leaders since the technology is a little complicated in that sense?

Rahul Sahai: So consolidation or some amount of consolidation may happen below 250 kVA, which is where bulk of the smaller or fringe players operate, but I don't necessarily foresee much consolidation happening beyond 250 kVA.

Anupam Goswami: Okay. And just last if I can squeeze in. Since you mentioned about improving your margins, where do we see the margins from here? What sort of a room do we have in your 2030 sort of plan, USD 2 billion?

Rahul Sahai: So we remain committed to double digit. There is no specific numbers that we're giving out at this stage.

Moderator: Our next question is from the line of Prolin Nandu from Edelweiss. Please go ahead.

Prolin Nandu: I'm sorry to again probe you further on the margin part. Now I'm not asking you for guidance, right? But if I look at your Q1 margin for B2B business, and if I call out the onetime provision, there is a year-on-year decline in margins. And the 3 tailwinds that you mentioned, Rahul, in terms of international, the second was spare parts and the third -- or maybe after sales and the third was higher HP.

Both -- I mean all 3 are, in a way, tailwinds for us, right? All 3 are, in a way, growing at a faster pace than overall numbers. Despite that, this margin decline, if you can explain this? And again, maybe for the rest of the year or for the next couple of years, would there be -- I mean, more like a tailwinds to this margin level that we are currently? Or what are the headwinds, right? If you can explain as we go into FY '25 and '26? That's my number one question.

Rahul Sahai: So thank you for that question. I am -- I don't think there is any margin decline. So what data are you stating?

Prolin Nandu: I'm removing the one-off provision from this quarter's number, and then I'm looking at the B2B margin. As per my calculation, that is 11.53%. And last year for the same quarter, that was 12.69%. Even if I look at the stand-alone numbers, right, which was there in your slide, the -- I mean -- I'm not -- I don't have that right now in the front of me, but that also is not -- so I mean just to probably -- just if you remove the one-off, right, I mean the provision, this is a number that I'm getting. So that's the -- based on this, I have this question.

Rahul Sahai: So there was a decline of 40 basis points in the margin, and that was a mix impact, which will be recovering in the subsequent quarters because as we are moving towards CPCB 4+, which is a high-margin business, so we'll improve from there on.

Prolin Nandu: Okay. So you are saying that in the base quarter, the mix of CPCB was higher than what it is in this quarter?

Gauri Kirloskar: Sorry, can you repeat?

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Prolin Nandu: No, I'm saying that you were saying the 40 bps decline in margin was because of the mix being adverse.

And as we move towards CPCB 4, the margins will improve. So when I -- when you are looking at the base quarter, from there on that 40 bps decline has happened, was the proportion of CPCB 4 in our overall mix higher than what it is in the current quarter?

Rahul Sahai: So our last quarter, the CPCB 4 was higher compared to the same quarter last year. Having said that, there is also a mix of LHP versus HHP. So that is what we are talking about. There's a product mix change. There is nothing significant from a business operation standpoint. That is leading to a margin -- a 40 basis point margin dip.

Prolin Nandu: Right. Okay. All right. Because even if I look at your peer, right, and it's only fair for us to compare it with your peers. They have probably shown a significant increase in margins, right? So that was the base of this question, but I understood. So going ahead, Rahul, the conclusion is that there would be -- the 3 levers that you have talked about would work in our favour, right, as we go ahead in FY '25 and FY '26 as well. Is that a fair conclusion to make?

Rahul Sahai: That is fair. See, also one point to note is the same time last year, we had prebuy happening. So there was -- I mean, so the mix change was there. There was also some slight improvement on operating leverage. So I mean, some of those factors were there. But what I would say is it's not significant. It's not something that we'd be worried about going forward.

Moderator: Our next question is from the line of Mohit Pandey from Macquarie Group. Please go ahead.

Mohit Pandey: So firstly, my first question was on the demand trend. So in response to one of the earlier questions, you indicated demand continues to be strong. So if you could give more color around any particular end markets that hold out? Is it like manufacturing or property business being the strongest demand? Anything that stands up for Power Gen?

Rahul Sahai: Sure. So we are seeing strong demand from Infrastructure and Construction segment across our Power Generation as well as our Industrial business. And also, if you look at some other end markets like railways, we are seeing significant opportunities, defense. So we are seeing strong opportunities across the board, I mean I am naming some key segments for us.

Mohit Pandey: Okay. So my question was particularly for the CPCB 4 offerings. So CPCB 4 offering is going into all of these, right? Is that understanding correct on Power Gen?

Rahul Sahai: Yes. So I think -- so this current quarter will be the first quarter of 100% CPCB 4. I would probably be in a better position to answer that question, perhaps similar time, but next quarter.

Mohit Pandey: Sure, sure. And secondly, if you could help us understand what would be the average price hike like-for-like CPCB 4 versus the previous project now?

Rahul Sahai: Sure. So we're seeing about 30% to 40% price change. There is significant scope addition. And we are closely watching the market dynamics play out. So we are being fairly cautiously optimistic as far as Power Generation is concerned.

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Mohit Pandey: Understood, sir. And sir, last question is on the capacity addition announced in the press release. So this capacity would get added by what time frame? And where -- which segment of the market will it take us to 50,000?

Rahul Sahai: So you heard our Managing Director talking about the USD 2 billion ambition that we have. In light of that, for specific product ranges, especially on the high horsepower, to augment our existing capacities, we have worked on this proposal and been approved by the Board. So that's where we are focusing on. So we are gearing up for the next 5 years. And bulk of this execution is going to happen over the next 2 to 3 years.

Mohit Pandey: Okay, sir. So is it fair to assume that commissioning will happen over the next

2 to 3 years? Or

is there a phase-wise commissioning planning for this new facilities?

Rahul Sahai: So all the execution is going to happen over the next 2 to 3 years.

Mohit Pandey: Okay, sir. And lastly, just a clarification. So most of the business right now is under 800 kVA, right? So is that the right understanding from one of the previous questions on Power Gen?

Rahul Sahai: So our existing range starts from 3 kVA and goes to 3,000 kVAs with Optiprime. With a single engine option, it goes to 1,500 kVA. So we have, including Optiprime range that starts at 3 kVA goes to 3,000 kVA. So, yes.

Mohit Pandey: Understood, sir. Understood. And lastly, if it is possible. So you spoke about 4 technology track, right? So some color on the progress there. That would be my last question.

Rahul Sahai: Sure. So I'll just give a quick recap for everyone's benefit. We have 4 key technology tracks. The first track is on internal combustion. The second track is on energy solutions. The third track is on electrification. And the fourth track is on hydrogen, and when I say hydrogen, I mean fuel cells and electrolyzers. So those are the 4 main tracks.

In the last 3 years, we have made significant progress on the internal combustion track, which includes a patent on hydrogen internal combustion for power generation applications. So we

have the patent for India. If you look at the second track, we have built out our own proprietary micro-grid, and we are in process of launching that.

If you look at the third track, on electrification, we're already present in single-phase motors and the ambition is to ramp up our capabilities. And if you look at the fourth track, there is significant work that we've done on the development side. I'm not in a position to talk about it at this point.

Moderator: Our next question is from the line of Sagar Parekh from One Up Financial. Please go ahead.
Sagar Parekh: Congratulations on good set of numbers. Just 2 questions. So first is you mentioned price hike of 30% to 40%, and you mentioned that the demand is still strong. So does that mean that the pricing level would sustain at this level?
Rahul Sahai: We're keeping a close eye on this. The call -- the existing -- the current quarter has started, will be the first quarter of full CPCB 4+. Market dynamics will evolve. So it's too early to comment on at this stage.
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Sagar Parekh: Sure. But as of now, July has been over and August is starting. So right now, you're not seeing any kind of price pressure for now for CPCB 4?
Rahul Sahai: Yes. I won't be able to comment at this stage, unfortunately.
Sagar Parekh: Okay. Sure. And just my last question is on the follow-up on the capacity expansion, which we have announced of INR700 crores. So could you give some more color as to what kind of peak revenues and -- is possible from this additional capacity, which we are putting up on INR700 crores? And also you said that it's largely to do with the HHP products. So, if you can give some color on margins also, would it be like better margins? And also this -- like this current capacity utilization is 70%. So just some thought process on that also. We have enough capacity available to expand within our current range. So...
Rahul Sahai: Yes. Thanks for that question. So all the investments that we are making is in line with the ambition that we have set out for over the next 5 years. We stay committed to the double-digit margin. The 3 focus areas remain consistent. So focusing on high horsepower, looking at international markets and focusing on aftermarket. At this point for us to be able to comment beyond that would be premature, and it's also slightly proprietary. So I may not be able to comment beyond that at this stage.
Sagar Parekh: But any sort of color on what can be the revenues coming from this incremental expansion?
Rahul

Sahai: So the overall 5-year revenue guidance has been provided. So it's in line with those -- with the guidance.

Moderator: Our next question is from the line of Teena from Motilal Oswal Financial Services. Please go ahead.

Teena: I have 2, 3 questions. One is related to, again, margins. So your B2C segment margins have been continuously improving over the past couple of quarters maybe because of increased volumes. Where do we see these margins settling at for the B2C division? And what is driving this increase in the margins apart from the incremental volumes and better cost absorption? Is there any kind of price hike? Or is there any kind of incremental change in the product mix that you would have done in B2C segment?

Aseem Srivastav: Yes. Teena, this is Aseem here. So if you see 2 years back, we came up with strategy called RACE. So we worked on this reach, which is about deepening and widening, then agility, then working on cash generation, cost consciousness and also on people. So that strategy is working fine for us. And because of that strategy, our margin is improving continuously. We are now very close to double digit, and I think we'll continue to be at this level going forward.

Teena: So this quarter margins were somewhere around 8.4% for the B2C division. So you intend to take it to somewhere closer to around 10% to 11% going forward?

Aseem Srivastav: Yes, that's our ambition.

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Teena: Okay. And also, sir, on CPCB 4+, when you said that you would gain margins over a longer period of time, where is the scope -- what is the scope of indigenization in CPCB 4+? Because whatever cost increase that had happened in this transition, this would have come in the price hike? So where would this incremental gain come from when the market is purely CPCB 4+ based market going forward?

Rahul Sahai: So -- to start off with, I think, Teena, our existing portfolio is pretty heavily indigenized. There is some work that we're doing on the electronics side, which will further help. But the big margin improvement as far as CPCB 4+ is concerned will come in from the aftermarket and the kind of services that we can get from that -- the existing CPCB 4+ installed base. So that's the focus.

Teena: Okay. But that -- was that coming in only after the period of 1, 1.5 years, once the warranty or the in-built warranties get over?

Rahul Sahai: So yes, in terms of the basic service events, it will start after the warranty period gets over. You're correct.

Teena: Got it. Got it. And on the indigenization, is there a scope of another 5%, 7% more cost savings if you do a little more indigenization or there no a scope as of now?

Rahul Sahai: So there is potential, but I -- that's not something I would specifically focus on at this point. The big focus has to be on the market side and ramping up on CPCB 4+.

Teena: Got it, sir. Got it. And just lastly, on this export growth and how is the traction of the Optiprime product in the domestic market, particularly in FY '24 and in Q1 of FY '25?

Rahul Sahai: So exports, we're seeing pretty strong growth. And like I had mentioned in the call, we are being extremely diligent and deliberate about the strategy we are deploying in each of the regions. So it has been slower than what we had initially planned for, but we are confident that we are moving in the right direction. What was your second question?

Teena: On the traction of Optiprime product in FY '24 and in 1Q of FY '25.

Rahul Sahai: So we're seeing -- I mean, Optiprime is a relatively novel concept as far as the industry is concerned. And we have seen significant traction when we go and value sell the product. So there is an order book that we already have, and we remain committed to the Optiprime range, and we fully intend to leverage the strategic advantage it gives us.

Teena: Okay. Any number that

would contribute to the corresponding fees of this Optiprime product last year?

Rahul Sahai: Any number?

Teena: Any number that you would attribute to the number of products sold in this Optiprime occupied category during FY '24? On a number of...

Rahul Sahai: I wouldn't give out a specific number, but what I can say is that we have -- last year, we sold Optiprime products right from 250 kVA to 2,000 kVA.

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And to get -- or gain the confidence of a customer who's buying a 2,000 kVA genset, unless they're truly convinced about the product, they won't purchase it.

Teena: Right, right. And even in the current quarter also, you would have seen a similar kind of traction for this particular series?

Rahul Sahai: Correct. So we are seeing strong traction. We are focusing on a variety of things. Optiprime is definitely one of them.

Moderator: Our next question is from the line of Sourabh Arya from Oaklane Capital. Please go ahead.

Sourabh Arya: A couple of questions. The first is, I need some clarity on capex number. So for this year, capex was guided around INR400 crores to INR450 crores. And now we have announced this 3-year plan of INR700 crores. So just some understanding -- just to get it better. So in this year number already includes some number for 3-year plan or not?

Sachin Kejriwal: No, Sourabh. So this INR700 crores additional approval, which we have received from the Board will be a fresh investment over the next 2 to 3 years.

Sourabh Arya: Okay. That's fine. And second is what I observe is domestic sales have gone down. So obviously, that also had an impact on top line growth of the company. So any particular reason for that?

Maybe is it related to shifting of factory, et cetera? And second, when do we expect this normalization?

Rahul Sahai: So Sourabh, if you see our main focus in LGM was working on the margins. And what we have done, we have actually worked on product mix. We have worked on the international business and correcting some of the things that need to be corrected in LGM. So in that process, what has happened in Q1, our sales were slightly down. But now going forward, you will see improvement, and we will be able to come back to decent growth in the domestic market also.

Sourabh Arya: Okay. So from here on, larger sales will improve even in domestic market, even though export have already been doing well?

Rahul Sahai: Yes.

Sourabh Arya: Okay. That is helpful. Maybe 1, 2 more questions if I squeeze in. One is on this -- what is the percentage of sales we had from CPCB 4 in this quarter?

Rahul Sahai: So in this last quarter, our CPCB 2 commitments to our customers remain to be strong. So we are trying to fulfil all of that. CPCB 4 was at approximately about 40%. But going forward, obviously, it's going to be 100% of our Power Gen portfolio.

Sourabh Arya: Sure. And now if you could also comment on channel inventory. So you can assume that your channel inventory at this moment is very, very low even for CPCB 4 before.

Rahul Sahai: So at this point, the channel inventory would -- the channel would focus more on CPCB 4 because we moved into 100% CPCB 4 era. And if you look at the notification, what it says is that post or as we entered this quarter, it is OEMs or end customers or their suppliers, which

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could be the channel or the respective OEMs. So everyone would try and optimize or minimize their CPCB 2 inventory holdings. So the focus on CPCB 4+ is going to be there across the ecosystem.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to management for closing comments.

Gauri Kirloskar: Thank you very much for hosting the call, and thank you very much to all of the participants for dialling in and for all of your q

uestions and interest in the company. See you next quarter.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your line .

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Q2 FY '25 Earnings Conference Call "
November 13 , 202 4

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR
– KIRLOSKAR OIL ENGINES LIMITED
MR. RAHUL SAHAI – B2B CHIEF EXECUTIVE
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
MR. ASEEM SRIVASTAV – B2C CHIEF
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MS. FARAH IRANI – COMPANY SECRETARY –
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MR. SAMRAT GUPTA – MANAGING DIRECTOR –
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MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER
– ARKA FINCAP LIMITED

MODERATOR : MR. AMIT SHAH – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q2 FY '25 Earnings Conference Call , hosted by Antique Stock Broking. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing st ar, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking . Thank you, and over to you, sir.

Amit Shah: Thank you. Good afternoon, everyone. On beha lf of Antique Stock Broking Limited, I welcome you all to 2Q FY '25 post -earnings conference call of Kirloskar Oil Engines Limited. To discuss the results, we have the senior management team of the company represented by Ms. Gauri Kirloskar, Managing Direc tor of the company; Mr. Rahul Sahai, CEO B2B business; Mr. Aseem Srivastav, CEO B2C Business; and Mr. Sachin Kejriwal, CFO of the company.

I'll hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Thank you, Amit. Good evening, everyone. I am Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining today's call. I'm joined by Rahul Sahai, our B2B CEO ; Aseem Srivastav, our B2C CEO; Sachin Kejriwal, our CFO; and Amit Gupta, CFO of Arka. We also have two new people on our team, , Farah Irani who has joined as our Company Secretary; and Samrat Gupta, who has joined as MD of Arka. As usual, I'll start with business updates followed by a fina ncial overview from Sachin, and then we'll open the floor for a Q&A session.

Q2 has been steady, marking the first quarter after the full transition from CPCB II to CPCB IV+. Stand -alone business net sales grew by 13% year -on-year. However, there was a quarter-on-quarter decline of 11%. Please note that the previous quarter, Q1 FY '25, was influenced by prebuy volumes. We saw strong demand, especially from the infrastructure and construction

sectors. In the B2B segment, all businesses, except international, grew year-on-year. Domestic demand is strong, while on the international side, we are continuing with our journey of building capability, channel and the right partners. B2C segment declined by 13% due to a planned plant transition. We have completed the construction of our new manufacturing facility at Sanand in Gujarat, and we have consolidated five of our manufacturing locations at Ahmedabad into this single unit.

On the margin front, EBITDA stood at INR165 crores, reflecting a 14% margin, which is a 450 basis point increase compared to Q2 of the previous year. Net profit for KOEL stand-alone was INR111 crores, a 90% increase year-on-year. If we remove the effect of one-time provisions and reverses made from the -- provisions or reverses, sorry, made from the numbers, then the net profit for the quarter was INR98 crores versus INR66 crores in Q1 FY '24, reflecting a 48% growth. Year-to-date, sales for H1 FY '25 stands at INR2,518 crores,

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showing a 9% growth year-on-year. EBITDA margins are at 14% and net profit is INR246 crores, marking a 52% growth. Again, if we remove the effect of one-time provisions/reverses, net profit for H1 FY '25 was at INR215 crores versus INR175 crores for H1 FY '24. That is a 22% increase.

Now coming to business updates. As I mentioned, demand in the B2B segment remained strong. Stand-alone sales reached INR1,059 crores, reflecting a 17% year-on-year growth. In the Power Generation segment, the real test lies in market reactions to the new emission norms. This quarter, as predicted, saw slower demand

as the market adjusts to the new pricing levels that come with the upgraded emission technology and correction due to the prebuy sales that happened over the past couple of quarters.

We're only one quarter in, so we'll be observing market trends over the next few quarters. We are confident our portfolio of products with leading emission and electronic technology incorporated will enable us to continue to be the dominant player in the markets we serve.

The Industrial segment grew approximately 8% year-on-year, driven by strong demand from our construction OEMs. Field trials for CEV BS V engines are progressing well and customer feedback has been positive. We continue to see strong growth in Defense and Marine and the Railway segments as we continue to drive execution of key projects with customers. The distribution and aftermarket business recorded a 10% year-on-year growth. We are continuing to focus on enhancing our service channel and capabilities to enable stronger support for newer technology products. We are seeing increasing service penetration and expect this to continue as we closely monitor our distribution and service KPIs.

The international business on the B2B side remained steady at INR123 crores versus INR125 crores as strategic realignments in international channels are establishing their teams and facilities to enable long-term sustainable presence in these markets. We are seeing strong growth for our industrial and firefighting products.

However, we are seeing some challenges on the power gen side due to changing power scenarios in key markets like South Africa. We are advancing in our technology road map and alternate fuel tracks. Our methanol gensets were recently showcased at the Methanol International Conference 2024. This was a proud moment for the entire team as we contribute to the nation's decarbonization journey.

In the B2C segment, stand-alone sales were INR 125 crores, marking a 13% year-on-year decline. WMS sales dropped by 11% year-on-year, primarily from diesel segment due to softened demand from extended monsoons, the deferment of key institutional customer orders to Q3 FY '25 and the production lag due to the plant transition in Q2 FY '25. While B2C international business nearly doubled to INR 13 crores compared to last year, primarily driven

by growth in agri engine exports to Africa and the Americas region. FMS sales remained muted at INR 14 crores.

Moving to the consolidated business update. Revenue from operations was INR 1,500 crores, showing 15% year-on-year growth. LGM inaugurated its new plant on September 12. Five

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existing manufacturing units were consolidated into a single state-of-the-art facility at GIDC Sanand. We believe that cost efficiencies from economy of scale and a sharper focus on other LGM operations will drive greater growth in the LGM business in the medium term.

In Financial Services, Arka's revenue grew 54% year-on-year to INR195 crores. As of September 30, 2024, assets under management stood at INR 6,284 crores.

In summary, this concludes the quarterly update. We are now nearing the end of our 2X -3Y journey. And I assure you that the team is working tirelessly to meet our performance milestones. This journey has been full of valuable lessons, and with our accumulated experience, we are now setting our sights on the long term to be \$2 billion vision I had mentioned in the last call. Thank you for your continued support and trust in the team. We're fully prepared for the journey ahead.

With these key business updates, I now hand over the call to Sachin for a quick financial overview.

Sachin Kejriwal: Good evening, everyone. Thanks, Gauri, for the update. I will give a quick update of the financial performance for stand-alone and consolidated business. The results and the presentations for today's call have already been

uploaded on the exchange and our website. Q2

top line registered a year-on-year growth of 13%. There was a 11% degrowth quarter-on-quarter. Also, please note, this is now ninth quarter in a row that we have crossed INR 1,000 crores in revenue from operations.

Coming to the financial performance. For the purpose of maintaining consistency with the last year numbers presented in the analyst presentation, we would like to give you a further picture of business as usual. At the same time, the CV results that you can see will reflect all the accounting provision reversals.

Now I will start with the Q2 FY '25 stand-alone performance first. So net sales at INR 1,184 crores for Q2 FY '25 versus INR 1,047 crores for Q2 FY '24, which is 13% year-on-year increase. EBITDA at INR 148 crores for quarter 2 FY '25 versus INR 109 crores for quarter 2 FY '24, which is 35% increase year-on-year. EBITDA margin at 12% for Q2 FY '25 versus 10% for Q2 FY '24. Net profit stood at INR 98 crores for Q2 FY '25 versus INR 66 crores for Q2 FY '24, which is 48% increase year-on-year.

Cash and cash equivalents of INR 213 crores versus INR 112 crores of quarter 2 FY '24. Please note the cash equivalent is net of debt, includes treasury investments and excludes unclaimed dividends. Also the above numbers are excluding recovery against the provisions we had made last year for a specific customer. If you look at the reported numbers, including this recovery, EBITDA margin for the current quarter is 14%.

Now here is a further breakdown of the stand-alone sales for the quarter. The B2B sales were at INR 1,059 crores. That is 17% growth year-on-year. Within B2B, Powergen was at INR 481 crores, which was 34% increase year-on-year. Industrial at INR 253 crores, that is 8% increase year-on-year. Distribution and aftermarket was at INR 202 crores, which is 10% increase year-on-year.

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And international business of B2B was at INR 123 crores, which is 2% decline year-on-year. The B2C sales were at INR 125 crores, registering 13% decline year-on-year. Within B2C, WMS was at INR 98 crores, that is 11% decline year-on-year. International business of B2C was INR 13 crores. That is 110% increase year-on-year. And FMS business at INR 14 crores witnessed a 49% decline year-on-year.

The working capital as of quarter ended 30 September has seen an increase of INR 69 crores as we are gearing up for future demand in CPCB IV+ regime. However, we continue to have a healthy net cash position, which is in excess of INR 200 crores.

Now looking at the consolidated performance for the quarter. Revenue from operations at INR 1,500 crores for Q2 FY '25 versus INR 1,305 crores for Q2 FY '24, which is a 15% increase year-on-year. Net profit at INR 106 crores for Q2 FY '25 versus INR 86 crores for Q2 FY '24, which is a 23% increase year-on-year. Again, the numbers I discuss here are excluding the exceptional items and amount of recovery against the provision we had made last year for specific customers. If we exclude the exceptional item and recoveries, the reported net profit for the current quarter is INR 125 crores.

Let us have a look at consolidated segment performance now. B2B segment revenue for the quarter was at INR 1,075 crores, which is 17% growth year-over-year. The segment EBIT was at INR 134 crores, reflecting approximately 77% increase year-on-year. B2C segment revenue for the quarter was at INR 230 crores, which is 12% degrowth year-on-year. The segment registered a loss before interest and tax of approximately INR 6 crores. Financial Services segment revenue for the quarter is at INR 195 crores, reflecting 54% year-on-year growth. The segment PBT, excluding exceptional income, was at INR 31 crores that is 22% increase year-on-year.

In conclusion, we delivered a steady performance in Q2 despite significant changes in the

B2B

segment. Looking forward, we intend to closely monitor the B2B market, especially concerning emission norms while maintaining our focus on the industrial market as we prepare for the upcoming BS V engine upgrade. As we approach the final phase of our 2X-3Y journey, we are cautiously navigating the new emission norms market with a strategic emphasis on key areas like high horsepower genset market and international business expansion.

Now we will open the forum for Q&A session.

Moderator: We have first question from the line of Jason from IDBI Capital.

Jason: Congrats on a good set of numbers. My first question is actually relating to, just wanted to understand that, of course, we are trying to go higher up the value chain in terms of the high

horsepower segment. So I just wanted to know in terms of the response from the Optiprime series, how is it? And how is the demand outlook starting for the Optiprime series?

Rahul Sahai: This is Rahul. So what we've seen is that there is a significant interest from a lot of our customers. And we have gained traction. So for example, there are several high-horsepower order board -- or orders that we do have at this point. And we will continue to push and work

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on the Optiprime from a market communication standpoint, but the value proposition is very clear, and we do see a very clear space for it.

Jason: Sure. And also, just wanted to understand now with the upcoming BS V norms in January 2025, how is the prebuying coming along for the industrial segment, especially for the construction equipment vehicle segment? And also, I just wanted to know in terms of

realization growth as compared to the previous emission norms, what kind of realization growth can we look at for those engines? And post that, will margins be in a smaller range of 11% to 12% for us?

Rahul Sahai: Right. So I wouldn't expect a very significant prebuy because ultimately, the engines go into equipment, and we work very closely with our OEMs. And I wouldn't expect -- see, because the margin profile may vary from node to node, but I wouldn't expect the margins to change drastically because we do have enough players and competitive forces in each node. So our margin profile will remain somewhat similar.

Jason: Okay. Sure. I just wanted to understand from a long-term perspective, also finally, I just wanted to ask you that for Arka Fincap, what is the strategy going ahead? I mean, of course, I

see there is good growth coming in from Arka as well. But do we look at hiving it off into a separate entity going down the line, somewhere down the line?

Gauri Kirloskar: Sorry, could you just repeat the last part of your question on somewhere down the line? I didn't catch that.

Jason: Yes. What I meant is actually for Arka Fincap, just wanted to know that -- I know we are seeing good growth coming there, but just wanted to know that from a long-term perspective, are we looking to hive it off into a separate entity and keep the genset entity separate? Just wanted to understand from a strategy perspective.

Gauri Kirloskar: Yes, sure. So yes, let me answer your question. And then I can request if Samrat has anything to add, although he has just joined and has been in the job for about 10 days. So from our perspective, as a parent of Arka, what I would say is that we will continuously monitor the granularity of the book, the spread of the risk and the return on equity that we're getting from the business.

But from the view of this being patient capital, there are many ways and means for the business to continue to also raise capital as the requirement is there as the book rolls. And this is something that we will help the business with. When you look at the path for the NBFC, there are certain stepping stones that it will have to take to get to a certain level and size.

And then we can look

at logical steps at that time. But it's not something that I will be able to comment on in terms of hiving off or not. Samrat, is there anything you would want to add in terms of some of the maybe plans that we have in terms of the business?

Samrat Gupta: Yes, I would. I just wanted to say that I just want to supplement and complement what Gauri said that as far as Arka is concerned, it's growing at a nice pace. I just joined 10, 15 days back,

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and the reputation and integrity of the promoters are impeccable, and we have a very good team from a risk management and credit assessment perspective.

Now I am sure that a group like Kirloskar, they believe in patient capital, and they believe in investing in industry and organizations, which survive the test of time beyond 5 years, 10 years or perhaps much more than that, given the background of KOEL.

My mandate is to ensure that I take advantage of the amazing team that we have and look at current things, which we need to perhaps get as far as direction is concerned, more towards building granularity of the book,

diversification of the book and also looking at digital distribution system, which is aided by technology and which is also aided by a strong branch infrastructure and collection infrastructure that helps to spread the risk. And I'm sure there has to be a threshold rate of returns, which we need to deliver to ensure the continuity of support from KOEL.

At the same time, the ecosystem of KOEL is very large. The Kirloskar group is very large. As I try to understand the group -- because it's more than 83 years KOEL exists, there are more than 4,000 points of presence where such distribution that is complementary for Arka, and we can build it around that.

Our objective is to build a small ticket, secured retail book because currently, we have a large emphasis on the wholesale book. And while we do all of that, we also have to ensure responsibly we build our customer experiences for convenience and value so that the brand India and what Kirloskar stands for India, we can also deliver as Arka over a period of time.

We are working on a business plan. We're working on all of that. That will take us a little time, but we will do that responsibly without any exuberance, without any UC or expense, only to keep in mind that how we develop India into that kind of entrepreneurial culture and that supports the entire building of the nation. And that's what Kiosk stands for. And once we have that, I'm sure we will get it signed up by our parent company, and see for -- and see to that, that we have a long term and even a short-term execution plan.

Jason: Sure. And just one last question, if I may squeeze in. For this Optiprime series, of course, we were in the process of catering to the data centers in that segment. Have we acquired the necessary certification from CPCB and EPA? Is that done or is that process still continuing?

Rahul Sahai : That's done, and we are executing our orders in data centers already.

Moderator: We have next question from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Congratulations on good set of numbers. Sir, would like to understand the Powergen side. I think this quarter the Power gen revenue has 34%, 35% growth. Now if I consider the realization, which is low, which is also in the similar range of 30%, does it mean that volume growth during the quarter was muted and some color on that would be helpful?

The second question was on the pricing front dynamic. There is roughly I think around close to 1 year that the CPCB IV engines are in play . So how is the pricing panning out for us for Kirloskar Oil Engines Limited
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CPCB IV engine, I mean, like over the last 6 months? Is it holding up or are we giving some discounts over there? I just wanted to understand

that.

Rahul Sahai: Sure. This is Rahul. See, if you look at the last 2 quarters, there was a lot of transition happening. Last quarter was the first quarter where we formally moved into the CPCB IV era. Now if you look at the quarter, the Powergen volume overall for the industry dipped by almost 12% to 15%. And out of that, we've been strong in our market share. So I haven't seen any significant dips.

So as far as that is concerned, we strengthened our position in certain nodes. For example, if you look at our high horsepower nodes, we've strengthened some of, like -- for example, we've got 750 kVA or 1,000 kVA, we've strengthened our position there. So overall, if you look at the market, the market overall declined in volumes, and we saw that impact as well.

We don't have significant volumes in 2,000 kVA upwards. So, of course, we have our Optiprime and that's the path that we are now taking. But overall, we've been fairly strong. And if you look at CPCB IV pricing, at least as of now, we see the pricing hold, but the market is constantly evolving, and we are watchful of that.

Mihir Manohar: Sure. In terms of data centers, is this 1,500 kVA which is provide -- I mean, becoming a product in that particular space? Can you give some color over there as to what could be the revenue for data center in 1H FY '25, that would be helpful?

Rahul Sahai: So it's a lot of different products. 1,500, we have 1,010 and we also have 1,000 kVA Optiprime. We are seeing traction slowly. And what -- we don't really track or report data center segment separately. So I won't be able to give that number, but we are seeing more traction than what we have done before.

Mihir Manohar: Sure. Just my last question was on the Kirloskar Brothers heavy pumps electrification method which they are applying. So can you just provide some color over that, where is the method trending exactly, that would be helpful.

Gauri Kirloskar: So the legal matters all sub judice. So I won't be able to comment on that on the Kirloskar Oil Engines earnings call.

Moderator: We have next question from Palak from MIV Investment Management.

Palak: My question is that, first, are we still confident of achieving our stand-alone revenue guidance, considering the scenario of Powergen segment? Secondly, yes, if we are confident, then what are the levers or the factors which is giving us the confidence?

Gauri Kirloskar: So first -- and Rahul may supplement what I say. But first, I want to say that it's an aspirational target, and that's what it always was. And if you look at the historical growth before we set this target compared to the growth that the company has achieved in the last 2 years, I think that is what we were trying to change in terms of the momentum in terms of the opportunity that we have in front of us. So that's just my comment on the last 2 years.

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Of course, now we have 2 quarters to go. The target is certainly something that we're still gunning for, and we will continue to gun for and strive to achieve. All of our teams are excited about the target. It has excited them thus far. And I think that it's certainly within reach. So that's where I will leave it. And if Rahul has anything to add, Rahul please go ahead.

Rahul Sahai: Yes, I mean, I am completely aligned. It was an ambition that we stated and we are going after that ambition. And we've seen significant growth and success over the last 2.5, 3 years. And we'll continue to aspire for that ambition.

Palak: And second is, do we anticipate any changes in H2 in Powergen segment? What is the volume growth that you're expecting? And in terms of pricing, will we be able to maintain the pricing since the other competitors are also catching up with the technology and similar case in terms of margin?

Rahul Sahai: So we are watching over how the market evolves because it might be premature to comment

on some of those points right now. But we're keeping a close eye. And because as more and more players enter the CPCB IV markets, it would be interesting to see how the market dynamics evolve over a period of time, but we can't comment on more than that at this point.

Moderator: We have next question from Teena Virmani from Motilal Oswal.

Teena Virmani: Congrats for a decent set of numbers. My question is related to the competitive intensity in key nodes of Powergen for KOEL. So just wanted to understand, are smaller players or even the bigger players trying to get into the market share of KOEL? During the quarter have you seen any such kind of thing happening in Q2 of FY '25? Because some of the players have priced their product in such a way that it is much lower than the market rate. So I just wanted to understand and take your views on the same.

Rahul Sahai: Sure. Teena, this is Rahul. If you look at the last quarter, what you will say is that -- or at least what we've seen is that it's more of the established players where node by node, there are certain variations. We haven't really seen a lot of "small players" come in because there is a lot of investment in technology as far as emissions are concerned in the CPCB IV+ era. So we haven't seen too many of smaller players come in, but there are node wise market movements within the Powergen space, and it is generally by people who are well established. I haven't seen any smaller players come and take market share in CPCB IV.

Teena Virmani: So in terms of the ranges, let's say, the low kVA nodes or maybe the mid-kVA nodes up to 400, 500 kVA, have you seen competition from players like Ashok Leyland, Greaves Cotton or maybe Mahindra Powerol?

Rahul Sahai: I would call them fairly well established, so...

Teena Virmani: Yes, right, I mean, relatively smaller as compared to KOEL.

Rahul Sahai: Yes, yes, of course, sure. I understand what you're saying. So yes, we have seen competition come in. So for example, Mahindra has been a long-standing player, especially on the lower end of the market. They've always been strong with the presence in telecom. So we've seen

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some of that happen. But at this point, it would be wise to look at 1 or 2 more quarters and then be able to come to any conclusion.

Teena Virmani: Okay. So in terms of demand side, do you see that demand in the month of October and so far in the month of November, has demand remained strong despite these price hikes?

Rahul Sahai: So what we've seen in the last quarter is that the demand fell -- overall industry demand fell by almost 12% to 15%. And what -- we expect that to bounce back though. So as we look at the next few quarters, we do see demand picking up again. The last quarter was the first quarter of this transition. And I think we should see more the order book building up and the demand picking up as we move into this quarter. So we are quite optimistic about that.

Teena Virmani: Okay. My last question is on exports. How do you see the second half panning out in terms of growth for the export?

Rahul Sahai: So second half, we are expecting that to be better than what we did in the first half. Some of the challenges that we've seen in the -- on the international business, South Africa was an important market for us as far as power generation is concerned. And because of the power

situation improving drastically in South Africa, we're seeing a lower uptake there. And as a result, what you're seeing is our Powergen business internationally has seen a hit. But on the industrial side, we have still been pretty strong. So if you look at our international business, in H1, our volumes grew by -- or last quarter, our volumes have grown substantially. As we look at the next or H2, we're expecting that to be better than H1 as far as revenues are

concerned.

Teena Virmani: Okay. So any traction, which is expected for CPCB IV+ products for exports in the near term, maybe in the next 1, 2 quarters? Or is it still some time away for CPCB IV+ to get accepted in the international markets?

Rahul Sahai: So each region has its own emission standard. So while the product may not exactly be a CPCB IV product, but you're right, each region has its own emissions and the technology would -- and the platforms would remain similar. So what we're seeing is that most of the markets where we currently do international business in, they don't have a very high level of emissionization at this moment. So if you look at, say, Middle East, if you look at now the African countries, so CPCB IV or having this technology of being able to get down to this level of emission, that definitely helps us. But if we have to target more advanced markets, then we will have to have our products ready with those certifications. And for instance, what we are doing on, for example, in the US, we have EPA -- we have a few nodes that are EPA certified, and we are looking to grow that business. So we'll follow that strategy.

Moderator: We have a question from Bharat Sheth from Quest Investment Advisors.

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Bharat Sheth: I mean taking forward to this, our genset side, our international data center, there is a huge opportunity. So what exactly are we doing on that front or are we working, and when do we likely to see kind of a certification which you have replied to a previous participant?

Rahul Sahai: So international data centers are something that we're definitely focusing on. It is a slightly longer term process because the process involves multiple consultant engagement and there are already fairly well entrenched competition there. Having said that, our first focus is the domestic market because that's closer home, and we see a significant opportunity there. So before we go international on the data center side, we are focusing on the domestic market as far as data centers are concerned. And we do see a strong opportunity to do that. In parallel, we are building out our distribution globally. And in case there are data center opportunities, we're absolutely going all out to execute that.

Bharat Sheth: And my second question is that, if we look at, I mean, India, a lot of players international, so they are looking at India as a global hub for sourcing diesel engine. So in that play, how do we like to play because once they start sourcing it, so they become also more competitive? So what is our game plan, I mean, for this as well as can you emerge as one of the engine supplier?

Rahul Sahai: So you're right, a lot of global companies are sourcing very heavily from India. The advantage that we have is that our entrenchment to the suppliers is very strong. In fact, we even today, in spite of moving to the level of emissions that we have, our imported content remains between 12% to -- about 12%. So our imported content is very low. So our level of indigenization as far as our platforms are concerned is extremely high.

So even if there is competition, building competence for sourcing from India, that's absolutely fine. We don't see that as a cause of concern. We have had people who've reached out to us for like resourcing or sourcing some of their platforms from us, and we are engaged in different conversations there, but there's nothing significant to report at this point.

Bharat Sheth: So when do we expect that we will be in some kind of -- to say maybe down the line 3 years Kirloskar emerge as a large engine supplier?

Rahul Sahai: Would you say -- when you say large engines, you mean like high horsepower?

Bharat Sheth: Yes, high horsepower for international market.

Rahul Sahai: Okay. So what we are already doing, see, we're already shipping out our K4300 platform, which

is the 1,500 kVAs we have started. We have commenced shipping that even to international markets. Our 2,000 kVA, one of the first few orders got executed in Dubai. So some of that high horsepower work for international markets has already begun.

What we are doing is we're focusing first on the domestic market with these products. And we are seeing demand locally as well. I mean, so that we will -- we are constantly evaluating and we are taking a call which products to ship where because along with the sale, there is a requirement of establishing an appropriate service infrastructure as well.

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Moderator: We have a question from the line of Manish Goyal from Thinkwise Wealth Managers.

Manish Goyal: I have a question on our B2C business where we have like consolidated LGM five plants into a single location. So maybe if you can just provide some perspective, like what is the capex we have done? And are there any more capex lined up? And in terms of benefits, what benefits can we see in near term to medium term, both on the revenue growth front as well as margin improvement front? That is the first question.

And my second question is also pertaining to Powergen exports like for developed markets. We have been seeding our higher range, especially in the US with the subsidiary and a recent acquisition for front-end distribution. So like where are we in terms of getting the certification and what nodes we are looking and when do we really expect the volumes to pick?

Gauri Kirloskar: So Aseem are you there? Will you be able to take the first question for us?

Aseem Srivastav: So if you see, we have done a capex of INR140 crores for the new facility in Sanand. Now this facility is state-of-the-art and with 30% extra capacity, there'll five small plants that we had earlier. In terms of synergies, we believe that we'll be able to actually save cost, also improve delivery time. And for international business, this facility will be a boon for us because many OEMs and also customers from Europe and also from Middle East, when they visit this facility, we think they will be able to approve the facility for new orders.

Manish Goyal: So like if you can just -- would you be able to like quantify in terms of what is the margin improvement? Because probably no doubt this quarter, we -- last Q1, we saw a decent improvement in the margins of B2C business. And this quarter, again, it's probably negative. But in what time frame can we see sustainable double-digit margins because the competition has double-digit margins in this business?

Aseem Srivastav: So if you see in Q1, we actually had -- in LGM, at least, we had close to double-digit market. Even in the WMS pump business, we had double-digit market -- margins. Now this Q2 result has come down because of this plant transition. So as we were shifting man, material, and also the assets to the new plant, we had some challenges and there was less production, which led to some sales loss and that's the reason the results are what they are.

We are still ramping up production where there was some delay. Now in November, we are at around 60% of the mean capacity. And by December, this will stabilize. So our aspiration is to go to double-digit EBITDA for B2C business, and we are confident that we'll be there very soon.

Rahul Sahai: I think there was a second half of that question on our Powergen exports. So if you're talking -- you spoke about our high horsepower strategy for the US. So at this point, we are actually evaluating that. So we are on the drawing board there that which are the right platforms to take to the American market. At this point, I won't be able to give out more than that. But we are looking at high horsepower in the U.S. We are evaluating our options at this point.

Moderator: We have next question from Hardik, an individual investor.

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Hardik: I would like to extend my congratulations to Mr. Vimal Bhandari for impressive growth of the loan book to INR6,000 crores with commendable GNPA of under 0.50. As Mr. Gupta steps in, a new MD, having led Tata Motor Finance with a book size of INR 31,000 crores and facing high single-digit GNPA's, could you please share how his previous experience will influence the strategic decision of Arka, especially now as the industry is seeing challenges unsecured credit as well as MFI segment in fact trying to maintaining our asset quality would be helpful.

Samrat Gupta: Thank you for the question, Hardik. I wanted to tell you that I have just joined and this is not a captive outfit at all, and it is indeed great. Vimal has built a great book, which is largely predicated upon loan against property and wholesale debt, and the asset quality is amazing. But the issues like this that we are NBFC. And our ratings and our cost of borrowings are much inferior compared to banks.

And in wholesale debt, the spreads are not that high or even loan against property, the spreads are not that high. Given that we don't have any captive focus, my objective is to build granularity of the retail book and that, too, in secured businesses, like places which are relating to small ticket, loan against properties, places which are fully secured, that is my objective. As far as Tata Motor Finance is concerned, the book, which was not dependent on any captive business, that book had a GNPA of much less than 3%, ROA of much higher than 4%, 4.5%. And that we build over a period of 7 years to about INR 15,000, INR17,000 crores and which was fully retained on the basis of distribution and collection and analytics and technology. I

hope to work hard with the existing team, where we balance the wholesale book, we balance the retail growth and the investments and ensure that the right kind of ROA metrics is followed out there.

Given that there is no captive business, and there is no demand creation, rather, it's a value creation for the capital that has been invested from KOEL, I'm quite confident that with the existing team and the experience which we had, had to build a secure retail book generating northwards of threshold ROA is what the journey would be. It's early days and I'm learning from everybody. And I'm sure I'll learn from you to see how to make this company very successful on the basis of the metrics, which makes all the stakeholders happy and also their expectations are met.

Moderator: We have a question from Shrinidhi from HSBC.

Shrinidhi: Congratulations on good set of numbers. So may I ask just a couple of questions on Powergen business? May I ask how has been the volume growth for the first half for the company? And if you also have a similar number for the industry? This is for the first half.

Rahul Sahai: So if you look at our volume growth in H1, our volume growth has been about, I would say, 12% to 14% in terms of pure volumes. And I won't be able to comment specifically on Powergen, but I can speak overall. And what is the other part of your question?

Shrinidhi: So this 12% to 14% is overall company level volume or it was very specific to Powergen segment?

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Rahul Sahai: No, no. So we don't give to -- that information is internal. I can't comment on the specific Powergen numbers, but I can speak overall.

Shrinidhi: Right. And just 10% to 15% decline, that was very specific to the Q2 quarter, right? And that was industry volume...

Rahul Sahai: Industry volume, yes, correct.

Shrinidhi: Okay. And that was largely due to -- what do you attribute this decline? Is it something which is generally the extended monsoon government capex being low or it's a lot to do with the inventory in the channel?

Rahul Sahai: So I

think that -- so there are two forces there. One is, if you look at overall economic activity in the last quarter, that has also declined. So if you look at the GST collections, there is a dip there. The second is, it was the first quarter of 100% CPCB IV. And with the CPCB IV significant scope enhancement and corresponding price increase, a lot of key orders or a lot of procurement decisions were delayed because even the large corporate customers are waiting for in case there's any change in pricing. So it was a combination of two things.

Shrinidhi: Understood. And sir, a related question, would you say the channel inventory for the industry as well as for the company, how would you see it versus normalized levels for the Powergen business?

Rahul Sahai: See, unlike the automotive market, where channel inventories are at an all-time high, and there is a significant -- there's an overall glut as far as the demand is concerned, we are not seeing as much of that. So while -- so we are adequately stocked in the channel. And beyond a particular point, we actually don't want our working capital to be impacted. So we're not seeing anything drastically different from what we were expecting.

Shrinidhi: Understood. And sir, last one, if I may. How much of the Powergen demand for the company actually comes from the residential real estate end market?

Rahul Sahai: So we don't give out a specific number, but if you look at residential or real estate developers, that's a lot of -- that's a big part of our business, especially in power generation, and that's a segment of importance as well.

Shrinidhi: And sir, there, are you seeing incremental inquiries with a lot of this real estate market doing well generally? Are you seeing that inquiry levels in that end market quite strong for you?

Rahul Sahai: We're seeing an uptick. What is exciting or interesting is we're seeing a lot of inquiry levels upwards of 1,500 kVA in that market.

Moderator: We have a question from Manish Goyal from ThinQwise Wealth Managers.

Manish Goyal: A couple of questions. One on the balance sheet. We see a very high level of capital work in progress of INR 225-odd crores and as well as maybe INR 40 crores, INR 50 crores of intangibles work in progress. So what is it pertaining to? What is this capex line for?

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And my second question is on the industrial business. On the domestic what you probably see, this quarter Y-o-Y growth is -- basically, it's a single-digit growth. And sequentially, it has

declined by 21% from INR 320 crores to INR 253 crores. So just want to know like what could be the reason? Where the growth rates have been tapering off? And how do we see it going forward? And what kind of prebuying can we see in the quarter 3?

And I just want to clarify here that the BS V norms will be implemented from Jan 1, 2025?

And are we like restricted to -- sorry, the dealers are restricted to sell after 1st June? Or how is it, the norm, the way we saw for CPCB IV? And my third question is on share of high horsepower revenues in Powergen, and what do we categorize as high horsepower from what nodes we categorize?

Rahul Sahai: I would request if you can ask one question at a time because it gets very complicated to answer. Can you ask question the first question, and then I'll respond once at a time?

Manish Goyal: My first question was high capital work in progress of nearly INR 225-odd crores in balance sheet. And additionally, intangibles also work in progress of, I believe, INR 40 crores, INR 45 crores. So what is this pertaining to where such large capex are still outstanding, and we are not capitalized?

Sachin Kejriwal: So these are the capex which are in progress, and these are very much essential for the growth of the company. And this capex are in the nature of sustenance capex and the new product development. And

and this will get capitalized as soon as the projects mature.

Manish Goyal: But what is it pertaining to? Like is it for capacity expansion or what?

Sachin Kejriwal: Yes, it's for the capacity expansion and the new product development. So as you're aware that BS V will be coming up from 1st of January, so some capex are pertaining to that, and few are pertaining to the capacity enhancement.

Manish Goyal: Okay. My second question was on the industrial revenue. It saw a single -digit growth in Y-o-Y and it declined 21% sequentially. So if you can throw perspective why the growth rate seems to have tapered off? And how do we see it going forward?

Rahul Sahai: The industrial business has not declined Y-o-Y.

Manish Goyal: No, I'm saying it just saw single-digit growth, where we have been seeing in recent past very strong growth. And if you probably look at Q1 numbers, it was INR 320 crores revenue. And this quarter, it is just INR 253 crores revenue. So how much is it probably -- because I believe tractors have improved sequentially, and you did comment that construction industries sales too -- in fact, constructions are doing well? So I presume industrial engines play a fairly strong role over there. So just wanted to clarify.

Rahul Sahai: So if you look at Q1, see, industrial business is a function of the demand that we -- or the forecast that we get from our OEMs. So if I look at my -- the industry business overall, we are actually on track, and it is progressing as per our plan. There isn't a significant issue there. If I look at versus H1 of last year, there is significant growth that we have seen. So if you compare Kirloskar Oil Engines Limited
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H1 of this year versus last year, there is significant growth of 23%. So the quarter-on-quarter movement will keep happening, and that is not something that we are extremely worried about.

Manish Goyal: And how do you see the prebuying in quarter 3? And if you can clarify that can the dealers sell after Q1?

Rahul Sahai: So if you look at CEV, yes, I mean, that's the transition that we're talking about. We actually sell the engines to our OEMs, so which is why we wouldn't expect the prebuy to be as high as the way it works in power generation because the OEMs are also limited by the amount of stocking they can do of the overall equipment. So there will be prebuy, it won't be as significant as what we experienced on the power generation side.

Manish Goyal: Right. And last question was on the share of HHP revenues in Powergen, and what node we ideally qualify as HHP?

Rahul Sahai: So internally, we say anything which is greater than 750 kVA is HHP. So that's our internal definition. Now if you look at historically, so maybe 3 years ago, this was in less than 4% of the entire portfolio was HHP. That percentage number would have -- will be over 15%, 20% by now.

Moderator: We have a question from Sourabh Arya from Oaklane Capital Management.

Sourabh Arya: Gauri and team, congrats on decent numbers. The first question I have is on, again, B2C side. There, obviously, in last few quarters, it improved towards -- from 1% to 2% margin to 8% margin. And I know there are obviously this plant-related stuff, which impacted this margin. But what does it mean? It's again a reset to negative and then there will be a gradual journey towards 8% to 10%? Or we expect this was kind of a one-off issue and things would be back to 8% to 10% very quickly in next one to two quarters?

Aseem Srivastav: Aseem here. See, last time when the margins were low, there were a lot of basic issues that all got sorted out, and it took a lot of time. But this time, the issues are basically related to less production, we couldn't produce. And that's a reason we couldn't say it. Now as we have started producing in the new facility where we faced problems in terms of ramp-up, we are

confident that we will be

able to come back to normal margins by Q4.

Sourabh Arya: By Q4, okay. That's helpful. Second is, so at stand-alone company level, there is a reasonable improvement in gross profit margins of the company. Can you explain, maybe Rahul or Sachin, they can explain, that why this improvement is there, and is it sustainable?

Rahul Sahai: This is Rahul. See, if you look at stand-alone business, it's largely driven by the B2B business. And if you look at our overall improvement on the EBITDA, which is driven largely by our focus on our aftermarket, our HHP growth as well as our continuous endeavour to drive exports, the three key levers continue to positively impact our margins, and which is why at a stand-alone level, you see that improvement.

Sourabh Arya: This gross profit margins will sustain, like this move towards 36%?

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Rahul Sahai: So we will continue to strive for improvement. I don't think I can comment beyond that.

Sourabh Arya: Sure. And maybe then lastly, on the export side, so at the start of the year, we had, I mean to say, pretty strong expectations for the export business. While from Q1 to Q2, it has decelerated. Obviously, you commented that in H2 things will be better. But still at the full year level, what should be the expectation from exports? And I understand this South Africa issue, maybe South Africa power situation improving is there, but that would actually continue even going ahead from here on. So maybe that would not be a one-off issue. That is something which is here to stay.

Rahul Sahai: So you're correct. And there are multiple cycles that we are exposed to. So as we become more global, more and more of such situations will happen. So South Africa was an important market for us, and we saw -- we're seeing this drastic decline in demand. But we also have other clients. So we have our GOE M that we've appointed in the Middle East that is work that we are doing in the backend to ramp that capability up. So overall, in the international business is not where we wanted it to be, we expected more. But having said that, we continue to be optimistic because there is a lot of work that we've done in the back end.

Sourabh Arya: Why I'm actually a little bit -- maybe and I would want to ask more is because H2 of last year was very, very strong when we look at it. So would it be, I mean to say, fair to expect growth on those numbers or it would be very challenging. So H1 versus H2 might look good this year,

but on a yearly basis, actually, that might be still not good enough to give any growth?

Rahul Sahai: We are very committed to growing beyond last year.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to management for closing comments.

Gauri Kirloskar: Thank you very much, everyone, for joining the call today and for all of your questions and thank you very much for your support to the team. See you next time.

Moderator: On behalf of Antique Stock Broking, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Date: 18th February 2025

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 5th February 2025 and 12th February 2025, we hereby inform that the Transcript of the Conference Call for Investors and Analysts held on Wednesday, 12th February 2025, at 4.00 p.m. (IST) to discuss the Unaudited Financial Results of the Company for the quarter and nine months ended 31st December 2024, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com. The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited

Farah Irani
Company Secretary

Encl.: As above.

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Q3 FY '25 Earnings Conference Call"
February 12, 2025

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR
– KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER
– KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SAMRAT GUPTA – CHIEF EXECUTIVE
OFFICER – ARKA FINCAP LIMITED
M R. AMIT GUPTA – CHIEF FINANCIAL OFFICER

– ARKA FINCAP LIMITED
M S. FARAH IRANI – COMPANY SECRETARY –
KIRLOSKAR OIL ENGINES LIMITED

MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Oil Engines Limited Q3 FY '25 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal for an operator by pressing star followed by zero on your touchtone telephones.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.

Amit Shah: Thank you, Farah. Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to the 3Q FY '25 Post Earnings Call of Kirloskar Oil Engines Limited. To discuss the results, we have senior management team of the company represented by Ms. Gauri Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of the company; and Mr. Sachin Kejriwal, Chief Financial Officer of the company.

I would now hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Thank you, Amit. Thank you, Farah. Good evening, everyone. I am Gauri Kirloskar, Managing Director of Kirloskar Oil Engines. Thank you all for joining today's call. Rahul Sahai, CEO; Sachin Kejriwal, CFO; Samrat Gupta, CEO of Arka; Amit Gupta, CFO of Arka; and Farah Irani, Company Secretary, are also on the call with me.

As usual, I'll start with business update, followed by a financial overview from Sachin, and then we'll take your questions. On the B2B side, Q3 has seen subdued results, mainly due to our performance on the Power Gen business. As the effect of the CPCB IV transition plays out, we saw a correction in demand and market volumes on the low and medium horsepower segments. That is the segment of the market that we are strong at. This was expected after prebuy, and the emission norms change.

The demand for LMHP is expected to pick up in the coming quarters, and we expect this to come back to the pre-emission norm change level. We also saw some decline in our market share on the LMHP side, and I see this as a temporary change, and I'm sure that we will recover our earlier market shares once the market stabilizes on the demand side.

On the high horsepower side, the market demand has been very strong, and we are slowly making progress. We have seen an improvement of our market share in this segment, but it is still early days here, and we will continue with our growth in this segment in the coming quarters.

From a product standpoint in Kirloskar Power Gen, we now have the largest range of gensets from 3 kVA to 3,000 kVA. And through Kirloskar Industrial, we offer specialized industrial power systems with 6.3 megawatt gensets. Our Optiprime range of products continue to show promise with very positive feedback coming from the market. With the portfolio starting from 117 kVA going up to 3,000 kVA, this has the best value proposition for most of our customers.

On the B2C segment, we have completed our plant transition this quarter.

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As I had briefly mentioned in our earlier calls, it was a complex transition wherein we have consolidated five of our manufacturing units in Ahmedabad to a single plant at Sanand. This entire transition was a complicated one involving planning over quarters. We had to build significant inventory to take care of the blackout period of no production and transition to the new plant while moving machinery, manpower and materials.

As expected, this had some impact on the numbers. However, the entire shifting process is complete, and our new plant is fully operational. With the production ramped up, we are now manufacturing at the levels that we have

planned for. We will see improvement in performance in the coming quarter.

On the international side, as I had mentioned in my earlier calls, building out the right model for international business is our focus, whether it comes to channel, people or processes. We will continue on this journey. And while we have made some critical steps in some key geographies, it will take time in building out this business to ensure that we are making sustainable moves.

With all of these complexities in the backdrop, for the stand-alone business, we witnessed 3% growth as compared to the same quarter last year. B2B sales grew by 3%, while B2C sales dropped by 3%. These are the highest Q3 numbers we have achieved. On the margin front, EBITDA at INR117 crores registered a 10.1% margin. Net profit for KOEL standalone was INR65 crores.

Now coming to year-to-date performance. Sales for the 9 months year-to-date is INR3,672 crores, a 7% growth. EBITDA is at INR438 crores, which maintained a double-digit margin at 11.8% and stand-alone net profit was INR280 crores. That's a 10% growth year-on-year. The numbers are after excluding the effect of onetime provisions or reversals. Now coming to business updates. B2B sales for the quarter were at INR1,006 crores. Power Gen sales were at INR418 crores.

As I mentioned earlier, this is primarily due to the prebuy effect in the segments where KOEL is traditionally strong. The overall market at these segments corrected by -- and by corrected, I mean, contracted by around 40%. We see the demand levels coming back to the earlier levels in the coming couple of quarters.

On the industrial side, we continue to witness double-digit growth. Sales were INR268 crores for the quarter, registering a 16% growth year-on-year. With CEV BS-V going live from January 1 of this year, we continue to see strong demand from the infrastructure sector.

Distribution and aftermarket business at INR208 crores registered a 15% growth for the quarter, driving service penetration and improving the capabilities of our service dealers continue to remain key focus areas for us.

On the international side, the same quarter last year had some large onetime orders, which gave a significant upside to the numbers then. This quarter did not see a similar impact. And hence, at a quarter level, we saw a slowdown with sales at INR112 crores, which is a 17% decline year-on-year.

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The primary focus for our international business continues to be setting up sustainable operations across channels, people and process. On the B2C side, stand-alone sales were at INR148 crores, marking a 3% year-on-year decline. WMS sales grew 3% year-on-year. The business is steadily growing. We saw some headwinds with demand in the agri sector and supply concerns. However, overall, the business is making steady progress.

International B2C grew by 18% to INR10 crores, primarily driven by growth in agri engines and pump exports to Middle East and North Africa, Africa and the Americas region. The export side of the B2C business is showing steady growth, and we expect the same to continue in the coming quarters as well. On the Farm Mechanization business, as you all know, profitability of the business was a concern for some time.

We have taken a conscious call to address this issue. And in that process, we are evaluating the way we approach that business, including our manufacturing strategy, product line, channel and our overall business strategy. As part of this, we have taken a pause in some of the sales that we do, and we are in the process of getting our business model corrected for this business.

As a result, Farm Mechanization sales nearly halved from INR19 crores to INR9 crores this year.

Moving to the consolidated business update. Revenue from operations for the quarter was INR1,454 crores, showing a 4% year-on-year growth. As I mentioned, the

complex task of

consolidating our manufacturing plants at Ahmedabad was completed in Q3.

This has had some impact on the Q3 numbers as we were not able to produce at the levels to meet the demand. Given where we stand now, we are past that phase and the LGM plant stabilization is going as planned. Overall, B2C business consolidated revenue from operations for the quarter were at INR224 crores, witnessing a 14% decline year-on-year.

Our Financial Services business, Arka's quarterly revenue grew 43% year-on-year to INR212 crores. As of December 31, 2024, the assets under management stood at INR6,740 crores. I'm also happy to share that the Board of Directors has approved the interim dividend of 125%, that is INR2.50 per share.

This concludes the quarterly update. At an overall level, the quarter has been challenging for us, both on the B2B and the B2C side. However, I see these as temporary bumps in the road in our journey, and I'm very confident that we will recover along with the market in the coming quarters. Overall, our business fundamentals remain intact. Our product portfolio caters to the entire range of the market. Our products have performed well in the post-emission norms

change.

Our channel remains strong and resilient, and we have a very strong first-fit and aftermarket channel. All of these continue to remain strong for us, and therefore, I see a strong future in front of us. The coming quarter is the last quarter of our 2X-3Y journey, and I'm very proud and excited of our journey so far, and we will see where we land against what we envisaged 3 years ago.

We have already announced our next 5-year strategy. And at Q4, we will give you an update on our journey, our learnings, what went well and what could have been better. Making sure that

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we have a strong end to the 2X-3Y journey is a focus area for all of us. And I'm sure that together as a team, we will achieve that. Thank you for your continued support and commitment. With these key business updates, I now hand over the call to Sachin for a quick financial overview.

Sachin Kejriwal: Good evening, everyone. Thanks, Gauri, for the update. I will now give a quick walk-through of the financial performance for stand-alone and consolidated business. The results and the presentation for today's call has already been uploaded on the exchanges and our website. Q3

top line registered year-on-year growth of 3%. There was a degrowth of 3% quarter-on-quarter.

Coming to the financial performance, I will start with the stand-alone performance first, review of Q3 FY '25 financial performance. Net sales at INR1,154 crores for quarter 3 FY '25 versus INR1,125 crores for quarter 3 FY '24, that is 3% increase year-on-year. EBITDA at INR117

crores for quarter 3 FY '25 versus INR128 crores for quarter 3 FY '24, that is 9% decline year-on-year.

EBITDA margin at 10.1% for quarter 3 FY '25 versus 11.3% for quarter 3 FY '24. Net profit at INR65 crores for quarter 3 FY '25 versus INR79 crores for quarter 3 FY '24, that is 17% decrease year-on-year. Cash and cash equivalents as at end of quarter 3 was INR159 crores. Please note, the cash and cash equivalent is net of debt and includes treasury investments.

With payables of 70 days and receivables of 43 days, we are maintaining comfortable working capital levels. However, inventory level at 77 days is on the higher side due to CPCB norm changes and the upcoming BSI upgradation for the industrial engines. However, we continue our efforts to bring this down.

Now here is the further breakdown of the stand-alone sales for the quarter. The B2B sales were at INR1,006 crores, that is 3% growth year-on-year. B2B Power Gen was at INR418 crores, which was 2% decrease year-on-year. Industrial at INR268 crores, that is 16% increase year-on-year. Distribution and aftermarket was at INR208 crores, 15% increase year-on-year

and IBG,

that is our international business of B2B was at INR112 crores, that is 17% decline year-on-year.

The B2C sales were at INR148 crores, registering a 3% decrease year-on-year. Within B2C, WMS was at INR129 crores, that is 3% increase year-on-year. International business of B2C was at INR10 crores, that is 18% increase year-on-year and FMS business at INR9 crores witnessed a 55% decline year-on-year. Now looking at the consolidated performance for the quarter. Revenue from operations at INR1,454 crores for quarter 3 FY '25 versus INR1,391 crores for quarter 3 FY '24, that is 4% increase year-on-year.

Net profit at INR58 crores for quarter 3 FY '25 versus INR108 crores for quarter 3 FY '24, that is 37% decrease year-on-year. Please note, these numbers are excluding exceptional items and provision reversals for overdue receivables made for a customer towards sales made in previous year. And the number for the previous periods have been regrouped wherever required to make them comparable with those of the current period.

Let us have a look at consolidated segment performance now. B2B segment revenue for the quarter was at INR1,018 crores, which is 3% growth year-on-year. The segment PBIT was at INR91 crores, reflecting approximately 14% decrease year-on-year. B2C segment revenue for

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the quarter was at INR224 crores, which is 14% degrowth year-on-year. The segment registered a loss before interest and tax of approximately INR21 crores.

Financial Services segment revenue for the quarter is at INR212 crores, reflecting 43% year-on-year growth. The segment EBIT, including -- excluding exceptional item was at INR29 crores, that is 23% decrease year-on-year. With this overview, I would like to conclude that Q3 was subdued performance as we moved into second quarter post the emission norm changes.

As Gauri also mentioned in her remarks, we believe it will take a couple of quarters more to see the Power Gen demand going back to the original levels. We are confident in our products and ability to quickly react to changing marketing -- market dynamics. We remain focused on the

key strategic areas like high horsepower, genset markets and international business in key geographies.

With this key update, now we will open the forum for Q&A session.

Moderator: The first question is from the line of Jason Soans from IDBI Capital.

Jason Soans: My first question just pertains to the Optiprime kVA series. Just wanted to know how is the demand outlook tracking plus we are foraying into the high horsepower segment through this series. So just wanted to know and take an update on how is the demand outlook tracking from the data centres or the high power requirements in various infra verticals?

Rahul Sahai: Thanks, Jason, for that question. So, the Optiprime product range has been very exciting for us.

We are getting not just a lot of interest, but also a lot of confirmed orders that we are executing.

And those orders are honestly starting at about 117 kVA and today, we are executing orders of about 2,500 kVA also, so that the range is very large.

And we completely and truly believe that with this product, the value proposition of flexibility, better cost of ownership that is offered to our end customers, especially if you look at the segment that you mentioned of real estate or even data centres, I think that is -- that's a big differentiator.

So, there is going to be effort needed to explain the solution and sell it because as you're aware, this high horsepower market operates through not just customer and us, but then there are other people also involved like consultants and contractors and things like that. But I'm fairly confident that it's the product that our customers would value. And we have seen a lot of interest, and our order book is pretty strong.

Jason Soans: Just my next question pertains to just w

anted to know, I mean, for LGM, our La-Gajjar machines.

The last time around when we look at the financials, for FY '24, we have clocked in around INR540 crores and a PBT margin of 6.4% and a PAT of around -- so we clocked in around INR247 million. So, I understand that this time around in FY '25, there's been a consolidation into Sanand and all those onetime restructuring has taken place. So, would it be possible to share the numbers for 9 months ending FY '25 for LGM in terms of PAT or PBT and revenue as well?

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Rahul Sahai: Sure. We'll just check the number. Just give us a minute. We'll just check the numbers and get back to you. I think we can just move to the next question. We will update on this response shortly.

Jason Soans: Sure. Okay. So, my next question pertains to -- just wanted to understand, see, from -- I mean, we started the year pretty strongly. We clocked in -- I'm just talking from a stand-alone basis; we clocked in a PAT of INR135 crores. And from there on, of course, CPCB 4+ has kicked in, and we have seen a performance on profitability sort of weakening.

So here from -- just from a broader sense, I understand, and Gauri did touch upon it. But so, the outlook for Q4 FY '25, this has been historically a very strong quarter for capital good companies and a lot of infra activity tends to pick up in that quarter. So, what are we looking at? How is the year-end looking at, especially after a subdued Q3? Just wanted some qualitative commentary on it.

Rahul Sahai: Sure. So just qualitatively speaking, because otherwise, that information is proprietary. But just qualitatively speaking, we're expecting the early indicators seem to be positive. Whatever residual inventory of CPCB II may have been there in the channel and the larger ecosystem, all

of that has been subdued. So, we are fairly positive that we should see a better Q4, and we will work towards that.

Jason Soans: And just from this -- from a demand perspective, in PG, in Power Gen and Industrial segment, which are the verticals you are seeing good traction in? And just lastly, just a clarification, Gauri did mention a 40% number. That was a volume decline for PG, and does that pertain to that? Just a clarification on that perspective as well. And what sort of verticals are we seeing good demand in both PG and industrial?

Rahul Sahai: Right. So, if you look at Power Gen, I mean, if you broadly just say you look at below 250 kVA LHP, below 750 as MHP and above 750 as HHP, that's just a broad classification. What you are seeing is that the LHP and the MHP side, the portion of the portfolio that is influenced by CPCB norm, that has degrown in terms of market demand by close to about 40% to 45%. And I mean, we're fairly positive we will come back to normal levels. But for these -- for the immediate last 2 quarters, we have seen that happening.

And a lot of it is also because there is a residual CPCB II inventory available in the channel somewhere and so that all of that has to go up because we are coming off a fairly hot period. There was a lot of prebuy happening before these emission norms changed. So, there will be a cooling off, which, in my opinion, has happened over the last 2 quarters. And so, we should see a better Q4.

If you look at the HHP business, that has grown from a market standpoint pretty rapidly. It's not a segment where traditionally, we've had a very strong portfolio. And while we are seeing positive impact of that, but the overall product mix that we have is largely on the LHP, MHP

side in terms of the Power Gen revenue case. So even if I compare it to our industrial business, which is growing at double digits growth. So, we are seeing improvement on construction side.

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We're seeing improvement or significant demand coming from our defence business. But the

sheer size and scale of the Power Gen business basically influences the overall blended EBITDA.

Jason Soans: Sure. Those are all my questions. Thank you so much for answering them.

Management: Jason, coming back to your question on LGM year-to-date performance. From year-to-date basis for LGM, we did a sales of INR350 crores with EBITDA of 1.4%.

Jason Soans: EBITDA of 1.4%.

Rahul Sahai: Yes.

Moderator: The next question is from the line of Teena Virmani from Motilal Oswal Financial Services.

Teena Virmani: Rahul, this question is for you on the Power Gen segment, like you mentioned that volumes have degrown by 40% to 45%, particularly in the LHP and MHP range. So, when we compare the Power Gen segment revenues versus 3Q of last year, there is a decline of nearly 2%. So, what could have been the pricing impact because the pricing has not increased to an extent of 40% -- or 35%, 40% in the LHP and MHP ranges. So, I mean, I just want to understand the growth or the degrowth like flattish trend if volumes have declined by 40% during the current quarter. So, what is the impact of pricing in this?

Rahul Sahai: Yes. So, I mean, if I just look at a thumb rule, I would say you can take 35% to 40% increase in scope of the product because the CPCB IV product is very different compared to what it was in CPCB II. And if you look at on an average, about a market dip of about 42% to 45% in terms of volume, that will give you a broad understanding of what happened in the last quarter.

Teena Virmani: So, is there a portion of HHP sales also in this particular quarter, which may be higher in 3Q '25 versus 3Q of '24?

Rahul Sahai: There would be portions of HHP sales, but because our portfolio is so heavily, I guess, on the LHP and MHP side, that HHP sale will not have a significant or will not be very significant in terms of the impact. So, the HHP -- I mean, because of the HHP, we've not degrown drastically on the Power Gen side, but it wouldn't be something very significant at this point.

Teena Virmani: Okay. So, when we look at overall demand, how is the demand scenario currently panning out, particularly in the month of January and, let's say, 10 days in February? Are volumes coming closer to the volumes of same period last year or they are still down by 15%, 20% or any number which you can attribute to?

Rahul Sahai: So, if you look at -- and I'll try and answer this question as clearly as I can. See, if you look at Q2, the overall volumes that the industry had in Q2, they were 28,000 units. Now in Q3, the volumes have increased to close to about 32,000 units, but bulk of the increase has happened in Telecom segment. And Telecom segment, as you're aware, is extremely commoditized price-sensitive segment, where we are cautious around where we want to participate and where we don't.

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And if I look at Q4, I would -- I mean, I can't really give a clear forecast here, but I would see a further improvement to the 32,000. So, we would -- I mean, I would say we should be in the range of 36,000 to maybe 38,000. If you look at last year same time, the overall industry demand was upwards of 40,000. We were operating in large prebuy quarters, and the demand was in excess of 40,000 units. So that's just to give you a sense of what's going on.

Teena Virmani: Okay. But has the pricing normalized now overall I in general, not particularly referring to Telecom segment, but general pricing, has it normalized or there can still be some kind of pricing impact maybe in this particular quarter, quarter 4?

Rahul Sahai: I mean we're waiting for all the forces to play out. But at this point, we do see that there is a general convergence of pricing in every node. So, we're not really seeing too many unknowns at this point.

Teena Virmani: And my last question is regarding the other expenses and gross margin trend going forward for the company. So, we un

derstand that there were some costs associated with this B2C division also and even B2B margins were also down. So, what can be the normal range for other expenses for the company going forward as a percentage of sales? Or what can basically be your target to maintain on the gross margin side and even on the other expenses side going forward, once things normalize, let's say, from

Q1 or Q2 of FY '26 onwards?

Rahul Sahai: So, Teena, in terms of our raw material cost and the other variable costs, we don't see much variance. And we are able to maintain our contribution margin to the same level as we were maintaining in the earlier quarters. However, we have seen impact on EBITDA because of operating leverage loss, due to lower sales, and we'll recover that in coming quarters once the sales come back.

Teena Virmani: Because last few quarters, you had margins in the range of broadly around 12% or so, taking into account the adjustments also. So, can we go back to those 12% type of margins maybe in 4Q?

Rahul Sahai: So, Teena, I will not be able to give you any specifics, but definitely, with the higher sales, we will see a better operating leverage gain and that will improve our margin.

Moderator: The next question is from the line of Charanjit from DSP.

Charanjit: So, my first question is regarding the Power Gen itself. So, you have talked about the inventories in the system. So how are the inventories now for the CPCB II in the system? Because when we look at the other competitors, they have said that inventories have now completely depleted. So, if that is the scenario, can we see our market share again inching up? How is the product from the LHP and the MHP segment from the other competitors who have been in this market? So that's my first question.

Rahul Sahai: Charanjit, this is Rahul. So, what I was saying is that if you look at our market share for the last quarter in Q3, we were at roughly at about 30.3%, excluding Telecom segment. So just removing the telecom side of that business. But -- so market share as such, we are -- I mean, while it's

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something we track very closely, we are not as worried about the market share per se, but there are opportunities on the HHP side where we have to focus on to ensure our growth.

So that's perhaps the one key point for us as we move forward. So, while we are growing, but the market opportunity is much larger on that -- on the HHP side, and that's something that we have to work on.

Charanjit: So CPCB II product inventory in the system, is it still there? Or is it like totally depleted? So, which can help players like ourselves who have a better product in CPCB IV scale up and regain that market share?

Rahul Sahai: Yes. So, we are not allowed to keep CPCB II -- I mean, as a manufacturer, I cannot sell CPCB II in the market. So, the CPCB II inventory in our system is completely consumed. As far as the entire -- I mean, the larger industry is concerned, we did see different players liquidating CPCB II in the last 2 quarters also. But all of that seems to have depleted now.

Charanjit: And sir, when you talked about that the growth can resume from Q4, so how we should look at this growth in terms of Jan, Feb, from the industry perspective itself, how you are seeing the growth momentum?

Rahul Sahai: So, what we're seeing is that there is an improvement in -- so if I look at Q3 versus Q2, we have seen an improvement in the overall demand scenario for Power Gen. So, if you look at the Q2 volumes, they were at about 28,000, which is extremely subdued for this industry, which used to operate at about 40,000 to 45,000 gensets per quarter.

Now in Q3, we see that number has increased to about 32,000 units from an overall demand standpoint. And in Q4, our anticipation is we'll be closer to around 36,000 to 38,000. That's the anticipation. So, we are seeing improvement. The segmen

t that is growing rapidly is the HHP side of the business on Power Gen. And that is where we solely have products built out, and we

have to focus more on from a sales standpoint.

Charanjit: Okay. So just lastly, on the HHP side, in terms of our product portfolio, sir, if you can touch on like which are the most prominent nodes we have. And from the data centre perspective, also, we remember that there was discussion on the certification being there. So, from a ramp-up perspective, it could take 6 months, 1 year. How is the pipeline of the orders for the HHP segment right now?

Rahul Sahai: Yes. So, I mean we are seeing a strong pipeline in the sense -- in the context of what we do. So, I just want to make sure the context is clear. See, we are largely a company that has historically been in LHP primarily and who had some products in MHP. Now over the last 2.5, 3 years, we have very aggressively built out and refined our product portfolio. And today, we are executing orders of 2,500 kVA gensets also and 3,000 kVA gensets also.

So, it's just that the contribution of HHP is relatively smaller in our overall revenue mix. At this moment, what's panning out is the HHP market is growing rapidly. So, if you talk about the portfolio that we have today in HHP, we start at 750, 910, 1010 kVA, 1,250, 1,500. And then with our Optiprime range of products, we go up to 3,000. So, we have a fairly strong portfolio

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is what I would say. But there is a lot of internal, I would say, upskilling that's needed to be able to sell these products, and that's what we are working on now.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: You mentioned in the opening remarks that there was some decline in market share for us. What led to the decline in market share? Is it because of competition getting aggressive on pricing or because of lower inventory available for buyers? How to understand this? And why should one see that reversing back?

Rahul Sahai: This is Rahul. So, if you look at the Q3 market share, we have improved our market share over last year and marginally, I mean, last year, in Q3, we were at about 30%. This year, we are at 30.3% in the same -- I mean, Q3 to Q3. So, I'm not quite sure about the question.

Mihir Manohar: I think in the opening remarks, Gauri mentioned that on a Q-o-Q basis, you saw a decline in market share.

Rahul Sahai: So, we've not seen a decline in market share.

Mihir Manohar: Just second was on the pricing side. I mean how -- have you had the pricing over the last 3 months, 6 months for our LHP and MHP, CPCB IV products?

Rahul Sahai: Can you just repeat the question?

Mihir Manohar: On the pricing side, so basically, the CPCB IV+ products for the MHP and LHP segment, I mean what is the change in pricing, which is there over the last 3 months, last 6 months?

Rahul Sahai: So, if you look at CPCB IV versus CPCB II, the pricing difference is about 30% to 40%...

Mihir Manohar: Sir, I'm asking only for CPCB IV, I mean CPCB IV like-to-like for last 3 months, are the prices same for you or have they gone up or gone down?

Rahul Sahai: So, there's a process of price discovery that I'm sure each organization is doing. So, node by node, there are variations. In some cases, the prices have gone down. In some cases, they get revised upwards.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: So, I just wanted to -- from what we gather, I think Q4, we are expecting things to go a bit better.

So, I just wanted to ask like we mentioned like 5-year, next plan. But in terms of revenue growth, what do we expect like it to be in the next 1 or 2 years, if you could help guide for that, like

maybe a shorter-term FY '27 target or in terms of revenue and margin, that would be helpful, sir.

Rahul Sahai: I'm afraid I won't

be able to give out that information, that's proprietary at this point. But we will strive to move towards the target that we had mentioned last time.

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Darshil Jhaveri: Okay. Fair enough, sir. And sir, just in terms of our market, like in terms of Q4, like we'll be better than last year's Q4? Or how should we look at it, sir?

Rahul Sahai: Unfortunately -- please go ahead.

Darshil Jhaveri: Yes, like just qualitatively or even if no numbers, but then just how do we see if you're comparing because you're saying last year, I think there were a lot of more units in play, right, than currently. So, I just wanted to see how would -- sequentially, will we be better or compared to last year, will we be better Q4 if you could...

Gauri Kirloskar: Sorry, we can't answer that question. Even qualitatively, it becomes a forward-looking statement, so we won't answer that.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Yes, just on the Power Gen business, so you said that market was around 40,000 units plus, and now it's about 34,000, 35,000. So, is the difference attributable to the CPCB II+ inventory still being in the system for the last 2 quarters?

Rahul Sahai: Yes. So right, in the last quarter, the market was roughly at about 32,000. In Q2, it was about 28,000. And the last 6 months, because of the transition, there has -- and there was a prebuy prior to that. So, there was some surplus inventory in the larger ecosystem in the industry, I'm saying, not with us in this case. So, it has taken some time for the overall demand to normalize.

So, we are seeing improvements quarter-on-quarter in terms of the demand. And we are expecting that in the quarter 4, the demand will be better than what it was in quarter 3. So, we may end up at about around 36,000, 38,000 units, but we are slowly inching back to the pre -- before the transition took place. So, we expect the market demand to normalize soon.

Parikshit Kandpal: So, my question was more on like what in your internal assessment would be last 2 quarters, CPCB II+ engine supply in the market just to get a sense on actual how much demand is down because of that and how much it is down because of actual slowdown?

Rahul Sahai: I'm afraid I don't have that answer clearly. A lot of this information is also anecdotal because formally, you cannot sell CPCB II gensets.

Parikshit Kandpal: Yes. But your target customers, they won't be buying, right? Now I mean, at least in there -- I mean, they are in the clean system, so they won't be buying the CPCB II engines anyways, right? So, your target TAM would

not get impacted because of the CPCB II+ engines still being sold in the market for the last 2 quarters?

Rahul Sahai: No, it could because if you look at a lot of the retail business that we do on the Power Gen side, the TAM definitely gets impacted depending on the state and depending on the level of enforcement of the emission change. So, the TAM definitely gets impacted.

Parikshit Kandpal: Okay. And second question is on the pricing side. So, on the demand side of the pricing. So, we're seeing now with these nodes being introduced by most of your peers. So, do you still think

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that the market or the customer has absorbed the pricing or still you believe that there's still some pushbacks on the pricing side?

Rahul Sahai: I mean pricing will keep playing out. We're not seeing any significant change or significant pushback. We're also very practical when it comes to pricing.

Parikshit Kandpal: Okay. And just last question, incrementally on the per unit of CPCB IV+ engines being sold. So, do you -- the profitability will be much better than the CPCB II plus per unit gross margins, per unit profitability?

Rahul Sahai: I think at an overall system level; I

would say the profitability improvement opportunities will

be there because of CPCB IV. And this includes both in terms of the product and the aftermarket opportunities that it provides.

Moderator: The next question is from the line of Sagar Parekh from One Up Financial.

Sagar Parekh: So, when I look at your sequential Power Gen numbers, the revenue has gone down from INR481 crores to INR418 crores, right? When you said that the market has gone up sequentially, and you mentioned that you have not lost market share. So, can you just help me understand what exactly is this?

Rahul Sahai: Sure. We just check -- we'll take another question, and we'll revert back to this question.

Sagar Parekh: Yes. And secondly, on the export market, we have not been able to scale up meaningfully as we had envisaged when we charted out our 3-year plan, where we had envisaged that our export revenues would be INR1,500 crores to INR2,000 crores broadly. What exactly has gone wrong?

Why is it taking so much time? And what is the outlook on this going forward? If you can highlight on that, that would be helpful.

Rahul Sahai: Sure. So, when we started out with a 2X-3Y ambition, we were -- we looked at different ways and levers that we could deploy for the growth. And if I look back, largely, a lot of the bets that we made have gone in our favour. Certain areas where -- which didn't pan out the way we thought were the time taken and the level of engagement and deliberation required to develop channels outside India and the maturity time that they take.

So, I wouldn't say that things have been -- there is a major issue or anything of that sort. It's an ambition. And if you look at the 2X-3Y journey that we've had until now, we've done fairly well against that ambition.

Sagar Parekh: But export for us is still about growth annually. Any qualitative outlook on which geographies you are seeing, some growth maybe in 2 years, which can help us gauge some exports?

Rahul Sahai: Yes. So, if you -- and I'll just go back to the previous question and answer in context of that. If you look at where exports were when we started this journey, we have doubled our exports more or less, if you look at this year versus FY '22. Now good years and bad years will happen. I mean, for instance, we had demand in South Africa, which is coming in and the power deficit situation in South Africa has improved.

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So, we will have those changes play out. But directionally, we have definitely moved in the right direction. Exports definitely, I mean, we've almost doubled our exports.

Sagar Parekh: U.S. and Middle East still continue to not see meaningful change in revenues. Is it fair?

Rahul Sahai: Yes, correct. So, at this point, perhaps not. But if you look at Middle East over the next few quarters, we are pretty confident that will pick up sooner than what the Americas will.

Sagar Parekh: Understood. And if you can answer on that Power Gen sequential, when you said that the market has gone up sequentially, our revenues have not gone up. So, if you can provide some clarity on that, it would be helpful.

Rahul Sahai: Yes, that's just a mix, honestly. So, there are certain orders that we execute in HHP. But if you look at the overall volume base, sometimes -- I mean, there is a mix change that happens, and which is why you see that difference.

Sagar Parekh: But the difference is significant as in there is a sequential growth in volumes, whereas there is a 20% decline sequentially or maybe 15% decline sequentially in the revenues.

Rahul Sahai: Yes. I mean -- so are you asking the market share information doesn't seem to correlate to the

revenue?

Sagar Parekh: Yes, yes. Something is off it seems, yes.

Rahul Sahai: Yes. I mean, so at this point, what I can answer is that it's a mix change. Yes, that's it about that.

Sagar Parekh: 28,000, 32,000 whatever number you're referring to is basically below 1,000 kVA market, right?

Rahul Sahai: It's all of it. But if you look at the lower end of the -- say, if you look at, say, below 750 kVA, the large volumes are there. And as you move upwards, that there's an inverse relationship, the volumes become lower, but revenue is much higher.

Sagar Parekh: Because you also said 40% decline in the volumes. So even if I correlate that 40%, that should be about 50,000, 55,000 kind of volumes, then if it's down 40%, then it comes to 32,000. So, something -- and you're saying that the average market is about 40,000, 45,000. So, something is not right. I mean, math, it's not working out, so.

Rahul Sahai: So, if you -- see, there were periods of prebuy also. So, we've had -- I mean, we've had quarters where the demand has been at about 48,000 also. So right now, the numbers I'm giving to you are initial estimates that have come in from our own research agencies, but the formal reports are not out. So, if something doesn't add up, these are directional inputs.

Moderator: The next question is from the line of Mohit Pandey from Macquarie Capital.

Mohit Pandey: Sir, firstly, on the domestic Power Gen business, just wanted to understand if there is any seasonality also in the business. So, would it be fair to say that from here on, we are entering into seasonally strong quarters, adjusting for any CPCB impact as well? So, would the April to June quarter be the strongest typically because of weather, etcetera? Is that a fair understanding?

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Rahul Sahai: Generally, we have seen the demand be strong in quarter 4. So, I wouldn't necessarily attribute that to a specific seasonality per se. A lot of times, there are budgets available for capex and people try and consume it in quarter 4. So that's the way I would see it.

Mohit Pandey: Understood, sir. That is very helpful. And sir, secondly, just wanted to understand your comments on the HHP market a bit better. So, you mentioned it's growing -- the demand is strong there. So, beyond data centres, what is driving this demand strength, if you can qualitatively give colour there?

Rahul Sahai: Yes. So, I mean, there's real estate, infrastructure growth that is driving a lot of this demand, too. So that's another segment that is contributing to this.

Mohit Pandey: And within infra, HHP would be consumed majorly by which subverticals for you, sir? That would be my last question.

Rahul Sahai: Sorry, within infra?

Mohit Pandey: Yes. Any particular verticals where traction is stronger for your offerings because infra is very vast, right, so.

Rahul Sahai: For example, real estate developers, IT, IT parks, you look at -- basically all these real estate companies, the large corporate ones, they -- and larger projects, so they take up a lot of HHP themselves.

Moderator: The next question is from the line of Sourabh Arya from Oaklane Capital.

Sourabh Arya: So, I have a couple of questions. First is, what do we -- I mean to say, think about industrial segment now when government has reduced certain capex, etcetera, for this segment. So, in that context, obviously, industrial has done very good till now. So, what are our expectations, let's say, going ahead?

Rahul Sahai: So, if you look at our industrial business, it's actually comprised of a few key segments. There is construction. So, we partner very closely with our construction OEMs. There is our defence business, there's a lot of work that we do with the Army and the Navy. There's railways and then we have other segments such as mining, oil and gas, etcetera.

So, if you look at each of these segments, defence continues to be a strong growth area. And we are fairly bullish in that segment. We are partnering very closely with the armed forces. We don't expect any major softening to happen there. From a construction standpoint, our -- the emissions change that has happened, so we moved from CEV BS-IV to CEV BS-V. And that emissions

change has helped us gain market share with our -- with the construction OEMs, too.

And we find ourselves in a spot where a lot of companies want to work with us with our offerings. So, some of these segments and of course, there's a lot of work that we're doing in railways. We're not expecting any immediate slowdown. We do think that from a demand standpoint, these will be growing segments.

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On the railway side, maybe in the medium term, we do see an impact of electrification. So, the power car demand may potentially go down, but we are looking at different avenues to -- for driving growth in that segment.

Sourabh Arya: Second is like you used to mention about HHP market share, like I think you mentioned a couple of quarters back that market share is 12% for us. So, can you give some qualitative or maybe any quantitative also would be very helpful, how is our market share in HHP?

Rahul Sahai: Sure. So unfortunately, I don't have all the information on the market data yet. We'll try and compile that. But if you look at our HHP market share in the last quarter, we have seen some deterioration on the HHP side, but it's not -- I mean, it wouldn't impact the overall business too much. So, there is some deterioration that has happened on the HHP side.

Sourabh Arya: Okay. Perfect. I have one question on B2C also. So maybe -- so that is on -- again, going back to the -- maybe on the margin side of it on B2C, there like obviously, last quarter, we had minus 2%, minus 3%. And this quarter, obviously, it came around whatever, minus 9%. So -- and I asked something similar last quarter. So how would be this normalization towards normal margin in B2C business? Will it be sharp going ahead from Q4 now that everything is normalized? Or it will be a slow journey of going towards 8%, 9%, what we were thinking to achieve?

Rahul Sahai: I would say that now the fact that this consolidation has happened at the plant, we should see a recovery back to the pre-consolidation levels as far as the EBITDA profile is concerned.

Sourabh Arya: Okay. So immediately, it should jump towards...

Rahul Sahai: Yes. So, if you look at, say, quarter 2 and quarter 3, these were the transition quarters. So, if you look at the margin profile prior to that, we should get pretty close to that.

Sourabh Arya: Okay. Maybe very lastly, if I can squeeze something on the export side. So, Gauri, maybe you mentioned in the call that there was some onetime impact in last year Q3. But -- so how should we think about export going ahead? I mean to say, is this the base of exports from which growth should be visible? Or I mean to say this is still not -- this is still not in the base, I mean to say.

Rahul Sahai: Can you just repeat the question?

Sourabh Arya: Something like I think Gauri mentioned that last year, Q3, there was some one-off order, which impacted the export growth in this particular quarter. So, this quarter number becomes the base on which there is no one-off left? Or how should we think about it?

Rahul Sahai: So, you're saying if I remove the one-offs or the one-timers from last quarter, how would the performance of this quarter be?

Sourabh Arya: Yes.

Rahul Sahai: So, I mean, obviously, it's a little hard to do, but last year, we had executed some one-timers of about, say, INR40-odd crores.

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Sourabh Arya: So, adjusted for that also -- fine, that is fine and helpful.

Moderator: Ladies and gentlemen, that was the last question. I now hand the floor over to the management for closing comments.

Gauri Kirloskar: Thank you very much for your participation and questions, and we look forward to speaking with you again next quarter. Thanks.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference call.

Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

Date: 23rd May 2025

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 10th May 2025, 15th May 2025 and 17th May 2025, we hereby inform that the Transcript of the Conference Call/Webcast for Investors and Analysts held on Friday, 16th May 2025, at 9.30 a.m. (IST) to discuss the Audited Financial Results of the Company for the quarter and year ended 31st March 2025, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com. The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited
Farah Irani
Company Secretary and Compliance Officer

Encl.: As above.
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Kirloskar Oil Engines Limited
Earnings Webcast
May 16, 2025

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR –
KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER –
KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER -
KIRLOSKAR OIL ENGINES LIMITED
M R. GEORGE VERGHESE – CHIEF HUMAN RESOURCES
OFFICER – KIRLOSKAR OIL ENGINES LIMITED
M R. SAMRAT GUPTA – MANAGING DIRECTOR – ARKA
FINCAP LIMITED
M S. RIDHI GANGAR – CHIEF FINANCIAL OFFICER –

ARKA FINCAP LIMITED

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Gauri Kirloskar: Yes, Good morning, everyone. So one of the reasons that we felt it was very important to meet you today in person, two reasons actually. One is that we've come to the end of the very significant journey for us, the end of our 2X-3Y journey. And so we felt it was important that we share some of that the learnings with you and what we feel we have achieved. We also have a new leadership team at Arka and a new strategy that we're pivoting to at Arka. And so we felt it was important that you meet some of the team from there and they can also answer any questions that you have. Ridhi can please come and sit in front. You all would have seen the Q4 and the FY '25 results and we will be happy to answer any questions that you may have on those as well. So first, I just like to introduce my team. We have Rahul Sahai, CEO, if you can just stand, so they can see you, CEO at KOEL. We have Sachin who is the CFO at KOEL. We have George who is the CHRO. From the Arka side, we have Samrat who is the new MD who was appointed in October of last year and Ridhi Gangar, who has just joined us 2.5 months ago. I'll just take a moment to say I feel very privileged and lucky to work with this team. Each of them are extremely passionate about what they do, super hard-working people and great team builders and team leaders. And so thank you for joining me in this journey and for choosing to join me in this journey. So as most of you know, we had said at the beginning of FY '23 that our aspiration is to grow 2x in 3 years. We not only had the strategy, but we had also decided at that point of time to announce it publicly. And it was something that we had never done like basically having a very ambitious goal and then announcing it externally first.

As a management team, we felt that it's important to do it because we wanted to drive certain behaviors internally. And we also, as a leadership team who wanted to hold ourselves accountable to this goal. It's definitely debatable whether doing such a good thing -- such a thing is a good idea or not. But at that point in time, we knew that it was the right thing to do. We had also laid out a clear plan on the right side of the slide to achieve that goal and then some pillars around which the growth would happen. This is what we call our Gold Tree. Based on the strategy and the growth pillars we had come out with certain key programs that we knew as a leadership team, we would have to track and focus on, and we would have to make progress on each and every one of these to be able to see success.

This was something that was circulated throughout the organization. And when I say circulated, it means that at every meeting or every review or every field visit that we did as a leadership team in those early days. The Gold Tree was something that we explained. And depending on which team we spoke to, we went into detail on which pillar was the one that they would be contributing to and how could they contribute.

So at a regular cadence, the people sitting in this room would review these projects to make sure that we were making the progress that we wanted. If someone would ask me what do I think is
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the most significant achievement that we've had in the last 3 years, I would say that it's our product portfolio.

As you all know, KOEL was always known for its dominance in the low and medium horsepower market, and we had very little or no market share in the high horsepower segment. In fact, upwards of 250 kVA, we were not really dominant in the space, and this was really the large opportunity that we saw in front of us.

In an industry like us, platform development or engine development takes years, multiple years, then you have to get it field tested. You have to get it stabilized. And if you look at our product portfolio

from 2022 to now, we have a range that runs from 3 kVA to 6 megawatts and even higher if we look at the slow speed engine range.

We not only have the range. We also today have a portfolio in the high horsepower range, which no one else can match, whether it comes to footprint, fuel efficiency, or to total cost of ownership. So I feel that at the end of our 2X-3Y journey, we really have something that puts us on or gives us the right foundation for the next phase of growth.

The team was able to build out this kind of product portfolio along with a lot of complexity in the last 3 years, which came from the emissions changes that we saw on the powergen side, the CPCB IV+ change as well as the BS VI change that we just went through in January.

So we're very, very proud of what we have achieved as a team in terms of this product portfolio.

I'll now show you 2 videos. The first one is of our product called Sentinel, where we really wanted to make sure we had a portable genset that was on par with, let's say, global aesthetics and design. So that's the first video. I'm not sure how we can play it.

[Video Presentation]

Gauri Kirloskar: The 1,000 kVA genset, which is the world's smallest housing kVA genset that we launched recently at Middle East Energy. The footprint of this genset is the same in terms of length and width of a 250 kVA genset. So it's a significant disruption in terms of our product.

[Video Presentation]

Gauri Kirloskar: So as you all know, one of the fastest-growing segments in the high horsepower space is the data center segment. So this is a product that we can approach data center customers with. This is a prestigious order that we won last year from the Indian Navy to develop a 6-megawatt engine for marine main propulsion.

So it's not that we've not executed projects of this size. We have done it before. The big difference in the significance of this project for us is that we are the ones who are developing and designing the engines in India. In the past, we had a technology collaboration with a foreign partner. So that's the big difference. We're doing the design, the development and then the manufacturing and assembly as well.

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This means that the IP rights will be held within the country, which is obviously very significant in the current environment that we're in, because it's a step in terms of self-reliance and it's also a testimony of our engineering and R&D capabilities. If we look at how we would want to attract engineering talent into our company, this is actually an engine which not many people or perhaps no one can say that they're working on in India.

So if you look at our 2X-3Y journey across our business segments, we can see that all of the businesses have grown over 1.5 times, except for FMS, which is farm mechanization, which saw a decline. But I'm happy to report on the farm mechanization side that the changes that we've made, which is essentially to get the business to break even, are working out.

And if we go back to what the strategy that we had laid out, the main pillar of growth was also international increasing the share of wallet on the high horsepower side and the aftermarket business and all of these have seen significant work and results in the numbers. So, overall, if we look at what we've achieved in numbers against a 2X target, we grew 1.6 times. This is despite a volatile market post the emission norm change on the Genset and the industrial side, where actually our entire product portfolio has changed.

And while making significant changes on the channel side as well, which was important for us to do in terms of our long-term business sustenance. Our EBITDA and cash have crossed the 2X mark and have grown by 2.4 times and 2.6 times, respectively. So if I look at our overall performance, it is very satisfying and significant from where we started, and

I'm very, very proud of the team.

To move on to Arka. What we communicated in our previous analyst meets, which was Arka's initial phase, which I will refer to as Arka 1.0, we were purely focused on establishing a stable loan book, and we had put in an initial equity infusion from Kirloskar Oil Engines.

Our objectives were to achieve sustainable growth, maintain very, very low delinquencies and establish Arka's reputation in the market for reliability. So the team has successfully delivered on all of these objectives. The current AUM stands at over INR7,200 crores. Our GNPA's are below 0.7%. And that demonstrates robust operational and risk management systems.

The book has also generated healthy returns commensurate with the kind of portfolio that it has.

This stable foundation now provides an ideal platform for our next strategic phase, which we will call Arka 2.0, where we're focused on building a diversified retail-focused high-return portfolio.

Following Samrat's appointment as Managing Director at Arka after Vimal superannuated, we have come up with a revamped strategic roadmap, and this was presented to and approved by the Board very recently. It outlines a laser sharp focus on building a secured granular retail book propelled by twin engines being small ticket loans against property and pre-owned vehicles financing -- pre-owned wheels financing.

During this growth -- driving this growth will be the building out a very, very robust distribution network across India. In this fiscal year, we're starting with approximately 7 states. And we will also be leveraging KOEL's existing distribution capabilities and market standing, especially in

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penetrating Tier 2 cities and beyond. These represent our key customer segments for these

products.

The team is committed to delivering 3 times AUM growth, enhancing ROA to 3%, while maintaining GNPA's below 3%. So that's what we call our 333 strategy. The group's long-term philosophy has consistently centered on sustainable growth and the creation of a generational value across our businesses. We empower each entity, including Arka to operate with the freedom to develop tailored strategies, ensuring self-sufficiency and deliver consistent value to stakeholders.

So with all of this, we believe that we have the right ingredients in place for our next phase of growth, which we call the 2B, 2 billion strategy. We had announced it already in quarter 3 that the aspiration is to grow to a \$2 billion organization by fiscal year '30. If 2X-3Y was ambitious, this one is far, far more aggressive.

Firstly, because the goal is, of course, much higher, but also because we have reached a significant size already over the last 3 years and a lot of the low-hanging fruit in terms of change is now gone. So it's going to be much harder therefore to start to grow at this rate. We are aware of this, but we're clear on where we need to focus and where the growth segments are and we've mentioned some of those pillars on this slide.

So even though some of them are laid out in specific years, some of these will stretch across the 5 years. The idea is to be clear on what the segments are, when we will focus on them and where. So as I look back on the last 3 years, it has been quite a journey for all of us. It's been an experience of great learnings. Not everything went according to our plan, and there were many things that actually didn't turn out the way that we expected them to.

But despite all of that, as a team, we've been able to achieve significant growth in the organization. So thank you very much. I'll now request Sachin to come up and just take us through the Q4 and fiscal year-end numbers.

Sachin Kejriwal: Thanks, Gauri, for the update. Good morning, everyone, and thank you for joining today's Investor Meet. And I'm truly excited standing here and sharing the financial numbers with you a

ll. So moving to the quarterly performance. So for Q4, first time in the history, we have crossed INR1,400 crores of sales, and this is our highest ever sales in so many years.

The growth is 21% compared to the previous quarter. And compared to the last year, the growth was 2%. On EBITDA side, for the quarter, our margin was 12.1% compared to last quarter, it was 10.1%. So we have grown 200 basis points compared to the previous quarter. And last year, our EBITDA performance was 12.8%. So the dip, which you see in quarter 4 compared to the last year, it's purely because of the product mix.

On the profit after tax and margin, our Q4 PAT margin was 7.5%. Again, we have seen a good growth compared to the last quarter. So last quarter, it was 5.6%. So we have seen 200 basis point expansion in the profit after tax compared to the previous quarter.

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Moving to the annual sales for FY '25, again, for the first time, we have crossed INR5,000 crores of sales, which is 6% growth compared to the last year. On EBITDA side, again, you can see that 100 basis point expansion. So for FY '25, our EBITDA was 12.8% compared to last financial year, it was 11.7%.

So we have seen an expansion of 110 basis points in our EBITDA performance. On the profit and tax and margin for FY '25, our PAT margin is 8.1% compared to the last year of 7.5%. So again, on a stand-alone basis, we have seen expansion in our PAT for the full year.

Moving to the business unit-wise performance. So you can see that we operate in KOEL stand-alone in 2 segments, that is B2B and B2C. So B2B business has grown 6% compared to the last year. And industrial business and distribution and aftermarket have grown in double-digit. So industrial business have grown 12%, distribution and aftermarket has grown 13%. In powergen side, we have seen a growth of 3%.

We all know that in powergen, we went through a major transition where we move from CPCB II to CPCB IV+ effective 1st of July. I'm happy to share that in powergen, for the first time in HHP, we have crossed INR100 crores of sales. So our sales for the full year was INR110 crores, which is 20% growth compared to the last year, and we continue to defend our market share on LMHP.

On B2C side, again, we have seen a growth of 2%. As you are aware that in last financial year, we have done this plant consolidation in B2C side. So we have seen subdued performance in quarter 2 and quarter 3, but now plant has been stabilized and we see a better performance from B2C side. And that's why those growths are translated into WMS business, which is water management solution business. We have seen a growth of 7% and international exports, so we have seen a growth of 67% in the B2C side.

Gauri already spoke about FMS that we went through a restructuring and we'll see a better performance from the FMS side. And I'm happy to share that in the FMS business for -- in the month of March, we turned positive EBITDA. So we'll see a better performance from the FMS side in coming years.

Moving to the working capital performance. So this is also one of the good parameter for us. So just look at the inventories number. So we have reduced the inventory by more than INR200 crores. So by end of quarter 3, our inventory was INR716 crores vis-a-vis end of this financial year, it's INR493 crores. And look at the DIO, Days Inventory Outstanding, it has improved by almost 30 days, a significant improvement we have seen on the inventory side and similar improvement you see on the receivable side, wherein it has improved from 43 days to 39 days and payables -- days payable outstanding remain constant at 66 days. This translates into a cash conversion cycle of 22 days.

What it means that we convert our inventory into cash in just 22 days. Being in a capital good industry, this is one of the very good effective management of the working capital. And

the same

you can see translating into our net cash position also. So, our net cash stands at INR448 crores.

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So if you look at the trend in last 5 quarters, this is the most healthy and robust cash we are maintaining in our balance sheet.

Now shifting gears to the consolidated performance. So, for the quarter 4, our sale was INR1,737 crores, which is a 21% growth compared to the previous quarter and 6% growth compared to the last year. On the profit after tax and margin, we see that compared to the previous quarter, the growth has been 64%, but compared to the previous year, there is a slightly degrowth of 18%.

Predominantly, this is coming from our Financial Service wherein we have taken onetime provision in quarter 4, and we will talk more in detail in our Q&A session on that. On the annual basis, our sales have been close to INR6,300 crores. So it was INR6,295 crores for full year, and PAT was 7.1%. We just see a very marginal degrowth in the PAT, 0.4%. And as I explained that this is predominantly coming from our Financial Service business.

Just giving you a glimpse of certain consolidated performance for B2B business. So in the B2B business, you see that we have seen a very strong growth of 21% compared to our previous quarter, which was quarter 2, and we have registered a higher service in powergen business and distribution in aftermarket. And we have witnessed a double-digit growth in aftermarket and on industrial business on year-to-date basis.

So, there are certain major transition which has happened in B2B side. So I spoke about CPCB IV transition, which was effective 1st of July. There was another major transition, which was effective 1st of Jan, which is a transition from BS IV to BS V. And we have successfully completed those transition effective 1st of Jan. Now we see a strong demand from construction and defense sector in industrial business.

Also, on the genset side, we are seeing that demand getting stabilizing across all the ranges. And I already spoke about that for high horsepower, we have had a very good start to this year wherein we have crossed INR100 crores for the first time. And this is just the beginning of our journey in HHP segment.

Moving to the B2C performance. So, on the B2C side, if you look at our Q4 performance, it's INR317 crores, which has grown 42% compared to the previous quarter. So I know a lot of you were a little nervous that what's happening on the B2C side, and we kept on saying that consolidation work is going on in B2C side, and that will stabilize by end of Q3.

So that work is completed now. And now you can see the better performance on the B2C side, wherein the revenue growth is 42% and just look at the profitability increase. It's 269% quarter-on-quarter growth on the profitability in the B2C side. And compared to the last year also, we have seen a growth of 15% on the top line from the B2C side.

So thank you. With that, we'll open up for the Q&A in a moment.

Gauri Kirloskar: If there are any...

Teena: Hi Gauri.

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Gauri Kirloskar: Hi Teena.

Teena: Yes. Congrats with a good set of numbers. So my first question is related to genset market. On the current situation, has the demand stabilized and has pricing stabilized now? And how do you see the competition in this genset market right now? So basically, how do we see this market in

FY '26 versus FY '25? As FY '25 was relatively weaker as far as volumes were concerned. So that's question number one.

And my second question is related to your strategy to grow exports. Country wise and product wise and how do you see this export proportion to grow going forward? So these are my two questions

Gauri Kirloskar: Sure I just request let's start with one question at a time. Especially when you have several questions embedded inside

. But I'll start. So the first one was on Genset, demand and market stabilisation, pricing stabilisation and how we see the next year planning out. And we spoke about this last quarter as well. After an emission norms change it does take some time. And I'd say over several quarters that the market is quite dynamic And pricing and demand plays out on a node by node basis. So that is what is happening. And we are seeing volumes return to where we would expect them to be. And it's stabilising over the next couple of quarters and demand is strong at the moment. In terms of where we see our competition versus us. So Tina that's a bit hard to comment on because I think as a strategy, as a company we have decided where we want to focus and that's really our high horsepower portfolio. And we're very happy now that we have a portfolio actually that covers the whole range.

So we used to talk about up to 20 to 50 kVA, we now have products up to much higher than that. And power demands are also higher than that. So we are able to provide that power in a footprint that no one else can. And we're really focused on going to customers and talking about what we have and bringing in that awareness around our product portfolio. Because of course the competition is very, very well entrenched in the high horsepower market. And so that should be our primary focus. So that's on the Genset side.

On the international exports side, there are three main regions that we've been focused on. And that is Middle East, Africa and the US. We also have businesses elsewhere but essentially these are the three main focus areas that we have. And the intent is to build out entrepreneurs that are sustainable over time. So we have to be looking at how we can get our powergen portfolio out into these markets and whether we have the right business model and structure for that region, depending on the competitive landscape.

So you will see that bumpiness happen until we build a significant business that is continuous and that takes time, it takes investment and it takes time to build relationships. It takes time for these things to settle down. So the Middle East is an example where we've moved into having a Genset OEM in the market. We are very, very clear that that is the right move. But in the short term there will be an impact as that settles down, for example. So I hope I've answered your question

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The US as well, the US is a market where we will have to continue to make investment. To build out what we need to do, to get our products certified but it is an investment that we have to do because it's the largest Genset market in the world. So we can't not be present there

Mihir: Mihir, this side. Thanks for the presentation. That was quite helpful. I wanted to understand on this smallest Genset 1000 kVA, which you -- the Optiprime series. I just wanted to get an understanding of how important it is when you compare that to other offerings which are there?

How does it compare physical dimension, efficiency from a total cost of ownership? Some colour on that will be helpful and how is that a selling point, just wanted to get an understanding

Gauri Kirloskar: Sure, so in terms of a product, I think if you look at the industry in general, there is a lot of technology convergence that has happened in terms of the emission norms. So largely people have the same technology. I think the other big advantage is that because of the configuration, we can actually also ensure that we are meeting emissions compliance. For that range, where it's not applicable.

So if we do for example 2000 kVA. You saw the video where we had multiple products. We can actually be CCCB 4 plus compliant as well which no one else can offer. So it's also significant from that point of view.

Rahul, do you want to talk about fuel efficiency? So in terms of fuel efficiency, the study

that

we have done. We actually have IOT devices on all of our Gensets and we analysed the data and we saw that most of the Gensets that were running were running below 50% load. And that actually is not an efficient load. So what we created at that time is actually is more efficient

solution. We have two engines in the same canopy. So if the load is not the full load then only one engine can be operational.

Rahul: So if you look at it from a cost of ownership, it leaps and bounds better than anything else out there. If you were to look at the kind of platforms that we are building, specifically for Optiprime.

There is inbuilt redundancy. So for example if you are a Genset owner 1 unit goes down, you don't have to replace it with another 1000 kVA, 500 kVA still works.

The other part is that if you look at oil and filter changes, for smaller engines they are drastically cheaper compared to what it would be for a larger engine. And when I say drastically, it would be like 20% cheaper, 25% cheaper. So from a cost of ownership standpoint. It leaps and bounds better. Fuel consumption will be at least 10%- 15% better. So like Gauri mentioned, there is

inbuilt load balancing that happens. So it will operate at the appropriate optimal load for the Genset irrespective of the overall Genset load.

For example, if it's operating at -- you compare a 1000 kVA operating at 50% load and you compare the Optiprime 1000 kVA operating at 50% load, one core will just switch off. So it ensures that you are operating at a far better efficiency than an equivalent 1000 kVA. And we are replicating this across different models. So it's not just 1000 kVA. It's also other nodes that we replicate it back to

Mihir: Understood, sure. And just second question was on the export side I understand not from a financial number perspective but from an operational perspective. How many touch points or
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how many distributors have gone up, in the last one year across Middle East or US for that matter? Just to understand, how is our distribution reach increasing? That will be helpful
Gauri Kirloskar: I'm not going to answer that question because I think that's far more detail than we would normally provide. But we are in the Middle East for example what I can say is that, we have had existing distributors in the region for a long time and what we've done is. we have realigned those distributors to the Genset OEM that we now have.

So instead of them working directly with us, we now have a Genset OEM that's managing that channel, which is really important because we need someone on the ground who can drive depending on the market intelligence there. Rather than us trying to do it from here and various different countries, for example in Middle East and North Africa.

In the US we have such a small base at the moment, that we will be focusing, say state wise.

And depending on certain areas where we want to because it's a huge --it's a huge country. So state wise also there are different applications. There are different dynamics that play out. There are some states that are say susceptible to hurricane season. So we will have certain strategies that play out there and accordingly we will appoint distributors

Mihir: Hi. I wanted to understand when you came in, in terms of culture, how -- yes. I wanted to understand in terms of the cultural changes and the organizational changes that have happened over the last few years. If you can give us an insight into what's changed from the time you took over to now? And how does it better prepare you for your goals for 2030?

And in terms of understanding the business is a little better from a secular business, how do you make it more enduring enterprise over the next maybe 3, 5 years or longer, if you can give a sense of that?

Gauri Kirloskar: I don't know if I should answer the question on culture of my tea

m should. But I think some of

the main changes that we, I'd say, deliberately made because a lot of things also happen organically and over time when we're talking about culture. So several things. One was communication.

I think as an organization, not only in terms of external communication, but internally, were we communicating at a regular interval and very clearly to the entire company on what our goals were and where we were intending to go. And what we wanted to do? Who are we as a company? What is our strength?

And what is -- we value about the people that work there. I think that communication was very important in the beginning -- in the beginning of the 3-year journey. The second big piece of work we did was around HR policies and processes. So of course, we're a legacy organization. We've had certain processes and policies that have been in place for a long time, which may not necessarily be applicable to today's environment.

So we looked at those and we made a lot of changes there as well. I mean one of the small changes we did, for example, was moving from a 6-day week to a 5-day week for managerial employees, because we're already -- we've always been in a factory environment. So it was a 6-
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day week, and we were actually having trouble finding talent because of that. So that was one of the small things we did.

The next thing was focusing on high performance. So being very clear that our performance management system was working correctly. And we were rewarding the people who were doing and making outsized efforts. So really looking at how that performance management system supports a high-performance culture.

But I think when it comes down to it, I think Warren Buffett very recently said in his Annual General Meeting about culture, just find great people and work with them. And I think really, that's what it's about, find people who are really, really passionate about what they do. You don't get these kind of results from working from 9 to 5, okay?

So you would really have to love what you do. And I think that's what we've really surrounded ourselves with in terms of the leadership team and therefore, driving that kind of passion below. I didn't understand your second question. Could you articulate it a little bit differently?

Mihir: So we've seen the business being cyclical and how do you at least even out for the cyclical, if at all you can in terms of numbers and outcomes?

Gauri Kirloskar: So the cyclical, actually, I would say that we've been in the last 3 years in a very strong demand environment. We've been very lucky to have been in that kind of environment, right?

And as we look at what is really driving demand in spite of what is happening globally. We see a strong pull in terms of domestic growth that's happening in terms of infrastructure spend,

etcetera, as well as growth in terms of the infrastructure being set up for technology, right?

So data centers and things like that. And I think, therefore, if we're bullish about that continuing, now that we've been through the emission norms, and we have the product portfolio. Three years ago, we didn't have that product portfolio. So we could have been more susceptible to ups and

down, say, in the lower part of our portfolio, which is really dependent on, say, GDP growth.

So here, when we're looking at high-growth segments in the high horsepower space, I think we are much more insulated now from those ups and downs. If we look at the industrial side, it's really about key account management. And I think we've made a lot of investment in terms of time and effort and building out teams who understand specific accounts like railways, defense, navy, even the construction OEMs.

So even though we may see up and down, for example, on construction OEMs, I think these investments will happen over a longer -- I mean, the returns will come over

a longer period of

time, right? Like an account like defense, it's not something where you see the return happen in a year or so, it rarely plays out, and you have to keep that engagement over a long period of time.

So I think we have insulated ourselves much better from cyclical than perhaps we were 3 years ago.

Mihir: Hi. So we have talked about Optiprime and high horsepower segment for a time now. So just wondering how -- so where do we see our...

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Gauri Kirloskar: Let's start again, sorry, I was looking for you. So I didn't...

Mihir: Sure. So we have talked about Optiprime and high horsepower segment for some time. So right now, what sort of volume percentage we are in there? And when we are building apart from the cost, what kind of strategies we are putting in to get that market share over our peers?

Gauri Kirloskar: So I'll just answer the second part of the question first, which is the kind of strategy we have to compete with our peers. So one is that with the Optiprime range, of course, like we just spoke about, it's a far superior product itself. That being said, we have to build awareness around that product because to really provide, say, value in terms of take like reducing footprint, right?

If a certain project has been designed with a power solution in mind, which, of course, is not us for the day. If we are able to get in and provide Optiprime, yes, in terms of total cost of ownership, things may come down. But you don't really get the advantage of having a smaller footprint because the design of that project has already happened.

So our strategy then is that we have to really get that product out there in terms of awareness, whether it comes to who the -- whether it comes to engaging with customers or whether it comes to engaging with consultants, who influence customers. And if we can then demonstrate that with our lower footprint, we have a better product.

We're providing real value because if it's in a space where, for example, real estate is at a premium. We have a very, very big advantage over our peers. The first question was on volume.

Sachin Kejriwal: So coming to the volume on HHP side, as Gauri mentioned that now we have a complete portfolio available on the HHP side. So we have seen a growth of 18% in the volume compared to the last year.

Mihir: For entire HHP?

Sachin Kejriwal: Yes. So Rahul, you want to take that?

Rahul: Okay. Would it be like very negligible at small at this time?

Sachin Kejriwal: In terms of volume, yes. It will be very low for us right now.

Prathmesh Salunkhe: Prathmesh Salunkhe from PL Capital. Ma'am, I just wanted some clarification regarding your strategy for FY '30 that is \$2 billion, right? And the Arka Group, we are also targeting \$1 billion like the \$1 billion company Arka on stand-alone basis. So does that include in the \$2 billion?

And if it's possible, can you give us some breakup on like how much it would be contributed from, let's say, powergen or how much it would be from B2B, B2C? Thank you so much

Gauri Kirloskar: So I just want to clarify that the 2 billion is a revenue target and the 1 billion goal that Arka has is a market cap target. So that's one. The one thing I have learnt in the last 3 years is not to give a breakup because it never lands that way. The point of setting these big goals is to strive for something outside. So it's very difficult for me to say this is what will come from powergen, this

is what will come from industrial, this will come from, it's not going to play out that way.
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The idea is to say that these are the opportunities that we see, these are the kind of efforts that we will make. And, of course, over the last 3 years there has been a certain investment whether it's been in people, capacity enhancements, key customer management

ent, key account management

and that's what we feel will lead to or will give us the shot at this kind of growth. So I really encourage you to look at it that way because if I start giving break ups then we always get compared to whether that has happened or not.

And especially in this environment, I think, of course, we see the future is very bright, but there are also many things going on which we have no control over.

Renu Baid Pugalía: Yes, hi good morning team I have few questions. This is Renu Baid Pugalía from IFL Securities.

My first question is on the BS V transition how has that been over the last 5 months, both with respect to the price impact in the market and acceptance from the customer side and release of the pre-buy inventory which was there in the channel. That's the first question?

Gauri Kirloskar: Okay yes BS V saw a very small pre-buy actually, but I mean compared to like a CPCB IV plus

change. So BS V actually again was another emission norms change that was delayed. So it was supposed to happen in April of 2024 and then got pushed to I think October and then January.

So we had a lot of time to engage with our current customers our BS IV Customers because this kind of change is very different from powergen you have to engage with them beforehand to see what kind of new equipments they're building and whether your prototype fits in that envelope.

There's also a period of prototype trials that happened which went well and I'm happy to say that for most of our customers we have been able to continue with the account or increase the wallet share of that account.

And we've also had the opportunity to bring in some new customers. There were a couple of accounts here and there that we have strategically decided to let go of because the pricing may not have worked for us. So we've taken those calls as well.

Renu Baid Pugalía: An average increase in the pricing in this BS V segment for us?

Gauri Kirloskar: 20%.

Renu Baid Pugalía: Second is coming back on the core powergen business with respect to CPCB IV transition.

Initially we had some hiccups in terms of share gains, models were not available or nodes were not available across all the products, where are we in terms of availability of nodes, different nodes or products and on the pricing, have we started to see price points now tapering off because of competitive pressures or are we able to hold on to the prices?

Management 4: If you look at the availability of CPCB IV products. We haven't had too much of a challenge in terms of making our products available. As per the mandate availability of CPCB II post migration of CPCB IV. So we had more or less like a hard switch over. And the CPCB II inventory liquidated very quickly.

A lot of the competition continued to in some shape or form make that CPCB II inventory available to the channel. So if you talk to some of our dealers or channel partners, that's the input

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that you may get, but honestly we don't see that as a challenge. Even now, I don't think availability is as much the issue, what's actually happened is that there has been choppiness in demand and so we're just trying to make sure that we plan for it appropriately. What is the second part of your question?

Renu Baid Pugalía: So just rephrasing it Availability of CPCB IV compliant product across all the nodes, because there were gaps in terms of availability of coal products at various nodes in the market versus that of Cummins or others in the market. So today are all the nodes covered up in terms of a product being available on the shelf with the consumer. And B, on the pricing side, have we seen prices consolidate a bit or they've still been able to maintain the pricing at which it was initially launched?

Management: Okay, so if you have market intelligence that we've not been able to make our products available, we'll take

that feedback. As far as the pricing is concerned, look the pricing is it is a WIP and it will mature. I think we're still in a phase where that maturity is coming up. And I think as we move into this financial year, we're seeing a fair amount of stability, but we'll have to keep our

eyes open.

Renu Baid Pugalía: Thank you

Gauri Kirloskar: We have the Arka team here as well. They just put their mics down.

Management: Yes, hi guys. So one, there was a comment earlier that there was some write down which we'll talk about later, love to hear that. Two, capital raising what's the update. Three, Gauri for you at some point the two entities could be in some form separated, Is there any thoughts on that?

Management: So I'll give you the first two answers. There has not been any write down. We are just preparing ourselves to build a secured retail Journey and that's more granular in nature. And when you build a granular book, today we have only 2400 customers. The moment you build a granular book suddenly in a month you'll be disbursing to almost 10,000 to 15,000 customers the way we are aspiring and the model which we are building.

So when 31st March two things we did for quarter 4. One, as part of our strategy financial warehousing is important which is something called direct assignment of our assets. So direct assignment is when you sell your asset, you book the income and it goes into a bank's balance sheet, but you continue to collect from the customer.

And whenever a customer forecloses the loan, that income needs to get reversed in our books as well. Because the income happens on an upfront basis and we had to do, this has to happen on a monthly basis. Now last year there was a large direct assignment imperative and initiative we took. So almost close to 1,500 crores of our book we sold, but that monthly reconciliation had to get true up on 31st of March.

So that true up has happened. Going forward every month a true up will happen on a direct assignment book, because you have to ensure that the matching revenue and matching cost comes when a foreclosure happens from the customer. That's one part. Second is we as a strategy have stopped unsecured book lending.

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So we had Fintech partnerships which is completely stopped. But when I came in I saw the book and for abundant caution, we raised the provision coverage out there because I think unsecured book is something, at least, personally I don't understand well and as a strategy we will not pursue.

So if you look at the balance sheet provision coverage that stands at about 65% and the unsecured book provision coverage is as high as 85% to 90%. So these are the two things which we did in quarter 4 and that's what I think Sachin was.

Sachin Kejriwal: What were the amounts in the two specific cases?

Management: So direct assignment the true up will be close to about 12 crores to 13 crores and the provision which we increased will be close to about 15 crores which actually helps us to build a very Strong balance sheet into the future. In spite of these two one times, our profit after tax grew from 69 crores to 80 crores on a year-on-year basis.

It's very important when you build granular book. Spick and span controls are important and grid is more important than glamour. So I think that is very important in retail business.

Analyst: You have our full support on that.

Management: Thank you. I'll leave the third question to my Promoter.

Management: The second question.

Management: Capital raise? Okay. I'll put it this way. Our business is a capital guzzling business, without capital it's difficult to sustain. But the right business model is required. So for the next 6-9 months the three things which we spoke about, one is the ST Lap which is INR8 to INR25 lakhs secured loan against property. That piece of business, which is a northward of 16% yield.

eld. The second is pre-owned wheels financing. That piece of business is also a ticket size of INR8 lakhs to INR15 lakhs, again, 16% northwards.

And the third one, which we are incubating right now is genset financing because any business in granular retail is 16% yield and above. I would like to build that book now for the next 6 to 9 months. Because if you have that critical mass, then you will be able to attract the right kind of capital. So capital raise is something, which we will look at somewhere around January.

Preparation is pretty much there and pretty much in touch with most of the private equity guys, but it's a Kirloskar brand. We have to choose responsibly with whom we need to partner, but nothing before Jan.

And as we speak, our Tier 1 capital is 20%. And the growth aspiration, this is not the time to push heavy growth. This is the time to ensure that we build the distribution, the collection infrastructure, the risk management policies and the technology for the next 6 to 9 months. Once that mass reaches INR1,000 crores, I'm expecting it to reach about INR1,000 crores in the next 6 to 9 months. I think that will be a very good time to look at capital actually.

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Gauri Kirloskar: So Jeetu, I think just taking off from what Samrat said, and you missed the presentation, but we spoke about what we wanted to do in the first phase of Arka. And now we're at -- which is the last 5, 6 years, and now we're at a phase where we're pivoting to build this retail book, which obviously demands and is a very different sort of animal. And then we will start to speak to possible partners. So over the long term, of course, the intent is that the business should stand on its own. But we will follow the path that Samrat has just articulated.

Analyst: Okay. Yeah. My question is, firstly, on the technology side, you highlighted that we have developed this 2 engine technology on the Optiprime series, 1,000 kVA and above. Do we also offer a single engine technology that our competitors provide, and how difficult or easy it is to transition towards that technology?

And my second question was more on the initial remarks that you were giving upon the channel distribution side that we are doing some channel restructuring for the B2B business. So what exactly, if you can throw some light on what is the exact general distribution remodeling that we are doing out there?

And third question was on the B2C side, where historically, our margins have been slightly volatile. This particular quarter, we have been able to clock double-digit kind of margins. So what are the sustainable margins on the B2C side of the business? And how do we see that particular business going? So these are the 3 questions from my side. Thank you.

Gauri Kirloskar: Yes. Thank you. So on the first question, we have a single engine solution up to 1,500 kVA. So we go up to 1,500 kVA on the single engine. And then beyond that, we offer Optiprime. And actually even below 1,500, we do offer Optiprime as well just because of the advantages that it has over a single-engine solution.

So that was the first question. Your second question was around, the channel restructuring. So I think what was very important when you look at our strategy, whether it was on the high horsepower side or in terms of the emissions change that happened. And what I mean by that is that our entire portfolio moved from mechanical to electronic engines.

With that happening, what we required from either our sales channel or our service channel for certain investments. For example, on the sales side, our OEM partners would have had to be willing to make investments to assemble high horsepower gensets. On the service side, there were investments required in terms of making sure we had enough service engineers, investments in certain tools to be able to fix the electronic engines.

And

so that was the channel, let's say, rationalization that had to happen. And if you're making investments, you also have to be here for a certain size. So are there service dealerships, for example, that would be more viable from a profitability perspective if they were consolidated? Are some of the conversations we had as well? This work has largely been done in the last 3 years. It's not something that's really continuing beyond that.

But the majority of it has been done in the last 3 years. And on the distribution and aftermarket side, actually, it's been a very significant restructuring. But in spite of that, we've seen the growth

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as well, which basically means our hypothesis of having a certain size dealership has played out for us.

Sachin Kejriwal: Yes. Coming to your B2C side of questions. So you must have seen a very solid rebound from B2C performance. And this has happened predominantly because you are aware that we were consolidating our 5 small plants in Ahmedabad to a Sanand location and creating a mega site. So that work has been completed by end of quarter 3 and now plant stabilize, and we are seeing full production from that plant. So that helps us the availability of the product, which improved our sales.

And secondly, on the cost side, also we are working continuously on the B2C side. So both the variable cost and the fixed cost. So half of the work has been done, and the remaining will be completed in the next couple of quarters. So in terms of profitability growth and the EBITDA growth for the B2C business, we aspire to grow both in double-digit in coming years.

Analyst: Last one question on the market share side on the Powergen. I think so during the last quarter, you had highlighted some sort of a market share loss. What is the status now at this point of time? Have we been able to recoup the market share? Or where does our market share stand if you can briefly highlight?

Gauri Kirloskar: So market share during the submission norms change, we expect that it will move up and down and stabilize somewhere. I think the intent that we have as a leadership team is are we able to

defend our LMHP market share? And are we able to see steady progress on the high horsepower side. There are node-by-node dynamics that play out depending on demand for that node, depending on whether your engine platform is at an advantage of that node or not.

I would say let's just wait a couple more quarters to see where it stabilizes. We're just at the beginning of that stabilization happening. And then I would like to comment on market share. I think what I can say is that on the high horsepower side, we are seeing those steady increases, and that's really what will be significant for us because that's where the value is.

Analyst: So just going back to the 2B2 strategy. Is it the existing product platforms and it's about market share gains both domestic and international to really reach their -- its new platforms, new products. And there was a mention of inorganic as well in that slide. So it's new energy storage. Just thoughts of there. How does that kind of fit into the 2B?

Gauri Kirloskar: Sure. So overall, I think our vision over the next 5 years is to really be a global technology leader when it comes to power solutions. And what that obviously means is now we're not saying that, that specifically has to be power coming from engines, right? And as a company, in our 2X-3Y strategy as well, we had articulated our 4 technology tracks, which we wanted to make progress on to be able to say that if we are in a conversation with a customer who, for example, is very sensitive to ESG requirements or is in a remote area where say fuel is not available.

Do we have the portfolio of products and technologies and solutions where we are able to customize and design a solution for them? So I think what's really important

for us in the next 5

years is to see whether those technologies are something that we invest in to develop in-house, whether we partner with someone or whether we buy, right? So build borrower buy would be

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the analysis that we do when we're looking at how we need to make progress along those technology tracks, but it's really critical that we make that progress.

If you look at the first track, which was on internal combustion engines, we really, in the last 3 years, have made significant progress in terms of being fuel agnostic and having engines that can really run on diesel. We have the largest gas portfolio in the market in terms of Gensets.

We've done demonstrations for ethanol and methanol.

We've done hydrogen blends, but these things have to also become -- these fuels have to become available. They also have to be economically viable for the customer. But we are able to provide that. When it comes to the rest of the technology tracks, whether it's batteries or Microgrids, there is significant progress we have made, but there are also areas where maybe the technology is a little further out, we have to keep an eye on it and we're continuing to do that.

So that's really, let's say, where we would focus maybe some of the acquisitions if we have opportunities in those spaces. The second area is maybe if it gave us access to a certain geography, if there's a company which is really well entrenched in the market where we're not present that would be something maybe that could be potentially interesting for us.

So there is definitely an inorganic element, which was not there in the last 3 years. In terms of our product portfolio and investing in new products, I'd say it's more on the technology tracks that is not engines. Because on the engine side, we really have actually arguably the widest range in the world, going from very small at 3 kVA to very large engines. And there's really no one who has that whole range. I hope I answered your question.

Analyst: And just last one. If you were to just take a wild guess, internal combustion would still be 95%, 99% in 2030? Or you see a transition which could be 5%, 10% portfolio, just a wild guess?

Gauri Kirloskar: So I'd say maybe it will be 80%. Yes. Like I think we are building our Microgrid solutions. We are offering that. And I think we should aggressively pursue some of those conversations as well.

So I think we will be able to provide some alternate solutions as well.

Analyst: You've been through part 2 partner transitions, one in the Middle East, one in South India, about 6 months ago or have those played out, are they scaling back to expectations? And is that looking good?

Gauri Kirloskar: Yes. So there's been no problem on the domestic transition. I think that has gone largely when - on the Middle East side as well, we have seen some -- there's a transition happening for sure.

But the -- essentially, what we've done is we had existing distributors in Middle East and North Africa that used to work directly with us, and now they're working through that partner.

So of course, when there's a change in people, there is a bit of bumpiness or uncertainty. And I think a lot of those questions has even come while we've changed teams, right? And whether it's been at Kirloskar Oil Engines or at Arka. But I think what I would say is uncertainty or that rockiness is not always bad.

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And we are very clear that, that is the right move to make. We have to have a Genset OEM in the Middle East because that enables us to be close to the market. And if we require the flexibility to, say, assemble Gensets in various regions over there, we have that partner for us, and they are familiar with the industry as well.

Management: There are a couple of questions from webcast audience. Most of the que

stions are answered.

There was a question on Arka Listing, Arka AUM. We have answered that. Just 2 more questions, and I will stop after that.

One question for you, Gauri, is what were the key misses you think for the 2X-3Y journey? And how are we planning to overcome those in the next phase of growth?

Gauri Kirloskar: Yes, that's a great question. I'd say, if you look at the way that we articulated our strategy, there was -- the biggest miss, I guess, was on international because we had said that it will be 30% of our revenues. And I'd say that the learning that I've had over the last 3 years on international, is that you could potentially see short-term opportunities, but it's really, really important that you invest time to find the right partners to build out a business that can last the next 100 years.

And I think what I took for granted was the kind of brand equity that we enjoy in domestic markets, people just don't know us abroad, right? So there's far more time required. There's far more patience required. We will have to make investments and investments before we see that return on international. So that's really been my biggest learning.

I think having said that though, our international business has almost doubled in the last 3 years in spite of a lot of the structural changes that we had to make, whether it was appointing partners or looking at how our teams are structured, abroad. So there's still a lot of work that we have to do, but I think that would be my biggest learning.

Management: Yes. So one more question. Which segments are driving demands in PG segment, both domestically and internationally? Also in international, do you see any signals that, in particular regions, you are seeing a high growth?

Gauri Kirloskar: Okay. So on the domestic front, the demand is really coming from infrastructure, when I mean that, it means big real estate projects, whether it's commercial buildings or large residential projects and of course, the data center segment that would be what's driving most demand. Even in the international segment, data center demand is huge. So that is really what is driving it in general.

Now to answer that question is difficult because in every region, there are different dynamics.

But I'd say, in general, that's where the demand is coming from.

Management: Okay. There are questions on subsidiary financials. Please note, we will be publishing these soon along with our annual accounts. So I think in the interest of time on that note...

Analyst: One question. Just on the capital allocation, like earlier, we had announced that we're probably looking to set up a new engine manufacturing probably with the capex of INR700 crores. So like in our next 5-year journey, you would probably -- if you can give a perspective like to reach \$2

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billion, what kind of capital allocation we'll be doing on manufacturing side and other areas?

That was my first question.

Second question was on like your slide mentioned 2 things. One was execution of manufacturing strategy. So what are you probably trying to convey? And second, in FY '26, probably FY '27, you were seeing complete execution of technology road map. So what are the milestones you're probably looking at in what areas? So these are the two parts.

Sachin Kejriwal: So I will take your first question. So on the capital allocation, as a company, we are committed for the new product development and capacity enhancement. So in FY '25, we have invested around INR520 crores. So out of this INR380 crores was invested in KOEL and INR140 crores got invested in our B2C business, which is LGM.

As I mentioned that we have done the plant consolidation work there, wherein the 5 plants in Ahmedabad location got converted into 1 mega site consolidation. So we invested around INR140 crores there and created a capacity.

Yes, I will go to the future. S

o I'll just and on, we invested INR380 crores. So out of that INR90 crores went towards the product development, INR90 crores went towards the capacity enhancement on the sustainable side and INR20 crores went on the IT digitization.

And as you're aware that in the -- last quarter, we announced that we are going to invest another INR700 crores for capacity enhancement in our existing plant at Kagal that will go towards the product development and capacity enhancement. And apart from this, another INR80 crores to INR90 crores will go towards that Navy project, which we won very recently.

And another INR200 crores will be allocating towards the acquisition in line with our technology

track and to the \$2 billion growth strategy. So in a Nutshell, we are planning to invest around INR1,000 crores in the next couple of years in this business.

Gauri Kirloskar: So when we mean execute the technology road map, it's the technology tracks that we were talking about that we really -- when I answered Sandeep's question, I think that was what I was referring to. And I think the first one was make sure that we execute on the manufacturing capacity enhancement. Hope that clarifies. Yes.

Management: Okay. So we take that as a last question. Thank you all for joining us. Please join us for a brunch after the meet.

Call: Aug 2025

Date: 12th August 2025

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
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1st Floor, Rotunda Building,
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Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 1st August 2025, 6th August 2025 and 7th August 2025, we hereby inform that the Transcript of the Conference Call for Investors and Analysts held on Thursday, 7th August 2025, at 4.30 p.m. (IST) to discuss the unaudited Financial Results of the Company for the quarter ended 30th June 2025, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com. The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited
Farah Irani
Company Secretary and Compliance Officer

Encl.: As above.

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“Kirloskar Oil Engines Limited Q1 FY'26 Earnings
Conference Call”

August 07, 2025

MANAGEMENT : MS. GAURI KIRLOSKAR - MANAGING DIRECTOR ,
KIRLOSKAR OIL ENGINES LIMITED
MR. RAHUL SAHAI - CEO, KIRLOSKAR OIL ENGINES
LIMITED
MR. SACHIN KEJRIWAL - CFO, KIRLOSKAR OIL
ENGINES LIMITED
MS. KIRAN KHAPRE - CHIEF HUMAN RESOURCES
OFFICER , KIRLOSKAR OIL ENGINES LIMITED
MS. FARAH IRANI - COMPANY SECRETARY ,
KIRLOSKAR OIL ENGINES LIMITED
MS. RIDHI GANGAR – CFO , ARKA FINCAP
LIMITED
MODERATOR : MR. AMIT SHAH - ANIQUE STOCK BROKING LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Kirloskar Oil Engines Limited Q1 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you and over to you, sir.

Amit Shah: Yes, thank you, Shruti. On behalf of Antique Stock Broking Limited, I welcome you all to Kirloskar Oil Engines Limited 1Q FY '26 Earnings Conference Call.

To discuss the results, we have the senior management team of the Company represented by Ms. Gauri Kirloskar – Managing Director of the Company ; Mr. Rahul Sahai – CEO of the Company and Mr. Sachin Kejriwal – CFO of the Company .

I would now hand over the call to Ms. Gauri Kirloskar for her 'Opening Remarks ', post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Thank you very much, Amit. Good evening, everyone and thank you for joining us today. In addition to Rahul Sahai and Sachin, we also have with us Kiran Khapre – our Chief Human Resources Officer and Farah Irani, the Company Secretary and from ARKA, we have Ridhi Gangar, CFO of ARKA.

I will begin with business and operational updates and then Sachin will provide a brief overview of the financial performance, following which we will answer any questions you may have.

We have had a strong start to Fiscal Year 2026. I am happy to share that the 1st Quarter has been a record-breaking one for us. We closed Q1 with the highest ever net sales in KOEL's history at Rs. 1,434 crores for the standalone business and Rs. 1,751 crores for the consolidated business. What makes this particularly noteworthy is that Q4 has traditionally been our best -performing quarter. To surpass that in Q1 reflects strong demand, sharper execution and a clear alignment to our long-term aspirations under the '2B – 2-Billion Strategies '.

Also, to put the numbers in context, in the same quarter of the last financial year, on the Powergen side, we were at the peak of the pre-buy phase right before the CPCB IV+ transition. Despite the pre -buy impact, we still grew at 6% plus and if we normalize the pre -buy effect, the growth is 22% in comparison with the same quarter of last year. We see that despite all the challenges in global markets, tariffs, geopolitical uncertainties, the Indian economy remains
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resilient and strong. We see strong tailwinds domestically and we see the demand staying strong for us as a business. During the quarter, we made a regrouping within segments. The farm mechanization business, which was earlier classified under the B2C segment, is now grouped under the industrial business within the B2B segment. Accordingly, you will see the numbers regrouped for the current and prior quarters in the presentation.

Looking at the standalone sales break-up:

The B2B business witnessed 8% year-on- year growth with all sub-segments except industrial recording double -digit growth. The B2C business grew 4% with WMS sales remaining flat at Rs. 154 crores, while international B2C business grew at a strong 76%. In terms of geographic mix across both B2B and B2C segments, domestic sales stood at Rs. 1,298 crores registering a growth of approximately 6% year-on- year. Export sales stood at Rs. 136 crores reflecting a 21% growth year-on- year. EBITDA for the quarter stood at Rs. 190 crores reflecting a margin of 13.2% versus 13% last year. Numbers for the previous period are excluding

reversal of provision

for overdue receivables made for a customer towards sales made in earlier years. EBITDA margin at standalone levels for the previous period including reversal for overdue receivable provision was 14.8%. In the current period, there is no such reversal.

Let me now take you through what drove this performance :

The power generation business saw strong revival in demand. We recorded our highest ever Q1 sales in this segment at Rs. 609 crores. This renewed demand coupled with a good traction in high horsepower segment helped us build solid momentum. The new products that we launched including the Sentinel range and the Opti prime range is seeing good traction. There is customer acceptance and the products are performing well in the market as per specification. We also hosted our Powergen conclave this quarter which was very well -received. It gave us a valuable platform to reinforce trust amongst our partners and showcase the next leg of our innovation roadmap. As I had mentioned in some of our earlier calls, our product range on the Powergen side is one of the most exhaustive globally and we have products that cover the entire range of

the genset industry. We also are making significant inroads into markets where we have not traditionally been strong and we are closely monitoring the progress and this will be a journey. Moving to the industrial business :

We progressed on two strategic projects, one for NPCIL and another for the Indian Navy. These are deeply aligned with our long-term ambitions. We are very keen to participate in the indigenization program that our defense agencies are focusing on. We believe that this is not just a great opportunity from a business standpoint but also an opportunity to participate in nation building. In our fluid dynamics business or the B2C arm, we had a stable quarter. We believe that operationally we are on good footing now. We see the business now delivering consistent

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results with double -digit EBITDA margins and positive cash generation which is good news for us. There has been a lot of work done post the plant consolidation on operational efficiencies and this is showing rewards. We have to make sure that this consistency in results is maintained as we take the next steps of increasing market share.

On the international front :

Our performance continues to be very encouraging. The Middle East and North Africa regions saw strong demand. Our run rate has been consistent in this region which is good news for us. International business remains a key focus area for us and we will continue our journey of building out this business.

Now a few updates on the consolidated business :

Also, within B2C business, we had successfully closed the divestiture of our tables and pipes business, which is called Optiqua. As I had mentioned in my earlier calls as well, we have set out on a strategy that is clear on what is our core and what are the businesses that we will get into and we will focus on those. There is a product roadmap in place and over time, we will build out the product portfolio in line with this roadmap. This action of divestiture of Optiqua is in line with that strategy.

At ARKA, we had outlined a strategy to build out a granular retail book to complement the stable wholesale book that we currently have. In line with the strategy, we are making progress. You will see more presence of ARKA in many Tier-2 and Tier-3 cities across the country. As I mentioned earlier, it is in our ethos to build businesses that sustain generations and it is also our expectation that each of our businesses remain successful in their own right. This principle will apply for ARKA as well as we grow this business.

Looking at the consolidated performance :

Net sales for the quarter was at Rs. 1,751 crores, registering 8% year-on-year growth. Net profit

it from continuing operations for the quarter was at Rs. 134 crores, that is approximately a 1% increase year-on-year. Please note that the numbers for the previous period are excluding exceptional items and including reversible provision for overdue receivables made for a customer towards sales made in earlier years. Net profit for the previous period excluding exceptional items and excluding reversals for overdue receivable provision was Rs. 133 crores. In the current period, there are no such exceptional items and reversals.

Three years before, I thought of KOEL as a 75-year-old startup and that was how we had to operate to build out the organization that we have today and the product portfolio. Now, I call KOEL a 75-year-old incubator of many startups. We have many areas that we are working on, many products that we are introducing that are new, many new markets that we are trying to

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enter, non-internal combustion engine technologies that we are trying out to fast-track our progress. Whatever we do is in line with our strategy and we will not lose focus on the path that we have set out for ourselves. I am very confident in Team KOEL to deliver on what we have set out to do.

With that, I will hand it over to Sachin who will walk you through the financial performance in detail. Thank you.

Sachin Kejriwal : Good evening, everyone. Thanks, Gauri, for the update.

I will now give a quick walkthrough of the financial performance for the standalone and consolidated business. The results and the presentation for today's call has already been uploaded on the exchanges and our website.

Q1 topline registered growth of 8% year-on-year and 2% quarter-on-quarter. As Gauri mentioned, we believe this is a good start for the year. Even though we had a really good quarter in Q4 last year, we have surpassed it and grown marginally this quarter.

Coming to the financial performance :

I will start with the standalone performance first. Net sales at Rs.1,434 crores for Q1 FY'26 versus Rs.1,334 crores for Q1 FY'25 that is 8% increase year-on-year. EBITDA at Rs. 190 crores for Q1 FY '26 versus Rs.175 crores for Q1 FY '25 that is 9% increase year-on-year. EBITDA margin at 13.2% for Q1 FY '26 versus 13% for Q1 FY '25. Net profit at Rs. 123 crores for Q1 FY'26 versus Rs. 117 crores for Q1 FY '25 that is 5% increase year-on-year. Cash and cash equivalents of Rs. 639 crores by end of this quarter. Please note that cash position is net of debt and includes treasury investments. Numbers for previous period i.e. Q1 FY '25 are excluding reversal of provisions for overdue receivables made for a customer towards sales made in earlier years. EBITDA margin at standalone level for the previous period i.e. Q1 FY '25 including reversal for overdue receivables provision was 14.8%. In the current period i.e. Q1 FY '26, there is no such reversal. With payable at 76 days and receivables around 41 days, we are maintaining healthy working capital levels. Inventory is now at comfortable level of 53 days, marking an improvement over Q2 and Q3 of last year when we were navigating the transition to new emission norms in both the powergen and industrial segments.

Now here is a further breakdown of the standalone sales for the quarter :

B2B sales were at Rs. 1,262 crores i.e. 8 % growth year-on-year. Power gen was at Rs. 609 crores which was 15% increase year-on-year. Power gen sales for the quarter first time have crossed Rs. 600 crores. Industrial at Rs. 310 crores i.e. 8% decrease year-on-year. Please note we have reclassified our FMS business into B2B industrial business unit from this quarter which was earlier part of B2C business. Distribution and aftermarket was at Rs. 223 crores i.e. 12% increase

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year-on-year and international business of B2B was at Rs. 120

crores i.e. 13% increase year-on-

year. The B2C sales were at Rs. 172 crores registering a 4% increase year-on-year. WMS was at Rs. 154 crores at almost same level as previous year quarter. International business of B2C was at 18 crores i.e. 76% increase year-on-year.

Now looking at the consolidated performance for the quarter:

Revenue from operation at Rs. 1,764 crores for Q1 FY '26 versus Rs. 1,632 crores for Q1 FY '25 i.e. 8% increase year-on-year. Net profit at Rs. 134 crores for Q1 FY '26 versus Rs. 133 crores for Q1 FY '25 i.e. 1% increase year-on-year. Please note numbers discussed here represent continuing operations only. Numbers for the previous period i.e. Q1 FY '25 are excluding exceptional items and reversal of provisions for overdue receivables made for a customer towards sales made in earlier years. Net profit for the previous period i.e. Q1 FY '25 excluding exceptional items and including reversal for overdue receivables provision was Rs. 151 crores. In the current period, there are no such exceptional items in reversal.

Now let us have a look at consolidated segment performance now :

B2B segment revenue for the quarter was at Rs. 1,276 crores which is 9% growth year-on-year. The segment PBIT was at Rs. 139 crores reflecting approx. 7% decline year-on-year. The decline was due to one-time factors such as reversal of provisions for overdue receivables. PBIT for the previous period excluding reversal for overdue receivable provision was Rs. 126 crores i.e. 11% year-on-year growth. In the current period, there are no such exceptional items in reversal.

Operationally, we remain confident in the underlying strength of the business. B2C segment revenue for the quarter was at Rs. 292 crores flat year-on-year. The segment PBIT was Rs. 28 crores i.e. 18% decline year-on-year. Also, within B2C business, the disinvestment of our cables and pipes business Optiqua was effectively completed. This move free up capital for redeployment into higher growth areas aligned with our core strategy. Financial services segment revenue for the quarter is at 196 crores reflecting 18% year-on-year growth. The segment PBT was at Rs. 14 crores i.e. 28% decline year-on-year. The asset under management was of June 30

th, 2025 stood at Rs. 7, 231 crores. Please note, numbers discussed here represent continuing operations only and the reclassification of our FMS business into B2B and B2C business. The PBIT and PBT numbers are before exceptional items.

With this overview, I would like to restate that we have made a steady start to the year. As we move forward, our efforts are increasingly aligned with our long-term 2B2B vision. We are progressing with measured steps and shaping a strategic roadmap that not only accelerates growth but also ensures it is sustainable, securing long-term value for the business.

With these key updates, now we will open the forum for the Q&A session.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bala subramanian from Arihant Capital Markets Limited. Please go ahead.

Balasubramanian: Good evening, sir. Thank you so much for the opportunity. So my first question regarding defense and Navy wins and we got some 6 megawatt marine engine orders. I just want to understand what is the pipeline for similar orders and how we will manage execution risk in terms of IP development delays or any other risk we have? My first question.

Gauri Kirloskar: Thanks, Bala subramanian. Thanks for your question. So this order is for the development of a 6 megawatt marine main propulsion medium speed engine. And it's an order for a prototype development. So at this stage, the order is just for prototype development. We have a certain amount of time to be able to execute that and build that engine. And if we do that

successfully,

then we are in line for further orders of that same type of engine.

Balasubramanian: Okay, madam. And secondly, Sanand plant consolidation B2C margin to double digits. I just want to understand whether it's early double digits or high double digits? And how will agro demand cyclicality impact water management solutions?

Gauri Kirloskar: Yes, that's a good question. So the margins are at low double digits. And we see that sustaining, we do think that it's a margin that we can sustain over the long term and even improve. And in terms of agro cyclicality, it certainly does exist. But I think at the kind of market shares that we are at, we are aiming to improve those market shares. So we will aim for the cyclicality not affecting us too much. Also, as we build out the product portfolio to look for products that could work when the agro cyclicality is not in our favor.

Balasubramanian: Madam, BS-V transitions, we did some 20% kind of price hike. So whether we are gaining volumes, our customers absorbing these price hikes, or we are losing some marginal accounts.

Gauri Kirloskar: Okay, I'll request Rahul to answer that question.

Rahul Sahai: So if you look at the CV BS -V transition that has happened, we have actually very successfully emissionized our full portfolio on the construction equipment side. And we are not only gaining volumes with our customers that we currently have, but we're also slowly gaining traction with customers that were not there with us earlier. And we're also entering new applications. From a revenue impact standpoint, you will see those impacts eventually coming in. But we are seeing a lot of positive response.

Balasubramanian: Got it, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

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Jason Soans: Yes, thank you so much for taking my question and congratulations on a good set of numbers.

First question just pertains to, I mean, PG segment, the power generation segment has done really well with the 15% growth. Just wanted to know, in terms of verticals, in terms of the infra verticals, where is the demand emanating from? And like, for example, real estate, or is it broad based? Just some color on that.

Gauri Kirloskar: Yes, thank you for your question. So yes, I mean, the same segments, which is infrastructure is essentially real estate, and whether it's commercial or residential developments, these are the normal sectors that we look at in terms of demand. And it's actually broad-based, it's across the board that we have seen better demand.

Jason Soans: Yes, okay. Thanks for that. And my next question just pertains to, we're seeing some, after some good growth in the industrial segment, we saw degrowth in the 1Q, some weakness here. And similarly, on the same lines, we saw good growth in the international, where I can see, if you club the thing, it's basically a 19% YOY growth. So just wanted to know what an international was seeing some weakness, in the past quarters. So just wanted to know the reason why the pickup in the international one and why the weakness in the industrial side of things?

Gauri Kirloskar: Yes, so the industrials, what we're seeing, actually, is if you compare it to last year, there was a pre-buy that we saw in railways in the last year for industrial for Q1. So that was impacting the increase that you see. And on the international side, if you recall, on some of the earlier calls, we had talked about the business model change that we had done in the Middle East region, which was essentially to appoint a genset OEM called My span in that region, and we will be operating through them and we had aligned all of our dealers and distributors in the Middle East and North Africa region to My span. So there was some, essentially as that business settled down,

own,

because we had introduced one more party in the mix. So what we're seeing now is the pickup happening, that whole thing has settled down, we're seeing that the strategy that we had for the Middle East market in terms of appointing a GOEM, and that being the right strategy for powergen and growing a powergen market in the Middle East is playing out. So it's settled down, we're seeing that traction, and I think we will continue to see that traction as we go forward.

Jason Soans: Yes, thank you so much. And just also, just wanted to know, I mean, the last quarter you had

given the HHP sales. So will it be possible to give it for this quarter as well, the HHP sales for 1Q?

Rahul Sahai: Generally, we don't share the volume, share the value for each segment within the powergen. And we have given overall value for the powergen business. So stick to that at the moment.

Gauri Kirloskar: Yes, but we're tracking HHP node -by-node very closely as it's obviously a new market for us. And I can say that we are seeing our market shares increase node -by-node with our presence in those segments with the product portfolio that we have now.

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Jason Soans: Yes, sure. Last year, you had given that it's a 110 crore of sales in the whole year. So I just thought, anyways, sure. And just lastly, for this first set, I just want to know, when I go to the annual report, the loss for the Kirloskar Americas Corporation KAC has widened, compared to '24. And it has widened by quite a large amount. So just wanted to know what is the reason for the same? I understand you have Wildcat etc. as well in that subsidiary. So, yes, just wanted to know what is the reason for that?

Gauri Kirloskar: Happy to answer that question. So, the US business and the US market is the largest genset market in the world. And it is a market where which is new for us and we have to continue to invest in building out what we want to build up there to have a significant presence. So today our presence is pretty negligible. And what we will see is we will continue to make investments and that's why you're seeing the gap in the numbers. But it's a strategic call where I think that we have to continue to do that. So that at some point, we are present in that market in a meaningful way. So that's what you're seeing.

Jason Soans: Sure. Thanks for that. Thanks. I'll come back in the queue for further questions. Thank you.

Gauri Kirloskar: Sure. Thank you.

Moderator: Thank you. Our next question is from the line of Suraj Malu from Catamaran. Please go ahead.

Suraj Malu: Hello. So when we gather that multinational companies spend over \$1 billion in developing a new engine platform, my question was, what is our plan in developing new engine platforms for let's say 1,500 kVA, 2,000 kVA, kind of high node single engines? Obviously, we have this through our Optiprime offering right now. But if you could talk about like some timelines and budget for developing these platforms, these large engine platforms.

Gauri Kirloskar: The platform you've talked about, we already have single engine nodes for 1,500, as well as for 2,000 kVA shortly. So of course, we're not spending the same amount of money, as you mentioned, for the global companies. But we continue to invest in our R&D programs across the product portfolio that we want to build. And, we already have some of the nodes that you mentioned.

Suraj Malu: Could you share some sort of client wins or any success stories with these nodes or large engine nodes in the recent quarter?

Rahul Sahai: Yes, so for example, if you look at 1,500 kVA, we routinely do several of these on a month-to-month basis. And we are selling it to government clients as well as to private companies. It may not be appropriate for me to give out names of customers. But it's almost a routine for us at this

point.

Suraj Malu: Could you share some industry applications like which industry is going into?

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Rahul Sahai: Yes, so it goes right across, it goes into manufacturing, it goes into airports, it goes into construction, so real estate developments all across.

Suraj Malu: Great, thank you.

Moderator: Thank you. Our next question is from the line of Umesh Rao from Nomura. Please go ahead.

Umesh Rao: Hi, good evening. My first question is pertaining to power generation segment. So if I look at current demand for power generation, especially from realty segment, so in your view, how we are seeing that demand currently looking like, whether we are more closer to peak kind of a demand, how we are setting it in terms of cyclicity? And also, if you can talk about other emerging sectors as well, data center, QSR, retail, hospitality, how do you see demand over the period of, say, next one year or so?

Gauri Kirloskar: So as I mentioned in my opening notes, we see sustained demand in the domestic market, and it's actually across all of these segments. And specifically, and you mentioned some of these segments like real estate, etc, we're not seeing any cyclicity, we're seeing sustained demand.

Umesh Rao: Got it. And the realty demand, is it broad based in terms of geographies, or are you seeing differential demand with respect to any one particular region or any one particular kind of a breakup between urban, rural? And similarly, I mean, if there is any action on the pricing side during the quarter, have you seen any discounts given to the distributors? Because we have seen

correction in the raw material price, that is big iron and other things?

Rahul Sahai: Yes. So, if you look at in terms of pricing actions, we're watching the market closely. And we are correcting in case when there are minor corrections required, but there's nothing significant that we have done. And there are no significant changes that have happened. The market is stabilizing.

Gauri Kirloskar: And your first part of your question, which is on demand, we're seeing it across, certainly in terms of the higher kVA nodes, it would be more prevalent in urban centres rather than rural because of the kind of developments and the size of developments we're talking about. But yes, no particular location or pockets. It's across the board.

Umesh Rao: Got it. My second question is pertaining to distribution or aftermarket. So, do you see a consolidation happening in terms of branded players now more and more since last few quarters?

And especially with the launch of CPCB IV+, where electronic content could be relatively higher. So, demand prospects could be relatively better for distribution business going forward?

Gauri Kirloskar: Yes. So, I think, you know, on the aftermarket and distribution side, what's happened with the CPCB IV+, emissions change and which you mentioned in your question is that all of the platforms, all of the engine platforms have moved to electronic engines. And that means the Kirloskar Oil Engines Limited

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service has become proprietary. So, certainly, wherever there would have been freelancers or people who are out of our service dealer system who are servicing the engine, that's not really possible anymore. So, to that extent, yes, consolidation has happened on the aftermarket and distribution side where the service for our engines has become proprietary for the CPCB IV+ range.

Umesh Rao: Got it. One clarification here, if you can share whether you are servicing aftermarket for new engines through your in-house team or you are doing it more on the outsourcing basis?

Rahul Sahai: Yes. So, when it comes to our service operating model, we do both. So, we have our own service dealers and we have service engineers that are part of the dealership organizations, but

they then are

certified and trained by us. So, we do service via them. And then we have service contract and service manpower that we also have directly on Kirloskar Oil Engines. So, it's a composite model depending on what kind of contract or what kind of service operations need to be done.

Umesh Rao: Got it. My last question is pertaining to power generation again on the bookkeeping side. If you could share number of percentage contribution from CPCB IV+ products in terms of overall turnover for power generation?

Rahul Sahai: So, see, we have transitioned completely to the CPCB IV era. So, up to 800 kilowatt, all our products that get shipped out are CPCB IV+ compliant. Anything over and above that qualifies under the pollution state pollution control norms and our products comply with that. We're not really giving out segmental cuts at this point. But just to answer your question, every product that is CPCB IV compliant is being shipped out. So, only CPCB IV compliant products up to 800 kilowatt are being shipped out.

Umesh Rao: Exactly. So, my question was your revenue contribution from kVA rating below 800 within power generation?

Rahul Sahai: Yes, we're not going to go into the segmental split.

Umesh Rao: Okay, sure. Thank you. Thank you so much. All the very best.

Moderator: Thank you. Our next question is from the line of Tina from Motilal Oswal Financial Services Limited. Please go ahead.

Tina: Hi. Thanks for taking my question and congrats on the good set of numbers. My questions are related to the industrial and the distribution segment. So, on the industrial segment, what would be the levers for long-term growth in this particular segment? Like, what kind of traction can you expect from the existing projects, which are like NPCIL and even the marine order and even from the newer areas? So, if you can elaborate a little bit more on how different segments are looking in this particular industrial side.

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Rahul Sahai: Hi, Tina. Hope you're doing well.

Tina: Yes, thanks, Rahul.

Rahul Sahai: So, if you look at the industrial business and as you're aware, each of the segments have their core business as well as projects that we're working on. Now, the industrial segments comprise of our construction segment. Now, within the construction, we have also been working on adding engines for mining equipment into that. So, construction, mining, there is defense, marine and nuclear. That's another segment that we focus on. And even there, so if you look at whether it is the NPCIL order or M Ake-I, which is the main propulsion engine product order that we have got

with the Indian Navy, there are strategic opportunities that could open up for us upon our successful completion of these projects. So, defense, marine and nuclear presents interesting project type opportunities for large engines. Now, we also have railways and in railways, we largely do power cars. But we're also looking at other applications at this point. So, if you look at each of the segments, and I won't go into every segment at this point, there is a core business that we routinely do and we continue to focus on that, as well as there are strategic programs that we have launched. And we hope to see some positive impact coming up in the subsequent quarters or years.

Tina: So, within these segments, you continue to see a fairly decent traction, particularly for your construction, mining and even for the marine side and railway side?

Rahul Sahai: Yes, absolutely.

Tina: And how would the revenue recognition from this NPCIL and marine projects pan out over next 1 to 2 years, because it is only after that you are saying that the bigger opportunities also will open up from these two areas?

Rahul Sahai: Actually, Tina, it would be difficult for me to answer that question at this point in time.

Gauri Kirloskar: Yes

, essentially, it's milestone-based, the revenue, milestone-based. And apart from that, I think it depends on successful completion. So, to give you more detail on that would be very speculative.

Tina: Okay, but the work would have already started on these projects, in the existing projects, which are already awarded to you?

Rahul Sahai: Yes, of course, absolutely.

Tina: Okay. And one more thing on the presentation side, you have mentioned that you are doing some restructuring in the distribution and aftermarket. So, can you please elaborate on the same on the kind of restructuring on this particular segment?

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Rahul Sahai: So, that was to do with the channel restructuring that we have been doing. That journey is more or less complete now. So, that was more to do with the channel.

Tina: Okay, maybe addition of new people, addition of new partners on the channel side?

Rahul Sahai: Correct. So, we restructured the service channel. And so, there's a lot of work that we have done there to enhance our service capabilities and our coverage.

Tina: Understood. Thank you. That's it from my side. I'll come back in the queue.

Moderator: Thank you. Our next question is from the Jeetu Panjabi from EM Investco Capital Advisors Private Limited. Please go ahead.

Jeetu Panjabi: Hi, Gauri. Hi, Rahul. Good going. Two questions here. One, your international numbers, growth rates seem pretty good. So, question is, can you give some color on what was driving that and whether it's sustainable and how do you see the rest of the year? And the second question is on ARKA. Can you, again, just throw some numbers on how the balance sheet is building up? How's the new business shaping up? And just a few more details on how that entire thing is expected to go.

Gauri Kirloskar: Yes, great. Thanks, Jeetu. So, on the international business, the main traction that we're seeing and the pickup that we're seeing over last year is from the Middle East region and that's because the GOEM that we have appointed, MySpan, which we appointed about two years ago, is now settled down. And we're seeing them sort of grow in a good way. And I think that is something that we can expect to sustain over the course of the year and going forward. Ridhi, would you be able to take the question on ARKA and the numbers in terms of the balance sheet, etc.?

Ridhi Gangar: With respect to the balance sheet, the on balance sheet AUM remained at Rs. 6,000 crores. And the on plus of AUM remained at Rs. 7,200 crores. With respect to building of the secure granular retail. Quarter 1, we focused on building the distribution and the infrastructure and hiring the people. So, as we speak, we have got 32 odd branches open for secure retail. And in Quarter 2, you will see more progress around it.

Jeetu Panjabi: Okay. And tell me something. Do you have numbers on what the ROA is looking like and a little bit on quality, if anything, any trends that are emerging that are different from where they were?

Ridhi Gangar: So, we are more or less, as far as the asset quality is concerned, we are more or less in line with the numbers that we reported from us. So, the gross NPAs are in the range of 0.9% and NPAs are in the range of 0.3% as of 30

th June. And the ROAs, Quarter 1 generally is a softer quarter for the NBFC. So, our ROAs came at 0.7% for Quarter 1.

Jeetu Panjabi: Okay, lovely. Thank you, Ridhi. Thank you, Gauri.

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Gauri Kirloskar: Thank you, Jeetu.

Moderator: Thank you, Jeetu. Thank you. Our next question is from the line of Umakant Sharma from Viansh Ventures.

Umakant Sharma: Hi. Thanks for the opportunity. Most of my questions have been answered. I just got two set of questions. Firstly, is there any timeline that we are looking on ARKA in terms of any strategic ac

tion over there?

Gauri Kirloskar: So, I think it's a step-by-step journey. At this point, looking at building out the retail part of the book and we will continue to update you on the progress as we do that and we will then look at the next steps to making the organization stand independently. But it would be premature for me to say anything unless we have plans firmly in place.

Umakant Sharma: Okay. Sure. And the second question, we have started, we have gotten into the higher horsepower segment, it's been like 2-2.5 years now. So, could you just show some color Gauri, in terms of numbers or some quantitative metrics, how we are tracking that and what kind of market share are we looking at currently and how are we seeing that business scaling up?

Gauri Kirloskar: Yes. So Umakant, what we generally do is, historically as a Company, we have been on the low and medium side. And over the years, we have added node-by-node on the higher side. And we do see as soon as we have a product available that we are able to capture, say, a low double digit market share just by being present. Now, what we have seen is as we move into the high horsepower segment, service becomes really, really critical. So, it's not just, for example, in the low and medium horsepower segment, price is a big deciding factor. But as we move up, service becomes really, really critical. And because we have a good service network across the country, we do believe we have the right to win, of course, assuming that the product quality and reliability is there. So, what I can say is that we have built out the high horsepower portfolio very quickly in the last 3 years. Normally, these developments take many years to complete. But I think because of some of the innovation, say around Optiprime etc., we were able to introduce products in the high horse power range, because obviously, that's where we're seeing the largest growth rates. So, it's important for us to be present there. We are seeing traction across all segments. We are seeing that because we have the service capability, we have a right to win and what we do as a management team is that node-by-node, we do track that we are making that progress quarter-on-quarter in terms of market share improvement on a node-by-node basis. And I'd say I am satisfied with the progress that we have been making. But there's a lot of headroom for us, right? We're a Company that has just started to introduce products. So, there is a lot of headroom available for us to grow. And we just see that as an opportunity. But that's how we track it. We track it on a node-by-node basis and we look at quarterly making progress and upskilling these teams and service organization to be able to meet customer expectations in those segments.

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Umakant Sharma: Got it. And Gauri, just from an aspirational standpoint, would you be having any numbers, let's say, if you're not able to share currently, that's absolutely fine. But let's say, three years or four years down the line, if you're looking at '27-'28, what kind of numbers should this business be contributing to us? Any thoughts if you guys disclose that?

Gauri Kirloskar: I think, when we're talking about our broad goals, which is over the next five years, and it's a longer term goal that we have taken this time, right? Like, I mean, last time we took a three year goal. And I think if I look at how we landed compared to what we said we were going to do, and last time we gave quite a clear breakdown of where we thought the growth would come from, it landed really differently, it's very, it's very difficult for me to predict or answer questions like these, because we are in a super volatile environment, geopolitically, of course, the domestic economy seems to be resilient and strong. But it's hard for me to give you a three year view on what t

his should be.

Umakant Sharma: Okay, no worries. Thank you so much.

Gauri Kirloskar: Thank you.

Moderator: Thank you. Our next question is from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.

Bharat Shah: Yes. Hi, Gauri. You mentioned about the strategic focus earlier and in view of that, the business of pipes and cables was divested. So that's good news. On ARKA, I wanted to understand your long term thoughts. How does it strategically fit with our core business? And kind of given the size of the balance sheet there, the level of performance leaves quite underwhelming in terms of actual numbers. And it actually clouds the picture on a consolidated business basis of the real business performance. I wanted to understand what are the long term thoughts on ARKA and

how does it strategically add value and fit in well?

Gauri Kirloskar: Yes, thank you very much for your question. I think as we look forward on ARKA, building out the retail strategy that we have spoken about in the last couple of quarters, since the leadership at ARKA has changed. The idea also to leverage, say, the KOEL distribution system that we have in place and look at where we have overlapping, office areas, etc. that we can build out over the medium term, that's one. In terms of the results and the expectations in terms of return, I think that we have clearly a certain return happening on the core business and that is what we will aim for in terms of return on capital over a certain period of time from the ARKA business as well in terms of the capital that we have invested. But when we look at it, we would want the business to stand on its own two feet in a certain period of time, but we will support the business as it does that. We have a very clear plan with the new team in place, with a team that has done it before and has demonstrated very good results before and I'm very confident that we will be able to earn the return that we would expect even in our core business from this business as well.

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Bharat Shah: But if we go by the 1st Quarter numbers or even earlier numbers and given the amount of capital that we have already put in, a little less than Rs. 1,100 crores into the business, the returns are very, very underwhelming and it's not a particularly short period, you know, a net profit of mere Rs. 10 crores in the 1st Quarter on the injected capital by the group of less than somewhere around Rs. 1,100 crores. It sounds barely 3%-4% kind of an outcome at a return on equity. That doesn't sound to be good enough. Plus, standalone on a size of a asset book of some Rs. 7,200 crores to make a piffling Rs. 10 crore net profit leaves a lot of questions actually.

Gauri Kirloskar: Yes, I understand your question and on a quarter-to-quarter basis, I don't think that you're going to be satisfied with my response because I remember you asking me this last quarter as well. But in the medium term, we do have a plan to look at how we grow this business and have it stand on its own two feet. So I would encourage you to just wait for that.

Bharat Shah: Sorry for persisting, but I'm honestly unable to see that because if I see it over various quarters, including for this current quarter, if you see, the financial services have contributed only about Rs. 13 odd crore to the bottom line to the segment results, while last year 1st Quarter it was 19 crores. Now, this is not our line of real core strength, in my opinion, and therefore, it may occupy much more time and give underwhelming results is my fear. And how does it strategically actually fit in with our business is not very clear to me.

Gauri Kirloskar: Yes, so I think a couple of points on what you said, that it's not our core, I think, even in terms of the kind of targets that we're taking on, say, the core business, there are many things that we

haven't done before. And I firmly believe that as long as we have, and can attract and retain the right kind of talent and leadership to do things that are new, we will be able to build businesses. If you're looking at the results for ARKA just over the last couple of quarters, we are also in a period of time where we are pivoting from going from a largely stable wholesale book to a book that is more has a more retail focus. And that is going to take some time. There are some clear goals that we have stated in terms of the ARKA medium term plan as well. And that will take some time to see results. But I firmly believe and I'm confident that the team that we have in place will be able to deliver that.

Bharat Shah: Gauri, pardon me if I'm sounding annoying or persistent, but strategically, how does it fit in with our core business is something that I am unable to comprehend, even if we get good results over the period of time, which judging by results in the last few quarters doesn't seem to indicate that. But even if assuming that we derive good results over the period of time, how does this fit in with our core activity? From a strategy point of view, it is not very clear to me.

Gauri Kirloskar: Yes, I respect your opinion, but there's not much further comment I can make besides what I've already said. Thank you.

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Bharat Shah: Okay. And one last thing. The results need to be put in a little more simplified fashion. If we go by these, just the current quarter, there are so many footnotes and there are so many exclamation marks and so many references in order to really look at businesses and the performance in a very simple, elegant way. On relatively small numbers, too many adjustments and too many numbers have to be looked at and correlated to get a picture. This is not comment on how we have done on the business, which we have done fairly, but I think we can state our results in a more simplified way. Anybody going through finds it a bit way much to correlate so many footnotes and exclamation marks. I think we can simplify it a whole lot, I feel.

Gauri Kirloskar: No, I think that's really great feedback and I think for us it's a balance between simplifying and some of the mandatory disclosures that we have to make, but thank you. We have taken this point and I think we will look at next time if there's any way that we can simplify it better. Thank you.

Bharat Shah: Sure. Thank you, Gauri. And on ARKA, I still leave the poses with you.

Gauri Kirloskar: Yes. Thank you, sir.

Moderator: Thank you. Our next question is from the line of Sourabh Arya from Oaklane Capital. Please go ahead.

Sourabh Arya: Hi, Gauri, congrats on good numbers, and the team. Just a couple of questions. First is, can you comment on in Powergen? Are the volumes back like in last few calls, we have referenced that industry volumes are running at lower numbers. So if one adjusts the CPCB IV pricing of 20% to 25%, it seems volumes are still running low. So can you comment on that? And second, how has the market done and how has our market share has been in this particular quarter?

Rahul Sahai: Hi, so I would say that the volumes have in the market more or less returned to normalcy. So the cadence at which they used to be prior to the CPCB IV transition, we have slowly come back to those more or less those volume levels. I cannot comment specifically on the market share. I don't think I would do that. We don't have any formal reports or anything out yet. But I think we have performed fairly well, I would say.

Sourabh Arya: Okay. And related, like obviously on HHP, we have not given precise numbers. But any qualitative comment there, let's say PowerGen has grown 15%. Has HHP grown much faster than that? Or anything there would be helpful?

Rahul Sahai: Yes, it has.

Sourabh Arya: Okay. And lastly, a little

bit curious that, why did we move this farm mechanization to B2B and specifically at a time when it had already bottomed? So a little bit curious here, what's the reason for this moving it to B2B?

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Rahul Sahai: Yes. So overall, we look at it as one Company. Now in the B2B, basically the industrial business, we already had an agri segment and we saw a lot of operational synergy with the industrial business within B2B. And hence, we decided to consolidate and so the farm business and the agri business are parts of the industrial business now.

Sourabh Arya: Okay. Perfect. Thank you very much. All the best.

Moderator: Thank you. Our next question is from the line of Pratik Dharamshi from Union Mutual Fund. Please go ahead.

Pratik Dharamshi: Yes. Thanks a lot for giving the opportunity. Many congratulations, Gauri and team. Just one question specifically on data centers. In terms of product introduction, can you give more color on the work we are doing around the data center business?

Rahul Sahai: Yes, so we are working with a lot of data centers and we're in the process of executing a few orders as well. At this point in time, I wouldn't give any more detail than that. But there is work that we are doing with data centers.

Pratik Dharamshi: Fair. Thanks. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.

Gauri Kirloskar: Yes. Thank you very much for your interest in the Company and your questions. See you next time.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Date: 18th November 2025

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 6th November 2025, 11th November 2025 and 12th November 2025, we hereby inform that the Transcript of the Conference Call for Investors and Analysts held on Wednesday, 12th November 2025, at 4.00 p.m. (IST) to discuss the Unaudited Financial Results of the Company for the quarter and half year ended 30th September 2025, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com.
The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited

Farah Irani
Company Secretary and Compliance Officer
Encl.: As above.

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"Kirloskar Oil Engines Limited, Q2 FY-26 Earnings
Conference Call"

November 12, 2025

MANAGEMENT : M S. GAURI KIRLOSKAR – MANAGING DIRECTOR
MR. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER
MR. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER
MRS. KIRAN KHAPRE – CHIEF HUMAN RESOURCES
OFFICER
MS. FARAH IRANI – COMPANY SECRETARY
MS. RIDHI GANGAR – CHIEF FINANCIAL OFFICER ,
ARKA FINCAP LIMITED
MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good da y, and welcome to the Kirloskar Oil Engines Limited Post Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Amit Shah from Antique Stockbroking. Thank you, and over to you, sir.

Amit Shah: Thank you, Kruna. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to post earnings call of Kirloskar Oil Engines Limited. To discuss the results, we have the senior management team of the company represented by Ms. Gauri Kirloskar – Managing Director of the company; Mr. Rahul Sahai – CEO of the company; and Mr. Sachin Kejriwal – Chief Financial Officer of the company.

I will hand over the call to Ms. Gauri Kirloskar for the opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Yes. Thank you very much, Amit, for that introduction. Good evening, everyone, and thank you for joining us today. Before we start the call, I will just reintroduce my team because there are a couple of more people here. So, Rahul Sahai, CEO at KOEL; Sachin, who is the CFO at KOEL; Kiran, who is the CHRO; Farah Irani, who is the Company Secretary; and from Arka, we have Ridhi Gangar, who is the CFO.

As is customary, I will begin with business and operational updates. Sachin will then provide a brief overview of the financial performance, following which we will open the floor for Q&A.

Business and operational updates:

Q2 has been a strong quarter for KOEL with net sales crossing the INR 1,500 crore mark for the first time. I would like to congratulate the entire KOEL team on achieving this new milestone.

This also takes our H1 net sales to INR 3,027 crores, marking another significant achievement as we crossed the INR 3,000 crore milestone for the first half. Overall, the year-on-year growth numbers are encouraging, though they come on the back of a relatively muted Q2 performance last year.

Nonetheless, we have also delivered double-digit growth on a quarter-on-quarter basis, which makes this performance particularly satisfying. On October 10, we announced the restructuring of our B2C business. The Board approved the transfer of B2C business within KOEL stand-alone by way of slump sale as a growing concern to its wholly owned subsidiary, LGM. So, from Q3 onwards, you will see this change taking place in the reporting.

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The key objective is to maintain dedicated focus on each segment and drive greater efficiency through structures best suited to their respective customer needs. As we align these businesses, we are adopting new nomenclatures following the restructuring. The B2C business is now referred to as Fluid Dynamics. Accordingly, if I use this term in my speech, please interpret it as the B2C business.

Also, our international business comprises a mix of B2B and B2C exports. Therefore, in certain parts of my speech, the numbers may appear regrouped under this classification. Please feel free to reach out to our team if you require any clarification on these bifurcations.

Now coming to business performance:

Looking at the stand-alone sales breakup. The B2B business witnessed 35% growth year-on-year with all subsegments recording a double-digit growth. The B2C segment grew 28% year-on-year with WMS sales recording 22% growth year-on-year and International B2C business witnessing a 77% growth year-on-year.

In terms mix across both B2B and B2C segments, domestic sales stood at INR 1,406 crores, registering a growth of 35% year-on-year.

Export sales stood at INR 187 crores, reflecting a

similar 35% growth year-on-year. EBITDA for the quarter stood at INR 214 crores, reflecting a margin of 13.4% versus 12.4% last year. Numbers for the previous period excluding reversal of provision for overdue receivables made for a customer toward sales made in earlier years.

EBITDA margin for Q2 of FY '25 at a stand-alone level, including reversal for overdue receivable provisions was 13.9%. In the current period, there is no such reversal.

Let me now take you through what drove this performance:

The Power Generation business unit anchored the company's performance, delivering a strong 41% year-on-year growth in sales and achieving its highest ever quarterly revenue of INR 678 crores.

This robust performance further strengthens KOEL's market leadership. We are seeing encouraging momentum in the Optiprime initiative and the business secured several notable commercial wins, including multiple 1,500 kVA orders, 2,000 kVA and 2,500 kVA orders, underscoring the depth of customer confidence in our offering.

Looking ahead, we remain focused on the planned rollout of our products in Q3 FY '26, which we expect will further enhance our competitive position across the domestic power generation business.

Moving to the Industrial business:

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The Industrial business unit also delivered a strong performance with 40% year-on-year sales growth. This was driven by healthy traction in both defense and railways, where demand remains robust.

Defense business:

Our Defense business continued its positive trajectory, supported by emergency procurement orders and steady progress on key strategic programs. Notably, we completed and submitted the detailed design for the Indian Navy's prestigious Make 1 initiative. We have new product launches in the Railway segment for the 400-horsepower engine for a rail maintenance application for utility track vehicles.

Now coming to Distribution and Aftermarket:

Distribution and Aftermarket business unit reported a 13% year-on-year growth, reflecting the benefits of our ongoing organizational strengthening.

During the quarter, we implemented a revised field structure with an increased focus on key account management and advanced service offering. Our extensive service network continues to be a key differentiator with service requests reaching an all-time high of approximately 92,000, demonstrating both the scale of our installed base as well as our commitment to customer support across the life cycle.

Moving on to Fluid Dynamics:

The Fluid Dynamics business delivered a 28% year-on-year growth, supported by its highest ever monthly billing in September, following the appointment of new leadership and a structural realignment of the business. However, on a sequential basis, the segment experienced a decline versus the immediately preceding quarter.

This quarter-on-quarter degrowth was primarily due to lower sales volumes, which impacted fixed cost absorption. Addressing these factors remains a priority as we work towards strengthening our performance in coming quarters.

Lastly, our International Business:

International business continues to demonstrate strong diversification and strategic progress. Overall, the International B2B sales grew by 39% year-on-year, while B2C sales registered an impressive 77% year-on-year increase.

Exports for the first half of the year exceeded INR 320 crores, reflecting broad-based strength across markets. The Middle East and North Africa region remained our largest international contributor, accounting for approximately 60% of the international sales mix and it continues to

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progress well. Since we are talking about our business segments, I will also give a quick update on our NBFC business, Arka.

At Arka in the beginning

of the year, we had outlined a strategy to build out a granular retail book to complement the stable ROA-accretive wholesale book that we have built out previously. This plan needs a very strong on-ground team and a widespread network of branches to increase our reach across 7 states that we have selected in the country.

In Q1, we built the risk management frameworks and credit assessment guardrails for granular secured retail lending for wheels financing as well as LAP financing. We also prepared the tech stack for the loan origination to happen in a fully digital environment, which promotes superior credit decisions in a timely manner.

In Q2, we started pivoting our business model from wholesale to retail as the business started in July. A new leadership team is now fully in place to manage governance, operations and distribution. My recent visit to Rajasthan branch openings gave me firsthand experience to witness the retail distribution model, which is fundamentally different from the previous approach.

In the last 4 months ending October, the granular retail AUM has now touched INR 140 crores with monthly disbursements of INR 60 crores. We have opened 85 branches in the last 6 months.

And as we speak, there are 1,400 employees who are working at Arka, which is an increase of 900 employees in the last 6 months.

Our incremental cost of borrowing has also come down to 8.3% in Q2 from a 9.76% exit in fiscal year '25. Arka Q2 audited financials are reflective of the investments made in new granular retail financing journey that has started without compromising on the focus of the existing wholesale and SME book performance.

With the business updates done, let us look at the overall consolidated performance. Net sales from continuing operations for the quarter were at INR 1,933 crores, registering a 30% year-on-year growth. Net profit from continuing operations for the quarter was at INR 159 crores, which is a 51% increase year-on-year.

Please note that numbers for the previous period, excluding exceptional items and reversal of provision for overdue receivables. Net profit for the Q2 FY '25, excluding exceptional items and excluding reversal for overdue receivable provisions was INR 125 crores.

In the current period, there are no such exceptional items and reversals. Last quarter, I spoke about our focus on new product introductions and our plans to enter emerging areas, particularly in non-internal combustion engine technologies, to accelerate our progress. I would like to assure you that we are taking measured and deliberate steps on this journey.

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The recent restructuring of our B2C business is one such step, and we expect to share further developments in the coming quarters. Our objective is to keep the business aligned with evolving market landscape by leveraging our strong technology and talent base. These initiatives are expected to position the company for steady and sustainable growth over the long term.

With that, I will now hand over to Sachin, who will walk you through the financial performance in detail. Thank you.

Sachin Kejriwal: Good evening, everyone, and thanks, Gauri, for the update.

I will give a quick update of the financial performance for stand-alone and consolidated business. The results and the presentation for today's call has already been uploaded on Exchange and our website.

As mentioned by Gauri earlier, KOEL delivered a strong performance in the 2nd Quarter of FY '26, reflecting steady progress in the company's operational and financial journey. We crossed INR 1,500 crores mark first time ever, registering a 35% net sales growth year-on-year and 11% quarter-on-quarter. Net profit for the quarter was at INR 141 crores, registering a 44% growth year-on-year and 15% quarter-on-quarter.

Coming to a quick overview of financial performance:

I will start with stand-alone

performance first for the quarter. Net sales at INR 1,593 crores for Q2 FY '26 versus INR 1,184 crores for Q2 FY '25, that is 35% increase year-on-year. EBITDA at INR 214 crores for Q2 FY '26 versus INR 148 crores for Q2 FY '25, 45% increase year-on-year. EBITDA margin is at 13.4% for Q2 FY '26 versus 12.4% for Q2 FY '25. Net profit at INR 141 crores for Q2 FY '26 versus INR 98 crores for Q2 FY '25, 44% increase year-on-year. Cash and cash equivalents of INR 475 crores. Please note that cash position is net of debt and includes treasury investments. Numbers for the previous period, that is Q2 FY '25 are excluding reversal of provision for overdue receivables made for a customer towards sales made in earlier years. In the current period, that is Q2 FY '26, there is no such reversal. EBITDA margin at stand-alone level for Q2 FY '25, including reversal for overdue receivable provision was 13.9%. With payable at 71 days and receivables around 40 days, we are maintaining healthy working capital levels. Inventory is slightly higher at 62 days to cater the business growth.

Here is a further breakdown of stand-alone sales for the quarter. The B2B sales were at INR 1,449 crores, that is 35% growth year-on-year. We registered a double-digit growth across all the business units. So, within B2B, Power Gen was at INR 678 crores, which was 41% increase year-on-year.

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Industrial at INR 373 crores, that is 40% increase year-on-year. Distribution and Aftermarket was at INR 227 crores, 13% increase year-on-year and International business of B2B was at INR 171 crores, that is 39% increase year-on-year.

The B2C sales were at INR 144 crores, registering a 28% increase year-on-year. And within B2C, WMS was at INR 120 crores that is 22% growth year-on-year, International business of B2C was INR 24 crores, that is 77% increase year-on-year.

Please note, on October 10, we announced transfer of our B2C business into LGM via slump

sale as a growing concern. So, from next quarter onwards, you will see that accounting changes reflecting our books. Now looking at the consolidated performance for the quarter:

Revenue from continuing operation at INR 1,948 cr ores for Q2 FY '26 versus INR 1,499 crores for Q2 FY '25, which is 30% increase year-on-year. Net profit for continuing operation at INR 159 crores for Q2 FY '26 versus INR 106 crores for Q2 FY '25, which is 51% increase year-on-year. Numbers for the previous period, that is Q2 FY '25 are excluding exceptional items and reversal of provision for overdue receivables made for a customer toward sales made in earlier years.

In the current period, that is Q2 FY '26, there are no such exceptional items and reversals. Net profit for Q2 FY '25, excluding exceptional items and including reversals for overdue receivables provision was INR 125 crores.

Let us have a look at consolidated segment performance for the quarter now:

B2B segment revenue for the quarter was at INR 1,457 crores, which is 34% growth year-on-year. The segment PBIT was at INR 163 crores, reflecting approx 27% increase year-on-year. PBIT for the previous period that is Q2 FY '25, excluding reversal for overdue receivables provision was INR 111 crores, which is 47% growth year-on-year. And in the current period, there is no such reversal.

B2C segment revenue for the quarter was at INR 258 crores, which is 23% growth year-on-year. The segment PBIT was INR 18 crores against PBIT loss of around INR 1 crores for the same quarter last year.

Financial Service segment revenue for the quarter is at INR 233 crores, reflecting 17% year-on-year growth. The segment PBIT before exceptional item was at INR 34 crores, that is 9% increase year-on-year.

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Please note, numbers discussed here represent continuing operation only and after reclassification of our

FMS business into B2B from B2C business. The PBIT and PBT numbers are before exceptional items.

In closing, I would say it's been a strong quarter for us and steady progress during the year with strong H1 performance, backed by healthy market demand and encouraging results across our key product segments. Our new product launches are being well received, and we are steadily moving ahead on strategic priorities outlined in our 2B2B vision.

We remain optimistic about the coming quarters. And as Gauri mentioned, you will be hearing more from us on strategic initiatives outlined in our 5-year plan.

With that, I will open the floor for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Jason from IDBI Capital. Please go ahead.

Jason Soans: Team, thank you so much for taking my questions. And first of all, congratulations on a very strong set of numbers. So, ma'am, first, my question actually pertains to just wanted to understand in the Power Gen segment, which sectors is growth emanating from? Is it more broad-based? Or do you see some strength in certain business verticals? Or does the growth continue to stay broad based?

Gauri Kirloskar: Thank you. So, to answer your question, the growth continues to stay broad-based, and we are seeing demand across all of our customer segments in Power Gen.

Jason Soans: Sure. And ma'am just from an on-ground business perspective, this up cycle has lasted for some time now. Just from an on-ground business perspective, I just wanted your sense on how sustainable do you see this up cycle continuing for.

Gauri Kirloskar: So, what we are seeing so far is that at least in the domestic market, the demand is sustaining. And internationally, I would say that we have very negligible market share. So, a lot of what is going on macroeconomically outside has not really affected us as a company. So, we are cautiously optimistic, because obviously, there has to be caution given the current environment we are in, but we do see this demand sustaining for some time.

Jason Soans: And ma'am my next question just pertains to Optiprime. Now you did mention that you have bagged several high horsepower orders like 1,500 kW, 2,000 kW as well. Now just wanted to understand which sectors is the growth coming from? How do you see the traction from the data centers, whatever you can share from the high horsepower perspective and the Optiprime series. Just wanted to know something.

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Gauri Kirloskar: Yes. So, it's a great question, I think. As we have talked on previous calls as well, high horsepower is not just about having the product, but also how we sell it. It's a technical sale. So,

I think having these wins demonstrates that we are able to prove to the customer that product is worthy, and can also compete in that space. So, it's pretty big win for us.

And if we look at where we get it from, where we are getting these orders from, it's across mostly, I would say, infrastructure and what I mean by infrastructure is large real estate projects, whether it's commercial or residential real estate project.

Jason Soans: Okay. Sure ma'am. So, I have further questions, but I will come back in the queue. Thank you so much for answering my questions.

Gauri Kirloskar: Thank you.

Moderator: Thank you. The next question is from the line of Mohit from ICICI Securities. Please go ahead.

Mohit: Good evening, and thanks for the opportunity. My first question is what was the HHP sales in H1 and Q2? Is it possible to quantify or give the contribution in the quarter?

Gauri Kirloskar: We are not giving that breakup, sorry.

Mohit: Broad number ma'am? So, last year, full year, I think we did INR 1 billion, right, INR 100 crores, right? Is it fair to assume that we have done better than the full year number of

last year in H1?

Gauri Kirloskar: Sir, I won't be able to give you a number. What we do track is how we are incrementally moving up in terms of market share node by node. And what I can tell you is that we are incrementally moving up node by node in the high horsepower segment.

Mohit: Understood. My second question on the Industrial. I think Industrial, the construction has been down, the mining is down. I think in this quarter, we have sold most of the Defense and Railways, right? How do we see this business from the H2 perspective or let's say medium term? I thought this business will be weak in Q2. I am just trying to figure out the sustenance of the growth.

Gauri Kirloskar: Yes, I got your question. So, I would say we remain optimistic on the Industrial segment. So, we see this momentum continuing.

Mohit: It's mostly Defense led or Railways led? Or do you think it will get more broad-based as you progress in the future?

Gauri Kirloskar: More broad-based. So, not only Defense and Railways, but from Construction and Mining as well.

Mohit: Understood. Lastly, on the export, could you just talk about the North America market, how it is taking off and how is sustenance of the growth?

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Gauri Kirloskar: So, the North America market is not taking off for us. That is what I would say, and the reason I say it that way is because the North American market is a market which we have just invested in and just entered. Although it's the largest genset market in the world, it will take some time, and we do see the returns on that only coming over the medium to long term.

The reason I say this is because it's not only about getting the right partner in that market, but it's also about building distribution, building out our entire product portfolio. So, although we have products, the products have to be certified. So, all of this takes time. So, the U.S. market for us is a market that is important. It is a market that we will continue to invest in and focus on, but we will not see the uptick in volume and value for some time.

Mohit: Understood. Thank you and all the best, ma'am. Thank you.

Gauri Kirloskar: Thank you.

Moderator: Thank you. The next question is from the line of Teena from Motilal Oswal. Please go ahead.

Teena Virmani: Hi. Thanks for taking my question. And congrats for a great set of numbers. My question is more on the Power Gen side. On the Power Gen, the growth of 40%, will it be possible to quantify like is it entirely volume-driven increase or there is some kind of pricing impact or maybe some kind of, let's say, a higher share of HHP. Like you mentioned that HHP is gaining traction, but 40% growth, I mean, how is it broken down between demand pricing and HHP, a broad indication?

Gauri Kirloskar: Thanks Teena for your question. So, the growth is broken down between volume as well as HHP. No pricing difference.

Teena Virmani: Okay. So, HHP, the way you have been taking initiatives, so now has it started reflecting in the numbers for the company?

Gauri Kirloskar: Yes, I would say that.

Teena Virmani: Okay. And on the Industrial business side, you mentioned that you had done certain emergency procurement orders also and Railway orders also. So, is that emergency procurement order over in 2nd Quarter? Or will it continue in the coming months and quarters also? Just wanted to understand the trend in the Industrial business, because this quarter has been phenomenally well as compared to the industry players.

Gauri Kirloskar: Yes. It can continue, Teena. It's not a one-time thing.

Teena Virmani: It's not a one-time thing. And the NPCL order has started contributing or that will take some time to contribute to the numbers in the Industrial business?

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Sachin Kejriwal: Yes. So, Teena we are in the execution of that NPCL orders. S

o, the revenue for those NPCL

orders will start getting recognized from the next financial year.

Teena Virmani: Okay. Understood. I have more questions, but I will come back in the queue.

Gauri Kirloskar: Sure.

Moderator: Thank you. The next question is from the line of Suraj Malu from Catamaran. Please go ahead.

Suraj Malu: Thank you for this. Can you please help understand what was the industry volume growth in this quarter across LHP, MHP, and HHP?

Gauri Kirloskar: I am not able to answer that question. I don't know.

Suraj Malu: Got it. Okay. And how big would be Africa and Middle East opportunity for you?

Gauri Kirloskar: It's sizable. The Africa and Middle East markets are very important to us. As I mentioned in my opening notes, it's also the largest contributor to our International business being 60% in this quarter. And it's not that we have significant market shares in these regions. So, they are very important areas of focus for us.

Suraj Malu: Got it. Okay. Thank you.

Gauri Kirloskar: Thank you.

Moderator: The next question is from the line of Jeetu Panjabi from EM Investco. Please go ahead.

Jeetu Panjabi: Hi Gauri, Rahul and team. Great going. So, 2 pointed questions. One, your exports, the Middle East and Africa side, can you give us color whether whatever bump we went through a couple of quarters ago, whether that's normalized now, the growth rates you expect over the next 6, 12 months should be more normal? Or you expect the heavy growth rates to continue?

And two, on Arka, can you give us little more details on where are we on the goals that we had set out and whether the fundraising plan that was under works, if that is on schedule? And how do we see the next 12 months there?

Gauri Kirloskar: Hi Jeetu, thanks for your question. So, the first question on the Middle East and Africa and whether that has stabilized, and the sort of ups and downs we went through some time ago. The big thing that happened there for us and the reason you are seeing these kinds of numbers is, because the genset OEM who we talked about earlier that we had appointed there.

We had made a business model change in the Middle East, if you remember, which is that we have gone from directly going to distributors there to actually appointing a genset OEM in the Middle East. What has happened is that genset OEM has stabilized, which is why we are seeing Kirloskar Oil Engines Limited

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the traction coming in. And I think now going forward, we will continue to see that traction because they have essentially set up well in that area.

As you can imagine, putting in that change did have its difficulties, whether it was with realigning distributors to a third party or whether it was with finding talent, retaining talent, et cetera. So, that hard work and challenging work is actually complete. So, we are quite optimistic now about the growth that we will see from that region. So, that's on your first question.

On your second question, which was on Arka. Yes, they are going as we have planned. I can't say too much on a call until there is an update to give you. But I would say that what is important is that in defining a new strategy, it's always very important to see the execution of that strategy get traction, right? So, we had talked about pivoting to a retail book.

And the reason I gave a little bit more color on either the new leadership team that's in place or the traction that we are seeing in terms of the branch openings, the people who have come on board, and the kind of disbursements that we are making, it's extremely important, especially as we look at fundraising, because we can't just be selling a story. There has to be some numbers demonstrated behind that. So, I would say that I am happy with the progress that we have made in this area. And when there is an update to give you, we will give it.

Jeetu Panjabi: Okay. Super good wishes as always.

Thank you.

Gauri Kirloskar: Thank you.

Moderator: Thank you. The next question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Yes. Hi team. Good evening, and congrats for very good set of numbers. My first question pertains to price hike that industry has taken, especially after CPCB IV+ norms, given that now transitioning is fully completed. So, where exactly those price hikes have now settled in, in the industry?

Gauri Kirloskar: The price hikes have settled down. So, what I was saying is that there was a price hike with CPCB IV+, which was between 25% and 40% depending on the node. And that price stabilization has occurred and the prices have stabilized going forward.

Umesh Raut: Any particular level at which these have stabilized or it is broadly in the range of 25% to 40% for different nodes?

Gauri Kirloskar: Yes, it's broadly in the range of 25% to 40% for different nodes.

Umesh Raut: Got it. And considering that key raw material prices, especially in the last few months are kind of moving up now, especially related to, say, copper or iron prices. So, how do you think pricing

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action going forward? And do you think given the steady demand and which is more broad-based now in this cycle, especially price hike would be easier to take than the last cycle?

Sachin Kejriwal: So, we will assess the situation. If the prices move going forward, we will take a calculated decision and think of the price increase.

Umesh Raut: Understood. My second question is pertaining to Industrial segment, where I want to kind of get a breakup in between, say, demand from existing products as a part of industrial product offering and demand which has been there on the account of new product launches? And any color over here in terms of how inherent demand is there, especially in the Railway market, considering that post electrification also, we have seen very good growth from Railway business.

Rahul Sahai: So, it's a combination of both, but I would say largely the demand continues for our core products. We have a whole bunch of new products either already launched or in process, and we are seeing traction there. But to answer your question, largely from our core traditional products.

Umesh Raut: Understood. And on the Railway business side, how do you see it, especially post electrification now that it is continuously doing well for us. So, how do you see outlook in Railways, whether this momentum will continue, say, beyond FY '26 into next couple of years as well?

Rahul Sahai: Yes. So, we remain committed to supporting the Railways with their requirements and whether it is through existing applications that we are in or developing new ones, such as what Gauri mentioned, the 400 HP product that we have recently launched, we will continue to support our customer and endeavor to grow that business.

Umesh Raut: Understood. Thank you so much. I will join back the queue. All the best.

Moderator: Thank you. The next question is from the line of Prolin Nandu from Edelweiss Public Alternative. Please go ahead.

Prolin Nandu: Yes. Hi. Thank you so much for giving me the opportunity. So, my question, Gauri, is to understand how are things shaping out for us in data center? Because when we do some channel checks with, let's say, a solution provider for data centers or people selling some other equipment to data centers, KOEL's name does not come across as one of the contenders there. So, could you help us understand where are we in the journey where we have some significant wins in data center as a category?

Rahul Sahai: So, look, data centers is one of the segments that we look at. And we have had a few wins in data centers. As you will appreciate, the data center market is also very, I would say, closely set and controlled market driven by U.S. specification. So, I understand what you are

saying. There are times where you might not find our name, but what you will also see is plenty of times and more so as we move along, you will start seeing our name.

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Prolin Nandu: So, is it start with, let's say, 8 data centers and you move up? How do we get into that specification kind of a thing, right? As you mentioned, it's a U.S.-driven specification. So, does it start with edge data centers before we move, just want to understand our strategy, right? I understand it's a tougher market, but is it just the case of our DG sense it's being used in some data centers, the performance being monitored? Or are there any other strategies that we are adopting, right, to penetrate this market?

Participant: Sure. And I think you have kind of laid out exactly what we are also thinking. The non-spec customers and there are plenty of them as well, we are targeting them and we are trying to work closely with them. Yes, I was just saying not just Edge data centers.

Prolin Nandu: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhijeet Singh from Systematix. Please go ahead.

Abhijeet Singh: Thank you for the opportunity, ma'am. So, ma'am, my question is on the Power Gen business in the Domestic segment. And as we are moving up the AVA chain and trying to gain more and more market share in the higher nodes. And the competition is pretty intense. We have well entrenched players there, big players, big brands. So, what are the key challenges we are facing in trying to gain market share from them? And what is our strategy in order to be able to do that?

Rahul Sahai: Yes. So, what I would say is that even we are a reasonably strong brand and we have been entrenched into the Domestic Power Gen market. And if you look at the numbers that we are

doing, it would give you an idea that once we commit to a particular node and we have the product, we are able to figure out a way to grow our share of wallet and market presence. Beyond that, I will not be able to say more in this conversation, but we remain committed to growing our market share.

Abhijeet Singh: Sure. Thanks for answering. I will get back in queue.

Gauri Kirloskar: Thank you.

Moderator: Thank you. The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: Hi ma'am. How will you look up the HHP sales growth from here? If you can give some color, and probably take out our numbers. And what leads to your margin expectations being stable and sustainable at this level?

Gauri Kirloskar: Could you repeat the first part of the question about HHP you said something. The second part was on margins growth being sustainable. What did you say on HHP?

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Anupam Goswami: Ma'am, how do we look at the HHP numbers from here? What sort of growth should we take? And how are we building our foray in the market?

Rahul Sahai: So, look, we have some very exciting products that we are currently working with and launching.

So, we remain focused. And I think if you look at our track performance, along with the way our last quarter has been, our HHP performance is something that we are clearly focusing on. So, I think beyond that, it's going to be hard to say.

And on margins, I will let Sachin answer.

Sachin Kejriwal: Yes. So, Anupam, if you see our margin improvement over the last 3.5 years, we have improved to by more than 400 basis points. And going forward also with the product mix changes we are aiming for as well as the export growth we are aiming for, we do think there's a headroom for margin and we can improve thereon.

Anupam Goswami: Okay. I got it, sir. I will join back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Parikshit from HDFC Securities. Please go ahead.

Parikshit Kandpal

: Hi team. Congratulations on a great quarter. So, my first question is this growth of Power Gen.

So, this was a transition quarter last year. So, just want to understand how much was the volume growth in this.

Gauri Kirloskar: Yes, we don't give that out.

Parikshit Kandpal: Because what I understand large part of prebuy happened, and because of that the growth looks too high. But on an adjusted basis, if I have to ask what could be the core power gen growth in this quarter Y-o-Y?

Gauri Kirloskar: This is the core power gen growth.

Parikshit Kandpal: Gauri, last year, we had this volume, which was not 100, right, because of the prebuy, it was tracking below 100. So, there was this recovery to 100 and then the growth on top of it. So...

Gauri Kirloskar: No. So, all I can tell you is that volumes have come back and have normalized. It's difficult for me to tell you what to adjust that number for you.

Parikshit Kandpal: There is such impact because of that and there has been because of that number.

Gauri Kirloskar: I can't hear you. Sorry, there's a lot of static on your line, so I can't hear you very clearly.

Parikshit Kandpal: (Inaudible)

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Gauri Kirloskar: I am sorry. I just can't understand what you are saying. It is very jumbled.

Moderator: Sir, we can't hear you properly. May I request you to rejoin the queue. Thank you. The next question is from the line of Mehul Joshi from BCG. Please go ahead.

Mehul Joshi: So, wanted to just understand the outlook or performance of the Firefighting engines business Q-o-Q and Y-o-Y. And how is the outlook looking forward for that business?

Rahul Sahai: Yes. So, for Firefighting, it's not a reported segment separately, so we don't give out the numbers separately, but we are looking at product enhancements and growing that portfolio. So, Firefighting segment is quite exciting for us.

Mehul Joshi: Thanks.

Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Yes. Thanks for taking my question again, please. Just wanted to understand, we do hear about increasing competitive intensity in every segment in terms of the LHP or the MHP or HHP, more players getting ready with more nodes. So, just wanted to understand from that perspective in terms of how do you see the pricing intensity going in the market just as of now? How do you

see the picture on the ground as of now?

Rahul Sahai: We see pricing fairly stable. So, we don't see drastic variation in pricing. So, if anything, we see things as having stabilized.

Jason Soans: Okay. And in light of the same, do you think the demand is enough to take care of the near to midterm.

Rahul Sahai: The demand seems fairly reasonable at this point in time, and we remain optimistic.

Jason Soans: Okay. Sure. Thanks a lot.

Moderator: Thank you. The next question is from the line of Parikshit from HDFC Securities.

Thank you. The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: Hi. Just one more question. How ready are we with our HHP products in terms of nodes and availability and competitiveness in this?

Rahul Sahai: So, we are already executing several HHP orders. So, availability is not really as much of a problem.

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Anupam Goswami: And are we currently present in all the nodes that is there in the market.

Rahul Sahai: Yes, we have a fairly large portfolio now. We are also executing orders of 6 megawatt gensets.

So, we have a pretty big portfolio.

Anupam Goswami: So, just one I need to clarify. How do I see the competitive intensity our product prices are a little lower than the competitive peers, how hard to break into that HHP? What's the challenge that is coming?

Rahul Sahai: I think it's a specification driven market. It's more technical mar

ket and requires a particular type

of customer support and presales to be created. So, if you ask what is a challenge, a challenge should be creating the right ecosystem to drive that business. Of course, this is on the basic assumption that the product is ready. So, in our case, we are working on both areas. We have product readiness. We have capabilities that are developed and we are seeing the wins. So, all of that is already happening.

Anupam Goswami: Is it a market through distributors and channel partners or somewhere, if you can give some color?

Rahul Sahai: So, it could involve channel partners, but heavy engagement from our end is needed for front-ending.

Anupam Goswami: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Teena from Motilal Oswal. Please go ahead.

Teena Virmani: Yes. Thanks for taking follow on questions from my side. One thing I wanted to check on the market share of KOEL, which got impacted last year in the second half of FY '25. So, has KOEL regained the market share which got impacted? Because when we compare the revenue numbers, KOEL has grown by 40% in 2nd Quarter, and Cummins similar portfolio has grown by 20% in the 2nd Quarter.

There could be some base impact also for both the companies. But even adjusted with that, it seems that KOEL has grown much better. So, that basically indicates that market share would have been gained by KOEL. So, what would be your comments on the same? And if you have gained, whether it is sustainable given the competition that is standing out?

Rahul Sahai: Hi Teena. So, I think you know our business pretty well, and we are completely aligned with the comment you made on the market share, that would be our assessment too. And we will watch the competition intensity. So, we are keeping a close eye on it, and we will take the actions that we need to.

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Teena Virmani: Okay. And last year, same quarter, third quarter, when we compare the performance, the demand was impacted across the industry. And to an extent, KOEL's numbers were also impacted. So, what is the general traction that you are witnessing so far in 3Q in the month of October and so far in the month of November versus what you would have seen, let's say, in the last October and till mid-November?

Rahul Sahai: Yes, Teena. So, you know that the focus we will have for this conversation will be Q2. I can't really give out anything on Q3 at this point.

Teena Virmani: No. Just a general sense on the market demand, I mean nothing specific to company. Overall demand scenario, nothing specific to company?

Rahul Sahai: I think it will be hard for me to comment right now. But yes, maybe once the quarter is closed.

Teena Virmani: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Mohit Pandey from Citigroup. Please go ahead.

Mohit Pandey : Yes. Thank you for the opportunity and congratulations on a great set of numbers. First question

is on the Railway offering. If you could please give some more color on what has been driving growth here for KOEL.

Rahul Sahai: So, I think it's a lot of effort that we have put in as far as our sales and order book generation is concerned, along with execution. So, heavy execution ended up happening in this quarter, which has helped from a sales standpoint.

Mohit Pandey : Okay. So, any specific offerings you would like to call out, which has stood out for you for Railway.

Rahul Sahai: Yes. So, amongst our existing products, power cars have really stood out. They are the ones that are driving a lot of the growth from an application standpoint.

Mohit Pandey: Understood. And the second question was on the higher HP nodes, 1,500, 2,000 that mentioned earlier. So, at this point of time, are they more concentrated in particular end markets? I think Real Estate was mentioned one for you, in terms of the w

ins? Or yes, how is it playing out?

Rahul Sahai: Yes. So, Real Estate is an important market for us. We are seeing early wins there as well. So, the segments vary, but Real Estate definitely would be an important market.

Mohit Pandey: Okay. And last question would be on the current power gen up cycle in your view, what would be the biggest risk to this ongoing up cycle demand?

Rahul Sahai: So, can you ask me the same question in another way? I don't quite understand it.

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Mohit Pandey: Okay. What could precipitate a slowdown? So, we have been seeing an up cycle for quite some time now in power gen demand. What could lead to a slowdown in your view, the biggest risk?

Rahul Sahai: So, I think the biggest risk probably will be geopolitical at this point, given the volatility that we see. But as long as there is enough consumption in the economy, we feel fairly optimistic from a domestic standpoint.

Mohit Pandey: Okay. Thank you so much, and wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Sourabh Arya from Oaklane Capital. Please go ahead.

Sourabh Arya: Hi, everyone. Congrats on a good set of numbers. Just a couple of questions. First is this B2C, so we have done this restructuring and obviously name that has been dynamic. So, something changing with this main focus, etc., of the business or it's just a nomenclature.

Gauri Kirloskar: Yes. So, the reason we have done this restructuring is for efficiencies in the business, because it was essentially very similar businesses. So, we just wanted to consolidate them together, so that we can drive the business more effectively.

Sourabh Arya: So, efficiencies would move, then margin improvement there or the TAM, etc., of the business also, that won't change, right?

Rahul Sahai: So, efficiency, see the idea is to improve our performance, both in terms of business growth as well as our margin.

Sourabh Arya: Okay. Got it. Thanks. And second is, obviously, we all are trying to understand what has happened in this quarter? Is it sustainable or not? And related question is the last 3 years, maybe we are doing this product improvement, launching new products, et cetera. So, can you divide that, let's say, standing today versus 3 years back, how our new products have contributed till now, and what should one think about the new product contribution going ahead.

Rahul Sahai: It's going to be very hard to answer that question over this call, but maybe I can answer it another way. Three years ago, our presence beyond 500 kV odd was limited. Today, we have a very large product portfolio and we are making reasonable presence in almost every mode. And you see the results that you are seeing. So, maybe that would be a good triangulation point.

Sourabh Arya: See, the point we are all trying to understand is it is just getting started, or all these is the result of base effect. That is what obviously everybody is trying to get and this is helpful. And lastly, on the distribution side, so obviously we have seen momentum in sales in Industrial, Exports as well as Power Gen. So, when does this translate to distribution revenue?

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Rahul Sahai: Distribution business, so if you look at last few years, see each business operates a little differently. The Distribution and the Aftermarket business has been a stable double-digit growth performer, and we continue to have that expectation of consistency from our Aftermarket business. So, I think from a double-digit growth performance, we have done fairly well. And I honestly don't see it as a challenge.

Sourabh Arya: Okay. Fine. Thank you. All the best.

Rahul Sahai: Thank you.

Moderator: Thank you. Due to time constraints, we will take that as the last question for today. I now hand the conference over to the Management for cl

osing comments.

Gauri Kirloskar: Yes. Thank you very much, everyone, for joining the call today, and thanks for your interest in the company.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Date: 17th February 2026

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 9th February 2026, 11th February 2026 and 12th February 2026, we hereby inform that the Transcript of the Conference Call for Investors and Analysts held on Wednesday, 12th February 2026, at 3.30 p.m. (IST) to discuss the Unaudited Financial Results of the Company for the quarter and nine months ended 31st December 2025, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com.
The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited

Farah Irani
Company Secretary and Compliance Officer
Encl.: As above.
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"Kirloskar Oil Engines Limited
Q3 & FY '26 Earnings Conference Call"
February 12, 2026

MANAGEMENT : MS. GAURI KIRLOSKAR – MANAGING DIRECTOR –
KIRLOSKAR OIL ENGINES LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER –
KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER -
KIRLOSKAR OIL ENGINES LIMITED
M R. KIRAN BHAGNURE KHAPRE – CHIEF HUMAN
RESOURCES OFFICER – KIRLOSKAR OIL ENGINES
LIMITED
M R. SAMRAT GUPTA – MANAGING DIRECTOR – ARKA
FINCAP LIMITED
M S. FARAH IRANI – COMPANY SECRETARY –
KIRLOSKAR OIL ENGINES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Oil Engines Limited Q3 and FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be the lesson only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.

Amit Shah: Yes. Thank you, Palak. Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to 3Q FY '26 Post Earnings Call of Kirloskar Oil Engines Limited. To discuss the results, we have the senior management team of the company represented by Ms. Gauri Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of the company; and Mr. Sachin Kejriwal, CFO of the company.

I would hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for Q&A. Over to you, ma'am.

Gauri Kirloskar: Yes. Thank you. Good afternoon, everyone. Thank you for joining us today. I'll reintroduce my team on today's call. Rahul Sahai is here. He's CEO at KOEL; Sachin, who is the CFO; Kiran is the CHRO; Farah, the Company Secretary. From Arka, we have Samrat, who is the Managing Director at Arka. I will begin with business and operational updates. Sachin will then provide a brief overview of the financial performance, following which we will take questions.

I'm thrilled to report that Q3 fiscal year '26 has been a standout quarter for KOEL. We delivered our highest ever third quarter sales, capping off the highest year-to-date sales in our history. This was powered by strong performance across all segments with 35% year-on-year sales growth for the quarter and 25% year-to-date sales growth. That's double-digit growth in every single business.

On top of that, robust operational efficiency drove meaningful improvement in our EBITDA margins, while our cash conversion cycle improved compared to the prior year. For the quarterly numbers, the domestic Power Generation business was a standout performer, delivering sales of INR603 crores, which is a 44% growth over the previous year. Growth was primarily driven by our retail business in Power Generation.

The High Horsepower segment recorded substantial growth of 235% over the previous year. The domestic industrial business witnessed a significant momentum shift, recording its best quarter at 41% growth over last year with sales of INR390 crores. This growth was fueled by strong performance of Defence and Nuclear and Marine segment.

Construction & Mining segment was a bit slow this quarter, but we see it as a temporary phenomenon. The Distribution business Q3 sales stood at INR238 crores, registering 14% growth over the previous year. This was the highest ever quarter for the Distribution & Kirloskar Oil Engines Limited

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Aftermarket business unit. The International business also reported 26% year-on-year growth in Q3.

Now coming to the geographic mix. Domestic sales stood at INR1,243 crores, which is a 38% growth year-on-year and export sales were at INR128 crores, that's a 14% growth year-on-year. As I had mentioned last quarter, this quarter saw KOEL stand-alone B2C integration into LGM. Strategically, this integration of Fluid Dynamics business marks a milestone, enabling focused growth in the segment while unlocking synergies across LGM operations. With B2B strength persisting and tailwinds in industrial, we're well positioned for the balance of fiscal year '26. Now if we go to the consolidated business performance. B2B consolida

ted reported INR1,396

crores revenue for the quarter, registering 36% growth year-on-year. Fluid Dynamics, that's the B2C business, reported Q3 revenue of INR249 crores, which is an 18% growth year-on-year. Financial Services, that is Arka, reported revenue of INR227 crores, 7% growth year-on-year. Net interest margin at Arka grew by 28% year-on-year to INR107 crores in Q3.

In closing, Q3 underscores our momentum, record sales, margin gains and operational discipline across the board. In Power Gen, it has been a strong quarter for KOEL. And what is also

heartening to see is the progress that we are making against industry numbers. Our numbers clearly indicate market share improvements across the board. This is in line with our plans that we set out for ourselves. All the other business segments have shown growth.

At Arka, we are successfully granularising the book as planned by building a retail portfolio focused on used wheels and small ticket loans against property. Our ground presence is ramping up to match this ambition with 110 branches and approximately 1,600 employees now active. We see a great future for this business and aspire to build an institution in the financial services space, and I'm confident that the management team at Arka will deliver on the plans that have been laid out.

Operationally, we continue to make steady progress and are advancing our expansion plans in line with our strategic roadmap for all our business segments. With a robust product pipeline and sustained focus on strengthening our existing segments, we remain confident about the opportunities ahead. We remain firmly aligned with our long-term strategy and our commitment to sustainable growth. I'd now like to request Sachin to give a quick update on the financial performance.

Sachin Kejriwal: Good afternoon, everyone, and thanks, Gauri, for the update. I will give a quick overview of the financial performance for stand-alone and consolidated business. The results and the presentation for today's call has already been uploaded on the exchange and our website.

KOEL delivered a strong financial performance in Q3 FY '26 with the company registering its highest ever third quarter sales and achieving record year-to-date revenues. Year-to-date margin performance improved on the back of operational efficiencies, while prudent working capital management supported an improvement in cash conversion cycle compared to last year.

Coming to the financial performance overview, I will start with stand-alone performance first for the quarter. Net sales at INR1,371 crores for Q3 FY '26 versus INR1,015 crores for Q3 FY

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'25, 35% increase year-on-year. EBITDA at INR169 crores for Q3 FY '26 versus INR106 crores for Q3 FY '25, 59% increase year-on-year. EBITDA margin at 12.2% for Q3 FY '26 versus 10.3% for Q3 FY '25.

Net profit, excluding exceptional items at INR102 crores for Q3 FY '26 versus INR57 crores for Q3 FY '25, that is 80% increase year-on-year. Cash position, net of debt and including treasury investments stood at INR348 crores.

Our working capital position continues to remain healthy with payables at approximately 59 days and receivables at around 44 days. Inventory levels stood at approximately 66 days, reflecting an improvement over the same quarter last year. Supported by disciplined working capital management, led by improved inventory and receivables efficiency, the overall cash conversion cycle has strengthened year-on-year.

Here is further breakdown of the stand-alone sales for the quarter. The B2B sales, that is KOEL stand-alone sales post the restructuring were at INR1,371 crores, that is 35% growth year-on-year.

We registered a double-digit growth across all the business units. So within B2B, Power Gen was at INR603 crores, 44% increase year-on-year. Industrial was at INR390 crores, 41% increase year-on-year. Di

tribution & Aftermarket was at INR238 crores, 14% increase year-on-year and International business of B2B was at INR140 crores, 26% increase year-on-year. Please note that on October 10, we completed the transfer of our B2C business to LGM through the slump sale route.

Accordingly, the financial performance for this quarter reflects the impact of this restructuring. For ease of comparison, top line without the restructuring effect on like-for-like basis would be at INR1,503 crores for Q3 FY '26 versus INR1,154 crores for Q3 FY '25. That is 30% increase year-on-year.

Now looking at consolidated performance for the quarter. Revenue from operation at INR1,873 crores for Q3 FY '26 versus INR1,449 crores for Q3 FY '25, 29% increase year-on-year. Net profit at INR126 crores for Q3 FY '26 versus INR67 crores for Q3 FY '25, 90% increase year-on-year. Please note numbers reported are for continuing operations only and excluding exceptional items.

Now let us have a look at consolidated segment performance for the quarter now. B2B segment revenue for the quarter was at INR1,396 crores, which is 36% growth year-on-year. The segment PBIT was at INR137 crores, reflecting approximately 90% increase year-on-year. B2C segment revenue for the quarter was at INR249 crores, which is 18% growth year-on-year. The segment PBIT was at INR18 crores against PBIT loss of around INR4 crores for the same quarter last year.

Financial Services segment revenue for the quarter is at INR227 crores, reflecting 7% year-on-

year growth. The segment PBT was at INR17 crores. Please note number discussed here represent continuing operations only. The PBIT and PBT numbers are before exceptional items.
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To conclude, company has delivered a strong quarterly performance, complemented by solid year-to-date growth, supported by sustained market demand and positive momentum across our core product segment. Our recent product launches have been encouraging market acceptance, and we remain on track with the strategic initiative under our B2B vision. With that, I will open the floor for questions.

Moderator: Thank you very much. The first question is from the line of Jason from IDBI Capital. Please go ahead.

Jason: My first question just pertains to, just wanted to know the volume growth, both for Y-o-Y and Q-o-Q, if you could highlight for this quarter?

Gauri Kirloskar: Yes, just one second.

Sachin Kejriwal: So, for Power Gen, our volume growth has been 25% compared to the last year.

Jason: Okay. And Q-o-Q, sir, there must be a decline. So if you could give that number as well?

Sachin Kejriwal: Sorry?

Jason: Q-o-Q sequentially, sir?

Sachin Kejriwal: Yes, it's yes, 15% decline.

Jason: 15% decline. Sure. And sir, next, just wanted some color on the response for the HHP segment, some details about it. How are you creating market inroads and just some color on the response for the HHP segment?

Rahul Sahai: Yes. So, we've spoken in the past about our product portfolio and the initiatives that we are running on the HHP side. Today, we have products that, for the HHP that start right at 1,000 kVA and go right up, what we are now seeing is demand for our 2,500 and 3,000 kVA products also. So, I would say the market has always been there, but we are focusing on driving initiatives in line with the product readiness that we have now. And hence, we are essentially gaining momentum there.

Jason: Sure, sir. And sir, if you could give the numbers for the, if possible, just for a like-to-like comparison for the FMS and the WMS segment as well, would that be possible for Q3?

Gauri Kirloskar: We're not breaking that out.

Moderator: The next question is from the line of Mihir Manohar from TRUST Mutual Fund.

Mihir Manohar: Congratulations on great set of numbers. You mentioned about the growth for HHP for this quarter at 230%. What's the growth on a 9-month

h basis for the HHP segment? And what's the absolute number that we are now clocking on broadly yearly basis for HHP?

Gauri Kirloskar: So, the number that we're sharing is the 235%. We're not breaking it out by segment for HHP value.

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Mihir Manohar: Sure. What would be the growth on a 9-month basis?

Sachin Kejriwal: It's 132%

Mihir Manohar: Sure. Understood. Correct. So basically, which end-use applications are driving this growth for HHP?

Gauri Kirloskar: So it's pretty broad-based, but essentially, the main end application is infrastructure. What we mean by infrastructure is any of these large developments that you see being built, whether it's commercial or residential. And of course, it includes some data centre customers as well.

Mihir Manohar: Sure. Second question was on the gross margin side. I mean when I see gross margins for 3Q versus 3Q and on a 9-month basis, the general understanding is that HHP should have a higher gross margins. And if HHP proportion is increasing, then I mean, how could it, are we, should one expect gross margins improving as the HHP proportion goes up in revenue going ahead?

Sachin Kejriwal: Yes, that's right. But right now, our gross margin is flat at 35% margin. But in future, as you see more sales from HHP, definitely, the gross margin should improve.

Mihir Manohar: Sure. My last question was just on the data centre side. I mean we are getting business on the data centres, I mean, various interactions and all. But however, when we do a channel check, it becomes difficult to get a sense as to if Kirloskar Oil products are used, generally MNC names which are coming out. So somehow to understand the difference, which is coming in channel checks versus the business that we are building in?

Rahul Sahai: Yes. I think essentially, your channel checks are an informal district to get information. The whole information will only be ready once we disclose our results. So it's hard for us to actually

bridge because we're not really sure what your, the information you're getting on the channel check.

Moderator: The next question is from the line of Harsh Shah from Axis Capital.

Harsh Shah: Congratulations on a strong set of numbers. So my first question was on the industrial side. So this quarter, we have the encouraging growth led by Defence, Nuclear and Marine segment. So what is the outlook here? And when do you expect the pickup in Construction as well as Mining segment?

Rahul Sahai: Yes. So we saw a quarter where a lot of our OEMs were correcting their inventory. So the Construction & Mining segment was a little subdued because of that. In spite of that, however, we've grown. So the segment overall has performed reasonably well. And we expect that going forward, things will correct for themselves because the correction, the inventory correction seem to have happened.

Harsh Shah: Okay. And second question was on the Distribution network. So Distribution revenue has also grown during this quarter. So what is driving this growth? Is it the asset base or the shift from organized, shift to organized Power Gen?

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Rahul Sahai: Yes. So we've always said that our focus areas for driving profitable growth will remain to be more complex products, Aftermarket and International. Now more complex products in case of, for example, Power Gen are in the form of our Optiprime range of products, our HHP products. And that has eventual impact on the Aftermarket business also. So we are seeing more and more of that impact coming in. Of course, the Aftermarket team is driving a lot of initiatives around growing the service penetration as well, both through increasing the number of AMCs as well as ensuring adequate capability for breakdown SRMs, Service Requests.

Harsh Shah: Okay. Okay. And sir, just one last questi

on on the stand-alone EBITDA margin. So now that we have shifted the B2C business to a subsidiary. So should we see margin improvement here? Or is it expected to remain at similar levels?

Rahul Sahai: So we will see a slight improvement in the EBITDA margin with this move from B2C business to LGM.

Moderator: The next question is from the line of Suraj from Catamaran.

Suraj Malu: I have 2 questions. The first question is from a global landscape, are there opportunities to do contract manufacturing for any of the global Power Genset companies with Caterpillar, Generac or Kohler for Kirloskar Oil Engines.

Rahul Sahai: I mean there may be opportunities. I mean, but we will figure out the opportunities that work for us as per our strategy. So there is nothing further to disclose at this point.

Suraj Malu: Got it. But would we be willing to take up those? Or would we be more of willing to sell these under Kirloskar Oil Engine brand name?

Rahul Sahai: So our strategy varies region to region. We won't be able to disclose that because that's proprietary information. But we would be open for what makes sense for the company.

Suraj Malu: Got it. Got it. And next question is you mentioned now you have a product for data centre, right? So what kVA or MVA would this product be? And would it be Optiprime or a single engine product?

Rahul Sahai: So it starts, I mean, so we have a variety of different products. Data centres actually start buying gensets right at 400 and 500 kVA also. And we've been supplying to data centres right through today, some of the units that we are looking at are 2,500 kVA and 3,000 kVAs also.

Suraj Malu: And is it single engine?

Rahul Sahai: Our single units right now go up to 1,500 kVA, especially let me just correct that. Our high-speed single engine units go up to 1,500 kVA. We have engines that go to 10 megawatt.

Moderator: The next question is from the line of Palak from MIV

Palak: Just addition to the previous participant question. I understand that with the growing contribution of HHP, we will see margin improvement, gross margin and operating margins. But were a

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specific reason that this quarter, both the gross margin and the operating margins saw some pressure on Q-o-Q basis? Are we seeing some commodity price pressure due to product mix?

Sachin Kejriwal: So, on a quarter-on-quarter basis, it was a product mix and operating leverage loss impacted by EBITDA compared to previous quarter.

Palak: When we say product mix because of the, I mean in Industrial also, we have a certain segment.

So within Industrial, there was the product because if I look at overall, the contribution of Power

Gen, Industrial has been constant to, I mean it's been stable at a stand-alone level. So can you get a bit specific of when you say product mix?

Sachin Kejriwal: Yes. So we don't give those details, but definitely, the product mix in all the business units has impacted for this quarter.

Palak: Okay. And are we seeing any pressure due to commodity prices and which are the major commodities that we use to manufacture the product?

Sachin Kejriwal: So we are keeping a close watch on that. And if you look at our gross margin, that has remained flat. So we are taking the appropriate action on those commodity price increase.

Palak: When I look at on a Q-o-Q basis, gross margins have declined.

Sachin Kejriwal: I don't think so. It's just a 50 basis point dip compared to the previous quarter, and that is because of product mix.

Moderator: The next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC.

Saif Sohrab Gujar: So there is an exchange filing about incorporation of Kirloskar Advanced Systems. Can you highlight what specific is the plans with respect to this entity? How do you look at it, the next 2 to 3 years?

Rahul Sahai: Yes. So there is a lot of specialized work that we are doing with

our government customers, such

as Defence and Railways. Now that work is slightly different from our core engines business. It has a lot to do with system integration and in case of Defence, there's Defence contracting kind of work. We felt it best to carve that work into a separate business entity, and that entity is called Kirloskar Advanced Systems Limited.

Saif Sohrab Gujar: And the filing also mentioned about unmanned systems. So any adjacencies, how do you look at that? So are you going to expand to or it's, again, Power Gen related to unmanned systems you're looking at?

Rahul Sahai: So we are not at a point where we can disclose that because that information is still proprietary. At an adequate time, we can speak more about it.

Saif Sohrab Gujar: Sure. And just one quick one on the employee cost in stand-alone. That this quarter is at 25%. So any specific reason? Does this represent more of headcount addition or there is some one-off maybe relating to gratuity or something like that?

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Sachin Kejriwal: So it was a mix of both headcount and gratuity.

Moderator: The next question is from the line of Sourabh Arya from Oakland Capital Management.

Sourabh Arya: Congrats team for the good numbers. The first question is, let's say, till now, our focus from export side has been Middle East, Africa. And, but now that we have this EU deal, and we have clearly avoided focus in Europe till now. So will there be any change in strategy in light of this EY-FTA?

Rahul Sahai: So I wouldn't say we have a change in strategy because geopolitical movements keep happening. From a company standpoint, obviously, these changes are inputs into strategy, but our strategy, by and large, remains similar. We continue and remain committed to the Middle East and the African markets. We are studying each region and trying to develop an appropriate strategy that covers our capability, capacity and coverage for each region.

Sourabh Arya: Okay. This is fine. And so we won some large orders of NPCIL and Marine, I think. So is there some execution expected from that in next few quarters or it's already part of execution in industry?

Rahul Sahai: So it hasn't been part of the execution until now. These are for large gensets of 6.3 megawatts each, and we will be executing them going forward. So none of them are executed in Q3.

Sourabh Arya: Okay. And that would be part of Industrial segment only?

Rahul Sahai: Yes, that's part of our Nuclear segment under the Industrial business.

Sourabh Arya: Okay. And can you give some color how that execution would be like what is the size of it? Will it be done in 1 year itself or it's spread over 2, 3 years?

Rahul Sahai: So the overall order value that we have spoken about earlier is INR798 crores in basic value. We have time lines of 2 years from now. I can't give more details around that in terms of execution at this.

Moderator: The next question is from the line of Krish from Crosseas Capital Markets Private Limited.

Krish: I just had one small question regarding Kirloskar [inaudible 0:29:38]?

Gauri Kirloskar: There is a lot of background noise, so we can't hear you.

Krish: Yes. So my question is regarding Kirloskar Group in general. So Kirloskar Chillers is a private limited company, which is, as per my knowledge, is not a part of any of the listed companies.

So is there any plan to take it as a subsidiary into any of the listed companies or to separately in the coming if you could answer that.

Gauri Kirloskar: So thanks for your interest, but because this is a Kirloskar Oil Engines earnings call, I won't be able to answer or address that question here.

Moderator: The next question is from the line of Prerit Jain from Motilal Oswal.
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Prerit Jain: Yes. So I have 2 questions. My first question is despite the B2C segme

nt going out of financials

in the current quarter, the other expense still seem to be at a higher side. So any specific reason for that?

Sachin Kejriwal: No, it is related to B2B business. So there's no specific reason that why it is going up.

Prerit Jain: Okay. Got it. And my second question was on the domestic Power Gen business. So in the PPT, it was mentioned that it was driven by LHP supported by the incentive schemes. So can you please highlight which incentive schemes are these and whether these numbers are sustainable?

Gauri Kirloskar: So that's our retail business, the channel and the retail business incentive schemes are part and parcel of the business. So it's just those incentive schemes that are running, nothing in particular.

Moderator: The next question is from the line of Palak from MIV.

Palak: Sir, just a follow-up question. Is it possible for you that you can give some sense of contribution from LHP, HHP, MHP in our Power Gen segment?

Rahul Sahai: So what I would say is that most of our business continues to be in the retail business. A lot of the retail business is LHP. At this point in time, the rest of the information is proprietary. So we won't be able to give out specific splits.

Palak: Okay. So are we changing some significant shift towards HHP in terms of revenue contribution?

Rahul Sahai: The answer to that would be yes because you can see that from the growth numbers, the HHP is growing at a faster rate.

Palak: Okay. And in case of Industrial segment, last 2 quarters have been very good for us. I mean is it because of the big orders that we have received in Defence, Marine and Nuclear? I mean how sustainable is this growth number for us?

Rahul Sahai: We will continue to focus and do our best. And this is an outcome of that. It's not execution of 1 or 2 single orders.

Gauri Kirloskar: So what I would add is that from the large orders that we have mentioned that we've got, this is not to do with the execution of that. But if you remember a couple of years ago, our strategy was to look at key account management in a very focused way. And also we had identified certain white spaces. So that's why you're seeing this kind of growth, and we hope that we can continue to aspire to these kind of growth rates.

Palak: And just do you have any guidance for a growth number for next 1 or 2 years? Or any comments on margins that we are targeting?

Gauri Kirloskar: We stated a 5-year strategy, which is to be a \$2 billion company by fiscal year '30. And we've also said that we hope to continue to improve margins over that time because our focus areas continue to be Advanced products, Aftermarket and Exports where these typically are the margin levers in our industry. So that's the direction that we're giving in terms of where we want to grow on the revenue and margin front.

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Palak: So is the guidance for the consolidated entity or for the stand-alone business?

Gauri Kirloskar: Consolidated without Arka.

Palak: No, I'm saying the guidance that you have given is just for a consolidated entity or is it for stand-alone business?

Gauri Kirloskar: For the B2B and B2C business.

Palak: Okay. And anything specifically for B2B business?

Gauri Kirloskar: No, we have not broken it out that way.

Moderator: The next question is from the line of Umakant Sharma from Viansh Ventures.

Umakant Sharma: Congratulations on a good set of numbers. I've just got 2 set of questions. Firstly, on the Arka, could you just talk a little bit about the current book split between the retail and wholesale? And also, if you could throw some color around the asset quality that you're observing?

Gauri Kirloskar: Samrat, would you take that question?

Samrat Gupta: Yes. Currently, our wholesale book is INR2,600 crores Assets under Management. And our total Assets under Management will be in the range of INR7,600 crores, so the rest

of the book will

be retail or SME lending in nature. And pure retail, which is basically ticket size of about INR15 lakhs in small ticket loan against property and used vehicle financing is about, sorry, as on 31st December is about INR328 crores. And asset quality, our GNPA is about 1.2% and NNPA is

about 0.3%.

Umakant Sharma: And could you just talk about this asset quality for the last quarter? What was that number?

Samrat Gupta: Last quarter, asset quality was about 1% and NNPA was 0.2%.

Umakant Sharma: Got it. Got it. And just coming back to the main core business, like we've been talking about the HHP segment for a while now. Gauri, if you could just spell out when can we start talking numbers around the HHP, when are we aspiring, from articulating those numbers out, when are we looking at that?

Gauri Kirloskar: Sorry, you mean like segment-wise numbers, when will we articulate?

Umakant Sharma: Yes. I'm just, the reason I'm looking at is since we have launched this product, we have entered into HHP for about, almost about 2 years. I just wanted a sense as to when are we thinking of communicating in terms of numbers, what are we doing on the overall Genco business from the HHP side?

Gauri Kirloskar: Yes. We haven't thought about sharing those numbers yet because we are sharing growth numbers across this segment, which is obviously a very new segment for us. A couple of years ago, we had zero market share. And the market shares are, will be incremental quarter-on-quarter, and it's not always linear. So I think the growth rate right now is sufficient as long as

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we are showing good growth in that segment and traction in that segment. And at least as a management team, we track, node by node incrementally if we're making the progress that we should be making.

Umakant Sharma: Got it. And could you also just touch down if we are looking at, I know you broadly touched upon it in one of the previous participants. But are we seeing incremental, like I think we have, in your previous call, you highlighted, right, we have tracked the Middle East bit, at least in terms of the international side. Now are we looking at exploring other international markets? Or would we want to be looking at scaling up some of the places where we have got the market placement right?

Gauri Kirloskar: So we are looking at places other than the Middle East, and we have been present in places other than the Middle East historically as well. The focus markets for us, I mean, there are many focus markets across the world. And in each of them, each of them is different. We have to look at what the competitive landscape is, what the local Power Gen or Industrial market is like who are the players in that space? Do we want to go in alone? Do we want to go in with a JV? Do we want to have an appointed genset OEM?

What you're seeing in the Middle East is the result of us appointing a genset OEM for specifically Power Gen sales. And you've seen the traction from that work in the last year or so. We had a pretty significant industrial presence there, but we didn't have, we weren't doing so well on the Power Gen side. So I think that's what you're seeing in terms of growth. But whether it's Africa, whether it's the U.S., whether it's Southeast Asia, we'll have different ways of going to the market depending on what makes sense.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: The first question that I had was more to get a sense of some more insights on the HHP segment. As we understand in this segment, there's a requirement that customers have of, consultants kind of approving the products that the company has. Could you give us a sense of how has that journey been for you? And are you being able to make inroads on that.

Gauri Kirloskar: I'll just have Kiran, who's our CHRO, talk a little

bit about what we're doing because there is capability building we had to do, because the way the product is sold is quite different. So Kiran, please give an update.

Kiran Bhagnure-Khapre: Sure. Thank you, Gauri. So I think you already heard Gauri and Rahul talking about the progress what we are making on the HHP side. So while the focus has been on building out the great products, we also, in parallel, started working on improving our capabilities. And for that, we've worked on a development program for our frontline sales teams, which purely focuses on how the products are being sold.

These products are way too more technical in nature compared to what our earlier product ranges were. And so we have worked through a detailed development program, including the technology of the products, the commercial aspects of the products as well as focusing on the negotiation skills and the soft skills of how to sell these products. So some of these programs

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have been going through the organization at this point in time, helping to build that capability

inside the organization.

Gauri Kirloskar: Yes. And we've done this not only for our sales teams, but also for our genset OEMs who are partners as well for their sales team as well. So that's part of it because as you said and as you mentioned, the consultants have to be on board. They have to be aware of what our product portfolio is, especially because we have different solutions like an Optiprime, which is not a single engine solution. That has to be explained. It has to be witnessed. So it's been a lot of groundwork that we've had to do, but we are seeing traction now come out of that. [inaudible 0:42:27].

Moderator: The line for the management has been disconnected. Ladies and Gentlemen, the line for the management has been reconnected, thank you and over to you, ma'am.

Gauri Kirloskar: Yes. Sorry, I think the person we were speaking to had a second question, we couldn't hear it.

Aditya Mongia: The second question that I had was more to better understand market share shifts that may be happening in the LHP front as we see through the relative changes happening, it seems, still seems that on a 2-year basis since CPCB IV happened, the market leader has gained share versus Kirloskar. Some pullbacks are happening right now. But it still seems that a lot has been lost the last 2 years on the LHP side. Do you think that there are scopes of further clawing back market share? Or how do you think about that aspect?

Gauri Kirloskar: So what makes you think that?

Aditya Mongia: So one is just kind of comparing the relevant segments and the relative growth that's happened, okay, over the last 2 years. And it seems to suggest that while on a Y-o-Y basis, some bit of faster growth is happening for Kirloskar, on a 2-year basis on aggregate growth, which makes me believe that there is more to kind of recoup the market share for Kirloskar, and that's why the question?

Gauri Kirloskar: Yes. I mean I think it's hard for me to comment because I don't know the source of your information. So I will not be able to answer that question.

Aditya Mongia: Got it. I'll take that separately. The third part was?

Gauri Kirloskar: Yes because when you give me specific growth rates and I look at those numbers, it's very hard for me to answer that.

Aditya Mongia: Happy to take it in a separate call the numbers. But let me just move on. On the Distribution side of things, could you give us a rough split of what are the key elements over here? I understand that spares would be a large proportion and then there will be other parts such as solutions that you may be doing. Some sense of how the breakup is for you?

Rahul Sahai: I think, so by and large, you're right. There's a lot of, it's mostly spare parts and service today. We also do overhauls and we, under our brand called New Life. So, but t

hat component is very

less. So bulk of it would be spare parts along with the service contracts.

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Moderator: The next question is from the line of Prolin Nandu from Edelweiss.

Prolin Nandu: This is Prolin from Edelweiss. My question is on margin while you answered the question. Just this quarter-on-quarter drop in margins on the EBITDA level, is it mostly all of it is explained by the mix change? Is that a fair understanding?

Sachin Kejriwal: So I've already answered that. So it's a combination of mix, product mix change and the operating leverage loss.

Prolin Nandu: And by product mix, you mean the distribution growing lower than the product growth, right? Is that understanding?

Sachin Kejriwal: It's a combination of 2, 3 factors, but we are not giving those details right now.

Prolin Nandu: Okay. And on your, the Marine and Naval execution on that part, right, in a way, will the margins on the orders, Marine orders be at par with company average? Or would it be lower? Or can you just understand, help us understand what could be the margin trajectory for the orders?

Rahul Sahai: We don't give those margin details for each customer segment. So sorry, we'll not be able to share any details further on that.

Moderator: The next question is from the line of Jason from IDBI Capital.

Jason: I just wanted to ask, of course, Q3 tends to be, even last year, it was a little drop off from Q2.

And then again, this year also it's kind of the same trend. I just wanted to know what kind of seasonality, is it because of less cooling demand because it tends to be cooler during, just if you could highlight some reasons for the seasonality for the sequential drop in volumes?

Rahul Sahai: Yes. I think that's generally how capex flows happen here, mostly on the domestic side. So it's a phenomenon that's seen across the industry. So there's nothing very specific to KOEL.

Jason: Okay. Okay. Sure. And just wanted to also know, I mean, of course, I understand that DG sets are going through a good phase of growth. Now I just wanted to know any particular infrastructure verticals you want to highlight which are driving this growth?

Gauri Kirloskar: No, it's pretty broad-based.

Jason: Yes. Sure. And ma'am, also, you spoke in detail about how you are leveling up your sales capabilities in terms of programs and stuff all that, that's good. Just wanted to know also just a pertinent question relating to that. Now I also understand for HHP, you require a better quality, better qualified service engineers servicing that segment because service becomes a critical aspect for that solution. So what are the steps we are taking to basically, to up our game there in that segment to basically improve the quality of service engineers, hire better hiring and those practices. Just wanted to know some color from your side on that aspect?

Gauri Kirloskar: Sure, Kiran is here to answer.

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Kiran Bhagnure-Khapre: Yes. Again, the capability building initiatives are not only focused towards one segment. We are driving that as a common upskilling theme across the organization. So a lot of training programs to make sure that our workforce is able to address the customers' issues right on time. So that's what I would say.

Gauri Kirloskar: And what I would add is this training program, especially across service is a continuous process because you obviously have also people coming and leaving and you have to address that. You have to have trained service engineers on a continuous basis. And the product portfolio also keeps changing, not only because of product expansion, but driven by emission norms as well. So the training on the service engineer side is a continuous process.

Jason: Sure. And lastly, ma'am, just wanted to ask about this notification on the BSE where you have invest

ed close to INR8 crores in the Middle East entity, which in turn is going for basically acquisition of the South African entity again. Just if you could just give some color on what exactly, I understand you've given a lot of details there, but just your take on that.

Gauri Kirloskar: I mean it's the same thing. So when we look at our international market, we do an assessment on a market-by-market basis of how we want to be structured and how we want to operate there. So this is just in line with that strategy and in line with how we want to operate in South Africa. And it just follows that strategic rationale.

Jason: Right, right. So you're basically saying that you don't want to basically keep it to an external party, but you want to basically do the industrial piece in-house. Is that correct for the South African market?

Gauri Kirloskar: No, that's not necessarily correct. It's just that we have now our own entity and office where like Rahul mentioned about capability, capacity and coverage, which is what we need to build in all international markets. We now have our own entity and office there, so we can at least start building that people capability in-house.

In the future, and the reason I can't answer your question specifically is in the future, if we see opportunities to tie up with people or any similar such thing, then we would do that. So I can't say that we will not do it today because it remains to be seen as time goes on and how we do in that market and what we learn in that market.

Moderator: The next question is from the line of Suraj from Catamaran.

Suraj Malu: So to reach the stated goal, which is \$2 billion run rate, which is approximately a 3x growth from here. So how should one understand about the capex required to grow from the current levels? Like will you need to scale the gross block from current INR1,900 crores, INR2,000 crores to like INR5,000 crores, INR6,000 crores?

Rahul Sahai: Yes. So there is, we have a capex plan. As we have mentioned earlier, there is INR700 crores of capex that we are deploying into ramping up our operations. A lot of that work is currently ongoing. There is a capital allocation philosophy that is underway. So from time to time, as we take actions, you will see the, you'll see it reported post Board meetings, I mean, in these calls.

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So at this point in time, the rest of the information is internal to KOEL and we won't be able to give it out.

Moderator: The next question is from the line of Rahulkumar Mishra from Antique Stock Broking.

Rahulkumar Mishra: Congratulations to the team for delivering a healthy set of numbers during the quarter. Most of my questions have been answered. I have just 2 questions. So first, if you could help me give some color on the water management system. So what is the demand outlook going ahead for this business?

Rahul Sahai: So the water management systems and the LGM business has now been consolidated into a single entity called Fluid Dynamics. We call it KOEL Fluid Dynamics. It is going to be a subsidiary of Kirloskar Oil Engines focused on pumping solutions. Pumping solutions will vary

across different kind of end use and applications. Water is one of them. As we proceed further, there are big opportunities that we see on the domestic pumps and Agri pumps side. So we continue to remain focused and look at the appropriate products that need to be launched.

Rahulkumar Mishra: And my second question is on the export side. So we have seen that exports have grown healthily about 20% on, during this quarter as well as on a YTD basis. So I wanted to just get a sense of what has driven this healthy growth during the quarter?

And lastly, on the U.S. market, last quarter, we discussed that it's going to be one of the largest market with some good opportunities. And with the recent announcement of relaxation and tariff by the

U.S. government, how do we look at this market? And given that almost 60% of sales we derive from MENA region, do we see this proportion shifting going ahead for the next couple of years once we build our capability for U.S. market and start securing orders? So just a color on this.

Rahul Sahai: Yes, sure. See, each region that we look at, there is a very careful evaluation around the 3 Cs that I spoke about earlier, that's capability, capacity and coverage. And then we take a look at how exactly do we want to go to market, whether it is through independents or joint ventures or an acquisition. So that's, and it's a lot of effort and work that goes into it. Some of the traction that you are seeing on the international side is an outcome of the work that we've been doing. So there is work that we are doing, we've been doing on the Middle East and Africa side. There are other work of other regions also. Now coming specifically to U.S., we have been investing in the U.S. market for a while. We have a subsidiary called Kirloskar Americas, and there is work that's going on, but it is not at a mature stage that we can discuss about it right now.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Gauri Kirloskar: Thank you very much for your interest on today's call and for the questions. See you next time.

Moderator: Thank you, ma'am. On behalf of Antique Stock Broking Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Date: 20th May 2026

BSE Scrip Code: 533293 NSE Scrip Code: KIRLOSENG

To
Corporate Relationship Department
BSE Limited
1st Floor, Rotunda Building,
Dalal Street, Fort,
Mumbai – 400 001
To
Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, C - 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 051

Dear Sir/Madam,
This is to inform you that:
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 including amendments thereunder and in continuation of earlier communication vide letter dated 11th May 2026 and 14th May 2026, we hereby inform that the Transcript of the Conference Call for Investors and Analysts held on Thursday, 14th May 2026, at 7.00 p.m. (IST) to discuss the Audited Financial Results of the Company for the quarter and year ended 31st March 2026, has been uploaded on the website of the Company, viz. www.kirloskaroilengines.com. The same is also enclosed herewith.

You are requested to take the same on your record.
Thanking you, Yours faithfully,
For Kirloskar Oil Engines Limited
Farah Irani
Company Secretary and Compliance Officer

Encl.: As above.
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"Kirloskar Oil Engines Limited
Q4 FY26 Earnings Conference Call"
May 14, 2026

MANAGEMENT : M S. GAURI KIRLOSKAR – VICE-CHAIRPERSON &
MANAGING DIRECTOR – KIRLOSKAR OIL ENGINES
LIMITED
M R. RAHUL SAHAI – CHIEF EXECUTIVE OFFICER –
KIRLOSKAR OIL ENGINES LIMITED
M R. SACHIN KEJRIWAL – CHIEF FINANCIAL OFFICER -
KIRLOSKAR OIL ENGINES LIMITED
M S. KIRAN BHAGNURE KHAPRE – CHIEF HUMAN
RESOURCES OFFICER – KIRLOSKAR OIL ENGINES
LIMITED
M S. RIDHI GANGAR – CHIEF FINANCIAL OFFICER –
ARKA FINCAP LIMITED
M S. FARAH IRANI – COMPANY SECRETARY –
KIRLOSKAR OIL ENGINES LIMITED

MODERATOR : M R. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Kirloskar Oil Engines Limited 4Q FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.

Amit Shah: Thank you, Sagar. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to 4Q FY26 Post Earnings call of Kirloskar Oil Engines Limited. To discuss the results, we have the senior management team of the company, represented by Ms.

Gauri

Kirloskar, Managing Director of the company; Mr. Rahul Sahai, CEO of the company and Mr. Sachin Kejriwal, CFO of the company.

I will hand over the call to Ms. Gauri Kirloskar for her opening remarks, post which we can open the floor for Q&A. Over to, Ma'am.

Gauri Kirloskar: Yes. Thanks very much. Good evening, ladies and gentlemen. Thank you for joining us today. On the call today, we have Rahul Sahai, CEO of KOEL; Sachin, the CFO at KOEL; Kiran CHRO and Farah Irani, Company Secretary. Joining us from Arka we have Rishi Gangar, our CFO. I would like to start with year-end investor call with a thank you to all our investors, especially those who have placed their trust and confidence in us over the last 4 years or more.

I remember discussing growth, specifically sustainable growth when we began this journey. As business cycles fluctuate between favourable and challenging, there will always be spurts for growth followed by periods of lull. What matters most is how we build an organization capable of leveraging favourable circumstances while remaining resilient during a downturn.

Certain approach is not a quarterly raise, it is a multiyear marathon. It requires managing various cycles and building for the future, all while overseeing day-to-day operations. I have always believed that growth must be sustainable. It cannot come at a cost of profitability or for the sake of short-term benefits.

At a consolidated level, we achieved 22% growth in revenue. We are now amongst the top 10 manufacturers in the world by volume in the industrial and Powergen space. We sold over 1 million pumps last year and our international business crossed INR1,000 crores in gross sales.

Our domestic business grew 21% year-on-year, while international business grew 37% in group sales.

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While various factors influenced our monthly and quarterly movements, our focus remains steadfast on long-term sustained growth. At a standalone level, the company achieved its highest-ever quarterly sales in Q4, reaching INR1,522 crores, a 24% year-on-year growth. This resulted in full year net sales of INR5,604 crores, representing a 25% year-on-year increase. In Q4, the domestic business grew 26% while the international business grew 10% compared to the same quarter last year. Our Powergen segment grew 32% over the previous year. On a quarterly basis, Powergen grew 30% year-on-year. To put this in context, Q4 is traditionally a strong quarter for us, so delivering this level of growth is a significant achievement.

Our market share has improved significantly across all nodes. In our high horsepower segment, where our market share was negligible a couple of years ago, we are now approaching double digits. While the overall annual diesel generator market grew 18% to approximately 179,000 units, including telecom, KOEL grew by 41%, selling upwards of 50,000 units in FY26.

Our Industrial segment gr

ew 22% annually generating revenues of INR1,444 crores.

Construction, mining and railways have been our primary growth driver. The growth in our construction segment tells an interesting story. As you all know, in January of 2025 there was a mandatory emission standard shift from CEV BS-IV to CEV BS-V.

So emission changes represent both an opportunity to acquire customers and a risk of losing them. In this segment, customer acquisition is a long-drawn process, involving technical alignment, product fit assessments and often engineering tweaks to ensure our products integrate

seamlessly with the customers' equipment.

This involves site approvals and proto testing, a joint effort that typically takes 18 months or more. Despite these complexities, we grew 24% in this segment in Q4 compared to the same quarter last year. Our construction segment specifically grew 44% year-over-year, validating the strength of our products under the new emission standard and the capability of our engineering team.

We have incorporated a new subsidiary called Kirloskar Advanced Systems Private Limited.

We believe there's significant potential in advanced technology, particularly to serve key accounts in sectors like defense.

Beyond our traditional engine business, we see a systems

integration opportunity where we can leverage our engineering capability. This requires focussed effort which is the rationale behind this new entity.

On the aftermarket side, we grew 15% annually and 20% quarterly. As mentioned in previous calls, our journey over the last 4 years has been to transition from a parts provider to a complete ecosystem manager. We are improving our share of annual maintenance contract or AMC customers and leveraging our service channels to offer allied products and hold goods.

This shift in perspective is yielding clear results. Kirloskar fluid dynamics grew 10% domestically and 13% internationally this quarter. On an annual basis, the business grew 6% domestically and 36% internationally. As this is the first full quarter for the consolidated entity, we saw reasonable growth with exports outperforming.

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However, I believe there's still significant headroom for growth. Regarding our international business, I have always maintained that growth must be built sustainably. To become a strong brand globally, our product, channel and service processes must be fit for the market. There is a fundamental difference between exports and being international. Exports involves manufacturing locally and shipping to a country to sell through an agent.

Being international means building a genuine business in that geography, hiring locally, setting up comprehensive offices and evaluating local manufacturing or assembly where it viable. Our gross international business grew 33% in Q4 over the previous year's quarter and 37% over the last fiscal year. We remain committed to our strategy of focusing on specific regions to build business with patients and sustained effort.

At Arka our 5-year strategy centers on a deliberate pivot towards realizing our book. To ensure sustainable growth, we prioritize building the right foundational structure ranging from onboarding the right talent and selecting markets to building seamless digital journeys and prudent risk guardrails.

We scale from 34 to 137 branches in fiscal year '26, our strategy focuses on local market depth, operating only in regions where we have the established infrastructure to provide direct high touch service to our customers. Our AUM grew 10% to INR7,947 crores, with net interest income rising 11% to INR266 crores.

Even with significant investments in the secured retail business, FY26 profit after tax remains stable at INR69 crores, similar to FY25 profit after tax before extraordinary items. While we are in full execution mode, asset quality remains robust

, along with prudent leverage and capital ratios.

In summary, we are progressing well against our goal to be a USD2 billion company by Fiscal Year '30 and our numbers indicate that progress. We are very excited about our future. We believe that there is much more that we can do and the opportunity is real. Our last year's performance is a reflection of the inherent strengths that we have at KOEL, our leadership, our engineering, our people and the strength of our partners meaning our suppliers, our channel partners and most importantly, our customers.

I will stop here and request Sachin to give an update on Q4 and the full-year numbers. Thank you.

Sachin Kejriwal: Hi, good evening, everyone. Thanks, Gauri, for the update. I will give a quick overview of the financial performance for standalone and consolidated business. The results and the presentation for today's call has already been uploaded on exchange and our website. Q4 FY '26 was a period of remarkable growth, setting a new benchmark for quarterly sales. The strong performance was broad-based with significant double-digit growth in both domestic and international markets.

The fourth quarter of fiscal year '26 was record-setting period for Kirloskar Oil Engines, achieving the highest-ever quarterly sales of INR1,522 crores for the standalone operations, registering 24% growth year-on-year. With this strong performance, we closed the full year with standalone net sales of INR5,604 crores, that is 25% growth year-on-year.

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Coming to the financial performance overview, I will start with standalone performance first. For the quarter, net sales at INR1,522 crores for Q4 FY '26 versus INR1,225 crores for Q4 FY '25, 24% increase year-on-year. EBITDA at INR193 crores for Q4 FY '26 versus INR152 crores for Q4 FY '25, that is 27% increase year-on-year. EBITDA margin at 12.6% for Q4 FY '26 versus 12.3% for Q4 FY '25. There has been improvement by 30 basis points. Net profit from continuing operation at INR118 crores for Q4 FY '26 versus INR92 crores for Q4 FY '25, 28% increase year-on-year.

Now moving to the full-year performance. Net sales at INR5,604 crores for FY '26 versus INR4,481 crores for FY '25, that is 25% increase year-on-year. EBITDA at INR737 crores for FY '26 versus INR552 crores for FY '25, 33% increase year-on-year. EBITDA margin at 13.1% for FY '26 versus 12.2% for FY '25. So there's a growth of 90 basis points in EBITDA margin. Net profit from continuing operation at INR464 crores for FY '26 versus INR343 crores for FY '25, 35% increase year-on-year. Net cash position net of debt and including treasury investment stands at INR552 crores. Please note numbers reported here are for continuing operations only and excluding exceptional items.

Moving to working capital, our working capital position continues to remain healthy, with payables at approximately 60 days and receivables at around 41 days. Inventory levels stood at approximately 48 days, which improved from 66 days last quarter. Supported by disciplined working capital management led by improved inventory and receivables efficiency, the overall cash conversion cycle has continued to be maintained within a disciplined range, supporting overall liquidity and operating flexibility.

In the interest of time, I will break down this performance for the quarterly numbers. You can refer to our earnings presentations for full-year performance numbers. So coming to the further breakdown of the standalone sales for the quarter, KOEL's standalone sales post the restructuring were at INR1,522 crores, that is 24% growth year-on-year. This strong momentum was backed by double-digit growth across all business units.

So within B2B, Power Gen was at INR708 crores, that is 30% increase year-on-year. Industrial was at INR371 crores, 24% increase year-on-year. Distribution and after

market was at INR281

crores, which is 20% increase year-on-year. And international business of B2B was at INR162 crores, that is 10% increase year-on-year.

Now looking at consolidated performance for the quarter. The revenue from operation at INR2,116 crores for Q4 FY '26 versus INR1,749 crores for Q4 FY '25, that is 21% increase year-on-year. Net profit from continuing operations at INR162 crores for Q4 FY '26 versus INR111 crores for Q4 FY '25, that is 47% increase year-on-year.

Let us have a look at consolidated segment performance for the quarter now. B2B segment revenue for the quarter was at INR1,557 crores, which is 25% growth year-on-year. The segment PBIT was at INR152 crores, reflecting 35% increase year-on-year. B2C segment revenue for the quarter was at INR339 crores, which is 11% growth year-on-year. The segment PBIT was at approx INR42 crores, that is 16% increase year-on-year.

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Financial service segment revenue for the quarter is at INR221 crores, reflecting 8% year-on-year growth. The segment PBT was at INR28 crores, that is 157% increase year-on-year. Please note numbers discussed here represent continuing operations only and before exceptional items.

To conclude, I would like to sincerely congratulate the entire KOEL team for their contribution to the strong performance. The progress we have achieved this year is a reflection of the collective commitment, resilience, and execution capability across the organization. As we close this financial year, we are now preparing ourselves for the next set of milestones in our 2B2B journey.

Our approach will continue to be steady and disciplined, staying focused on our long-term goals, taking one step at a time, and remaining agile as we navigate the evolving business environment.

Now I would like to open the floor for the Q&A. Thank you.

Moderator: Your first question comes from the line of Jeetu Punjabi with EM Investco Capital Advisors.

Jeetu Punjabi: Hi Gauri, Rahul, and team. I think tremendous performance and very satisfying to see the way you guys have scaled up and managed to get to this place. So congratulations on that. My first question really is that, you know, the export side numbers seem very strong. Question is, can you give some level of attribution to help us understand where's that growth coming from and two, your thoughts on sustainability of that? I've got a second question, I'll answer -- I'll ask after we talk about the first one.

Rahul Sahai: Hi Jeetu. So thank you for the inputs and really appreciate that. On the international side, so our

Fluid Dynamics business has done extremely well last year. So seen tremendous growth. As we've been explaining over the quarters, our game plan is deeply structural for each region. So we take a deep look on, you know, where should we play, how do we succeed in those markets, what is the regulatory environment. So there is a lot of ponderance before we make decisions to commit to a market.

And once we do, then the entrenchment is fairly sustainable. So the way I would answer the question is, do we think this is sustainable? We would believe that this is sustainable. In fact, there is a lot more work that is still underway. And if I look at the split, Power Gen continues to be a very big opportunity on the international side. We continue to be focused on that. This time around, we've seen significant success on the pump side as well as on the Power Gen side in the INR1,000 plus crores in gross sales.

Jeetu Punjabi: I really appreciate that. The second question is really, can you talk a little bit about the market share gains in the high horsepower segment? I do not specifically ask for numbers, but I'm just more color on what's happening there and especially Optiprime, how is that shaping up and what does the order book look like?

And one more linked question broad

Why is with the war and potential fuel price hikes and all the other stuff, can you just again tell us what you think are the -- any of the challenges that you expect in the environment for our business over the next 6-9 months?

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Rahul Sahai: Right. So Jitu, just on Optiprime and our HHP focus, if I look at the way we've progressed over the last one year, we are already making strides, I would say significant strides, whether it is Optiprime or HHP. So we have sold units up to 3,000 kVA now. So all of that is already underway and we have actually sold a few hundred Optiprimes last year. So that has been extremely encouraging for us as the management team as well as the teams within the organization.

And we do believe that the moment we enter a particular node or market and definitely domestic first, we have an opportunity to succeed there. And the HHP segment in Power Gen has been not very different. So we do believe that we will continue to grow stronger there. As far as the current geopolitical situation is concerned, we may see short to medium-term structural changes play out. I think we are keenly watching out for the macro environment.

But what I can assure you is whatever happens won't be specific or unique to us. I think if there is a larger macro play that happens or if there is, you know, there's something that happens, then we may face some headwinds, but we may also see tailwinds in the form of rebuilding of infrastructure in those respective regions.

The good news for us is that look, we committed to the Middle East market a few years ago and we are present. So each time, I mean, if there -- once the rebuilding process starts and as and when it starts, we are present there to address that growth in the market.

Jeetu Punjabi: Thank you very much and good wishes as always. Thank you.

Rahul Sahai: Thank you, Jitu.

Moderator: Thank you. The next question comes from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Yes, hi team. Thanks for the opportunity and congratulations on a strong set of numbers. My first question is on the R&D and the overall product development side. Now, you know, glad to hear your earlier comment on Optiprime picking up very well. But just on that bit, are there any more products that we are working on over the next, let's say, one to three years, which can drive the growth further up or maybe even variants of the existing ones which can see a ramp up over the coming years?

Rahul Sahai: So I may not be able to give out information about the product launches and the engineering development, but what I can say is that we are deeply focused on key customer segments and their requirements and we are fully geared and equipped to develop the products that the market requires.

Ankur Periwal: Okay. Let me rephrase my question. So you did mention you're selling units up to 3,000 kVA. So the incremental focus is on going beyond 3,000 kVA as well or within 3,000 kVA, our portfolio is reasonably placed and we believe there is no further new product investment required there?

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Rahul Sahai: So we have the capability to address nodes even beyond 3,000. What I did mention was where we have actively sold units. We have capability. As you're aware, we are executing order of Nuclear Power Corporation, 10 units, each unit is 6.3 megawatt genset. So we do have the

capability to address larger units. I was just talking about the routine products.

Ankur Periwal: Okay, sure. That's helpful. Second bit on, you know, very strong growth on the industrial side for us. How is your -- what is your growth outlook across industrial as well as distribution revenue going ahead? While till now the growth, you know, as in the initial comments we highlighted was less by -- was led by cons

struction, but are these the key segments which will drive the growth further ahead as well or there could be more sub-segments that we will look to ramp up?

Rahul Sahai: So our guidance overall, we remain committed to the 2 billion guidance and industrial and aftermarket have an important role to play as we move and progress towards the 2 billion milestone. As you're aware on the industrial side, we have multiple segments. There is a game plan in place for each of those segments. Depending on the year and the cycle we're in, some of those segments will do better than others. But I wouldn't be able to call out anything more than that at this point.

Ankur Periwal: Okay, fair enough. And just last question, from -- the company's investments into the sub-segments in terms of having the people, the teams, the network in place. Are most of the investments there we have already invested there and now we just need to see the ramp up and the execution part, or there could be some more investments which are required?

Rahul Sahai: As you're aware, the situation does change quite a bit. So we may make decisions to hire more people depending on the circumstance. So it's hard to really comment on that. But yes, there is a significant amount of infrastructure as well as network already established that we are fully leveraging at this point.

Ankur Periwal: Okay. Thank you for all the answers and all the best.

Moderator: Thank you. The next question comes from the line of Jason Soans with IDBI Capital. Please go ahead.

Jason Soans: Yes, thank you so much for taking my questions. First, just had a clarification, I just joined the call a bit late. Gauri ma'am did mention that the whole -- how much the industry grew and the volumes. Could you just repeat that?

Gauri Kirloskar: Yes, sure. You want me to repeat that bit of the commentary? I said that while the overall annual diesel generator market grew 18% to approximately 1,79,000 units including telecom, we grew by 41%, selling upwards of 50,000 units in this fiscal year.

Jason Soans: Sure. Thank you so much, ma'am, for that. Yes, that's very helpful. Now, I just also -- my next question just pertains to, I mean, we saw good growth on the Power Gen side, 32%, and 22% on the industrial side. Just wanted to know if you could just help us with the volume growth as well for both these segments for the entire year?

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Rahul Sahai: I think Gauri's kind of answered the volume part of it. So what exactly is the question?

Jason Soans: Yes, I just wanted to know, I mean, so Power Gen segment grew by 32% for '26 and industrial grew by 22%, and there's a CPCB element and all those things. So just wanted to have a breakup with the volume and the price growth, if possible?

Rahul Sahai: Yes, we won't be giving that here.

Jason Soans: Okay, sure. Okay. And actually last time around in the last annual call, you did mention the HHP sales numbers. Would it be possible to have that number for '26?

Rahul Sahai: So yes, that number we don't usually give out. So I'm sorry, we won't be able to share that. I think the qualitative on HHP we did share right in the beginning of the call.

Jason Soans: Yes. Okay. And I also saw the announcement with regard to the capacity augmentation at the Kagal plant. Now, you've mentioned some capex as well for that. Now, considering that, could I, you know, basically what capex do we envisage for '27 and '28 going ahead?

Sachin Kejriwal: So you must have read this stock exchange disclosure. So we are investing close to INR1,400 crores on that. So that will be our capital allocation for this next two years.

Jason Soans: For both the years. Yes, okay. And just lastly, just wanted to understand this time around, there have been, you know, the Middle East crisis and things like that, the gas crisis as well. Any short-term disruptions during the qu

arter? Did the company face any short-term disruptions during the quarter?

Rahul Sahai: No, nothing specific.

Jason Soans: Okay. Sure. I'll join back the queue for further questions. Thank you so much.

Moderator: Thank you. The next question comes from the line of Mihir Manohar with TRUST Mutual Fund. Please go ahead.

Mihir Manohar: Yes, hi. Thanks for giving the opportunity, and congratulations on great set of numbers, very strong numbers. I wanted to understand on the capacity addition side. I mean, the 50,000 engines

that we're are expanding for Kagal. So, I mean , should one consider that coming operational second half FY28, because in 2024, you had mentioned it to come in three years. So, when should we expect that 50,000 engines to come on stream?

And second question was on the 20,000 engines cap acity expansion that you are announcing.

Now, here we are mentioning about INR1,400 cr ores of capex versus for 50,000 machines, it was INR700 crores capex. So, are these on the HHP side? I mean, why a higher number for machine, capex for machine? So just to understand that.

Gauri Kirloskar: Yes, so that's a good question. So, we announc ed the INR700 crores like you mentioned and that's coming online by April of next year and 50,000 engines. But that was about enhancing our lines, and adding new lines in the existing plant. So that's why you saw that, kind of, investment. Now for this INR1,400 crores investment that we 're taking on over the next two years for 20,000,

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it's because it also includes a new building, of course, at the same site. So, there's no land acquisition involve, it's still at our Kagal plant, but it's a new building and of course completely new lines and equipment.

Mihir Manohar: Okay. So that's because of the building, which is involved.

Gauri Kirloskar: Sorry?

Mihir Manohar: Sorry?

Gauri Kirloskar: Does that answer your question?

Mihir Manohar: Am I audible?

Gauri Kirloskar: Yes.

Mihir Manohar: Yes, okay. So that's because of the building involved. It's not the case it's for higher HHP machine, or a typical higher category of machine, that's not the case?

Gauri Kirloskar: It is also for higher machines, but it involves all of these things. So, as you can see from the results, we are seeing traction in international markets, we are seeing traction in the high horsepower segment, as well as Optiprime . So, it is for those kinds of engines.

Mihir Manohar: Understood, sure. Second question would just be on the Vizag side . I mean, a lot of data center capacity coming at Vizag location. If you can provid e some clarity as to are we getting inquiries specifically pertaining to this location, and how strong are these inquiries? Some color around that will be helpful.

Rahul Sahai: So, look, we are engaged with different kind of cu stomers, and there are inquiries from all over. I wouldn't say Vizag is any different from that at this point in time. However, it's hard to comment on that.

Mihir Manohar: Understood, sure. That's it from my side. Thank you very much.

Moderator: Thank you. The next question comes from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: Yes, hi. Thanks for taking my question, and congra ts Gauri, Rahul, and the team for a great set of numbers once again in the quarter. My first question is related to the margins. So, we have seen very good growth in revenue across divisions . So, wanted to understand when can we start witnessing the operating leverage gains? Because you had mentioned in the past that you were investing in the sales channel ne twork, educating your distribution network and everyone on the new and the high HHP products.

So, are these investments done, which is leading to let's say the higher other expenses, which we have seen in this year? So, are these investments done, or they are more to b

e done in the coming

quarters, and when can we see actually the redu ction in these other expenses, which can drive your operating leverage gains? So, that's my first question.

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Rahul Sahai: Hi, Teena. So, look, see each of the nodes, th e kVA nodes have their own associated margin profile. So, overall, what we shar e is a composite number. Now, what you would see is that there is absolutely no margin deterioration, and in certain nodes we've seen operating leverage also kick in.

The way I can answer that question right now is a lot of the investments are made, but as you're aware, we've kicked off this new capacity enhanc ement investment. So, there is a lot of traction that we also are receiving on the international side for, which we are gearing up for and we probably will see larger operating leverages kick in soon.

Teena Virmani: Okay. So that can start panning out maybe from FY27 onwards.

Rahul Sahai: Yes, I mean, our full intention is to maximize on operating leverage, yes.

Teena Virmani: Understood. And my second question is related to your Power Gen business. You have mentioned that you are growing very well in the HHP side with growth in your Optiprime and the other HHP ranges. How do you see the growth in the non-HHP portfolio for FY27 and going ahead? How do we see this segment to grow going forward given that we already have a very high base for the industry also as well as for KOEL also?

Rahul Sahai: I mean, it's going to be hard for me to give an outlook, but what I can certainly say is that, look, we will continue to strive our best and focus on our core bread and butter business, which is LHP. So that certainly will remain a big focus area as we look to unlock new avenues, especially on the projects and HHP side. So, we're very committed to the LHP business.

Teena Virmani: Understood. So, this will grow in line, or maybe a little better than the industry growth for this year also, FY27.

Rahul Sahai: We will certainly try for that.

Teena Virmani: Okay, okay. Just lastly on the cost side, we have seen higher RM prices across the board for the entire industry. Do you see that the market is strong enough for absorbing any, kind of, price hike if industry participants were to take any kind of price hike for RM pressures?

Rahul Sahai: I think each company has its own strategy. So, it's hard for me to comment, but I think some of the material cost inflation is such that it's going to be hard for players to absorb all of it themselves. So, some of it will certainly get passed on to the market.

Teena Virmani: Understood. I'll come back with follow-on questions. Thank you so much.

Moderator: Thank you. The next question comes from the line of Suraj Malu with Catamaran. Please go ahead.

Suraj Malu: Hi, thank you very much for this opportunity. Ma'am, of the INR1,400 crores capex that we have announced, is it fully new, or is there any replacement amount involved in this?

Sachin Kejriwal: Yes, Suraj, this is fully new capex, nothing replacement.

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Suraj Malu: Got it. And the INR700 crores capex that is underway, so the current gross block I assume would be around INR2,000 crores. So, is this understanding correct that this INR2,000 crores gross block would become plus INR700 crores and plus INR1,400 crores? So roughly, like, INR4,000 crores after two, three years?

Sachin Kejriwal: Yes, once we complete the capex cycle.

Suraj Malu: Got it. So that INR700 crores, nothing is included in the current gross block, right?

Sachin Kejriwal: No, no, nothing.

Suraj Malu: Got it. And if we look at the amount, is the new capacity of this current 20,000 engines that is announced, is this primarily HHP, because the amount is huge if we look at the current capacity of 1,35,000 and the current gross block, the proportions don't add

up, like, the increase in engine capacity is just 15%.

Sachin Kejriwal: So, Gauri has already answered that. So, it's a combination of both. So, we are investing in the building in existing Kagal facility, plus and larger capex will go towards the building HHP capacity enhancement.

Moderator: Sorry, sir, the line for the current participant has dropped from the queue. We'll move on to our next question. The next question comes from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, thanks for taking my question. I just saw the press release on the Netherlands subsidiary. So, if you could elaborate more, I think you have highlighted about some heat engines and ICE engines as a product plus some energy transition products. Just wanted to understand what we're trying to achieve with this subsidiary in Netherlands?

Gauri Kirloskar: Yes, sure. So, given international is a very big component of our five-year goal, it's just important for us to structure ourselves efficiently as we're growing to create value for our stakeholders. So, it's in line with that.

Amit Anwani: Right. So, a second question on the data center. Just wanted to understand in terms of capability and \$2 billion goal, how much we are factoring in, in terms of the data center growth addressable market in terms of higher nodes in the data center. Some color definitely would help, and how has been at least the growth in the past, the targets for growth from the data center piece, that will help?

Rahul Sahai: Sure. So, look, I cannot give out how much we are factoring in the \$2 billion from a data center segment contribution standpoint, but the response that we've received is quite encouraging. We remain committed to the segment. We do believe that we have a unique proposition for the data center segment, and we're hoping that we get more traction as we move along. But we've seen successes even in the last year.

Amit Anwani: Right. Lastly, you did highlight about the capex and the international leg will also is something, which you're considering while doing this capex. So, could elaborate more, which markets and

nodes you're actually trying to address with this capex? Anything, which is there to understand in terms of any particular markets or nodes you're looking for?

Rahul Sahai: It's focused on HHP markets in Power Gen mostly. So, that will be the key theme of the capital deployment.

Amit Anwani: Which any particular geographies you're looking at initially?

Rahul Sahai: So, at this point we can't give that out, but of course, the capacity is being set up for whole of KOEL to use, yes, across the board.

Gauri Kirloskar: Yes, it's across the board. So, it's not that we're only setting up the capacity for a specific geography. It would be for any demand that we see across our markets.

Amit Anwani: Right. Thank you. Thank you so much for answering. Thank you.

Gauri Kirloskar: Thank you.

Moderator: Thank you. We will take our next question comes from the line of Mr. Suraj Malu from Catamaran. Please go ahead.

Suraj Malu: Yes, thank you very much. Sorry, I got dropped off. So, my question was on the proportion, the capex that we have announced, roughly double of the current gross block including the INR700 crores and INR1,400 crores. So, what is the asset turn that we can expect on this gross block?

Gauri Kirloskar: So Suraj, Sachin will answer the question on asset turns, but I think you dropped off, and what he was saying, and what we had mentioned before as well was that the difference in INR700 crores and INR1,400 crores, even though one is 50,000 engines and one is 20,000, is because this one includes a new building as well at our existing Kagal land, and it's for the high horsepower engine. So, I just wanted to make sure that you heard that, and Sachin will answer the second part of your question.

Sachin Kejriwal: So Suraj, asset turn will in the range of 4% to 5% depending upon the nodes.

Suraj Malu: Understood. On the total base, right, including the land and everything.

Sachin Kejriwal: Yes.

Suraj Malu: Okay. Yes. Thank you very much.

Moderator: Thank you. The next question comes from the line of Palak from MIV. Please go ahead.

Palak: Hi, am I audible?

Moderator: Yes, ma'am, you're audible.

Gauri Kirloskar: Yes. You're audible.

Palak: Yes, okay. So, my first question is on the short-term margin. So, with all the commodity inflation situation, are we comfortable that we will be able to sustain this level of gross margin?

And second question is that, I think approximately 40% to 50% of our export revenue is from the Middle East market. So, what was the impact on this quarter and the next quarter what we are expecting?

And the last question is that can you give us the proportion or the contribution of HHP to our Power Gen segment?

Gauri Kirloskar: So, on the last question has been asked before on the call as well, but I'm sorry, we're not going to share that data, Palak, on the HHP bit. On your first question on raw material inflation, I think we're in a pretty sort of turbulent period or perhaps going to be entering a pretty turbulent period.

And I think every effort will be made for us to focus on long-term growth and maintaining our margins and keeping them sustainable.

So -- but as we know it's a turbulent period, and hopefully, that only remains for the short term.

I think in terms of the demand drivers in our industries, we do feel that they are remaining strong.

So, we feel we're in a good position. And it's not anything that we're going to go through in an isolated way. On your second question, which was on Middle East...

Palak: Yes, Middle East.

Gauri Kirloskar: Could you repeat the question, Middle East, you were saying, or I think what you said was 40% to 50% of our international revenues are from Middle East. And have you seen any impact, right?

Palak: Yes. Correct.

Rahul Sahai: Yes. So, in the last quarter, we've not really seen any impact. It would be hard to comment on this quarter, the subsequent quarters. But in the last quarter, we haven't really seen impact.

Palak: Okay. Sir, just last question. So, considering the current energy crises situation, are we seeing the demand on the gas-powered power generators? Or do we have a strong portfolio in that

segment?

Rahul Sahai: Look, we have a pretty strong portfolio across the board company something that we would back. And every demand and every opportunity that comes up, we will go out and strive to meet that demand.

Gauri Kirloskar: And I think what I would add to Rahul's comments is we developed engines that run on different fuels and it was defined in our technology track, so about 3 years ago it's in our investor materials where we talked about developing internal combustion engines that run on gas or ethanol, methanol or blends of hydrogen, etcetera. So, if there is demand that picks up for any of these alternative fuels, then we are ready to address that.

Palak: Have you seen any pickup in the inquiry for this specific segment?

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Rahul Sahai: Which market are you looking about?

Palak: I mean the alternate engines power generator.

Rahul Sahai: I would say that there's nothing meaningful to talk about as far as this conversation is concerned. We are obviously hopeful, but nothing meaningful at this point.

Moderator: Your next question comes from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Hi Gauri and Rahul. Congratulations on a great quarter. hope I am audible?

Gauri Kirloskar: Yes, you are audible.

Parikshit Kandpal: So, my first question is on, I mean, we have seen a substantial increase in

copper prices. And

now this last quarter, we have seen almost 15% increase in pre island prices. So, have you taken any price hikes already for this correction? So, if you can bifurcate between the copper and the pig iron because pig iron is a recent phenomenon. So just your views on that?

Gauri Kirloskar: We won't be able to comment on that because it pertains to this quarter.

Parikshit Kandpal: What about copper because copper has been rising throughout the year, so last financial year have we taken any price hikes?

Gauri Kirloskar: So, when -- as and when there is raw material -- I mean we continue to evaluate our pricing policy, and we take price increases at regular periods. Yes, that's where we are.

Parikshit Kandpal: Can you quantify how much price hike you have taken in FY26?

Rahul Sahai: No. We can't.

Parikshit Kandpal: Okay. Sure. Second question is on HHP side. So, is this engine totally localized, meaning are we manufacturing it in house, especially on the HHP portfolio?

Rahul Sahai: Yes.

Gauri Kirloskar: It's developed by our own engineering teams and it's completely localized.

Parikshit Kandpal: Just one question on the needle and investment which are doing, I think you mentioned about gas turbines, transformers, energy storage solutions. So is it the research which will go into and the product rollouts will happen in some years. So how does one look at this, which comments that you have given on the background of the research you're going to undertake on this?

Gauri Kirloskar: We could say your question very clearly. Sorry, could you just speak a little slower and more clearly?

Parikshit Kandpal: Yes. So, in the announcements on the incorporation of the new entity Netherlands, you have given a brief background about the businesses which will happen in this. So, there's a mention of gas turbines, transformers, energy storage solutions, including batteries. So just wanted to

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understand a little bit more. Is this new business line when we will do manufacturing here or is it in a very initial stage can give some more color on these new verticals.

Rahul Sahai: Yes. So, look, we've outlined our technology path. And there is a focus on different combustion technologies also, but there's nothing significant to speak about at this point in time.

Gauri Kirloskar: And I think you're also referring to the format, which is disclosed, and that's the incorporation of a company. Usually when we define that, it concludes everything that we could possibly do, doesn't necessarily mean that we will do it.

So, looking at international, looking at the power systems space, that can involve a range of technologies over time, which is what we're trying to address in the description. It may not be where we are today. Does that make sense?

Parikshit Kandpal: Yes, understood. Understood transpiration. So, it may happen and not happen is what you're saying.

Gauri Kirloskar: Exactly, exactly.

Parikshit Kandpal: The last question on the power gen revenues. So, if you can give us some color on what was the

data center contribution on -- and how are you looking at the journey from Colo to. So what's the presence in Colo right now? Edge and how are you looking to get into the hyperscalers?

Rahul Sahai: Yes. So, I think some sense that question is leading. But yes, so we are present in Edge and Colos, and we are solely also making our presence in hyperscalers, too. It would be premature to give out those contributions at this point in time. So, I would reserve my comments here.

Parikshit Kandpal: But will it be single, double digit, only double digit, any color at least on the contribution of everything on the power gen revenue base?

Rahul Sahai: I mean, we certainly sight for double digit as far as contribution is concerned, but yes.

Moderator: Next question comes from the line of So

urabh Arya with Oaklane Capital.

Sourabh Arya: Am I audible?

Rahul Sahai: Yes, go ahead.

Sourabh Arya: Congratulations, Gauri, Rahul, Sachin and to the whole team. My question is actually, of course, you have not commented on the new products, et cetera. But I want to understand from you like in terms of R&D, how, as a percentage of sales, it is going up for us? Or if you could talk about any patents, etcetera, in terms of number of patents, which are increasing for the company or not?

And why I'm asking this is, I came across this latest patent, which was on maybe hybrid generators. And of course, Rahul's name was there. So, it's quite encouraging to see CEO of the company and it is there on the patent. So maybe some thoughts on how R&D and new products will come together if you could show something like there?

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Rahul Sahai: So maybe we'll talk about R&D as a percentage of sales, maybe Sachin you can.

Sachin Kejriwal: So, Sourabh, R&D as a percentage of sales is roughly 2% on the revenue side and 2% on the capex.

Sourabh Arya: So, is there any increase there, year-on-year? Are you putting more efforts there?

Sachin Kejriwal: Yes, yes. So, it's steady at 2%. But with our sales pattern is going up, so R&D expense is also going up because we are taking the same rate of 2%, 2.5%.

Sourabh Arya: Okay. And second, I think, Gauri, at the start of the call commented that international is now more than export. So, does it mean Kirloskar's Americas portion of business is doing well, if you could comment on that? Because we've been in Americas for quite a long time and after, of course, Middle East, how the traction is happening there?

Gauri Kirloskar: No, no. So, I didn't say international was more than export. I was just saying that the way we look at our business outside of India is what I call international rather than export, just the difference between the two, say, business models. Exports is when you make locally when you ship out to like an agent or a distributor and you just -- you have no presence there yourself. Versus an international business, which is what we are trying to build, which is we will first understand each market very deeply before we decide how we're going to enter and then we actually have to invest in capability and people and possibly set up some sort of manufacturing there perhaps and then we're deeply entrenched in that geography. So that's what my commentary was about. So I'm not sure I understood your question.

Sourabh Arya: I was trying to understand I mean to say how Kirloskar America is doing now. Like in this year has it done well then other regions because of course we'll have to wait for annual report for it to come, but if you could give some qualitative colour how that has done for you?

Rahul Sahai: I think this past year Kirloskar Americas has been, I mean, there's a lot of effort that we are putting in the Americas region, but at this point in time, you may not, I mean, there's nothing meaningful or significant to discuss at this point in time.

Sourabh Arya: Sure. I am saying very lastly in terms of single engine, can you tell us like what is the exact size of single engine you are selling right now like I know Optiprime series is there which can take you to 3,000 and all, but in terms of single engine, what is the maximum capacity you are selling?

Rahul Sahai: So like our nuclear power execution is single engine 6.3, like basically around 8,000 kVA, 6.3 megawatt.

Sourabh Arya: Okay. Sure and then for data centers, etcetera?

Rahul Sahai: For data centers right now we go up to 1,650 in single engine and I mean, obviously we are on track to increase that as well.

Sourabh Arya: Perfect. Thank you very much. All the best to the team.

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Rahul Sahai: Tha

nk you.

Gauri Kirloskar: Thank you.

Moderator: Thank you. The next question comes from the line of Prateek Shrivastava from Nivesh Wisdom. Please go ahead.

Prateek Shrivastava: Yes, thank you sir and ma'am for the opportunity for taking my call and again wish you congratulations again on the very great set of numbers. Today there is some problem with this conference line, I'm not sure if the moderator is seeing that, but calls are getting disconnected. So I'm not sure if any question on Arka's asset quality was taken. But in Q3 concall, the GNPA numbers were 1.2 and the NNPA's were 0.3. Can you please provide what are the updated numbers as of today for GNPA and NNPA on Arka?

Gauri Kirloskar: Ridhi are you there? Can you answer?

Ridhi Gangar: Yes. So the GNPA number for Arka as of 31st March 26 is 1.2, so it remains at the same level. And NNPA also remains at the same levels of December, which is 0.3%. And in absolute terms, the GNPA has actually come down.

Prateek Shrivastava: Great to hear that. The other question was on the order value. I guess Rahul sir mentioned that in last Q3 concall, this was the order around the nuclear NPCIL and the marine order. I guess the combined order at that point was INR798 crores. The execution was 2-year timeline. Any update on the execution of this order and are we on track?

Gauri Kirloskar: The NPCIL order execution is by 2029.

Prateek Shrivastava: Okay. And is there any update? Are we – is there like any are we actively working on it or we've got to start any kind of any colour you can throw on the execution timeline?

Gauri Kirloskar: Yes. All the teams are actively working very hard on it because the execution is absolutely critical for us to do on time and it gets tracked on a regular cadence, it's project managed and we are on track to deliver it by the timelines that we have committed to.

Prateek Shrivastava: Got it. And do we have any like quarterly revenue recognition in this order?

Gauri Kirloskar: I mean, as the billing happens, yes, we will recognize revenue.

Prateek Shrivastava: Okay, but that hasn't started happening yet, right?

Gauri Kirloskar: No.

Prateek Shrivastava: Yes, okay. Thank you, ma'am, for the answers and again all the best for your continued future.

Gauri Kirloskar: Thank you for good wishes.

Moderator: Thank you. The next follow-up comes from the line of Jason Soans with IDBI Capital. Please go ahead.

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Gauri Kirloskar: Since it's 8:00 PM, could we request that this is the last question, please?

Moderator: Sure.

Jason Soans: Yes. Ma'am, just final two questions. Just you did highlight some segments which are contributed to the growth in industrial. Now for the same thing, I just wanted which is the areas of strength for PG, for Powergen and some areas of strength, any weakness in certain areas, just some qualitative color on demand for the PG segment.

Rahul Sahai: So look we take a lot of pride in the fact that we can offer solutions that are practical to our customers. So I mean, if there were weaknesses, we would certainly try and plug those weaknesses over a period of time. We are focused on -- focusing on our high horsepower customers, that remains a consistent focus. So I think I won't be able to comment more than that right now.

Jason Soans: No, actually I wanted to say in terms of segments. It's not that the portfolio, I meant in terms of let's say residential or hospitality or certain segments, that's how I wanted to approach the question in terms of industry verticals?

Rahul Sahai: Yes, I mean, so it's actually, I mean it's actually pretty broad-based. So it becomes pretty hard to answer it like that, but it's pretty broad-based.

Jason Soans: Okay. Sure. And just finally, the 14 billion capex, the peak revenue potential, what can it be and in how many years can it be some broad colour on that. The 1

4 billion, what is the peak revenue

potential and how many years you aspire to eventually reach it?

Sachin Kejriwal: So the capex which we have announced is INR1,400 crores and what we said that we are targeting to complete the capitalization in next 2 years. So from therein the revenue will start kicking in our P&L.

Jason Soans: Right. Yes. So what could the peak revenue be for that?

Sachin Kejriwal: So at the asset turn of 4, you can calculate it will be close to 5,000 crores, 6,000 crores.

Jason Soans: Sure. So asset turn of 4. Sure. Thank you so much for answering my question. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to the management for closing comments.

Gauri Kirloskar: Yes, thank you very much for all your compliments to the team and thank you for your interest in the company. Good night.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you everyone for joining us and yo u may now disconnect your lines.